Kajaria Ceramics Ltd. (KAJARIACER)

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BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India
Ltd.
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated July 21, 2022, informing about the uploading of the audio recording of the Conference Call held on July 21, 2022, we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your record s.

Thanking you,

Encl.: As above

"Kajaria Ceramics Limited
Q1 FY2023 Earnings Conference Call"

July 21 , 2022

ANALYST : MR. GIRISH CHOUDHARY – SPARK CAPITAL ADVISORS
INDIA PRIVATE LIMITED

MANAGEMENT : MR. ASHOK KAJARIA - CHAIRMAN & MANAGING
DIRECTOR – KAJARIA CERAMICS LIMITED
MR. CHETAN KAJARIA – JOINT MANAGING DIRECTOR -
KAJARIA CERAMICS LIMITED
MR. RISHI KAJARIA - JOINT MANAGING DIRECTOR -
KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL - CHIEF FINANCIAL OFFICER -
KAJARIA CERAMICS LIMITED
MRS. PALLAVI BHALLA - INVESTOR RELATIONS -
KAJARIA CERAMICS LIMITED

 Moderator : Ladies and gentlemen good day and welcome to Kajaria Ceramics Limited Q1 FY2023 Conference call hosted by Spark Capital Advisors India Private Limited. As a reminder all participant lines will be in the list en only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call please signal an operator by pressing "*" then "0" on your touchtone phone . Please note that this conference is being recorded . I now hand the conference over to Mr. Girish Choudhary from Spark Capital Advisors India Private Limited . Over to you Sir !

Girish Choudhary : Thank you. Good evening everyone , on behalf of Spark Capital Advisors I welcome you all to this call. From the management side we have Mr. Ashok Kajaria - Chairman and Managing Director; Mr. Chetan Kajaria - Joint Managing Director; Mr. Rishi Kajaria - Joint Managing Director and Mr. Sanjeev Agarwal - CFO of the Company. I now hand over t o the management for opening remarks. Over to you Sir!

Ashok Kajaria : Thanks everyone . It gives me great pleasure to welcome you to the Q1 FY2023 Earnings Call of Kajaria Ceramics Limited. As already said joining me on this call are my son s Chetan and Rish i, our CFO , Sanjeev, and Pallavi Bhalla from Investor Relations. All of us sincerely hope that you and your family are safe and healthy . We are very pleased to announce our first quarter performance which again demonstrated our resilience against a backdro p of geopolitical uncertainty and high commodity prices . We have achieved sales volume of 23.33 million square meters in Q1 FY2023 with a turnover of Rs.1008 Crores by ensuring full capacity utilization despite energy supply disruptions and unprecedented increase in energy costs . This year remains challenging for the industry due to escalating costs for almost all inputs. Industry has struggled to pass on cost to end users. It was difficul t for us also but we have leveraged our brand equity to drive a 2% price increase in May 2022 which enabled us to maintain our margins at 15% plus. Also our new capacity of slab manufacturing at Srikalahasti , which got commissioned in May 2022, has also helped in maintaining the margin . This plant has the most advanced tech nology Continua+ from Sacmi Italy for slabs manufacturing in South India. W hen we started the journey 33 years back we started with the manufacture of 4 inch by 8 inch tiles and now we are making four feet by 8 feet tiles slab at this plant.

Going forward the only major headwind for the industry is the possibility of further rise in energy prices. It is difficult to predict how the current scenario of geopo litical tensions, escalating inflation and supply disruptions will play out and hence we will not be able to give you any guidance on margin for the next few quarters.

However, tile demand scenario continues to be healthy given traction in the real estate sector despite high input costs and increasing interest rates. At present we are witnessing a

 greate r momentum in the tier II and below markets vs the metros. With India's GDP growth pegged at 6% to 8% over the next couple of years

, the domestic tile industry could in turn witness a similar demand growth, especially driven by the government's push for investment in infrastructure and low -cost housing.

Kajaria's growth will outpace that of the industry and we will deliver around 15% plus volume growth in FY23 on the back of a) improving demand from tier II & below cities, b) distribution expansion, and c) domestic market share gains as Morbi players are continue to focus on exports. Export momentum has improved in Morbi after being impacted for a few quarters and we anticipate that export market will grow in double digit going forward.

Now for this quart er's financial performance : In Q1 consolidated revenue from operation increased by 80 % on a year -to-year to Rs.1008 Crores from Rs.562 Crores in Q1 FY20 22 because of a lower base. Revenue from the bathware segment grew by 93% from Rs.37 Crores to Rs. 71 Crores in Q1. Revenue from plywood segment grew by 279 % from Rs.5 Crores to Rs. 20 Crores in Q1. EBITDA margin for this quarter stood at 15.23% as compared to 14.32% in the corresponding quarter of the previous year. Consolidated PAT in Q1 is Rs.92 Crores . As on June 30, 20 22 working capital days have increased by 5 days to 57 days as compared to 52 days as on March 31, 2022 due to buildup in stocks of newly commissioned plants there are three plan ts get commission ed. With this I take this opportunity of thank ing you for joining us today. Over to you for Q&A please. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session . The first question is from the line of Sujit Jain from ASK. Please go ahead . We will check that meanwhile we are taking the second question from the line of Mr. Rahul Agarwal . Please go ahead.

Rahul Agarwal : Hi! Good evening Sir and congratulations for a good set of results . Firstly what was the average gas price for the qu arter could you help with north, wes t, south price increase and the trends for second quarter ?

Ashok Kajaria : In the Q1 the north prices were around Rs.52, south was about Rs.60 and west was about Rs.67.
Rahul Agarwal : How are the trend s for the second quarter what are we seeing there ?
Ashok Kajaria : Trend is very vibrant . It is changing every day. The problem you have sometimes with the gas supply is that you have to source from various measure. it is a very, very fluctuat ing right now and very difficult to say anything right now.
 Rahul Agar wal: Okay no problem Sir. Second question was on the South Asian ceramic acqu isition we are putting about 28 Crores there 4.8 million MSM capacity could you help what kind of tiles are these and what drove this acquisition ?
Chetan Kajaria : South Asian Ceramics the plant which is one hour from Hyderabad Airport it mainly manu factures two sizes 60x60 and 60x120 centimeters ceramic floor tiles. The install ed capacity is 4.8 million square meters and we are doing this acquisition to strengthen our base in south mainly by cut ting the transit time from Morbi , trying to service the smaller dealers and increasing the rotation of the tiles of the dealers base d in South India .
Rahul Agarwal : In terms of gas supply at this plant is that already present ?
Chetan Kajaria : We have LPG connection there .
Rahul Agarwal : The question is when I a m looking at the EBIT margin for the other segment which is basically the sanitary ware and plywood it is 4.4% for the quarter it was about 5.5% fourth quarter last year any specific rea son for the mar gin being low here ?
Rishi Kajaria : Once the sales were low because of the market conditions and even the raw material costs were a little higher I think it was correct in this quarter onwards .
Rahul Agarwal : Have you taken price hikes again in first quarter for sanitary war e and plywood ?
Rishi Kajaria : No we have not taken any p

rice hikes but things will be better from here on .
Rahul Agarwal : Okay thank you so much and all the best I will come back in the queue.
Moderator : Thank you. We have our next question from the line of Mr. Achal from JM Financial. Please go ahead .
Achal: Good evening Sir thank you for the opportunity. My first question was with respect to the other expense can you help us with the A&P expenditure for the first quarter i s there any reduction Q-o-Q?
Pallavi Bhalla : Yes.
Achal: Can you quantify please ?
Ashok Kajaria : Advertisement has been less in the first quarter, it ha s been 19 Crores in the first quarter.
Achal: In fourth quarter if I may ask ?
 Ashok Kajaria : Fourth quarter was 3 2 Crores and last year total spend on advertisement was 80 Crores . This year we are looking at 100 Crores plus. Normally first quarter it is low and then it starts picking up from there .
Achal: Secondly with respect to the outsourcing volume or rather realization if you look at the realization for the outsource d tiles it has declined Q-o-Q so just wanted to understand is there any downtrading or lower value added tiles ?
Ashok Kajaria : It cannot decline Q-on-Q. It is the same product that we a re sel ling so it cannot decline it could be margin 1%, 2% here and there . it is -1%, so that depends sometimes on the product mix, but there is no difference in the prices of manufactured and outsource products .
Achal: Understood and with respect to the current if you could help us in terms of the gas m ix in the north plant and the south plant ?
Ashok Kajaria : I cannot help you currently . Every day is a different day because sometimes they cut supply. The price at Morbi remains the same, the price at south is abou t Rs.72, in north there is a fluctuation on a daily basis because sometimes they cut the supply and we have to source it from spot market and all that. S o it i s very difficult to tell you right now what will be the price for the current quarter .
Achal: Well I wanted to check in terms of the mix here in north earlier you were indicated 70 %?
Ashok Kajaria : Right now it is very difficult to answer as supply mix is changing on daily basis .
Achal: No problem Sir and just one more question if I may with respect t o Morbi announcing the closure for one month how do you see it playing out on the industry and for us ?
Ashok Kajaria : I think you not only asked the question you have answered yourself . It will be positi ve for organized players. F irst of all, our own plan ts are operating in full and our JVs in Morbi are also working . We are not taking any shutdown so that answers your question by itself. Roughly you can say that they are closing their plan ts from August 10, 2022 to September 10, 2022 there will be no dispat ches from August 15, 2022 to September 15, 2022 and 85 % of Morbi will be closed , some JVs will be working , some people who are based on exports

will be working and you can roughly take that 85 % capacity will not be working.
Achal: What about our vanilla ar e the outsourced the vendors would they be working or shutdown ?
 Ashok Kajaria : Our outsourced vendors you can say 70% are working 30% who are smaller players have to close down and rest we are building up stocks to make sure that we do not have any problem s in sales from our outsourced people.
Achal: Got it that i s very helpful Sir I will come back in the queue. Thank you.
Ashok Kajaria : Thank you. We have Mr. Sujit Jain from ASK. Please go ahead.
Sujit Jain : I just wanted to check Mr. Kajaria what is your estimate of export this year from the industry full your FY20 23?
Ashok Kajaria : For the in dustry it should be close to 16 000 Crore s or maybe slightly hig her definitely not less than 16 000 Crores .
Sujit Jain : What wo

uld that figure be for FY20 22 full year ?
Ashok Kajaria : 12700 Crores.
Sujit Jain : What was the average gas cost for the company as a whole for the quarter ?
Ashok Kajaria : For this quarter ?
Sujit Jain : Yes.
Ashok Kajaria : Rs.55.
Sujit Jain : Right and when we manufacture the product in -house versus the outsource d are the margins better ?
Ashok Kajaria : Slightly better in our own manufacturing slightly.
Sujit Jain : One last question is you acquired this company close to 4 to 5 million square meters at around 28 Crores like you said 51 Crores.
Ashok Ka jaria : 1.8 million square meters.
Sujit Jain : If you were to put that facility you yourself what would have been the capex for this ?
Ashok Kajaria : See capex like that in a standalone plant is close to about 120 Crores and that is what we have acquired . It is 60 Crores and 60 Crores is a debt . If we put the individual plant of this
 capacity anywhere in India will cost you about 100 to 1 20 Crores , if I put up in Morbi it can cost about 100 plus Crores but any other place it will cost about 120 Crores.
Chetan Kajaria : Plus there is also a time lag of 24 months of putting out a project like this in south.
Ashok Kajaria : Secondly also one information which Chetan just sai d earlier the machine delivery use to take three to six months now minimum machine delivery from either China or Italy is 9 to 12 months minimum because of COVID they are suffering from COVID more than what we anticipate sitting here .
Sujit Jain : So this acquisition is close to 60 Crores for 100 % plus 60 Crores debt so 120 Crores of EV and which is what your cost would have been if you were to set up this plant you yourself ?
Ashok Kajaria : Absolutely right.
Sujit Jain : Sure thank you so much all the best.
Moderator : Thank you. We have our next question from Onkar Ghugardare from Shree Investments. Please go ahead .
Onkar Ghugardare : Can you help me with the capex plan for this year ?
Ashok Kajaria : See every year we have always said that for the next three years this year is already done and for the next two years we are looking at 15 % plus volume gr owth and if you look at it the capex plan should be anywhere between 200 and 250 Crores.
Onkar Ghugardare : Each year right ?
Ashok Kajaria : Each year.
Onkar Ghugardare : You would be funding that through internal accruals and how you plan to utilize the cash you have ?
Ashok Kajaria : Internal accruals .
Onkar Ghugardare : How you are planning to utilize the cash ?
Sanjeev Agarwal : After the capex we have revised our dividend policy which we will be paying in fact we have paid also last year Rs.11 dividend so the surplus cash will go for expansion and dividend payment .
 Ashok Kajaria : 40% to 50 % of the earnings is a dividend policy.
Onkar Ghugardare : One thing you mentioned that you would not be giving guidance for margins for the next two or three quarters so any s pecific reasons for that only because of the fluctuating gas price ?

Ashok Kajaria : I have made myself very clear with this global uncertainty there is no talk about margin . Right now please do not talk about this subject . We are struggling to get gas that is a scenario on the ground. Y ou see talking does not give me gas . Let me tell you the situation is very tough on the ground . So let's not talk about margins . we have assured and we have said in our last conference also that we are looking at 15 % to 20 % volume growth which we are trying to do in all sincerity against the normal industry growth of 6% to 7%.

Onkar Ghugardare : But at least can you hold on to this margin that is what I a m trying to do?

Ashok Kajaria : No I cannot say I am making myself clear I am not committing anything and please do not keep on asking the same question again an

d again.

Onkar Ghugardare : Okay thank you.

Moderator : Thank you. We have our next question from the line of Sneha Talreja from Edelweiss. Please go ahead .

Sneha Talreja : Thanks a lot for the opportunity Sir and congratulations on good set of numbers. Just couple of questions from my end . You have mentioned in your presentation that you are seeing healthy traction in the real estate plus you a re seeing greater momentum in th e Tier-2 and below markets just wanted to understand how is it differing this particular time and that too very different from Morbi was constantly complaining about we could demand both in the domestic and export market and taking a one -month shutdown how are we differentiating ourselves is it product launches, is it going into newer geographies and how are we seeing higher demand compared to them on a regular basis ?

Ashok Kajaria : You are right the demand is not that high as in demand is there but how we are trying to gain more market share by doing these product launches and making sure that we sell more and more. B ecause of our brand, we are getting more share in the market and we are also increasing our distribution penetrating by opening more showrooms in Tier-2, Tier-3 parts of the country.

Sneha Talreja : Could you elaborate in terms of how much distribution you could have added maybe in last one quarter itself or maybe last one year compared to last year?

 Ashok Kajaria : So last year we added almost 50 exclusive showrooms and today we have almost about 1700 operating dealers all over the country 380 are exclusive .

Sneha Talreja : We also understand that you did this la rge slab product launch which was there in May after your new plant came into commissio n how was the response of the la rge slab plant and where do you see the segments moving in terms of it could be a percentage of sales or it could be in terms of margins some color on the large slab plant ?

Rishi Kajaria : We got an excellent response . We wer e late in the entry so with our south plant when we launc hed these t iles we had a great response and so it i s just a beginning we launched only in June so going forwar d we see good amount of sales from that. It will not be a very big volume but it will gi ve you good realization going forward.

Sneha Talreja : Any reconsideration of coming up with the capex which you have right now put on hold the new one plant of large slab which we were going to come up in Morbi ?

Rishi Kajaria : That is still on hold in fact we are looking at modernizing one of our north plants with the same Continua+ technology . We are still working on it .

Sneha Talreja : Anything finalized from the north plant or that is in the process ?

Ashok Kajaria : We are still working on it.

Sneha Talrej a: One last question the newly acquired unit that you just acquired how old is the plant and we could see I think it was loss making unit any reasons there ?

Chetan Kajaria : The South Asia ceramics tiles pvt ltd just opened two years back and it was making losses because two years there was COVID so the owners who were Gujarati could not run the plant at capacities so now once we take it over we wil l start selling the entire production between this year and next year .

Sneha Talreja : Sure understood and I actually missed out the product profile that you men tioned.

Chetan Kajaria : It is making ceramic flo or tiles of two sizes 60 x120 centimeters and 60 x60 centimeters.

Sneha Talreja : Sure understood, thanks a lot and all the best to your team .

Moderator : Thank you. We have Mr. Rajesh Ravi on the call. Mr. Ravi please go ahead.

Rajesh Ravi : Hi! Sir, I have few questions first on this Asian ceramics acquisition what is the revenue potential for this 120 Crore s EV?

 Ashok Kajaria : We are

looking at revenue of 130 Crores in 202 2-2023 going up to 180 Crores in 20 23-2024.

Rajesh Ravi : Okay great so 120 Crore s itself you a re looking to achieve in this financial year and that to go to 180 Crores and secondly you mentioned that the demand industry growth is 6% it would be g rowing at 15 % last financial year if I remember correct domestic markets Kajaria said that market has contracted so could you throw some sense that are we seeing a growth just because on a low base of last year or sequentially are we looking demand improvi ng in the domestic market ?
Ashok Kajaria : What is your question of low base we have grown at 33%.
Rajesh Ravi : For the industry because last year it was impacted because of COVID so th ere is growth of 6%...
Ashok Kajaria : Industry is passing through the to ughest time fo r the last two, three years and the key aspect is the gas cost which has gone up from Rs.34 in August 23rd to Rs.69 as of today number one in Morbi , number two anywhere in India it is a mess as far as the gas is concerned because of geopoliti cal tensions so all the costs have gone up so that i s why they are taking a break . They are saying we will do it just like China and Europe, in China they have a Chinese New Year they shut down their plan ts for four to six weeks, i n Europe Spain and Italy they down their plants in the month of August for almost a month so that i s it. F or your information that every year we will do this not this is just a first year every year they have said that Morbi manufacturers will close for one-month timing might diffe r. So what we are trying to do as Rishi said earlier we are trying to penetrate in the nook and corner of India and as I have said in my earlier talks that it is a GST which is playing forward because there is a stoppage of big tax play. Everybody is getti ng goods at 18 % tax earlier there was a big tax play in smaller towns they did not want to join with the big manufacturer for these organized players because of the tax play now they say that we want to join whether it is Kajaria, Somani, Johnson we have to tie up with the company so that i s the slogan right now from that part and that is what we are trying to penetrate we had thought of starting this journey two years back unfortunately because of COVID it could not take place we have started in full swing from April this year and trying to m ake as many dealers as possible.
Chetan Kajaria : Like we doubled our south plant Srikalahasti plant , like we are taking a stake in the South Asian Ceramics all this will make a deeper penetration in other markets , our p lants were in north and west , we did south plants we can do deeper in the south market and get more market share so that i s what we are working on.
Rajesh Ravi : Great how much price increase has been taken in Q1 and Q2?
 Chetan Kajaria : We just took a 2% price increase in May 2022. S ee right now the situation is not that the price increase can be taken because you also have to take market s hare in this tough market scenario.
Rajesh Ravi : So 2% price increase has been taken this quarter Q2 right ?
Chetan Kaja ria: Q1.
Rajesh Ravi : Okay and nothing has happened thereafter right?
Chetan Kajaria : Yes.
Rajesh Ravi : I am asking this because gas prices are quite volatile even in Morbi your prices are around Rs.69 and how would be the gas situation in South , North is erratic but South ?
Ashok Kajaria : I have given everythi ng whatever is required.
Rajesh Ravi : I will check it from your transcription.
Ashok Kajaria : Yes, you have to listen to what is happening.
Rajesh Ravi : Sure that i s all from my end. Thank you.
Moderat or: Thank you. We have a next question from Yash Khemka from Yashw i Securities Private Limited. Please go ahead.
Yash Khemka : Congratulations first of all on a ve

ry g ood set of numbers I just had one quick question that are you planning to outsource any of the faucets and sanitary ware capacity or any more capacity expansion other than the ones announced ?
Ashok Kajaria : No we are not going to outsource any faucets and sanitary ware . We already have a good manufacturing base and we are already increasing our product portfolio. W e have to right now work on increasing sales. Also, we ha ve already announced an expansion in future and our faucet expansion is also going to come by October so capacity is not an issue . We have to penetrate more and do our sales .
Yash Khemka : Okay that helps thank you. Thanks a lot.
Moderator : Thank you. We have our next question from the line of Pooja from TCG Advisory Services Private Limited. Please go ahead. I am sorry we have Mr. Chirag Fialoke on the call. Please go ahead Sir.

 Chirag Fialoke : Hi! Good afternoon and good evening Sir and congratulat ions on a good set of numbers I just have one question and apologies if it is a little repetitive but i t is basically a clarification on the demand scenario in the domestic market there are two sort of competing pieces of commentary one is from the Morbi segment and the other from the organized players Ashok Ji I would request you could you disaggregate the demand and tell us your 15 % target how much do you think the market is going at and approximately how much are we taking market share away, I understand there are no exact numbers but your best estimates are okay that wi ll be very helpful ?

Ashok Kajaria : First question as I said earlier last year the domestic market was 21 000 Crores this year because of various seasons which has already been explained the domestic market will not grow more than 5% to 6% and it should be close to about 22 000 Crores near around that as far as the domestic industry is concerned and as we have just talked the Morbi players are taking a one-month shutdown because they are not able to sell at these prices the costs have gone up . At Kajaria , now the brand is playing into play and the key factor which I have been saying in umpteen number of calls is GST. Earlier there was a big tax play between the so -called unorganized at that time or regional players whatever would you call it and the organized players . Now with GST at 18% and uniformity whether you buy, I buy or somebody else buys the dealers who have opened mor e and more showrooms they are the winners . Earlier a guy used to have a 1 000 square feet showroom and the other dealer at a 5000 square feet showroom so they tell them that go and take the picture and give it to us. That scenario is getting over now gradua lly and I would say 80 % is finished . The bigger the showroo m you have, the more you will be able to sell because you are selling a concept. You are not selling an individual tile. You do not make a house every year . You make a house once in five years so y ou want the best out of it so you decide and the price difference you are paying if any is because that showroom is displaying good set of products. So this is the change and this is where the branded players be it Kajaria, be it Somani, be it Johnson , somebody , they a re all should grow in this lin e. So we are basically taking a market share when I a m saying at Kajaria our vision is for this year 15 % to 20 % volume growth we will definitely be taking a market share.

Chirag Fialoke : Just if I may followup wit h one question. This 5% to 6% market volume gr owth that we are expecting if I were to back up say three to four months ago or maybe even six months ago was this what the expectation was or has that expectation also sort of c ome down a little bit with time I just wanted to know if there i s an update on the overall underlying market ?

Ashok Kajaria : As far as the industry is

concerned, industry was hoping for a better scenario because if you recall the Honourable Finance Minister has sai d that I have spent so much of money o n infrastructure development . This geopolitical tension and war has made a mess of everything because the gas prices have gone up and not only the gas , every single raw

 material has gone up so as a result today the customer is not ready to accept this kind of price increase that the gas prices on 23rd of August was Rs.36 today it is Rs.69 per SC M you see in a difference almost a year , and gas is something like 30 % at that time today it is 38% of our cost of production .

Chirag Fialoke : Underst ood, t hank you so much.

Moderator : Thank you. We have a next question from the line of Pooja from TCG Advisory Services Private Limited. Please go ahead .

Pooja : Hello Sir congratula tions for a good set of numbers. So I just wanted to check on how the shutd own on the Morbi is working well but then would not they like to dump their products here at lower market prices since your penetration is more into Tier-2 and there are much more macro conditions impacting the purchasing power of the people there so how w ould you look at it?

Chetan Kajaria : They have taken a shutdown so that they can clear their old stocks and get better realization . Purpose is not to dump material in the market that is the least thing what they want . They also want to earn some money by m anufacturing their products . The purpose is to clear their stocks, lighten their inventory and make better margins going forward that i s the whole purpose of the shutdown.

Pooja : So you do not see any threat on price realization point of view from this event?

Ashok Kajaria : They will try to increase their price a little bit if the demand is there . I think a year back in July and September last year if you would recall Morbi had a one month shutdown for polish ed vitrified tiles and one month shutdown for cer amic tiles after that and that was in the last financial year was our best quarter if you look at the numbers and otherwise it was a best quarter where our EBITDA margin was close to about 22% so that scenario of course was different but that is what as Chetan said earlier they are trying to correct so that the inventory reduces and they start afresh with so that they can also make money, they are

spending so much of money putting up this manufacturing facility is not for fun they also want to make money .
Pooja: Okay got it thank you Sir.
Moderator : Thank you Ms. Pooja. We have our next question from the line of Shrenik Bachhwat from LIC Mutual Fund. Please go ahead .
 Shrenik Bachhwat : Hi! Sir, thanks for the opportunity. Sir mainly I want to understand that as we are the most premium player and I assume you will be having our best and largest stores in metro areas but our update highlighted that we are seeing better dema nd from Tier-2 and below cities so is there any specific reason that metros are weak curre ntly?
Ashok Kajaria : Metro has less of a const ruction they are more of a replacement market and real construction is happening at Tier-2, Tier-3 cities in India as of now .
Shrenik Bachhwat : This quarter we del ivered a strong growth.
Ashok Kajaria : Since yo u asked this question I want to give you two examples we had a dealer meet on May 10, 2022 I think for the benefit of everybody I would like to share these tw o instances. There was this dealer from Bihar a place called Bhagalpur and out of that nearby Darb hanga and the guy said look Sir last year I did a business of 8 Crores with Kajari a this year I will do 12 Crores now that i s a small thing , the important thing he said is that I have a 4 000 square feet showroom and I am making a 16000 square feet showroom it is in a small town

which is one hour drive where the population is only 70 000. Then we have another dealer from Punjab a place called Rayya which is about one hour from Amritsar Airport the guy has a 10 000 square feet showroom he is in our top 10 of Ka jaria he said sir I am making a 38000 square feet showroom I said why he says look a lot of s howrooms have come in my area I am facing a competi tion I want to make a bigger showroom. I asked him what do you keep, what will you keep Sir I am dealing in Kaja ria I will only keep Kajaria so that i s their vision that is what we a re seeing on the ground so that i s why we are saying this that Tier-2 and below and that i s where the re al growth is coming.
Shrenik Bachhwat : To ask on that on the development of large stores what is the contribution of our company like do we just help on designing the store or we also incur some capex for the store what is our contribution in the development of the store ?
Ashok Kajaria : We give our expertise in designing the store , we g ive them the tiles and we give them some mock -ups and all that rest everything they take care of .
Shrenik Bachhwat : This quarter we delivered around 6% volume on three year CAGR basis so to understand the expectation for the next three to four years what w ill be your fair expectation for Kajaria ’s volume growth is that 10%, 12% more realistic or you can assume 14 %, 15% volume CAGR for the next three to four years for a company ?
Ashok Kajaria : We have already said in our earlier two briefs that this year we are looking at 15 % to 20 % volume growth next two years we are looking at 15 % plus volume growth that i s our vision .
 Shrenik Bachhwat : Thank you so much.
Moderator : Thank you. We have our next question from the line of Nikhil Agrawal from VT Capital. Please go ahead.
Nikhil Agrawal : Good evening Sir and thank you for the opportunity. I just wanted to understand like do you have any provision for shifting to propane ga s in any of your plants ?
Ashok Kajaria : See as far as our own plants are concerned Gailpur, Secunderabad and all, we have no vision to go to propane because what you are seeing today is not that something which will be there for all time to come . We all understand that because of this Russia -Ukraine war the gas prices have gone up everywhere. The fuel prices Brent prices are close to about $100 but gas is not easy to transport so propane is an alternative . The kind of volumes we are doing in Gailpur we have run that plant 12 years on propane from 1998 to 2010 with the volume what we are having we cannot use propane for LPG we have to run on line gas. As far as the Morbi plants are concerned there is a scenario we can look at to have propane tanks because sometimes propane in a year is about three months cheaper than gas that is expectation what Mor bi people have said we could look into that in the Morbi plants and as Chetan said the South Asia is already running on LPG.
Nikhil Agrawal : Great Sir and just one more question . Like given that US is the biggest market for ti les and with the recessionary fears that are currently overhanging on the US and Europe markets do you want to se e exports taking a hit like you ha ve projected for 16000 Crores exports but do not you see any impact on the export because of the lower demand from US and Europe ?
Ashok Kaj aria: No, the exports I am saying 16000 Crores is a minimum we will do, we are today very, very competitive because in Europe the electri city prices are gone up by 300%, gas prices have

gone up by 400 % and they are also very erratic they are not getting en ough gas so a lot of
plants are closed in Spain and Italy and India in spite of everything is still very, very
competitive even China gas prices have gone up by almost 60 %-70% which I shared with
you last time. So India is in a very competiti

ve position and we are the number two
producer in the world after China as far as capacity is concerned so India is very
competitive and I am sure this year the exp ort will not be less than 1 6000 Crores it could be
even more.
Nikhil Agrawal : Just one last clarification in an earlier comment you said that you are struggling to get gas
like did I hear it correct or did you mean something ?
Ashok Kajaria : You are absolutely heard it correct because GAIL is having a lot of problems . Their some of
the cargos have not been deli vered as you might be aware. M ore than me as you are
 tracking many of the companies there is a difficulty right now in gettin g gas, but we are
managing somehow because some how you have to buy at spot market to make sure that
your plants run . That is why I am saying I cannot give you the price which will be in the
second quarter as of today.
Nikhil Agrawal : Okay great that is it f rom me. Thank you so much .
Moderator : Thank you. We have our next question from the line of Saumil Mehta from Kotak Life.
Please go ahead.
Saumil Mehta : Thanks for the opportunity. First is on th e clarification when you g ave us 15% to 20 %
volume guidance this year does it include the revenue s from the newly acquire d unit or that
should be over and above the normal guide of 15%, 20% ?
Ashok Kajaria : 15% to 20% volume growth.
Saumil Mehta : Second question with respect to propane now what we hear is obviously the last month that
was about Rs.9 to Rs.10 cheaper, now for a larger player like us does it really impact
because the cost of prod uction for the Morbi guys will be down by about 5%, 6% at the
total production level because of the gas ?
Ashok Kajaria : sFirst of all we have already discussed that Morbi players are shutting down their plan ts for
one month from August 10, 2022 to Septembe r 10, 2022 if they are cheaper by 5% to 6%
why they are not running their plan ts my first question would be so it is not only propane or
gas all kinds of pressures are there as f ar as prices are concerned that i s why they are taking
this and as Rishi said earlier they are trying to clear their stocks so that they can make more
money in the future because ultimately if they do not make money how will they run their
plants so it i s a very wise decision they also said earlier that they will do this every year
once in a year so that there is no undue pressure.
Saumil Mehta : What would be the challenge inventory very roughly versus historical levels given one
month shutdown it seems that the channel inventory would have gone up so very roughly a
numbe r of days wo uld be what 15, 20 days higher than what usually we have around this
point in time ?
Ashok Kajaria : Only they know . We do not know . We are not Morbi . There are 600 - 700 plants, they
would only know how would we know . We only know that they are shutting dow n the plan t
for one month . No production from August 10, 2022 to September 10, 2022 and no supply
from August 15, 2022 to September 15, 2022 . We know that much and we have already
said and our JVs will run because we are able to sell so we will run our units.
 Saumil Mehta : Last question is are we seeing some sort of increasing again project given by the Morbi
players at least from our channel partners and from our dealers ?
Ashok Kajaria : No, they are not giving any credit anymore I think when Chetan was a Chairman of
ICCTAS about two -and-a-half years back we had a meeting during the first pandemic that
was sometime around July 2020 where the organized players and Morbi players had a good
chat and after that they have stopped giving much credit to the market and let me tell you
and you can r ecord that they are giving much, much less credit what used to be happened
earlier . They can give a d

iscount, but no credit beyond a certain period; they are very, very
tough on that .
Saumil Mehta : Okay that is very helpful thank you so much and all the best.
Moderator : Thank you. We have our next question from the line of Pooja from TCG Advisory Services
Private Limited. Please go ahead.
Pooja: Sir I have one or two questions first would you like to share your after sales services data if
you have any what is the progress and what steps are taken to minimize that with respect to

that and secondly I would also like to know that if export is such an opportunistic market with such high gas prices why are Morbi players witnessin g that the supply has exceeded demand it should have run well for them so I would like to get some idea on that too ?
Ashok Kajaria : I did not get your point. In tiles there is no after sales serv ice like that we have set your dealers, there are no complain ts and there are no issues as such and what was the s econd question ?
Pooja: The second question was if export is such an opportunistic market with high gas prices all around the globe with India having an opportunity to get more and more exports then how are Morbi people not grabbing that opportunity and going for shutdown ?
Ashok Kajaria : Last year and this year they will do 16000 plus so they are grabbing every single opportunity whatever they are try ing to do it will even cross 16 000 plus believe me this exports will be much more because first quarter is always tough and these geopolitical tensions a lot of problems were there the moment things slightly improve the exports from India, right now the current exports are 1200 Crores per month the moment the s ituation improves believe me it will be anywhere between 15 00 to 1700 Crores per month at the first opportunity .
Pooja: Okay thank you Sir.
 Moderator: Thank you. We have our next question from the line of Ritesh Barjatya from Asian Markets. Please go ahead .
Ritesh Barjatya : Thanks for the opportunity and congrats team for a decent performance. Just one question based on the overall conversation I understand incremental de mand is coming more from Tier-2, Tier-3 cities so just wanted to understand is there an y meaningful difference when we are serving metro and Tier-2, 3 market in the terms of cost structure and the product related what can be the difference when we are serving metro and Tier -2, 3?
Ashok Kajaria : So there is no difference in the product or any thing like that and Tier-2, Tier-3 the more growth is coming but th at does not mean that Tier-1 is not selling Tier-1 is also selling b ut Tier-2, Tier-3 there more volumes are coming but the product lines is similar and it is just because of a deeper penet ration in the market by opening more showrooms and displays that i s how we are getting that market share.
Ritesh Barjatya : But is there any meaningful difference when we are compute the cost to serve m etro and Tier-2, 3 markets , like in the metro we have a higher manpower cost and other warehousing or other shop related cost is also higher compared to Tier-2, 3 markets ?
Ashok Kajaria : We have no cost because we do not have any shops all the shops are of dealers and it comes to manpower they are all similar we have manpower all over India so whether it is a Tier-1 or Tier-2, Tier-3 the manpower cost is more or less it is a very small difference .
Ritesh Barjatya : So not any meaningful difference ?
Ashok Kajaria : Not at all.
Ritesh Barjatya : Okay thanks that i s all from my side .
Moderator : Thank you. As there are no further questions I would now like to hand the conference over to the management team for closing comm ents.
Ashok Kajaria : Thank you very much. I think good questions were answered . We tried to do our best to answer them in a right manner. So thank you very much for organizing this call and

if
people have more questions our team of Sanjeev Agar walJi and Pallavi are there to take care of those questions.
Moderator : On behalf of Spark Capital Advisors In dia Private Limited that concludes this conference. Thank you for joining us . You may now disconnect our lines .

Call: Nov 2022

November 08, 2022

BSE Limited
P.J. Tower s
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India Ltd.
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir ,

Re.: Transcript of Conference Call

In continuation of our letter dated November 02, 2022, informing about the uploading of the audio recording of the Conference Call held on November 02, 2022, we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 .

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your record s.

Thanking you,

For Kajaria Ceramics Limited

R.C. Rawat
COO (A&T) & Company Secretary

Encl.: As above

"Kajaria Ceramics Limited
Q2 FY2023 Earnings Conference Call"

November 0 2, 2022

ANALYST : MR. RAHUL AGARWAL – INCRED EQUITIES

MANAGEMENT : MR. ASHOK KAJARIA - CHAIRMAN & MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. CHETAN KAJAR IA – JOINT MANAGING DIRECTOR - KAJARIA CERAMICS LIMITED
MR. RISHI KAJARIA - JOINT MANAGING DIRECTOR - KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL - CHIEF FINANCIAL OFFICER - KAJARIA CERAMICS LIMITED
MRS. PALLAVI BHALLA - INVESTOR RELATIONS - KAJARIA CERAM ICS LIMITED

 Moderator : Ladies and gentlemen good day and welcome to the Kajaria Ceramics Limited Q 2 FY2023 conference call hosted by InCred Equities . As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call please signal an operator by pressing "*" and then "0" on your touchtone phone . Please note that this conference is being recorded . I now hand the conference over to Mr. Rahul Agarwal from InCred Equities . Thank you and o ver to you .

Rahul Agarwal : Thank you Mike and g ood evening ladies and gentlemen. Season 's greetings to everybody at Kajaria and to everybody on the call today. We welcome you to the discussion call for Kajaria Ceramics Limited 's Q2 FY2023 results. We have with us the promoter and the senior management of the company led by Mr. Ashok Kajaria - Chairman and Managing Director; Mr. Chetan Kajaria - Joint Managing Director; Mr. Rishi Kajar ia - Joint Managing Director and Mr. Sanjeev Agarwal – Chief Financial Officer . We would like to thank the management and the investor relations team at Kajaria for giving us the opportunity to host the call. I now hand over to Ashok Ji to start the proceed ings and we will take questions after that from participants. Over to you AshokJ i!

Ashok Kajaria : Thank you Rahul. Very good evening to everyone . It gives me great pleasure to welcome you to the Q2 FY2023 and second half of FY2023 e arnings conference c all of Kajaria Ceramics Limited. Joining me on this conference call are my son s Chetan and Rishi, our CFO Sanjeev, and Pallavi Bhalla from Investor Relations. The second quarter saw flattish volume growth but a decent revenue growth of 11% considering the infl ationary environment and softening in demand which impacted our sales volume in second quarter. I can say that the second quarter was one of the toughest quarter s in terms of subdue d demand scenario and disruptions in natural gas supply followed by unprece dented increase in cost of gas. This dampened our margins in Q2 FY2023 as we were only able to take a 2% price hike each in the month of May and September 2022 but now one can say that the worst seems to be over as far as gas is concerned. I believe that m argins have hit its low and are expected to improve hereon mainly due to relaxation in the gas price.

Also we have started using alternate fuel that is LPG from November onwards at our Srikalahasti , Morbi, and Gailpur plants which will further help in redu cing the coal cost going forward. The industry witnessed gradual demand pickup post festive season. Ad option of work from home models in the IT and services sector and increased aspirations are giving good growth in the housing sector. Strong consumer conf idence is also bein g witnessed including in home buy ing in a n inflationary and a stable domestic economic environment. Steadiness of our economy is bein g witnessed in the form of consistent GST collection s of over Rs.1.4 lakh Crores for the past eight cons ecutive months with Rs.1.5 lakh Crores crossed in the month of October for the second time since the inception of GST. However persistent high

 inflation and RBI's interest rate increase to combat the same is a matter of concern going forward. Export moment um has improved in Morbi after being impacted for couple of months and we anticipate that the export will touch Rs.18000 C rores in fiscal year 2022 - 2023.

Now for this quarter's financial performance , in Q2 FY2023 consolidated revenue from operation s increa sed by 11% year -on-year to Rs.1078 Crores from Rs.974 Crores in Q2 FY2022 mainly because of increase in realization and some change in product mix. Revenue from the bathware segment was flattish in Q2 to Rs.74 Crores as compared to corresponding quarter pr evious year . Revenue from plywood segment grew by 17% from Rs.17 Crores to Rs. 19 Crores in Q2. EBITDA margin for this quarter stood at 12.01% as compared to 18.54% in the corresponding quarter of the previous year. A sharp decline in margin was mainly beca use of the increase in gas cost by 70% from Rs.37 to Rs.62 per SCM an d increase in advertisement cost by 40%. Consolidated PAT in Q2 FY2023 is Rs.70 Crores . As on September 30, 20 22 working capital days were increased by 5 days to 61 days as compared to 5 7 days as o f June 30, 2022 mainly due to reduction in creditors and other liabilities. W e hope by end of Decem ber it will be back to 57 days.

Let me now quickly talk about our expansion plans. We are adding 3 million square meters bigger size G VT capacity a t our existing plant Sikandrabad at UP with a total investment of Rs.80 Crores which is expected to be commissioned by September 2023. Also we are setting up a manufacturing facility outside India in Nepal through joint venture. We plan to add 8 million sq uare meters of G VT and separate tile capacity with total investment of 250 Crores out of which our share will be 125 Crores that is 50% of the total project cost. The project is expected to be commissioned by March 202 4.

With this, I take this opportunity of thank ing you for joining us today. Over to you for Q&A please.

Moderator : Thank you Sir. We will now begin the question and answer session . We have t he first question from the line of Sonali Salgaonkar from Jefferies . Please go ahead.

Sonali Salgaonkar : Sir thank you for the opportunity. Sir my first question is regarding the demand scenario right now you did mention some softness may we understand whether the softness is coming more from the urban or the rural and secondly what is the kind of inventory level in the channels currently ?

Ashok Kajaria : See two things are happening the demand has not yet picked up. If you recall July was very tough, September has slightly improved but October also because of holidays or pooja and Diwali it is not as good as what it should be. We are looking forward for the better sit uation

 but I can tell you that we are taking cautious approach as far as the demand is concerned . Right now and when you ask ed the question whether it is urban or second tier or rural , I think al l along it is the sa

me scenario because people are still getting off the holidays , they are getting back to the system so I think we will wait and see that how things will pan out going forward .

Sonali Salgaonkar : I missed some of your initial remarks so s orry if I am repeating what is the average gas price that we saw in Q2 and what is it right now and you also did mention the alternative fuel LPG so what is the kind of pricing differential or gas cost differential between LPG and the natural gas ?

Ashok Ka jaria : The cost in Q2 w as roughly about Rs.61 per SCM, i n Q3 with all the combinations right now we are looking at around Rs.55 per SCM. In our Gailpur plant, in our Morbi plant and Srikalahasti we are only using LPG partly, Srikalahasti is LPG and some ga s, Morbi will be again some LPG and some natural, and Gailpur is very little of LPG right now and gas so average price should come down to about 55 and LPG prices currently are at about Rs.53 to Rs.55 for the same depending on where the location is.

Sonali Salgaonkar : Got it. Sir thirdly on the price hike you did mention 2% price hike in tiles is there any price hike we took in either bathware or sanitary ware?

Ashok Kajaria : Bathware the price hike currently has not been taken because if you recall last ye ar as far as the sanitary ware was concerned the gas prices went up in Morbi on October 4, 202 2 and November 1, 2022 so major hike was on November 1, 2022 and then we took some price hike on April 1, 2022 but as far as bathware the key component is brass , brass prices have been slightly coming down so there is no question of any price hike at this stage. The last price hike in brass was taken on May 1, 2022 .

Sonali Salgaonkar : Got it and Sir my last question would you like to reiterate your guidance that yo u had been giving earlier on the volume and revenue of FY2024 and any sense on the margins in Q3 and Q4 ?

Ashok Kajaria : We will continue to put our efforts and looking at the scenario where we are close to 15% volume growth but as I said it is a cautious a pproach , we are seeing how the market is behaving and we put our best efforts that is all I can tell you today as far as the volumes are concerned. As far as our margins are concerned going forward it will definitely be better than what you have seen in Q2 and at least I would say 2 percentages plus will be better Q3 and Q4. We should be 14% plus in Q3 and Q4.

Sonali Salgaonkar : Got it Sir. Thank you and all the best.

 Moderator : Thank you. We have the next question from the line of Girish Choudhary from Spa rk Capital Please go ahead .

Girish Choudhary : If I look at the absolute volumes last five quarters the range is more or less 24 to 25 million

square meters so it is stuck there so any reason to go with market share or market demand or any other constraints and when do you see this range moving higher?
Pallavi Bhalla : Are you asking that the volume is in the range of 24 to 25 million square meter s and are we able to gain market share ?
Girish Choudhary : I was just asking about this volume range of 24 to 25 mi llion square meters so which has been stuck for the last four to five quarters so the reasons for that and when do you see this range moving up higher ?
Ashok Kajaria : We can put our efforts and we are putting our best efforts. You know that in spite of Mor bi taking a plan ned shutdown from August 10, 2022 to September 10, 2022 if the market has been good why would we take a shutdown, so July has been very , very tough, Se ptember has been slightly better, again October because of the festivity has been tough a nd I said we are putting our b est efforts. We are trying to achieve 15% volume growth yearly and perform accordingly in Q3 and Q4 that is what we can say at this stage. We put our best efforts that is all I can say you at this stage. One of the big gest cha llen

ge which was the gas price has narrowed down so that is a positive thing because in Q2 the gas was an issue . The gas price hike went up crazy , there was a gas cut , if you recall at the last investor conference I said I do not want to talk about anythin g because gas was a serious issue but fortunately that issue has subsided and you are getting gas and the prices have also slightly come down because of combination of gas and alternate fuel.
Girish Choudhary : Sir secondly on the Nepal entry if you could g ive some more addition o n why Nepal any colour on the market side and margin and return profile from this market ?
Ashok Kajaria : Nepal is mostly for t wo reasons, currently they have exports of approx. Rs. 500 Crores from India , it is a market of about 25 m illion square meter per annum . There is an import duty at Nepal on Indian products in the range of almost 45% . Once we start producing locally, I think we will be able to capture part of the Nepal market. Currently we are doing 25 Crores of sales in Nepal. Very shortly we are meeting the Nepal government to talk about that how we can get the benefits and what kind of benefits we are giving to the country . I think for Nepal it is just like putting a plant in Chennai or B engaluru. Nepal is just like next door neighbor so it should not be an issue on that front.
Girish Choudhary : Any colour on margin and return profile from this?
 Ashok Kajaria : Margin will definitely be better because right now as I said there is 45% import duty and the prices what I am selling at Rs.50 thereafter everything is Rs.80 after the duty is imposed. The difference is almost Rs.30 per squa re feet. If you produce locally, you will get much more than export .
Girish Choudhary : Sir my last question this quarter w e have seen other expenses so…
Ashok Kajaria : Advertisement went up. Last year in H1FY22, advertisement was close to 21 Crores and this year in first half the advertisement has been to the extent of 50 Crores. Last year overall we spent about 80 Crores this year we are plan ning to spend about 100 Crores.
Girish Choudhary : Thank you Sir.
Moderator : Thank you. We have the next question from the line of Shrenik Jain from LIC AMC. Please go ahead .
Shrenik Jain : Hello hi Sir thanks for the opportunity. Sir first I want ed to understand that the JV realization s have fallen 22% quarter -on-quarter so what is the key reason for this ?
Ashok Kajaria : The value ?
Shrenik Jain : The realization per sqm.
Ashok Kajaria : The realization is from Rs.330 to 324 it is 1.5% Mine is 1.74% no t what you are saying.
Shrenik Jain : So can you help me understand that gross margins have fallen by 300 BPS quarter -on-quarter versus 1Q while our power and fuel costs have reduced ?
Ashok Kajaria : Only power and fuel and some expenses more on the advertis ement front. See if you look at the scenario overall price impact has been close to about 10% to 11% that is how we have been able to be there because if you compare Q2 last year to Q2 this year the impact is close to 10% because of the price hike . Revenue has been 11% more; volumes have been flat so that means the price hike has been close to about 10 to 11. Whatever we took last year is there plus we took some price hike in May and September, September of course one month but May price has been there so o verall impact has been close to 10 to 11%.
Shrenik Jain : If I am reading the data correctly. The data for the production volume and revenue for own and JV has been revised so could you throw some light on whether base data has been revised ?
Pallavi Bhalla : Which data you are talking about?

 Shrenik Jain : Total tile production volume and revenue for own and JV total FY2022.
Pallavi Bhalla : It slightly got revised because of the change , t

he thing is we have acquired South Asia n
right now and earlier we used to outsource from South Asia n Ceramic Limited now it is a
subsidiary . So one change is this and rest is more or less same.
Shrenik Jain : Okay sure got it. Thank you so much.
Moderator : Thank you . We have the next question from the line of Onkar G from Shree Investments .
Please go ahead .
Onkar : I was asking what is the long term solution for this gas issue what are the steps you are
taking for that?
Ashok Kajaria : Long term solution is gas, gas, gas, but short term solution is combination of various factors
like we are using partly LPG . But you see gas prices cannot sustain what it was for the year
2022 -2023 the prices have to come down and all indications are that going forward starting
from April next year the prices will come down so ultimate solution is ga s, gas, gas because
gas is an issue right now quantity is also an issue so to do that we have done a combination
of gas and LPG.
Onkar : I was asking about the pressure you were seeing on the margin is it only because of the gas
issue or is there something else also and there is something problematic in terms of demand
also?
Ashok Kajaria : Two things you have to understand one you asked for the pressure on margin s. Pressure on
margin s is strictly because of gas price. I have given you a certain number that t he impact of
Q2 versus Q2 this year is something like 110 Crores that is point number one. Number two
as far as the demand is concerned I also said the demand has been very sluggish. July itself
has been very tough, September slightly and again October is because of festivity it is tough
so we are having a very cautious approach. We have assured about 15 % volume growth we
are putting our best efforts to do it, but we can only put efforts we cannot say anything
beyond that at this stage.
Onkar : Alright. Than k you.
Moderator : Thank you . We have the next question from the line of Sneha Talreja from Edelweiss.
Please go ahead .

 Sneha Talreja : Good evening Sir and thanks a lot for the opportunity. Two questions from my end Sir. Sir
firstly just wanted to understan d with you how has been the product mix for us is it that we
have sold good amount of ceramic tiles versus the GV T this particular quarter. W e can get
some sense on quarter -on-quarter that product mix change that would really be helpful ?
Ashok Kajaria : First question I answer you as far as the volume mix is concerned ceramics is 46%, polish
vitrified is 26% and GV T is 28%. As far as the revenue mix is concerned ceramic is 40%,
PVT is 27% and GV T is 33% for Q2.
Sneha Talreja : Sure got that. The same was how much in let us say last year same quarter ?
Ashok Kajaria : Revenue last year of Q2 was 38% ceramics, 31% polish vitrified and 31% GV T.
Sneha Talreja : Understood Sir. That was helpful , thank you and my second question is related to our capex
this Nepal plant coming up and this new expansion which you are doing at Sikandrabad
how much will be the revised capex standing for this year as well as coming two years ?
Ashok Kajaria : Sikandrabad is 80 Crores out of which this year should be close to about 50 Crores an d first
half of next year will be about 30 Crores.
Sneha Talreja : Same thing with Nepal would be larg ely spent everything next year?
Ashok Kajaria : Nepal this year should be close to about 30 Crores financial year and next year should be 95
Crores.
Sneha T alreja : Understood Sir and Sir when you mentioned Sikandrabad large slab is it that w e are adding
those large slab tiles which we have recently launched in south and which are doing very
well is my understanding correct?
Rishi Kajaria : This is Rishi Kajari a you are absolutely right. We are putting the same technology plant
which we put in Srikalahasti in May the same technology we are going to put in
Sikandrab

ad by next year and we will be the only plant in both south and north India to
have this technology . All the other plants are only in the west of India in Morbi. We will be
the only plant in south and north to have this technology.
Sneha Talreja : Sure and one more thing we are also basically outsourcing th ese large slabs from the
western unit for the ot her markets right is my understanding correct?
Rishi Kajaria : No we are not outsourcing the big slab from western market. We are not outsourcing the big
slabs at all.

 Sneha Talreja : Not at all. Okay understood. Thanks a lot and all the very best.
Moderator : Thank you . We have the next question from the line of Achal Lohade from JM Financial. Please go ahead .
Achal Lohade : Thank you for the opportunity Sir. My question was if you look at the gas cost in the first quarter FY2023 which is the previous quarter it was 55 and you said for the second quarter the blended cost is Rs.62 per SCM but if I look at rupees per square meter in terms of power and fuel cost and the production volume it seems to have gone down 16% Q -o-Q can you help us understand this?
Ashok K ajaria : See two things happened. Number is absolutely correct first quarter the gas price was Rs.55 SCM second quarter was Rs.62, also I said there was a gas cut. GAIL has cut gas to the extent of 30% so there was a production cut also so that also impacte d and going forward in the next quarter that is the third quarter it will be around same as Q1 that is about Rs.55 in the combination of gas and LPG .
Achal Lohade : Because I do not see a significant impact on the production numbers that means we have started using the alternate fuel in the second quarter itself ?
Ashok Kajaria : Yes we have started using in third quarter only from the month of November. Srikalahasti started in the month of October, Morbi and Gailpur we will start in the month of November.
Achal Lohade : Okay maybe I will take it offline but my second question I had with respect to gross margins here gross margins I am looking at basically the sales minus the RM cost I see th at the gross margins have come up by 480 BPS quarter -over-quarter is there anything to do with the product mix , is it to do with any one -offs anything to explain the gross margin reduction?
Ashok Kajaria : Please clarify which quarter to which quarter ?
Achal Lohade : First quarter to second quarter Sir.
Pallavi Bhalla : Can you repeat your question Achal?
Achal Lohade : If we look at the first quarter the gross margin was 62.9% I am doing sales minus the RM cost including closing st ock, etc., adjustment and that has come down to 58.1% in the second quarter. Now this could be possi ble if there was higher outsourcing but if I look at the own mix, actually own plus JV it is higher Q -o-Q can you help us understand this gross

 margin contraction because that has driven the reduction in EBITDA margins as well while the fuel cost has come down.
Pallavi Bhalla : If you see it separately then you have to separately see the revenue and the raw material cost. If you take the revenue of only JV and your own manufacturing and subtract the raw material cost there will be a decline it is mainly beca use of the increase in raw material cost but if you do a total revenue and then deduct only the raw material used in own and JV then the calculation number will be little heavy so I suggest if you just go back and do it you have the revenue data for own an d JV as well and then deduct only the raw material you will get the correct number.
Achal Lohade : I am doing at a consolidated level Pallavi would that change anything I am looking at consolidated numbers only when I am talking about these numbers .
Pallavi Bhalla : It will change because you see your outsourcing number has gone down from 6

.4 I am
talking Y -o-Y but outsourcing number has gone down.
Achal Lohade : Ideally it should lead to margin increase because the cost pertaining to own manufacturing are com ing below that raw material cost especially the fuel cost.
Pallavi Bhalla : Raw material cost has also gone up. If you see per square meter we can take this separately.
Achal Lohade : Sure Pallavi we will do that and just last question if I may , with respect to bathware in terms of the Y -o-Y growth it is kind of flattish, the run rate in last three to fou r quarters has been between 70 and 80 Crores how do you see thi s where are we in terms of SKU distribution , etc., the plans for the next couple of years?
Ashok Kajaria : Last year we did 275 Crores and this year we will add up close to 370 Crores budget , next two quarters you will see a good turnaround.
Achal Lohade : Okay so where we are talking about 30% to 40% kind of jump in the second half and what is drivi ng that Sir if there is sluggishness in the real estate ?
Ashok Kajaria : Overall if you see Q2 sluggishness in all fronts so things are becoming better and as said we will try to do whatever the numbers we are talking about.
Achal Lohade : Thank you so much and I will come back in the queue for followup.
Moderator : Thank you . We have the next question from the line of Amit Bhinde from Morgan Stanley. Please go ahead .

 Amit Bhinde : My question was you are adding capacity in GVT one of the subsidiary is converti ng the PVT capacity to GVT so is it that the strategy is changing to more GV plants and higher value products in own manufacturing so does that imply in the future pricing in the owned and subsidiary would be higher and there would be a slowdown or downtak e in the pricing and JV realization ?
Ashok Kajaria : There is no strategy as such. Right now what we are doing we have been talking a long time for exports. We are changing one of our units JV Cos a Ceramics at Morbi from PV to G VT to look at the export mark et so that is the only thing which we are doing nothing else has changed.
Amit Bhinde : Got it. Thank you that was my question.
Moderator : Thank you. We have the next question from the line of. Sujit Jain from ASK Investments. Please go ahead.
Sujit Jain : Sir if I were to look at your power cost as a percentage of sales coming at 25% and 70% jump in terms of your gas cost Y -o-Y so that accounts for close to 7% increase in realization you could have done but you ended up doing something like 10 % odd to 11% and to that extent the drop in margins is mainly because of that increased gas cost you have not been able to pass it on basically that is one main reason right that is one and second thing is typically you have added 12 to 13 million square meter every year in line with your aspiration of growing your volume at 13 to 15% I just wanted to know in FY2023 how much you would have added?
Ashok Kajaria : FY2023 already 12 million already sometime in the middle of May and we also will add some value by outsourcing t hat was the whole idea. The idea was to add 15 million square meters roughly and then we have now added South Asia which is about 4.75 million square meter and we have let go one plant which was about 3.1 million square meter.
Sujit Jain : So net addition w ould be 12 million square meter in FY2023 ?
Ashok Kajaria : Capacity wise net addition will be about 13 million plus as far as FY2023 is concerned and some outsourcing which depends on how the situation is because outsourcing is open , if the demand is right you outsource it if the demand is not right you less outsource.
Sujit Jain : The 3 million already announced and the Nepal capacity will get commissioned in FY2024 to that extent you will have 11 million square meter ?
Ashok Kajaria : FY2024 will be commissio ned you will get that benefit only in 2024 -2025.

 Sujit Jain : That is okay but I am saying directionally you will be adding similar capacity 12 to 13 million square meters in FY2024 ?
Ashok Kajaria : We will try to do that let us see the situation , situation on the ground is very tough. See aspiration is one thing and to face the reality is also another so we will balance that that much I can assure you. If the situation improves we will definitely work on that.
Sujit Jain : To support this aspiration eventuall y in the long run 14% to 15% kind of volume growth what is the kind of distribution growth that you are envisaging and what is the kind of yield for distributor growth that you are envisaging to support this 15% kind of growth ?
Ashok Kajaria : I think you m issed out. Last time I said that next three years we will add close to 400 to 450 dealers and this year we should be adding about 400 dealers across India and next two years every year we should add about 125 dealers across India so we are looking at a scenario were 450 dealers should be added in our basket in the next three years otherwise this volumes will not come.
Sujit Jain : Can you repeat these numbers I am sorry.
Ashok Kajaria : What I said last time I repeat again that in the next three years Kajaria should add 450 dealers across India , in the year 20 22-2023 we will add 200 dealers, year going forward we should add a minimum of 125 every year for the next two years and just for your information we have already added 75 dealers in the first six months of this financial year.
Sujit Jain : Yield per dealer is that something that you are working on?
Ashok Kajaria : Return fr om the dealer is not the point, t he point is whenever you meet a dealer within two to three months or four months you have to make good showroom for this. See once the showroom is made his need is meet because what we see in our trade is sold so the moment that showroom is made right now he may be running a shop; he may be running a distribution network of somebody else the moment a good showroom is made his job is done as far as he is concerned his sale is secured. I will give you a small example on September 26, 2022 I opened a showroom in Rewari 12000 square feet in one floor , now can you imagine in a place like Rewari which is a small a rea somebody will make 12 000 square feet showroom, i f you see that showroom you will not believe it is a ti le showroom it is better than a car showroom.
Sujit Jain : Last one question what is you r current base of dealers?

 Ashok Kajaria : 1700 dealers across India that was on March 31, 2022, w e have added another 75 dealers in the first six months and we should add at least another 125 to 140 dealers in the next six months.
Sujit Jain : Sure thank you and all the best.
Moderator : Thank you . We have the next que stion from the line of Keshav from HDFC Securities . Please go ahead .
Keshav : Hi thank you for the opportunity. Sir just want to understand as per the market assessment Kajaria took price hike in September while the industry has not taken a hike so what was the idea behind that and in terms of H1 how has Kajaria taken total price hike versus the industry ?
Ashok Kajaria : See the gas cost has gone through the roof as we just said, the price hike all of us knows of course it is a calculated one going very gradu ally and we should have taken more but we cannot because of the market situation and as you rightly put it if others have not taken we had no choice because the cost of gas had gone up and as I said second quarter was one of the toughest that we have seen over a period of time where gas prices went over through the roof gas was cut so looking at that that was done and I am happy to tell you that all the price hike which has been taken since April 1, 2022 till date has been absorb ed in the market.

Keshav : Okay understood. Sir as you have only taken the price hike and now you have done 20% growth in H1 so you sort of need 10% growth in H2 to meet your guidance of 15% so I think is it a fair assumption like your volume guidance is in fact might be 15% growth th is year and also next year you will be doing 15% as of now nothing to worry in this front ?
Ashok Kajaria : First quarter last financial year was a full period so if you look at the first quarter number and merge it with number two and say that no, no I have done a good job believe me it is not a good job because J uly and September has been very, very tough so we are having a cautious approach, w e are putting our best efforts to achieve whatever we have assured and I can sincerely tell you on behalf of the co mpany and all our people we will put our best efforts but let us see how things shape up. It is a conscious approach that we are taking because we do not want to make any mistake so just for the heck of it that I have to make certain norms I think that is not necessary. As the market demands I can assure you that we will fulfill the requirement of the market.
Keshav : Okay understood. One last question from my side so how is the channel inventory now ?

 Ashok Kajaria : Channel inventory people are not keeping m uch. See on an average the dealer keeps about 30 to 40 days of inventory because of the range of products. Today Kajaria by itself has almost 2800 to 3000 products at least he has to keep almost 25% to 30% of that range to satisfy the customer, h e does not keep more than that but at least 500, 600 to 700 depending on the dealer size he has to keep that inventory.
Moderator: Thank you . We have the next question from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah : Hi thanks for the opport unity. Couple of questions. Sir first question is can you give some details on the regional gas prices usually you do indicate on north, west and south if you can help with those numbers t hat would be great ?
Rishi Kajaria : So for Q2 FY2023 the north is rou ghly about Rs.60 per SCM, south is about Rs.69 per SCM, west is about Rs.69 and the cumulative is about Rs.62 per SCM am I clear.
Ritesh Shah: It was indicated that the L PG price was around 53 to 55 , now if we look at the numbers what you have indicated it is higher than the L PG price so Sir how should one understand our competitiveness versus other players who are p urely on L PG is that a right way to look at?
Rishi Kajaria No LPG has just started so this impact will come in this quarter, last quarter we h ardly had any impact from this quarter we should start getting the impact of LPG.
Ritesh Shah: Sir my question is how should we look at our competitive positioning on the cost versus the peers which is entirely on LPG so one can contest that the number of players who are on LPG are very few probably that number might increase by a few 100 units going forward might not really impact us more but if I had to look at it from a cost curve positioning how should one understand this ?
Rishi Kajaria We understand t hat Morbi is shifting more into propane but we have also taken a shutdown of the plants because we were not able to sell and we are expensive and as we go forward our cost will down as well. We are working on the alternate sources of fuel and it will go down as we go along .
Ritesh Shah: So we are betting on a higher consumption on LPG even for us which will bring us at parity or make us as competit ive as peers.

Ashok Kajaria: Now that is one point temporarily but as I said earlier in one of my points that people are
expecting by April the gas prices will also come down.
 Ritesh Shah Sure that is very helpful. Sir, my second question is on export trend if you could give some numbe

rs on mo nthly exports out of Gujarat I think that would be quite useful and earli er
you had given a number on full year basis around 15 to 16000 Crores ?
Rishi Kajaria I think we still feel that yes by end of financial year Gujarat will export almost about 17 to
18000 Crores of material and exports is going on pretty big from there.
Ritesh Shah: That is useful and Sir last question we have been adding capacities can you indicate the
amount of cost saving that we will have probably from logistic s or operation as like
employee cost, marketing how should we look at that specific variable ?
Rishi Kajaria : We are not increasing any manpower in the company and we are looking at how the
numbers are , we also look at the advertisement cost very judiciously , we will make sure
there is no any extra additional cost.
Ritesh Shah: Right Sir . Sir I was trying to quantify what sort of impact we will have so we are very
competiti ve given good part of our additions are coming in and we are not adding any head
count it might be an element of logistic cost saving given we are getting into Nepal so just
trying to quantify is there a number that we are looking at that we are targeting ?
Rishi Kajaria : See Nepal is completely separate so do not attach that to it but right now we canno t
quantify , it is very difficult to quantify, as we go along w e will definitely g et an impact for
sure.
Ritesh Shah: Sure thank you so much for the answers wish you good luck.
Moderator: Thank you. We have the next question from the line of Lavanya from UBS please go ahead.
Lavanya: Thank you for the opportunity. S ir most of my questio ns are answered but I just wanted to
check so because of shift to propane LPG usually this need s some additional capex for the
plant so we are shifting a portion of our north and some plant s so did we have any capex
here?
Chetan Kajaria: So the capex is mi nimal there is no capex in shi fting from gas to propane we are using only
LPG currently.
Lavanya: So that would need only minimal capex not much at all Okay got it and also on the
bathware can you help me with the capacity utilization at this point of time and I understand
that the new capacity which we are planning that is also to come in this month or next
month so what is our utilization in Q2?
 Chetan Kajaria: Our Q2 our utilization is almost about 85% and the capacity expansion in faucet will be it is
a very small investment which we are doing so that it will come by January and the sanitary
ware plant will only come by March 2024 . We are going to start working it from January
and it is only come after 15 months.
Lavanya: Okay got it and I just missed th e advertisement expense in this quarter in first half can you
just help me with that number Sir ?
Chetan Kajaria: So in the first half we spend roughly 50 Crores in this financial year 2022 -2023 and we are
looking at a similar number going forward for the r emaining six months.
Lavanya: Okay for this quarter what was the extent ?
Chetan Kajaria: Q2 was 31 Crore s.
Lavanya: Okay got it thank you so much.
Moderator: Thank you, we have the next question from the line of Achal Lohade from JM Financial .
Please go ah ead.
Achal Lohade: No thank you. My question s got answered thank you.
Moderator: Thank you. We have the next question from the line of Manish Mahawar from Antique
Stock Broking please go ahead.
Manish Mahawar: Yes, just in terms of domestic market what is our expectation for this FY2023 growth or
market size?
Chetan Kajaria: The market size should be roughly 21000 Crores for the year ending 2022 and around
22000 Crores for year ending 2023.
Manish Mahawar: Okay we are expecting 5% growth for the domestic in dustr y for this year right and we w ill
grow around maybe we are anyways guided for 15% volume growth definitely our revenue
growth w

ill be better than the volume growth right for this year Okay and in terms of
second quarter I think couple of times you said it was really a tough quarter in terms of July
and September month but I just want to understand and we are hoping for a better second

half and recovery from November onward s because October you already highlighted I think
because of festival the re was slowdown so what was the specific reason of this slowdown or
tough quarter in July and September particularly in second quarter?
 Chetan Kajaria: As you know the entire building sector had seen a slow down , Siemen s results are with you ,
Havells results are wi th you so I do not have to explain that much it was a tough quarter ,
demand was sluggish and cost of everybody had gone up, i n cement and cost of coal and
fuel that they were using went up, in our case gas prices went up so that was the scenario .
Things are stabilizing but as far as India is concern ed and going forward everybody is
positive I think we should also look at a positive scenario.
Manish Mahawar: Okay and in terms of export I think Sir you have already h ighlighted 17000 to 18000 f or
export this y ear right so any specific reason export should pickup or any particular
geography where the market is seeing a demand ?
Chetan Kajaria: We are very competitive I can say. T he biggest exporter was China of course because of its
capacity and as we all know th ere is a lockdown because of COVID gas prices went up over
there so today India has become one of the key player s as far as the export marke t is
concern ed and first six months of this year the exports has been close to about 7500 Crores ,
next 6 months we a re looking at a scenario where it should be close to about 10500 Crores.
As a country we are very competitive and that credit goes to Morbi because they are doing
good export from there , they are literally selling to almost 92 to 95 countries across the
world.
Manish Mahawar: Okay and there will be some benefit of Europe also right Europe because higher energy cost
has some impact so that is also supporting India n export market ?
Ashok Kajaria : You have said the right word . Europe will be a big market . Europ e was looking at just to
share with everybody ; Europe was looking at putting antidumping. The initial studies they
have put antidumping of only 10% on India more or less and 48% on Turkey so that market
will open up in a big way for India in the next month or so.
Manish Mahawar: Okay understood and lastly Sir in terms of the LPG , propane or gas as you have already said
our future is in terms of a gas right so LPG and propane are more of a temporary I think in
terms of spread available so that is a temporary opportunity for industry as such right Sir ?
Ashok Kajaria : I also said that by April onwards the gas companies are looking at a scenario they are
already talking about it that by April the gas price s should come down. If they come down
then you do not require LPG you do not require propane this is all the stop gap arrangement
which you have no choice right now.
Manish Mahawar: Understood Sir thanks and all the best Sir.
 Moderator: Thank you we have the next qu estion from the line of Harsh Pathak from the B&K
Securities . Please go ahead.
Harsh Pathak: Hi good evening and thanks for the opportunity I wanted to understand with regards to
our Nepal expansion h ow well would we secure on the raw material availability and gas
supply arrangement if you can throw so me light there please ?
Chetan Kajaria: So there is already a plant running in Nepal we are not the first one to experiment. So raw
material is already there in abundance plus you will also experiment partly in abundance
partly it is being imported from Ind ia and what was the second question.
H

arsh Pathak : Gas supply availability ?
Chetan Kajaria: The fuel also will be coal what we will be using.
Harsh Pathak: Since we would be importing some materials from India so any import duty is safe on the
raw material s?
Chetan Kajaria: There is some import duty on the raw material that is why the cost is high in imports and
that will get a benefit of producing locally .
Harsh Pathak: Okay sure . I was more asking from the raw material front.
Ashok Kajaria : There will be some duty but we will talk to the government and see what benefit we can
get out of that .
Rishi Kajaria : But that duty is not very big , it is not very huge , marginal duty.
Harsh Pathak: Sure and any plans to cater to the northern or the north eastern mark et from this plant any
free trade agreement that we would enjoy some light ?
Rishi Kajaria : We will try to sell the Nepal production in Nepal itself. Kathmandu is a big market . We
will try to sell the entire production there itself.
Harsh Pathak: Okay Sir so these are my questions . Thank you very much.
Moderator: We have the next question from the line of Rahul Agarwal . Please go ahead.
Rahul Agarwal: Thanks . Sir one question on the background of the joint venture partner where in Nepal

how the group balanc e sheet strength what do they do and how comfortable are you
doing business with them ?
 Rishi Kajaria : So we have done all the background check on them it is a solid group they also own cement compan ies it is a big group and they have done all the due dilig ence and we are comfortable with the group. We have only done everything after doing the due diligence of the group.
Rahul Agarwal: Okay and secondly on the non -tile business generally bathware and plywood the EBIT there is pretty low it is almost zero any particular reason or the gro wth in sanitary ware being flat is that the only reason there ?
Rishi Kajaria : Yes because of the growth in the sanitary ware is flat that is why the EBITDA margin is very less and as the volume increases this division ha s made good numbers earlier as the volume s increase the numbers will definitely come.
Rahul Agarwal: The ad expenses were also high for that division as well is it?
Rishi Kajaria : Little bit not that high little bit high , but you need to build the brand otherwise to grow about 30% year -on-year we need to have little bit of branding so th at the people have confidence in buying Kajaria products.
Rahul Agarwal: Sure and lastly on the revenue breakdown given in the investor presentation I saw adjusted revenue added of 10 Crores for the quarter and about 17 Crores second half anything major we are doing here or it is just going to be a small number going forward ?
Ashok Kajaria : Adhesive we were doing . Now adhesive we want to go in gradually in a positive ma nner because the bigger the tiles they use adhesive instead of cement.
Rishi Kajaria : So we are looking at taking this vertical seriously and hiring senior people from the industry. This year targeting around 50 Crores of turnover in adhesive division and next year we should also grow in a similar high expansion growth in this vertical.
Rahul Agarwal: This is purely restricted to adhesive use for tiles is it or is there anything else ?
Rishi Kajaria : There are some cleaners also but it is mainly for tiles. Grou nds and ad hesive s.
Rahul Agarwal: Alright . Thank you so much . I will come back in the queue.
Moderator: Thank you . We have the next question from the line of Amit Bhinde from Morgan Stanley please go ahead.
Amit Bhinde: How much percentage of blending of LPG are you looking at for the next six months ?
 Ashok Kajaria : Right now what we are talking about wherever we can fit in LPG we will fit in LPG installation itself takes about 30 to 45 days

and whatever we are doing I think it will be more or less finished by the en d of financial year 2023 and as I kept on saying it scenario says that by April next year gas prices should come down. So it is a very small thing that we are talking about right now.
Amit Bhinde: Alright got it. Thank you.
Moderator: Thank you. We have th e next question from the line of Rajesh Ravi from HDFC Securities please go ahead.
Rajesh Ravi: Hi Sir good evening, I have few questions first on the demand front second quarter as you mentioned has been tough one , has been flattish and even October has b een a festive month and second if I look at export numbers so far the momentum is still subdue d and even what we hear is few tiles companies talking about that because of the demand slow down in US market there is demand from outsource because US is a big m arket for Indian tiles industry and even Europe where we are getting advantage on the cost front for sure but amid all this war and inflation are you seeing that exports outlook may remain subdued and that may impact the volume growth for the industry as a whole ?
Ashok Kajaria : As I said US is one market. There are 90 to 95 countries w here India is exporting number one. Number two you are as a country very , very competi tive, please make a note of that and that is why the exports will pick up and I am seeing a figure of 18000 Crores for this year next year this figure could go as high as 20 to 25000 Crores because we as a country have become very competitive.
Rajesh Ravi: Okay and domestic what triggers you looking at Sir healthy volume growth at least this financial year ?
Ashok Kajaria : Market should start looking better there is no such word as trigger.
Rajesh Ravi: Okay and second on the Nepal expansion you have earlier mention ed this market size is 25 million square meter ?
Chetan Kajaria: Market is about 2 5 million square meters .
Rajesh Ravi: Like would we be capturing a sizeable market there you would be targeting everything into Nepal and by what timeframe do you look at full 8 billion in the sense of sales in

Nepal ?

 Rishi Kajaria: The market was about 25 million which is growing and we are putting 8 million square meter plant . We do plan to capture large share of the market and right now the plan is to sell locally in Kathmandu only , Nepal only . There is lot of issue in import and the Morbi material is already going there . With our production there and without any duty impact I think we wil l be able to capture large size of the market.
Rajesh Ravi: 8 ms production can be achieved over FY2025 -FY2026 ?
Rishi Kajaria: First year it may be little less; by secon d year we should do definitely do the full production.
Rajesh Ravi: Last question this LPG propane what percentage of total fuel m ix, power mix would be coming through this propane in Q3 approximately .
Ashok Kajaria : I think I have already answered that . The cumulative combination should be around 55 rupees.
Rajesh Ravi: 55 rupees we mentioned which is great 10% fall I am saying percentage of the total…
Ashok Kajaria: It is very hard to say at this moment. It will be close to about 15 to 18% only.
Rajesh Ra vi: Okay great Sir . All the best thank you.
Moderator: Thank you that was the last question. I would like to hand it over to the management for closing comments.
Ashok Kajaria Thank you Rahul . I think it was a good interaction. Wonderful questions asked from the people . Thank you very much for them for participating in this and on behalf of my sons and my entire team I thank you every body in the organiz ation . Thanks a lot.
Moderator: Thank you. O n behalf of InCred Equities that concludes this conference . Thank you for joining us. Y ou may now disconnect your lines.

Call: Feb 2023

February 1, 2023

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India L imited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated January 28, 2023 , informing about the uploading of the audio recording of the Conference Call held on January 28, 2023 , we enclose herewith transcript of the said Conferen ce Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your record s.

Thanking you,

For K ajaria Ceramics Limited

R.C. Rawat
COO (A&T) & Company Secretary

Encl.: As above

"Kajaria Ceramics Limited Q 3 FY23 Earnings
Conference Call"

January 28, 202 3

MANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN & MD
MR. CHETAN KAJARIA – JOINT MANAGING DIRECTOR
MR. RISHI KAJARIA – JOINT MANAGING DIRECTOR
MR. SANJEEV AGARWAL – CHIEF FINANCIAL OFFICER

MRS. PALLAVI BHALLA – GM, INVESTOR RELATIONS

MODERATOR : MR. ARUN BAID – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to K ajaria Ceramics Limited Q3 FY23 Earnings Conference Call hosted by ICICI Securities.
As a reminder, all participants' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Arun Baid. Thank you and over to you, sir .
Arun Baid: Good afternoon ladies and gentlemen. On behalf of ICICI Securities, I welcome you all to the Q3 FY23 post results con -call of Kajaria Ceramics. From the management side, we have Mr. Ashok Kajaria – CMD, Mr. Chetan Kajaria – JMD, Mr. Rishi Kajaria – JMD, and Mr. Sanjeev Agarwal – CFO.
Now, I hand over the call to Mr. Ashok Kajaria for his opening remarks post which the floor will open for question & answers. Over to you, sir.
Ashok Kajaria: Good evening everyone. It gives me a great pleasure to welcome you to the Quarter 3 FY23 and 9 months FY23 Earnings Conference Call of Kajaria Ceramics Limited. Joining me on this conference call are my sons , Chetan and Rishi , our CFO Sanjeev , and Pallavi Bhalla from Investor Relations.
The 3rd quarter of the year presented a unique scenario, as all the major festivals such as Diwali, Durga Puja, and Chatth Puja, all fell in October 2022. The extended holidays during this month had a significant impact on our sales. However, we observe the resurgence in dem and during November and December 2022. Recent dealer expansions in untapped markets such as semi - urban areas should also result in better growth in the future. Our margin recovery has been slow. We expect further improvements from quarter 4 onwards. We hav e started using alternate fuel from December 2022 onwards, which will reach to its maximum capacity by mid -February 2023. This will take total consumption of alternate fuel up to 35%, resulting in good saving in power and fuel cost. We are also doing moder nization of our Gailpur plant by replacing two old kilns which were put up 25 years back in 1988 to the new model kilns. This will not only enable to produce bigger sized ceramics tiles, but also result in saving in fuel consumption as the new kilns are mo re energy efficient.
Overall, the company grew by 12% in volume terms and at 22% in revenue terms during the first 9 months of the year ending December 2022. We are dedicated to our growth strategy which includes expanding market share and increasing in th e number of dealers across India, particularly in unrepresented territories. We are confident that our strong foundation and commitment to excellence will continue to drive its success in the upcoming quarters, both in terms of sales and profitability.

Export momentum has improved in Morbi after being impacted for a few months, and we anticipate that export will touch Rs. 15,000 crores to Rs. 16,000 crores in this financial year 2022 -23 against last year of Rs. 12,700 crores.
Now, for this quarter's perform ance of Kajaria; in quarter 3 FY23, consolidated revenue from operations increased by 2% year -to-year to Rs. 1,091 crores from Rs. 1,068 crores in quarter 3 FY22. The dismal increase in revenue is mainly because of discounts offered in response to subdued demand scenario. Revenue from the bath ware segment declined by 3% in quarter 3 FY23 to Rs. 79 crores from Rs. 82 crores in quarter 3 FY22. Revenue from the plywood segment declined in quarter 3 of FY23 to Rs. 19 crores from Rs. 25 crores in quarter 3 FY22 . EBITDA margin for this quarter stood at 12.20% as compared to 17.21% in the corresponding quarter of the previous year. Sharp decline in margin was ma

inly because of disruptions in natural gas supply followed by unprecedented increase in cost of gas. Con solidated PAT in quarter 3 is Rs. 74.32 crores. As on December 31st 2022, our working capital days have also increased by four days to 66 days as compared to 62 days as on 30th of September 2022, mainly because of increase in inventory levels.
With this, I take this opportunity of thanking you for joining us today. Over to you for Q&A, please.
Moderator: We will now begin with the question & answer session. Ladies and gentlemen, we will wait for

a moment while the question queue assembles. We'll take the first question from the line of Mr. Rahul Agarwal from InCred Capital. Please go ahead, sir.

Rahul Agarwal: Sir, three questions. Firstly , on demand. Sir, I need some help to understand this. Obviously, it looks like a tough environment outside. But how is January? What do you expect in the fourth quarter and next year in terms of volume growth? How would you look at the lay of the land right now? That's the first question. Second was on the gas price, if you could help us with the average gas price for thi rd quarter and fourth quarter expectations. Because my sense was it was supposed to be down 10% Q -o-Q in the 3Q to Rs. 56 SCM from Rs. 62. I don't think that happened. If you could just explain to us what is the direction like? And third one, if any update could be provided on the Nepal thing. Because we are expecting that's a largely coal setup and margins would be upwards of 20% at EBITDA level, and that will start somewhere for fiscal 2024 -25. These were the three questions, sir.

Ashok Kajaria: As far as the volumes are concerned, July, August, September, October were very, very tough. November, December things picked up. January has been, again, very tough, but I hope that February onwards things should be better. And in future, we are looking at about 1 3% to 15% volume growth for the year 2023 -24.

As far as the fuel cost are concerned, quarter 2 of FY23 was Rs. 56 average. Quarter 3 was about Rs. 53. a nd going forward, quarter 4 should be in the range Rs.47 to Rs. 48. We are using biogas as a fuel. In ti le plant, we have two things. One is kiln and one is a spray dryer. Kiln is fired by gas or LPG or propane; spray dryer can be fired either by coal / Bio Gas or any other gas . In

NCR, we cannot use coal. But now the permission has been given to use biofuel . So, we are using biofuel / LPG from the month of December 2022 . You will be happy to know when we started in December, it was about 11% to 12%. In January, it went up to about 24%. In February, it should be close to about 30 -34%.

As far a s the Nepal is c oncerned, I was there this week on Monday. Nepal, we have yet to kick start the project. As you might be aware, elections were held recently. We are waiting for a final outcome of how the government will function and then we will start everything by someti me around 15th of March.

Rahul Agarwal: Nepal plant starts at what time, sir?

Ashok Kajaria: Nepal plant, if we start by 15th of March, Nepal plant should be commissioned by March 24th. In all fairness, it should be ready by March 24th.

Rahul Agarwal: And the expectation is right that it is coal -fired and EBITDA margin should be upwards of 20% there?

Ashok Kajaria: EBITDA margin, I can't say right now, but definitely it will be very positive, and the plant will be coal fired and also we will use biofuel for spray dryer.

Rahul Agarwal: And one last clarification. You said 3rd quarter gas price was Rs. 53 or Rs. 56.

Ashok Kajaria: In the 3rd quarter, the fuel prices was Rs. 53. For 2nd quarter, it was Rs. 56. And in the 4th quarter, it should be around Rs. 47 to Rs. 48. I am not talking about gas price. I am talking about the fuel price. Now, we talk about the fuel price.

Moderator: We'll take the n

ext question from the line of Mr. Achal from JM Financial. Please go ahead, sir.

Achal Lohade: Sir, my first quest ion was with respect to the discount. You made a comment that there is increased discount. Would you be able to quantify that? And how do you see the situation now given the fuel cost seeing a decline even for the others, especially Morbi players. So, how do you see the price evolution actually in the coming quarters? Do you see the discounts or price reductions or you think the benefit of the fuel cost can be retained by us?

Ashok Kajaria: Normally what happens when the prices of fuel come down or costs come down is you don't reduce the prices. What you do is you basically pass on some discount to the dealers to sell more. And that is what we did in quarter 3, and that is what we, again, will do in quarter 4. Because, with the gas price coming in, two thi ngs will happen. We don't talk about raising any prices as you people keep on asking us. The price increase is off limits. And to sell more, because ultimately we have to sell bigger volumes, we offer some discount to the dealers so that they can sell more .

Achal Lohade: Would you be able to quantify, sir, what was the extent of discount at an aggregate company level?

Ashok Kajaria: Quantifying is very difficult because it depends on product to product depending on what you want to push. Whether ceramic req uires a different discounting or pricing, polished vitrified is another, glaze vitrified another. So, quantifying will not be possible. But definitely, as the need

be, we will take care of it.
Achal Lohade: But is it fair to say that it was evident in the case of GVT or you think it was more of PVT and ceramics?
Ashok Kajaria: All the three products. Bec ause ultimately, everything we have to sell. So, everything has to be pushed. Some pricing adjustment has to be there because Morbi prices of gas have also come down, as you are aware. You have to find the right solution to make sure that your volumes come. You have to make sure that you do the right thing so that you can sell more volume. Ultimately, at the end of the day, volumes are important.
Achal Lohade : Given the fuel mix what you are saying, what is the cost difference between earlier gas and now what we are looking at in terms of the alternate fuel? You've said a blended price, I know, but just if we were to understand the price difference between the alternate fuel and gas price, how would that be as of now?
Ashok Kajaria: Alter nate fuel should be priced at Rs.30/SCM and the co st impact should be around Rs. 27 per SCM and gas prices currently are about Rs. 57 to Rs. 58 per SCM.
Achal Lohade: Any indic ation with respect to margins? You have said the fuel cost will have some benefit, but any color in terms of these margins? Would we go back to 15% to 16% or you think it is sometime away?
Ashok Kajaria: Fourth quarter, we are looking at a positive margin of 14% plus.
Achal Lohade: And how about FY24 , 13% to 15% volume growth?
Ashok Kajaria: Yes, that's what we are talking about volume growth. Let the margin scenario come after the 4th quarter. Let us first perform in the 4th quarter, then we will talk abou t the margins for the year ahead.
Achal Lohade: Just one more question, sir. If we were to look at 13% to 15% growth on a going -forward basis, the capacity additions will also play out in the same fashion. In that case, what is the CAPEX number one can wor k with on an annual basis for next 2 -3 years?
Ashok Kajaria: Next year, I can talk about it. This financial year, the CAPEX should be roughly Rs. 90 crores. It has been less of a CAPEX . Next year, as we are doing many things, the CAPEX should be close to about Rs. 300 crores plus.

Moderator: We'll take our next question from the lin

e of Mahek Talati from YellowJersey Investment Advisors. Please go ahead.
Mahek Talati: Sir, my question was regarding the demand scenario. You said that the demand was tough in January. From which segments are we expecting good demand in markets of North, South, East, or West from February onwards?
Rishi Kajaria: Demand overall is tough. The ground reality is still very tough. But because we got some respite in our costs, we will try to get some more extra market share and we'll try to sell more. But overall, the entire India, the de mand situation has not improved a lot. And that is what you will see in all the building material industry overall.
Mahek Talati: What is your current capacity utilization?
Rishi Kajaria: We're almost at about 90% to 93%.
Mahek Talati: Any expected CAPEX for increasing capacity? Because, I see in expansions, we don't have much capacity with regard to the tile. So, any expected capac ity expansion in that segment going forward?
Rishi Kajaria: Not really. We already have a lot of capacity in hand. I think with this and a little bit of outsourcing, we should be able to meet next year.
Mahek Talati: And from FY25 onwards?
Rishi Kajaria: Then we'll plan separately. Right now, we're talking till FY24, which we've already planned a CAPEX of about roughly Rs. 300 crores to Rs. 400 crores, which includes your bath ware , Nepal, maintenance, our Sikandrabad modernization, and our Gailpur moderniz ation. That should take care of FY24. And beyond that, we still haven't planned. That we'll plan in the next 3 -4 months.
Mahek Talati: How is the bath ware segment picking up in terms of demand? Is it the same like tiles or there we are seeing some pickup?
Rishi Kajaria: Tiles we are very very strong. We are the #1 brand. Bath ware we are still not there completely. And if the market is tough, the growth is difficult. But we're putting all our best efforts and hopefully, things should get better. Overall i n 9 months, we still have grown. This quarter was a little tough.
Moderator: We'll take the next question from the line of Mr. Girish Choudhary from Avendus Spark. Please go ahead.
Girish Choudhary: Firstly, just a bit more on the alternate fuels. You said that the usage has increased. I just wanted to understand the sustainability of the supplies of the same? And also, is it getting used across all your plants or specific to a few regions?

Ashok Kajaria: Alternate fuel came in the picture because in NCR, y ou cannot use coal, right? In Morbi, they are using partly coal in the spray dryer. The alternate fuel is biomass which has been allowed and being used in NCR plants for spray dryer. Sustainability is not an issue. It is basically mustard husk which is bei ng used, so sustainability is not a problem. And Rajasthan, as you all know, is a big producer of mustard. So, sustainability is not an issue. And the cost has come down and will further come down as we go along.
Girish Choudhary: You are using this primar ily in your Rajasthan plant. Not yet in….?
Ashok Kajaria: In Rajasthan plant, in UP plant also – Sikandrabad and Gailpur.
Girish Choudhary: Is there a scope to use the same in your South plants and also maybe the Morbi plant?
Ashok Kajaria: South plant is also using a biofuel but a different biofuel. A combination of biofuel, LPG, and combination of coal; it is allowed there.
Girish Choudhary: Secondly, on the working capital. We are seeing consistent increase in working capital for the last 2 to 3 quarters. Any reasons? And do you see to reverse again and then go back to the normalized levels of 50 -odd days?
Ashok Kajaria: It's been tough. First 3 months have been good. Last 6 months have been very tough. But definitely, it will come down by March. That much I can assure you.
Girish Choudhary: But what is driving this increase?
Ashok Kajaria

: Excess stocks. That which you are planning, that is not getting sold because of the market condition. As simple as that, but definitely, by the things l ooking up, I think by March, it should come down.
Girish Choudhary: Lastly, I also see that you have decided to divest the Vennar Ceramic plant. Any reasons for the same? Also, any plans to replace this capacity by adding another greenfield?
Chetan Kajaria : We are divesting our stake in Vennar to the existing promoters mainly because of two reasons. First, due to the National Green Tribunal hearing. Vennar comes near the lake Kolleru which is within a 10 -kilometer radius, and we cannot do any further expans ions in Vennar, which reduces its profitability and the overall costing. Secondly, the price of gas in Morbi has come down substantially. So, it has become cheaper to outsource from Morbi landed versus Vennar. That's why we are divesting our stake in Venna r to our existing promoters who hold 49% stake. Secondly, the gap which we will get by giving Vennar back to the promoters, we will make up by outsourcing from Morbi.
Moderator: We'll take the next question from the line of Mr. Praveen Sahay from Prabhudas Lilladher. Please go ahead, sir.

Praveen Sahay: The first question is related to volume growth in the subsidiary, which is pretty well as compared to the own manufacturing. So, is it fair to understand that the premium tiles' volume demand was softer comp ared to economy or ceramic?
Rishi Kajaria: You're talking about South Asian Ceramics or tiles on a general level?
Praveen Sahay: Overall, in a quarter, subsidiary volumes were pretty well as compared of your own manufacturing volume. So, just trying to und erstand is it because the own manufacturing largely is PVT and GVT? Is that the softer demand in the premium tiles versus the ceramics….?
Rishi Kajaria: All the categories of tiles are growing simultaneously. And the South growth has come because of acquis ition of South Asian Ceramics, which we did 2 months ago. That also helped us penetrate deep er in the southern markets.
Praveen Sahay: And the second question is related to subsidiaries only that in the last 7 quarters if I look at, the realizations were q uite volatile. What is the reason for that?
Rishi Kajaria: The subsidiaries' realization, where do you see the volatility?
Praveen Sahay: I had calculated on the basis of revenue versus your volume.
Rishi Kajaria: Not really. It is all related to demand. T here's no….
Praveen Sahay: No, not demand. I am saying it's quite volatile. In the last 7 quarters if I look at, the realizations were quite volatile from Rs. 319 in the first quarter of '22 and it went up to Rs. 385 and now coming back to Rs. 316. So, eve ry quarter, it's quite volatile, not consistent, I can say. Is there any particular reason for that?
Pallavi Bhalla: No, it's basically a change in the mix between subsidiaries and outsourcing. what's happening is one of the Cosa units we are converting into GVT which we have converted now. So, now under subsidiary portion, we also selling GVT which falls under premium product category. Because of that your realization has move d up in subsidiary category . And as and when the sales from Cosa units will increase, the realization will move up. The volatility in realization of subsidiary was mainly because we changed of shift of South Asian Ceramics, which we acquired two months ago, from outsourcing portion to subsidiary portion . That's why some volatility was there

but now it is going to remain sustainable and it will increase gradually as the GVT production will increase in Cosa.
Praveen Sahay: Second question is related to Vennar. The total conside ration of Rs. 18.25 crores, have you recognized anything?
Rishi Kajaria: We invested that money 10 years ago when we bought the 51% stake in Vennar. And we have

an agreement with the promoters that we will get the same money back when we divest the stake in the next 1 year back to the promoters.

Praveen Sahay: So, it's not yet started divestment or….?
Rishi Kajaria: It'll be starting from 1st April 2023 and finished by 31st March 2024.
Moderator: We'll take the next question from the line of Mr. Ritesh Shah from Investec. Please go ahead, sir, with your question.
Ritesh Shah: Sir, my first question is what will be the optimal mix on fuel? You indicated that we have inched up biofuel to nearly 30% of the overall mix. I just wanted to get a sense if the curren t pricing remains, what is the threshold which is possible practically on biofuel, LPG, and the other long - term and mid -term contracts that we usually have?
Ashok Kajaria: The biofuel and LPG proportion (gas which was 100% at one time – 4-5 months back) will be 35% by end of February.
Ritesh Shah: Sir, how much would be LPG? 35% is biofuel. LPG would be how much?
Ashok Kajaria: If I take you 4 -5 months back, it was 100% gas. We are now comparing gas versus LPG & biofuel. Four months back, it was 100% gas. End of February, it will be 65% gas and 35% will be the combination of LPG & biofuel, out of which, LPG will be 5% and biofuel will be 30%.
Ritesh Shah: Sir, how much will be the prevailing LPG prices or biofuel? You indicated, I think, Rs. 30 per SCM. I would presume that is on landed basis. How much would that be?
Ashok Kajaria: LPG prices are about Rs. 58, gas prices are also at about Rs. 58 o r Rs. 57.5, and biofuel will be Rs. 30.
Ritesh Shah: Sir, would it be possible for you to quantify the regional price trends we usually give on gas for North, West, and South for this quarter and the prior quarter, please?
Ashok Kajaria: The quarter which just ended, the North prices were Rs. 57, South was Rs. 44, West was Rs. 48, and average was Rs. 53.
Ritesh Shah: And sir, for the prior quarter, if it's possible?
Ashok Kajaria: Quarter 2, North was Rs. 59, South was Rs. 48, West was Rs. 53. Average was R s. 56.
Ritesh Shah: Sir, last question on Morbi. Can you give a top -down view basically on the number of units which are there right now? What percentage of units are currently operational? And then, say, around a year back, we were hearing a lot of news a round several new units which were expected to come in. Has that already come in or it's more of a story, it hasn't actually materialized? That would be very useful.
Ashok Kajaria: 1) That, you have to find out. 2) I can tell you what the size of the indus try is right now. The size of the industry currently is approx. Rs. 57 ,000 crores. As per the latest data published by Ceramic

World Review. I'm sorry, Rs. 52,000 crores, ending March 2022, out of which Rs. 39,3 00 crores is domestic and Rs. 12,700 crores i s export. Roughly, as per their information, there are about 600 units which are there in Morbi – tiles units. Because, when the units closed for 1 month, that's when the data they had published and that information came out that it was roughly about 600 u nits.
Ritesh Shah: Just a last follow -up. Sir, a couple of months back, Morbi had taken a shutdown for a month. I think it was from 1st of August to I think 1st of September, something around that.
Ashok Kajaria: Absolutely correct.
Ritesh Shah: Sir, what we hear something similar is actually possible because the demand conditions are not that great. Is there some merit to it or how one should understand this particular variable?
Ashok Kajaria: This is news to us right now. As of now, this is news to us. De mand is tough, as already said by Chetan and Rishi and myself. But this news of Morbi shutting down for 1 month is news to us.
GSPC has reduced the gas prices twice. So, the gas prices there are al

so around Rs. 48 to Rs. 50 depending on whether it's a 1 -month contract or 3 -month contract, which at one time was close to about Rs. 62. So, they have also reduced the gas prices.
Ritesh Shah: Sir, last question, if just squeeze it in. Any expectation or hopes from the budget – GST cuts or gas tax rates?

Ashok Kajaria: Budget cannot touch GST, as you are aware. Budget can only give more money in the pockets of the middle class of India, which I think they will, but budget cannot touch GST.
Moderator: The next question is from the line of Udit Gajiwala from Yes S ecurities. Please go ahead, sir.
Udit Gajiwala: Sir, just one question on the demand front. Like you said that demand is sluggish, could you highlight is it from the metros or more to do with the tier -2 and tier -3 cities? And where is the respite from Feb that you are expecting from should come?
Rishi Kajaria: The demand is overall slow all over India, whether it is tier -1, tier -2, or tier -3 cities. And things going forward, let's see, hopefully, I think the demand and market should improve everywhere. We c annot single out any place that we are looking at better demand. But because of our penetration and because of our South plant, we'll get a little better market share in the South market with our Tirupati and our South Asian plant. Otherwise, the demand sc enario is tough all over India.
Moderator: We'll take the next question from the line of Mr. Nikhil Agrawal from VT Capital. Please go ahead, sir.
Nikhil Agrawal: Sir, I just wanted to understand more about the biofuel that you mentioned. Rs. 53 was the average that you said for Q3, which is a blended average of biofuel and natural gas?

Ashok Kajaria: No, Q3, we had no biofuel. Biofuel only started in the month of December. And by the end of February, it will be complete. Whatever we can, we will be in a pl ace to put that by the end of Feb.
Nikhil Agrawal: So, the average that you said, Rs. 53 for Q3 and Rs. 56 for Q2 was only the gas cost?
Ashok Kajaria: Only gas, yes. For North, it was gas; for South, it was a combination of various things, fuel; and West also, it was a combination of fuel and this thing. But for North, it was only gas.
Nikhil Agrawal: As far as I remember, for Q2, the average gas cost previously you had mentioned was Rs. 61 in the previous call.
Ashok Kajaria: Yes, but at that time what we mentioned was correct. What you're saying is right. We mentioned Rs. 62 at that time. We did not take the other fuel into account because we were only talking about gas. With biofuel coming in, now we talk about fuel, we don't talk only about gas.
Nikhil Agrawal: And sir, why all of a sudden have you started using biofuel? Was there some approval from the government or….?
Ashok Kajaria: 1) No, it's approved thing by NGT. Earlier, before March, they had only approved for boilers, and then after that, they a pproved for all industries because once "A" industry is approved, they have also approved all the industries they can use biofuel. 2) As you are all aware, gas costs went up haywire in July, August, September, October onwards, because of war between Ukrain e and Russia. And the gas price which I'm talking about, Rs. 62, Rs. 63, the spot gas at that time had gone up to Rs. 120. And supply was a constraint because still there is a cut by GAIL on the gas, just for your information. Russia is giving you a lot of oil, but when it comes to gas, they still have a problem – GAIL has a problem.
Nikhil Agrawal: So, basically, there was no approval from the government. I mean, you could have started using biofuel before as well?
Ashok Kajaria: No, the government gave an approval after March 2022. It was there for boilers much much before that.
Nikhil Agrawal: Did you incur any major CAPEX to switch to using biofuel or there was nothing major as such?
Ashok Kajar

ia: Yes, it's a small CAPEX to biofuel. I think the total CAPEX for using biofuel for both Sikandrabad and Gailpur should be in the region of about Rs. 7 crores to Rs. 7.5 crores.
Nikhil Agrawal: We won't be converting to biofuel in all the other plants because it's a cheap alternative?
Ashok Kajaria: No, other plants do not require it. In NCR, in spray dryer, you cannot use coal and that's where biofuel comes in. In Morbi, we are using coal in spray dryer, a combination of coal and some other materials. In South also, we are using a combination of coa l and some other material, some

biofuel. And in NCR, you can only use biofuel. You cannot use coal. Sikandrabad and Gailpur are all part of NCR.
Moderator: We'll take the next question from the line of Mr. Harsh Pathak from B&K Securities. Please go ahead, sir.
Harsh Pathak: I think there has been a slight downward trend in the expectations for the exports, i.e., Rs. 3,000 to Rs. 6,000 crores. So, now are we expecting any supply side pressures in the domestic market due to any potential diversion from Morbi ? Are we expecting anything on that front?
Ashok Kajaria: We already have said earlier, markets are under a lot of pressure. It's not a question of only downward pressure because of the export market. The demand scenario has been sluggish.

Things should gr adually improve, because ultimately…. One of the factors for sluggishness, as we all know in the entire building industry, is the increase in interest rates by 2%. Repo rate has increased by 2%. That's one of the reasons why the real estate market is facin g this problem. Once things settle down, things will correct.

Harsh Pathak: So, there are no supply side pressures that we envisage at this point in time?

Ashok Kajaria: You forgot ! Just now, one of your colleagues asked me a question which I didn't have the answer to. Is Morbi going in for another 1 -month shutdown? I didn't have the answer. So I said, “Look, I'm not aware.” But that scenario, as it is, is tough. Getting in the domestic market and getting out, do you think it is that easy?

Harsh Pathak: Just one last question. There is this news that the government is contemplating anti -dumping duty on vinyl tiles from China and Taiwan. Is there a very substantial market for this? And any potential benefits to the ceramic industry as such?

Ashok Kajaria: No, I also read this article. They have already taken a decision, the Finance Ministry has to clear it, because probably imports must be coming in the vinyl industry, but it has nothing to do with the ceramics. Ceramics will not get any benefit out of it.

Moderator: The next question is from the line of Jignesh Kamani from GMO. Please go ahead.

Jignesh Kamani: You mentioned that October month’s demand was weak because of the monsoon and multiple festivals. How was the growth in the November and December month s combined?

Ashok Kajaria: I already said, not because of the monsoon but because of the entire festive season right from Durga Puja to Diwali to Chatth Puja, October was literally a washout. And in November and December, things have been much better.

Jignesh Kamani: In November and December, volume growth was in double digits?

Ashok Kajaria: It was 10% plus.

Jignesh Kamani: And that November -December run rate is continuing right now also, right?

Ashok Kajaria: I can only tell you right now, we hope it shou ld continue.

Moderator: We'll take the next question from the line of Lavanya from UBS. Please go ahead.

Lavanya Tottala: Most of my questions are answered. Just one question. For this biofuel, do we have any long -term acumens, or how are we planning to so urce this new fuel which we are planning?

Ashok Kajaria: Ma'am, supply is not an issue. We, as an industry, started using it only about 2 m

onths back from December. But the boiler industry like textiles, they have boilers, they have been using it for the last 6 -7 years. Our friends are also using it. Supply is not an issue at all. And especially in Rajasthan, it's not an issue. We have plenty of mustard husk available.

Lavanya Tottala: So, it will be largely spot that you will be taking as per the requireme nt?

Ashok Kajaria: Yes.

Lavanya Tottala: And one more question. Did you see any pricing reduction by Morbi players during this demand sluggish environment, like they have increased the prices when they had fuel price increases? Now, their fuel costs are reducing and demand is tough. So, any price cuts from their side?

Ashok Kajaria: There are two kinds of working. One is the Morbi working. One is the organized way of working. Morbi, per se, will take some price cut, because the fuel prices have come down. In the organized sector, what people do like Kajaria, Somany, an d Johnson; what we do normally. We give more discount to the dealer – we don't anyway have distributors – to sell more, which takes care of that. That's how it works.

Moderator: We’ll take the next question from the line of Jenish Karia from Antique Stock Broking Limited. Please go ahead with your question.

Jenish Karia: Sir, what would be the current debt levels and any specific reason for rise in interest costs during the quarter?

Rishi Ka jaria: We have negative debt to Rs. 188 crores as of 31st of December.

Jenish Karia: Any specific reason for interest costs going up from a run rate of around Rs. 3 crores to Rs. 8 crores?

Pallavi Bhalla: We'll check and come back to you .

Moderator: We'll take the next question is from the line of Mr. Saurabh Jain from HSBC. Please go ahead, sir.

Saurabh Jain: Given that mustard is more a seasonal crop, first thing, is the supply of biofuel assured or consistent throughout the year? And secondly, what is th e kind of pricing volatility that could be there in the biofuel element? Is it more stable than the gas cost? Or is it also has quite much of volatility? This is one. And secondly….

Ashok Kajaria: Let me answer this first, if you don't mind. First is, supp ly is assured throughout the year. Right now, what we are paying is the highest because the mustard crop comes only in the month of early March. So, prices will further come down when the crop comes, which is there for almost 4 months, and then they store it and supply you for the rest of the 8 months. So, what we are paying right now is the highest. And supply is not an issue at all for the whole year.

Saurabh Jain: So, consistent supplies would be there and pricing would actually be going down from what i t is currently?

Ashok Kajaria: In March, April, May, and June, the prices will come down.

Saurabh Jain: And then may again go up in the coming winter before the crop hits the market?

Ashok Kajaria: Then, it will go up at the level which we are paying now.

Saurabh Jain: Secondly, your Sikandrabad GVT expansion, has there been a moderation in terms of the CAPEX that we plan to do? I think we were earlier adding 3 MSM. Now, it seems we are adding only 1.8 MSM. Is that correct?

Rishi Kajaria: Basically, we are looking for more value -added and bigger tiles. It was actually never 3 million, it was actually about 2 million only. And because of the larger tiles, we have made it 1.8. We plan to make much bigger tiles there, so the square meters will come down. But th e value realization will be much better. The margin on these products will be much much better than the regular tiles.

Saurabh Jain: I thought the previous quarter, we were targeting 11.4 MSM and now we are targeting about, I think, 10.2.

Rishi Kajaria: Correct. Now, we are increasing it by 1.8 million square meters. But as I said, because we are making much bigger tiles, we are talking about a

bigger size than even 1,200 x 2,400 which is 1,200 x 2,800 where the realizations are even better. We are going for more value -added and better realization tiles. That's why we reduced the capacity.

Saurabh Jain: But it won't impact your assumption of the revenues and actually be more margin accretive?

Rishi Kajaria: It will be better.

Saurabh Jain: And thirdly, can you talk a little about your Dubai plants? What exactly are you planning from a strategic point of view over the next few years? That will be helpful for us.

Rishi Kajaria: We made this joint venture with a local marble partner there, who are big in marbl e there. And the idea is for the Dubai venture because Dubai is a hub for the entire Gulf and Africa, we are getting a lot of inquiries. A lot of people are coming from everywhere, to see the showroom, to see the tiles. And the idea is to penetrate the exp ort market. Our export is very very less right now. It will always be very less as compared to our domestic, but still if we can increase some numbers, we will do that. And the retail margins in Dubai are very very good. The retail sales of the showroom wi ll take care of the costs. That's the idea. The idea is to increase our exports penetration. And unless we show the tiles there in a proper way, you could not get that thing in the market.

Saurabh Jain: You will be having also your sales force employed in the export markets or how is the arrangement going to be?

Rishi Kajaria: No, we don't have any sales force employed in export markets. Our only sales force is now just starting in the Dubai market.

Saurabh Jain: You're going to ramp up on that front and pr obably incur some sort of expenses. Can we see an elevated level of expenses?

Rishi Kajaria: No, nothing. It's a joint venture. Kajaria RMF is a joint venture which will have its people who will also take care of the retail sales. So, we are not looking at any major expenses in those.

Saurabh Jain: Any targets you have in mind from this JV in terms of revenues or volumes?

Rishi Kajaria: We do have targets. We are working on it. But yes, definitely from where we used to be nothing in the Gulf market, I am su re there will be a substantial increase after this showroom.

Saurabh Jain: But at the company level, your overall export percentage will not change very much. Is that a fair assumption?

Rishi Kajaria: Not very much because our domestic is huge. Our exports is anyways very very less.

Moderator: We'll take the next question from the line of Mr. Pranav from Equirus Securities. Please go ahead, sir.

Pranav Mehta: Sir, I wanted to understand whether the Indian market itself is seeing a very good acceptance of the large -slab tiles and that is the reason why you and your peers are going for a lot of capacity addition in this category of tiles?

Chetan Kajaria: Definitely, it's a growing market. That's why we're going ahead for this production of large tile slabs.

Rishi Kajaria: And the realizations are much better there.

Pranav Mehta: But sir, I think even before the pandemic, this market was not growing that strongly, but have you seen a shift occurring in consumer acceptance of large -slab tiles and is there a possibility that after GVT, this segment is going to see very strong growth coming in over the next 5 to 7 years?
Rishi Kajaria: No. Firstly, it is part of GVT. Secondly, it will always be a small percentage of the overall sale. But yes, as a market leader , we have to be there in the market, as a very innovative player. These tiles will definitely give us good margins. The volumes will not be that much, but definitely, the margins will be there. And as we are making more and more showrooms and displaying it , we'll definitely get that impact. People are moving towards big tiles also. The

demand is there, but obviously, the overall demand is much less as compared to normal tiles. As a percentage, it will be small, but it will always give you a little better re alizations and more margins.
Pranav Mehta: Sir, my next question was on the plywood business. You have now moved into plywood and laminates. What is the strategy in this segment? And how do we want to grow, let's say, over the next 3 to 4 years?
Chetan Kaj aria: In 9 months, we did a 20% growth because the base is small. And we are looking at scaling it up substantially in the next 3 to 4 years and increase the turnover and go ahead from there.
Pranav Mehta: So, as of now, we are not looking for adding any o ther product segments?
Chetan Kajaria: We already have plywood and laminates that we are outsourcing from various places in the market and just evolve the strategy as we go along and see how do we want to strategize that.
Moderator: We'll take the next que stion from the line of Aasim Bharde from DAM Capital Advisors. Please go ahead, sir.
Aasim Bharde: Just one question on fuel. Can you talk about what are the constraints for your using propane or more LPG in your plants versus natural gas? Is it because al l of them have reached pricing parity, so it doesn't make much sense to use it? I understand the biofuel part, but I guess that is more for a North -based issue and is more for spray dryers. Otherwise, as a substitute for natural gas, is propane and LPG not being looked at as an option?
Ashok Kajaria: Propane, LPG, and natural gas, they are the 3 products which can be used, right . But natural gas comes from a pipeline; propane and LPG come from bullets. You cannot use propane and LPG beyond a certain quantit y. That's number one. And if you recall, the Gailpur plant started in 1998. Until 2010, twelve years, we have worked with propane and the propane prices were almost 30% to 35% more higher than gas because we didn't have a gas pipeline. So, propane and LPG do not replace gas unless the price difference is very high. And in bigger plants, you can't use.
Aasim Bharde: Sir, is the pricing difference that would mean that natural gas will always be preferred and the infrastructure part that you just mentioned?

Ashok Kajaria: Natural gas is the right fuel for using. Only when the price becomes too much, in smaller plants, you can think of putting up an LPG bullet or propane bullet, which itself takes 6 months to put. It's not that it's just you put it tomorrow.
Aasim Bharde: But in the future, theoretically, say for example, if gas prices or maybe even propane and LPG shoot up again, would biofuel be a much more higher proportion that you can use across your plants which is 30 -odd percent?
Ashok Kajaria: I've alread y explained. Biofuel can only be used in spray dryer. Kiln has to be run by gas. Gas means natural gas, propane, and LPG. In our case, we are using natural gas.
Moderator: The next question is from the line of Mr. Achal from JM Financial. Please go ahead, sir.
Achal Lohade: Sorry, if I'm harping on the same thing. Sir, prior to this, we were under the long -term contracts for the North plants. Is there any take - or pay -related penalties as we move more mix towards biofuel? And this 35% is only for the North, or at the company level, you are talking about 35% will be biofuel?
Ashok Kajaria: 1) First thing, the contract still is there. There is no take or pay. They themselves have cut gas. It's not that I have asked for lesser requirement, they have cut gas. 2) Since they cut gas sometime in September, we started exploring and then this biofuel thing came in. Otherwise, we had a lot of problem in September and October. When the gas supplies were cut, the spot prices had gone up to Rs. 120. So, please understand that we have passed through very tough times. And biofuel came in later when we got permis

sion to use biofuel because it was not allowed to be used in anything other than the boiler industry or certain specific industries. As far as we are concerned, the c ombination of all these factors will come in. And when you say about percentage, the total percentage of fuel when we are talking about is for all the plants.
Achal Lohade: So, that 30% is for at the company level?

Ashok Kajaria: At a company level by end of Feb.
Achal Lohade: That means for the North plant, it would be obviously higher.
Ashok Kajaria: It will be slightly higher.
Achal Lohade: And with respect to the industry, specifically for Morbi, how is the export momentum in the month of January? Do yo u think January is continuing the momentum or you are sensing any weakness even in the exports market for Morbi?
Ashok Kajaria: They are doing a great job. In November and December, they did exports of Rs. 1,500 crores each.
Achal Lohade: So, that momentum is sustained?

Ashok Kajaria: For January, let the month get completed, but I think January -February -March, the cumulative exports will not be less than Rs. 5,000 crores.
Achal Lohade: And just one data point, if you could, sir. What is the cash flow from operations for us in the 9 months FY23 and the CAPEX for 9 months FY23?
Ashok Kajaria: CAPEX is about Rs. 90 crores this year. That much I can tell you. And cash flow, Sanjeev will just reply.
Sanjeev Agarwal: It is Rs. 106 crores.
Achal Lohade: Rs. 106 crores is the cash flow from operations . CAPEX number for full year is Rs. 90 crores, but for 9 months, how much?
Ashok Kajaria: For 9 months, it would be slightly less, about Rs. 75 cror es; full year, it should be about Rs. 90 crores.
Sanjeev Agarwal: Rs. 75 crores to Rs. 80 crores.
Moderator: We'll take the next question from the line of Mr. Ritesh Shah from Investec. Please go ahead, sir.
Ritesh Shah: Sir, it's just a quick one. Sir, an y particular reason why we have not used biofuel for our Gujarat JV?
Ashok Kajaria: In Gujarat, there is no such thing as biofuel. They are using coal in the spray dryer. They are allowed.
Ritesh Shah: But sir, when we look at the costing, it is Rs. 30 per SCM versus, I think, when we say Rs. 57 to Rs. 58 for LPG.
Ashok Kajaria: No, their costing is also around that – Rs. 32 to Rs. 33. Coal has a s imilar cost. Coal is also Rs. 32-33.
Moderator: The next question is from the line of Mr. Sujit Jain from ASK. Please go ahead, sir.
Sujit Jain: Sir, you spoke about FY24 volume being 13% to 15%. But given the commentary on rising interest rates and current sluggish real estate, etc., what gives you confidence there? Bath ware and plywood after many years have not seen material increase in size. So, if you can give your strategy there? And finally, you spoke about increasing dealer/distribution number. Where does that number currently stand?
Ashok Kajaria: As far as confidence is concerned, we will always have confidence. I always see things positively. Don't worry on that score. As far as the dealers are concerned, we have told you that in the next 3 years, we will add almost 450 to 500 dealers. You will be happy to note that i n the

first 9 months, we have added 125 dealers out of which 35 are exclusive Kajaria. As far as faucet and ply are concerned….
Rishi Kajaria: And also to add to that, to give you that confidence that whatever happens in the market, Kajaria, as a brand, ou r numbers will always be better than the industry. If the industry is growing by X, we will be growing better than that.
Sujit Jain: And about the Bath ware and plywood?
Rishi Kajaria: Bath ware and plywood, again, we are looking at a very aggressive strat egy. The volume growth will be much better.
Sujit Jain: And the dealer number now stands at 1,825 is it?
As

hok Kajaria: 1,825 approximately plus or minus 5.
Sujit Jain: And finally, the size of the industry?
Ashok Kajaria: Rs. 52,700 crores. Rs. 40,000 crores is domestic, Rs. 12,700 crores is exports.
Sujit Jain: FY22?
Ashok Kajaria: FY22.
Moderator: We'll take the next question from the line of Mr. Nikhil Agrawal from VT Capital. Please go ahead, sir.
Nikhil Agrawal: Sir, I just wanted the volume and va lue mix for ceramics, PVT, and GVT tiles for Q3.

Ashok Kajaria: Volume -wise, ceramics 45%, PVT 26%, GVT, 29%. Revenue mix, ceramics 40%, PVT 27%, and GVT 33% approximately.
Sanjeev Agarwal: I just wanted to correct one figure I gave you. Rs. 106 crores was the quarter's cash profit. The 9-month cash profit is Rs. 335 crores.
Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to Mr. Arun Baid for closing comments. Thank you and over to you, s ir.
Arun Baid: On behalf of ICICI Securities, I would like to thank all for attending this call and also the management for giving us a chance to host this call. Any concluding comments, Ashok -ji?
Ashok Kajaria: I thank on behalf of myself, Chetan, Rishi, and my colleagues, Sanjeev and Pallavi. I think it was a good introduction. A lot of good questions have been asked. And any follow -up questions can be addressed to Sanjeev and Pallavi. Many thanks for organizing this.

Moderator: On behalf of ICICI Securit ies, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

May 2 2, 2023

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India L imited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Investor and Analyst Meet

In continuation of our letter dated May 17, 2023 , informing about the uploading of the audio recording of the Investor and Analyst Meet held on May 17, 2023 , we enclose herewith transcript of the said Investor and Analyst Meet , in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your record s.

Thanking you,

For K ajaria Ceramics Limited

R.C. Rawat
COO (A&T) & Company Secretary

Encl.: As above

Kajaria Ceramics Limited
Investor and Analyst Meet Transcript
May 17 , 2023

MANAGEMENT: Ashok Kajaria - Chairman & Managing Director
Chetan Kajaria - Joint Managing Director
Sanjeev Agarwal - Chief Financial Officer
Pallavi Bhalla - GM, Investor Relations

CDR India : Good evening everyone. Welcome to Kajaria Ceramics Investor and Analyst Meet. On the dais, we have Mr. Ashok Kajaria, the Chairman & Managing Director; Mr. Chetan Kajaria, the Jt. Managing Director; Mr. Sanjeev Agarwal, CFO; and Ms. Pallavi Bhalla, GM Investor Relations. We will commence this forum with the opening comments from Mr. Ashok Kajaria, after which we will open the floor for questions and answers.

Please note that certain statements made by the management may be forward -looking within the meaning of applicable laws and regulations. Actual results might differ substantially from those expressed or implied. Kajaria Ceramics Limited will not be in any way responsible for any actions taken based on such statements.

Over to you, Kajaria ji.

Ashok Kajaria: Very good evening everybody. I am delighted to welcome you to the Q4 & FY23 analyst meet of Kajaria Ceramics Limited. Today , I have with me my son, Chetan ; our CFO Sanjeev and Pallavi Bhalla from Investor Relations. Good to be back for a physical meeting.

The year 2022-23 was full of challenges, mainly due to high inflation and Gas supply disturbance - Gas prices went up, Gas was cut in our northern plant s and the spot prices more than doubled of the normal prices. However, things have come back to normal.

This is important for you to note, the tile market in 2022-23 is around Rs. 42 ,000 crores for domestic and Rs. 17,500 crore of exports. So the total si ze of the tile industry now is Rs. 59,500 crores . I am happy to inform you that in spite of difficult year, your company has sold 101 million square meters of tiles in the financial year 2022-23 a milestone

for Kajaria and it has taken almost 34 years to d o it. We are going to double it in the next 5 to 6 years.

On Exports front, t he Indian tile industry has demonstrated impressive performance in the international market. In the fiscal year 2022-23, the industry recorded a significant export value of Rs. 1 7,500 crores , a notable increase from Rs. 12,700 crores in as compared to previous year. It's been a quantum jump, because India per se is a very competitive producer.

The largest export market for India has been USA as number one, followed by GCC countri es such as Saudi Arabia and the UAE. The achievement highlights, the industry's strong presence in the international market.

One of the most important Kajaria ’s strength is a dealer network across India, and you will be happy to know that we had dealers get together at Pattaya, Thailand from 4th to 6th of May and Ranveer Singh was there with us along with Akshay Kumar , he is also the new brand ambassador for tiles.

As of now we have 1,840 Dealers dealing dire

ctly with the company
and we are planning to a dd approximately 150 dealers every year for the next three years. These dealers will be mainly in semi -urban areas. Earlier what used to happen is - they used to buy from Morbi, before GST – paying in cash and buy ing. But today with GST coming in , all of them want to have good showrooms and make their presence felt in the market.

Your company spent Rs. 108 crores in the brand promotion for the fiscal year 2022-23 and this year our vision is to spend about Rs. 135 crores to Rs. 140 crores for brand promotio n.

Our effort is to reach to any market as possible in smaller towns, make dealers and make their showrooms . In our industry “jo dikhta hai vo bikta hai” And as I said many times that we want to cover every single Lok Sabha constituency, I am happy to te ll you that by September this year we will be covering 522 Lok Sabha constituencies out of 542. The other 20 can't be done, because of various reasons.

I would like to share some stories in smaller towns /states such as Bihar, Andhra and part of Kerala. Pe ople have witnessed phenomenal growth due to making state -of-art showrooms and the person behind the show.

This data is comprising of four people. The first one is Anand Marble from Jhanj harpur, Bihar. If anybody is from Bihar he would know where Jhanj harpur is, but most of the people won't know.

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This person met me at our dealers get together on 9th of May. He said “I want to make a showroom of 15,000 sq ft. I knew he was from Bihar. I didn't know where he was. I told him I will come for the inauguration of your showroom for sure . He met me again in August and he said my showroom is almost ready.

I went to open the showroom along with some of my colleagues from Calcutta and Delhi. On 9th of December, he opened 15,000 square feet of showroom in a place called Jhanj harpur , having population of approx. 70,000 . You must have not heard of this name , it is one hour from Darbhanga on a highway and it was a four -storey showroom. Ground floor and first floor was exclusive Kajaria showroom . Second floor he made two bedrooms. I said why have you made bedrooms? He replied “its for your people, where will your people stay. This is a village they don't have any place to stay .” then he put 12 desktop computers and I said why you have put computers? He replied “will make designs for the villagers .” And third floor is empty. So this is the kind of progress . If you see the numbers I think it is on the screen from Rs. 573 lakhs in 2020 -21 it has grown to Rs. 793 lakhs in 2021 -22 and Rs. 1359 lakhs in 2022 -23. And this year he will do a sale of Rs. 20 00 lakhs that’s what he has committed.

From there he went to a place called Madhubani in Bihar where some of you might have heard, because it is famous for paintings. There this guy, if you see again a small town of Bihar , did bus iness of Rs. 485 lakhs in 2020 -21, Rs. 999 lakhs in 2021 -22 and Rs. 18.84 crore in 2022 -23. And this year he will do about Rs. 24 crore business .

Third is George Kaitharan, this is in Kerala. If you see the numbers in 2020 -21 he was at Rs. 248 lakhs, in 2021 -22 he did Rs. 14.66 crore and Rs. 36.■58 crores in 2022 -23. He is now number five in Kajaria. He just received an award recently.

And the last one Sri Dinesh A ssociates, this is because of our south plant at Kalahasti, it is between Tirupati and Kala hasti and he has about a 4,000 square feet showroom . In 2020-21 he was at Rs. 10.73 crore, in 2021 -22 he did ■Rs. 13.56 crore and then he has doubled to Rs. 25.61 crore in 2022 -23.

So this is where the action is happening in smaller towns. This is where we are going to reach. This is our target, because earlier most of these people used to buy tiles from Morbi paying cash. And that scenario has changed. They want to join a brand be it Kajaria, be it Soman

y, be it
Johnson, they want to join a brand and dea l directly with the brand , because the concept of wholesale is finished, it’s the concept of retail now.

Our target for 2023-2024 – volume growth of 13% to 15%, revenue growth of 14% to 16%, EBITDA of 14% to 16%.
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Introduction of GST and effective implem entation of e -Bill help in curving tax evasion. And this applies to all branded players in the country. The recent GST collection of Rs. 1.87 lakh crore for March, the data came out on 30th of April , is a proof of this. This will benefit the organized sect or.

As we all know, General elections are in 2024. That it's time for Central and State Governments to infuse more funds for infrastructure development like airports, hospitals, education institutions, upgradation renovation of various government properti es. These factors will further

drive business for tile industry and probably it should start from October
this year. With untiring efforts of our channel partners and employees
today, Kajaria is placed at No. 1 in India and 7th largest in the world.

We ar e committed to our growth strategy, which includes expanding the
market share, increasing the number of dealers across India, especially
in areas where we are currently not represented.

Once again, thank you all for attention and support. We look forward to
an exciting and successful year ahead. Thank you , Jai Hind.

Question -and-Answer Session

CDR India : Thank you, Kajaria ji. We will now be happy to take questions. There
are ushers on both the sides with mics. We request you to commence
asking question s when you have the mic and also please mention your
name and organization's name prior to you ask your queries.

Chetan Shah: This is Chetan Shah from Jeet Capital. Thank you for a very brief and a
wonderful presentation. Just two quick questions. You men tioned that
you want to double your sales from 101 million square feet to about 200
plus in about five to six years . So can you just guide us in terms of your
capital expenditure and how do you want to increase your capacity in
that?

And sir, second quest ion - you very briefly answered about domestic
market and domestic opportunity. Can you tell us how big can be the
global or export opportunity for India in terms of the tile industry? And
also Kajaria in specific?

Ashok Kajaria: As far as doubling of th e capacity is concerned in five to six years, as I
just said, our vision is to grow at 13% to 15% in volume every year. It's
a simple arithmetic. The capacity has to expand. And depending on
which market we are feeding, if it is a Northern and East we put up a
greenfield plant, because all our existing plants are utilized at optimum
capacity . If it's south then south we will expand, because both the
current plants in south at Srikalahasti and Southeast Asia we have a

room to grow. And if it is west, we will do some outsourcing, something
like that.

Every year I think the Capex will be of the order of Rs. 250 crores plus,
because you have to add additional capacity of anywhere between 14,
15, 16 million square feet , and some by way of outsourcing .
As far as export markets are concerned, let me tell you that India is a
most competitive producer along with China in the world today. Our
export last year, if you recall, I had said that it will be between Rs.
17,000 crores to Rs. 18,000 crores . In the very beginni ng, it has touched
Rs. 17,500 crores . I am sure my personal perception is that this year it
will be more than Rs. 20,000 crores . because we are very competitive.
We are taking market share from some of the developed countries like
Italy and Spain. Spain, f or your information is exporting 82% of its
production. Their domestic consumption is only 18%. Italy is exporting
72% of its production, which means that dom estic consumption is
hardly 28%. A tile, which Europe

sells at €20 per square meter , India is
selling anywhere around $10 to $11 per square meter. So you as a
country will be taking that market share.

Saurabh Jain: Hi. Saurabh Jain from HSBC. Sir, one cla rification first. You said your
EBITDA growth will be 14% to 16% or EBITDA margins, right?

Ashok Kajaria: I said volume growth 13% to 15%. Revenue growth 14% to 16%,
because of value addition. Price will not go up this year, because the gas
prices have co me down and we get our margin of 14% to 16%.

Saurabh Jain: Sir my question is that you said 13% to 15% volume growth. That implies addition of 13 to 15 MSM this year. So can you split it out for us how much of that will be coming from own manufacturing pl ant and JVs and outsourcing.

Ashok Kajaria: Details I can't give you, but partly it will come from our existing plants, partly from outsourcing. We are doing three CapEx's , Oone is at Gailpur where we are replacing two old kilns of 25 years old with a new kiln, which would be commissioned by 31st of July. Secondly, in Sikandrabad we are expanding value -added tiles, big tiles just like what we are doing in Srikalahasti about 2.4 million square meters at a Capex of Rs. 80 crores. So I think these two plants plus our existing plants will give or some outsourcing will be there.

Saurabh Jain: No. So why I'm asking this is because, Sikandrabad , I think net addition is only 1.8 MSM. Is that right?

Ashok Kajaria: It's 2.4 million now.

Saurabh Jain: 2.4. Okay. An d then, Gailpur, will it also see some shutdown in this quarter for this modernization?

Ashok Kajaria: No, not shut down. They are sold. They are cleared and sold. Don't worry about that part. Kajaria will do a 13% to 15% volume growth which will be mix o f own plus outsourcing . Any further details we'll share later.

Saurabh Jain: Thank you. That's helpful. Why I'm asking this is because…

Ashok Kajaria: See, please understand , in spite of a difficult year, which I've been saying for the entire last year, we grew at 11% in volume terms. And now, as I have said, the markets are positive, cost of fuel has come down. The last year was a very difficult year from July to December. We didn't know whether we will get gas or not. The gas supply was cut in our Gailp ur and Sikandrabad plant, gas prices hit the roof. The spot prices were double. Still we could do 11%. So don't worry about that where it will come from. It will be 13% to 15% volume growth.

Saurabh Jain: I appreciate your response. Probably I'll take mor e details later. Third question is that, can you also talk about how are you planning your digital spends for one year or two-year timeframe? Because a lot of focus by other companies has seen on social media?

I'm asking is can you talk a little about wha t are your plans on the digital spent for this year or next year? Because a lot of focus has been put by many companies on this front like social media, like any influencers you're planning to hire or…?

Chetan Kajaria: So roughly our digital spent this ye ar was be Rs. 7 crores to Rs. 8 crores , which is the OTT platforms, online media and social media as you said. Rest we are spending money on cricket, airports, and other media like holdings and all basically.

Saurabh Jain: Okay, I was asking more from the social media point of view like…

Chetan Kajaria: Rs. 7 crores to Rs. 8 crores the digital media.

Saurabh Jain: And is it going to increase for the next two years? Any thoughts on that?

Chetan Kajaria: Yes, every year it will increase gradually.

Saurab h Jain: Yes. Okay. Thank you so much.

Sneha Talreja: Good evening sir. Sneha here from Nuvama. Just a couple of questions.

In the start you actually mentioned that industry size has become Rs. 40,000 odd crores , Rs. 42,000 crores . So just wanted to unders tand on that front, till last year we have heard

a different number. How did that change so substantially? Some clarity over that?

Ashok Kajaria: Indian market?

Sneha Talreja: Right, sir. The domestic market.

Ashok Kajaria: Indian Market March '22 was R s. 40,000 crores domestic and Rs. 12,700 crore of exports. And in March '23 the domestic industry has grown by 6%. Exports have grown of course at much higher pace from Rs. 12,700 crores to Rs. 17,500 crores .

Sneha Talreja: Right sir, but till few years b ack, we were speaking about Rs. 30,000 odd crore numbers. So just wanted to see the substantial difference there?

Ashok Kajaria: Yes, you see the Ceramic World Review which is an authenticated magazine coming out of Italy. They change the numbers. Earlier the numbers shown was much less for India. As we all know, Gujarat has a big capacity. So they did an independent survey at Gujarat and found the capacity is much higher. And last year in the magazine they said the Indian production is 2,550 million squar e meter. We have accepted that which is actually a fact. We thought it will go gradually. But if they have put it, it's like that. And that's the number, which we are talking about today.

You see, if I take you five years back, China was 7x bigger than In dia. If I take you today, March '23, China is 2.5x bigger than India. So that much India has progressed and China has come down slightly.

Sneha Talreja: Understood, sir. And secondly, on the margins front, we have seen substantial improvement on a Q -o-Q front. What has been the ad spend for this particular quarter? And also gas pricing, if at all you can give the breakup, you always give plant wise. How have we fared?

Ashok Kajaria: Gas prices. I will request Pallavi to talk about it. She has all the data .

Sneha Talreja: Sure.

Pallavi Bhalla: Hi, so ad spen t for this quarter was around Rs. 32 crore and for the year is Rs. 108 crore. On gas prices , for the quarter it is around Rs. 46 per SCM and for April, this number should be around Rs. 40 per SCM.

Sneha Talreja: And plant wise data if at all you have Pallavi?

Pallavi Bhalla: If you talk about north side, north is around Rs. 40 SCM, south is around Rs. 44, and west is around Rs. 41 in April 2023.

Sneha Talreja: Sure. Sir, one last question from my end . You mentioned that you want to double the turnover in five to six years. You also gave exports growth potential like you're looking at 17,500 going to 20,000 next year. What's your outlook on the Indian tile industry domestic market? How do you see the g rowth faring out maybe three to five years' vision there?

Ashok Kajaria: The Indian tile industry domestic should grow at 6%, 7%, 8% every year. Gas prices have come down as we all know in Morbi also; it's come down by almost 25% in the last two months. S o it should also grow at 6%, 7%, 8%. But I am very confident that exports will grow more exponentially. It will definitely go at 25% plus in this financial year. Will exceed 20,000 crore, you are a very competitive player. And you are taking market share f rom lot of the organized players in Europe, because we are competitive.

Sneha Talreja: Got that, sir. Thanks a lot and all the best to you.

Ashok Kajaria: Thank you.

Unidentified Analyst: Hello. Sir just to extend the last question, so your comment abou t the Rs. 60,000 crores of industry and you said get exported will be growing faster than domestic. So this number from a current level to the next five to six years, the industry size, where do you see sir, the Rs. 60,000 crore number?

Ashok Kajaria: Industry size should be more than Rs. 1 lakh crore. It a rough estimate to be honest. Just a quick calculation since you asked. It should be Rs. 1 lakh crore plus where export should be almost to the extent of Rs. 35,000 to 40,000 crores It's doable.

Unident ified Analyst: And second question sir.

For the full -year, how much price hike we have taken against the gas price increase?

Ashok Kajaria: Last year?

Unidentified Analyst: Yes, sir. FY '23?

Ashok Kajaria: last year some price hike was there. But this y ear there will be no price hike. Last year the price hike should be about 4%, 5% only. Because earlier year 21 -22 the overall price hike was almost 11% to 12%.

Unidentified Analyst: Okay. Against the RM inflation sir? Raw material inflation?

Ashok Kajari a: Raw material inflation has come down.

Unidentified Analyst: For the full -year, how much raw material inflation?

Ashok Kajaria: Last year, close to about Rs. 20 crore. On two fronts, some raw material and some packing boxes, packing material. And that has come down now.

Unidentified Analyst: So that is for the full -year impact.

Ashok Kajaria: Full-year. Full -year.

Unidentified Analyst: Okay sir. Thank you.

Rahul Agarwal: Hi, sir. Good evening. Rahul Agarwal from InCred. Sir, you guided for revenue g rowth being higher than volume growth. We are also saying that prices won't go up. It's purely mixed improvement is what we expect?

Ashok Kajaria: Due to some value -added materials like in Sikandrabad , we are adding 2.4 million square meters. That's all v alue-added. The plant is being converted to value -added. Gailpur again when we are putting a new kiln removing the two earlier kilns, that's all value -added bigger tiles of floor in ceramic, that was making more tiles. Now it will be making value - added flo or tiles bigger size. So something will come out only out of value -added. Prices per se will not go up this year.

Rahul Agarwal: Got it, sir. Sir margin guidance of 14% to 16%. We are almost 14.6% last quarter. I think it's a bit conservative. Are you bui lding in like conservatism here?

Ashok Kajaria: I am conservative. I have seen a very tough last year. So I am conservative.

Rahul Agarwal: So there is a potential to beat that?

Ashok Kajaria: I am taking on the safer side. Because we have seen a very t ough year last year. So I want to be little conservative on that front. I can tell you only one thing that the mood is positive. At the ground level on the sales, on the gas sector, all is positive. But that angle, I'm taking a conservative approach.

Rahu l Agarwal: And apart from the price, the supplies are normal now?

Ashok Kajaria: Yes, absolutely, absolutely.

Rahul Agarwal: Okay. And sir lastly on competition, our interactions with some other brands, they tell us they will grow 20%, 25%, they've got s ome private equity money. Do you agree that organized market share will actually be more fragmented and divided between more organized players?

Ashok Kajaria: No, no. You see, organized players per se are doing well and will do well, because of GST. Now, when you talk about the two players who have taken money, they are also part of organized. You see, once you have come to that level where you have taken money and you have sizable market cap, although it is not listed, but the market cap is around Rs. 2,5 00 crore, Rs. 2,400 crores, they have to behave like organized and they will like to come to organize.

You see, some people in the organized sector will go away and some will come in. So it's a positive thing, because if the industry grows in a positive m anner, it's good for everybody.

Rahul Agarwal: But compared to last five years versus next five years. Next five years, we'll see more organized competition also, right?

Ashok Kajaria: See, let me take you before GST. I think all of you are aware what wa s happening before GST. If you had a 5000 sq ft showroom and I had a 1000 sq ft showroom, I would say go get the photo of the product you want and I will give you the same item at a discounted rate. why? Because I was totally awaiting taxes. And the taxes were in the

range of
28% to 32%, depending on the state where you in. If you are in Delhi, it is 28%. If you are in UP, it is 32%. Do we all agree? Today after GST, GST started with 28%, then after four months it was reduced to 18%. 18% is a GST on all sty le sanitaryware. We get a MODVAT of 5%. So the net impact of GST is 13%, right?

We have seen, whether it's Kajaria or Somany , Johnson, we have seen where people have zero tax, no tax. Today you are talking about instead of 13%, somebody will be 11%, 12% h ere and how does it make a difference? And GST, as we all aware in the room that they have tightened the belt in last two years. Today if you are caught in GST, you are finished. Your career is finished.

They are saying forget about what you have done in the past. If you are here doing in GST and you're caught, you're gone . So believe me, the organized sector will grow. And not only the manufacturers.

I'm talking about dealers , the big dealers are opening more and more shows. Our number one dealer comes s till from Coimbatore. He did a turnover of Rs. 88 crore with Kajaria. He is number one. He is number one in Somany. He is number one in Kohler. And you will be surprised his own turnover, which he said is Rs. 400 crore for ending March '23. He has 13 showr ooms of his own in Tamil Nadu only. And he has 400 salesmen selling that. In the North, the customer likes to deal with the owner and not the salesman , in south there is no such thing. Everything is there. The customer deals with sales man directly. So tha t's how it is. The industry is progressing.

And believe me, GST I have said and I am saying again, GST has been the biggest game changer for the entire organization. And in our trade where there are 600 plants in Morbi, you can imagine our situation, what we have seen and still we have grown over a period of time. So I would say the growth is going to be faster and faster. There's no looking back.

Rahul Agarwal: Thank you sir for answering my questions. All the best.

Unidentified Analyst: Ashok ji, you'v e been talking about the export front Rs. 17 ,500 crore now and moving up to Rs. 30,000 crore probably in the next three, four years. Could you give a flavo ur of what kind of value these tiles are selling at? Is this the mid -segment, is this the higher segm ent or what?

Ashok Kajaria: Most of the exports today are glazed vitrified tiles. That is a hard segment. You can say, because glazed vitrified tiles what is coming from Europe. Also, as I said they are basically exporting only glazed vitrified tiles, whe ther Italy or Spain or any other European manufacturers. You are basically taking away their market share gradually.

You will take their market share more and more. The price difference is too high. The product is same or better than what we are getting. And the most export out of Rs. 17,500 you can say is from Morbi. Out of that I would say Rs. 16,000 crore plus is from Morbi and p artly by Somany, partly by Kajaria and partly and Jo hnson . But most of the exports are from Morbi. There are almost to my know ledge, I may be wrong or right. There are at least 65 units in Morbi out of 600 who are only doing exports.

Unidentified Analyst: So this growth will continue to be in this segment as far as export is concerned.

Ashok Kajaria: Yes, sir. We are very comp etitive as a country.

Unidentified Analyst: And give or take post GST and now, what would be the differential that Morbi enjoys say over larger players like you?

Ashok Kajaria: I will answer for Kajaria. Kajaria before GST, the difference was as high as 40% to 50% in pricing. Today it has come down to 20% - 25%. So that gap has narrowed quite a bit. And that's where we will grow faster. If you take Somany, it should be 15% to 20% between Morbi and Somany.

Unidentified Analyst: Thanks.

Mohit Agrawal: Hi sir, this is Mohit Agrawal

from IIFL. Sir my q uestion is on the Sanitaryware and Faucet business and the Plywood business. What is the outlook for FY 24? And if you could share, how do you see this over a medium term. What is the kind of targets or opportu nities that you see in this business? What is the kind of market share that you want to have and any challenges that you have faced in the last few years in growing this business?

Ashok Kajaria: Faucet, sanitaryware.

Mohit Agrawal: Yes. And plywood ye s.

Ashok Kajaria: We did Rs. 320 crore last year. This year's target is Rs. 440 crores to Rs. 450 crores. Challenges we have faced many, because first few years for any business is very difficult. But today that brand is in place. Kerovit brand is in place. We had a dealers get together a few days back 4 to 6th of May in Pattaya. Lot many dealers are now coming to join that brand wagon. And vision is to grow at least 30% every year from here on.

This year we'll grow faster, because last year our base was lower in that division .. But from here on after this it should be 30% every year.

Mohit Agrawal: Sure sir. Thanks.

Unidentified Analyst: Hi sir. Just continue the previous question. So right now, our non -tile business is roughly less than 10% of the total r evenue. The way you explain about our five, six-year plan for the tile business, where do you see this business growing in next five to seven years on the three segment, non -tile segment. And what will be the revenue mix? If I see five years from…?

Ashok Kajaria: Instead of 10..it may increase to 12 or 13 .

Unidentified Analyst: But it will also grow at a…

Ashok Kajaria: It will grow at a faster pace. Non -tile will grow at a faster pace than tiles.

Unidentified Analyst: But do you see that market also ex panding going forward? The way tile business has happened in last 10 -15 years from India?

Ashok Kajaria: No, that market we are very young. So it has to grow faster . Tile market we are saying we will double it in next five to six years and 30% to 50% growth in Bathware, sanitaryware as you know we are a very young player . We are small, we have to grow to catch up with the bigger players. But it has to be a gradual process. Similarly, in ply, I think they are also looking at that vision.

Unidentified Anal yst: Sir, is there a different distribution structure or a sales structure? If you can give some sense on that?

Ashok Kajaria: Yes, all are different.

Unidentified Analyst: How that part of the distribution network, which we are expanding?

Ashok Kajaria : Tile we have 1,840 dealers as of 31st March. In tile, there are only dealers. There are no distributors in faucets and sanitaryware, there are distributors who sell to smaller people and there are premium dealers who sell from their showrooms. In ply, it 's a similar thing. They have distributors and dealers.

Unidentified Analyst: And sir, if you can share, is the gross margin different between them and the tile or it's more or less same?

Pallavi Bhalla: So gross margin is better in Bathware segment .

Unidentified Analyst: Chetan a couple of years back, we had this issue with MDF in the country. People who had set up MDF plants were struggling, I believe things seem to have sorted out on that front. How has that impacted the Plywood business in general, i f you could explain?

Chetan Kajaria: So the MDF guys made a lot of money in the last two years, because the demand for MDF is short up. Now, there are a lot of imports in MDF coming, especially in South India. And there's a lot of overcapacity also happen ing in this industry. So it is a cheaper substitute for plywood. Currently MDF is around Rs. 7,000 crore and plywood is Rs. 30,000 crore. There's a huge gap between both the segments and verticals. So MDF has truly increased, but there's a huge gap between both the vert

icals as of now in the country.

Unidentified Analyst: So a sense of pricing of say MDF and plywood?

Chetan Kajaria: MDF is slightly cheaper than plywood and it's more mechanized.

Unidentified Analyst: So slightly cheaper means what 10%, 15 %?

Chetan Kajaria: Roughly 17% to 18%.

Unidentified Analyst: Thanks.

Unidentified Analyst: So, in last few quarters, your competitor had made a statement about the tiles industry that it is going through a difficult phase, that there is overcapacity, la ck of pricing power. And how do you respond to these statements? I mean, do you agree with this?

Ashok Kajaria: Industry is positive as I said. Last year was very tough mainly because of two things inflation and gas prices, where you do not know what the gas cost will be, what the pricing. There was a lot of uncertainty. All that uncertainty is over. I am repeatedly saying the mood is positive on the ground level. Demand has always been good, except for a period of July, August, September, because the inte rest rates went up very high. So things are very positive in the ground. You can be rest assured on that front.

Unidentified Analyst: He was coming from more from the perspective of the overcapacity in the industry and the lack of pricing power and not ne cessarily the gas prices or the struggle that the industry went through specifically in the last year?

Ashok Kajaria: You don’t have a pricing power. Then you are saying I want to have a 13% to 15% volume growth. You have 600 players with the Morbi. So you have to strike the right balance. As I said, there will be no price increase in this financial year. The additional revenue will only come from value -added products.

Rahul Agarwal: Rahul, again. Sir, one question on the industry. You're saying 6% to 8% growth like largely CAGR. Obviously, we all know it's oversupplied right now. So at that pace, when does this equilibrium actually reach, right? I mean demand supply has to equal so that we all can be more, we can execute pricing power. So at this 6% to 8% rate, it will take like at least five years for supply to meet demand.

Ashok Kajaria: See you are forgetting the past, when you put this question. It's not a standard answer.? GST has changed everything. If you look back before 2020, every year 30, 40 pl ants used to come. Am I right? In 2020, 2021, 2022 (they do bhumi pooja on J anmashtami for the plant) . I am giving you all the data so that, if I'm wrong, you can correct me. In 2020, 2021, 2022 there were hardly any poojas. So why? Because GST has changed everything and as of 6 of March 2019, they were not allowed to use coal in that gasifier. So today it's a level playing field. Please understand what I just said.

The difference before GST between Kajaria and those Morbi players was 40% to 50%. So it was a push sale for Kajaria, right Today the difference has narrowed down for Kajaria to 20% to 25%. Automatically it is a pull sale now. So this is the change, basic change , if you don’t understand this you will go wrong and ask these questions. But you unde rstand these questions. You will have the right answer. You will have the right. And not only Kajaria, I am very confident that people like Somany and Johnson will also grow faster. They are all doing and trying to do a good job. Even one company for a Mor bi is a good friend of mine Simpolo. They will also grow faster because he is doing a good job. See somebody is doing a good job. He has to grow faster.

Rahul Agarwal: Got it sir. Thank you.

Ashok Kajaria: Thank you.

Keshav Lahoti: Hello, this is Keshav Lahoti from HDFC Securities. I know it is already discussed. You said volume growth of 13% to 15%. But what I want to understand if I see the past growth of industry have been 6% where you have just outperformed the industry by 1% or 2%, but you are prett y confident to grow at toward

s of the industry. So I'm not able to understand what I am missing. Why you are so confident?

Ashok Kajaria: You don't have to understand that. It's my job to do. Can't tell you everything. It's my job to do. I don't have to e xplain everything to everybody. It's my job to do.

Keshav Lahoti: Got it. Got it. Okay. So what's the idea about changing the capacity like moving to five MSM from eight MSM in Nepal? Is it something related to demand or something?

Ashok Kajaria: We are putting up a capacity in Nepal. Earlier we thought to put up 8 billion square meters of two kilns. Looking at the scenario, we reduce it to one kiln. And we are going to put up a plant, 5.1 billion square meter, one kiln, which will make both ceramic and G VT. And the current market size of Nepal is about Rs. 2,000 crore. All imports from India, except one small plant which is operating. Two more plants are expected to come and the third one is Kajaria. So that's a current scenario now. And all everything ha s been tied up as far as Kajaria is concerned. We hope to commission it by March 24.

Keshav Lahoti: Okay. Thank you.

Ashok Kajaria: Thank you.

Shubham Agarwal: Hi, sir. This is Shubham Agarwal from A xis Capital. This question is on the export front. Cou ld you comment what makes you confident that the exports from India are sustainable even over the next five, seven years? Because we' have seen in the past that once exports decline, unbranded players start pushing material in the domestic market. So what makes you confident that that is not expected to happen going forward?

Ashok Kajaria: In the beginning of this year April, I told some of my fellow colleagues here who have met me that this year exports will be 17,000 to 18,000 crore. I don't think people believe d me because from 12,700 to 16,000 crore is difficult. By the time the data came and one of my colleagues told me who was keeping track told me that the exports reached 17,500 crore, which was even surprising to me, because in the month of March the exports was almost Rs. 1,800 crore to Rs. 1,900 crore. Number one.

Number two, again, I am repeating India is a very competitive player. India cost of production is very competitive. And just for information, gas prices have also come down at Morbi by a lmost 20% to 25% in the last few days. We are even more competitive now. And please understand one thing. I repeat that for the benefit of everybody. We are taking market share from some of the other countries. Export market is very huge in the world. L ot of countries have put anti -dumping duty on China, because they were dumping - one.

Two, lot of countries refers to China till March. I don't know what will happen tomorrow, but you are taking our market share from lot of players like Italy, Spain and othe r players who are much more

expensive. Even Turkey for that matter. Turkey was a big exporter. You know what is the inflation out there? 80% plus. We in India are taking market share from these countries. That's why exports will go up.

And the current sce nario, I don't say what will happen after five, six years, but I can tell you next three years our exports will grow by 25% plus.

Shubham Agarwal: That is a function of we staying competitive in the global market as a lower cost producer. So we are in lin e with China right now. Are there any antidumping duties that are expected or India because of for any of the reasons from any of the places we export to USA is our big client or GCC?

Ashok Kajaria: I answer that. Last year there was little exports to Eur ope. You will ask me why? There was a possibility that anti -dumping duty is going to be put India, China, and Turkey. You know what was the duty put? They put a 7% duty on India. This year so much of exports will go to Europe, because people are expecting very huge duty. Now 7% is nothing. When

I said they are selling at €20 per square meter you are selling at $10. What does 7% mean? So a lot of exports will go to Europe also. There is a dumping duty in other countries. There is 41% anti-dumping duty in Gulf, Saudi Arabia. It is the second highest export market of India, after USA. Third is UAE where no anti -dumping duty because of bilateral trade.

Shubham Agarwal: Sir, my second question is since there's so high growth expected in export, are you seeing an y more unbranded players putting up additional capacities to service that demand in the export market?

Ashok Kajaria: In export market.

Shubham Agarwal: Yes.

Ashok Kajaria: I said you didn't listen. I said there are almost 65 players in Morbi are exclus ively working for exports besides other players.

Shubham Agarwal: Are they adding capacities is my question?

Ashok Kajaria: They you have to find out. One plant has come, which I know Comet, which was a big exporter to Saudi Arabia. They have put up an investment of Rs. 400 plus crores to put to continue a plus line for export only, so export will go up.

Shubham Agarwal: So would you have an idea like what is the capacity utilization at the Morbi level from the unbranded players?

Ashok Kajaria: No idea. You have to find out.

Shubham Agarwal: Sure. Sir the second is given your margin guidance of 14% to 16%, what kind of a gas cost are you pricing in for the next one year so that you are able to deliver 14% to 16%? I know we are already at 14.6% and there is a 25% drop.

Ashok Kajaria: I give you a rough data. I shouldn't give, but I still give you. This year compared to last year 2022-23 we at Kajaria will save about Rs. 150 crores on gas, fuel, gas fuel means gasoline, gas taking all the plants into consideration. Out of that, Rs. 50 crore will be passed on to the trade in terms of discount. We don’t reduce the price as I mentioned earlier , but we incentivize the dealers so that they can sell more. Our JB’s did not perform that well, some of them. I hope that this year we will give you another Rs. 30 crore to Rs. 40 crore out of JB's extra whatever we have done last year roughly.

Shubham Agarwal: Thank you. That's all for me.

Ashok Kajaria: Yes.

Unidentified Analyst: My question is very simple. If you are putting factories in Nepal, what precautions you have taken?

Ashok Kajaria: Precaution for?

Unidentified Analyst: For government instability over there.

Ashok Kajaria: Let me tell you there is no political instabil ity. For business it's no political there -- it's like what happens in Italy. Every six months, the government changes, the business continues. It's like that. There is no political instability as such. We have to manufacture our product and sell to dealer s. To tell you honestly, me and Sanjeev were there three days back. We met all the senior people. All is positive.

CDR India : Thank you, everyone. You're now invited to join us for an informal interaction with the management. And also join us for dinner and cocktail.

Call: Jul 2023

July 29, 2023

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India L imited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated July 26 , 2023 , informing about the uploading of the audio recording of the Conference Call held on July 26, 2023 , we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your record s.

Thanking you,

For K ajaria Ceramics Limited

R.C. Rawat
COO (A&T) & Company Secretary

Encl.: As above

"Kajaria Ceramics Limited
Q1FY'24 Earnings Conference Call"
July 26, 202 3

MANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN AND MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. CHETAN KAJARIA – JOINT MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. RISHI KAJARIA – JOINT MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL – CHIEF FINANCIAL OFFICER – KAJARIA CERAMICS LIMITED
MRS. PALLAVI BHALLA – INVESTOR RELATIONS – KAJARIA CERAMICS LIMITED

MODERATOR : MR. MANISH MAHAWAR – ANTIQUE STOCK BROKING

Moderator: Ladies and gentlemen, good day and welcome to Kajaria Ceramics Q1 FY24 ' Earnings conference cal l hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference ca ll, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the confe rence over to Mr. Manish Mahawar from Antique Stock Broking.
Please note that certain statements made by the management may be forward -looking within the meaning of applicable laws and regulations. Actual results might differ substantially from those expressed or implied. Kajaria Ceramics Limited will not be in any way responsible for any actions taken based on such statements.
Thank you and over to you Mr. Mahaw ar.
Manish Mahawar : Thank you Neera v. Warm we lcome to all the participants on Kajaria Ceramics Q1FY24 conference call. From the management , we have Mr. Ashok Kajaria , Chai rman and Managing Director, Mr. Chetan Kajaria, Joint Managing Director, Mr. Rishi Kajaria , Joint Managing Director , Mr. Sanjeev Agarwal , CFO , Mrs. Pallavi Bhalla , investor Relations on the call. Without further delay , I would like to hand over the call to Mr. Ashok Kajaria for opening remarks. Post which , we open the floor for Q&A. Thank you and over to Mr. Kajaria.
Ashok Kajaria : Thank you, Manish. Very good evening to everyone. It gives me great pleasure to welcome you to the quarter one F24 earnings conference call of Kajaria Ceramics Limited. Joining me on this conference call are my sons, Chetan and Rishi, my grandson, Kartik Kaja ria, our CFO Sanjeev Agarwal , Nehal Shah DVP Strategy and Pallavi Bhalla , GM Investor Relations.
We are in the midst of a growing demand environment on the back of a positive real estate cycle already kicking in and government's continued emphasis on infrastructure development. As tile consumption typically occurs in the later stages of construction process, the momentum gained from new launches over the past one year is expected to translate into stable tile demand from September onwards.
Despite having a strong conviction in our ability to outperform the industry, this quarter has been a bit slow as compared to our expectations, m

ainly attributed to the subdued demand scenario in the months of April and May 2023 . In this quarter, we sold 25 million square meters of tiles compared to 23 million square meters in Q1F23, achievi ng a growth rate of 7.25%. However, we are firm in capitalizing on increasing demand and surpassing industry performance.
Our previous announced proje cts are progressing as planned . We will commission 2.6 million square meters of capacity in Sikandrabad by ea rly August 23 and the modernizati on of ceramic

tile capacity at G ailpur by end of August 23. These two new plans will enable us to manufacture larger tiles and save on fuel consumption as the new kilns are more energy efficient.
At Kajaria Ceramics Ltd, ou r success has been driven by an unwavering commitment to sales and marketing trust, firmly establishing a dominant position in the market. With a strong dealer network, strategically expanding both urban and rural areas, we are continuously expanding our r each and presence.
At the beginning of this year, we kicked off the exciting launch of GVT products, featuring an extensive collection of over 300 SKUs that even witnessed the participation of more than 300 dealers from across India, making it a grand suc cess. During this launch, we proudly introduced several exotic product categories, including the innovative 4D concepts, where one design is presented in four distinct finishes. Initially, we showcased stunning marble -like slabs measuring 120 centimetres to 240 centimetres , adding a touch of luxury and elegance to our offerings.
In PVT Vertical, we introduced a vitronite slab measuring 1200 by 1800 mm with a higher thickness strategically position as a superior substitute for marble and granite.
In Ceramic Vertical, we launched our latest signature collection featuring an impres sive

addition of more than 300 SKU s. This extensive product range showcases cutting -edge designs catering to various customer segments, allowing us to penetrate a wider market.
Furthermore, we also made a successful launch of kerovit products, offering new variants and captivating colours . The response to this launch was truly remarkable as numerous dealers expressed keen interest in either establishing new kerovit showrooms or integ rating kerovit into their existing ones. And a considerable 30% or more of new orders coming from previously untapped dealers.
On export side, Indian exports are thriving and reaching unprecedented heights in several territories. In t he first quarter of F Y -24 alone, the cou ntry achieved exports worth INR 4,803 crores, marking a remark able 23% growth compared to INR 3,897 crores in Q1F Y23. Presently the United States, United Kingdom, Israel, Russia, Mexico, Kuwait and UAE stand as the prima ry export destinations for Indian t ile manufacturers. Looking ahead we anticipate exports to touch and be around INR21,000 crores in fiscal year 23-24, surpassing last year's f igure of INR17,500 crores. This substantial increase reflects the rising global demand for Indian tiles and the industry's expanding presence i n international markets.
Now for this quarter's financial performance, in Q4 -FY24, the company achieved a 7.25% volume growth and a 6% year -to-year increase in consolidated revenue from operation s, reaching INR1,064 crores, compared to INR1 ,008 crores in quarter one F Y23.
Despite the challengin g market conditions, the bath ware segment performed well, registering a notable 17% increase in revenue during quarter 1FY24 reaching INR84 crores compare d to INR71 crores in Q1FY23. However, the plywood segment face d a decline in revenue during

Q1F24, recording INR14 crores compared to 20 crores in quarter 1 FYF23. Revenue from the adhesive segment stood at about INR10 crores in quarter 1 FY24.
EBITDA margi

n for the quarter stood at 15.9%, expan ded by 130 basis points quarter -to-quarter and at 67 basis poi nts year -on-year. This margin improvement was largely influenced by reduction in fuel costs.
As of 3 0th June 2023, the working capital days increased to 62 days from 59 days as of March 31st, 2023.
With this, I take this opportunity of thanking you for joining us today. Over to you for Q&A please.
Moderator : Thank you very much. We will now begin the question -and-answer session. Anyone w ho wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, w e will wait for a moment while the question queue assembles. Participants are requested to restrict to two questions per participant. If time permits, please come back in the question queue for a follow -up question. Ladies and gentlemen, we will wait for a moment. The first question is from the line of Rahul Agarwal from InCred Capital. Please go ahead.
Rahul Agarwal : Hi, sir. Good evening and thank you for the opportunity, good to see the gas cost normalizing for the industry. Sir, two questions firstly on tile pricing, how is that behaved during the quarter and my understanding is the volumes have still not recovered and, in your commentary, also mentioned it will recover from September, Channel discounts in my view should be higher in 1Q also, but any pric e adjustments was done in 1Q and the outlook on the same, please?
Ashok Kajaria : See as I said we have already promised 13% to 15% volume growth just for the knowledge of everybody who is joining today. 14% to 16% revenue growth for the year and 14% to 16% EBITDA margins for the year. As I said first quarter has been tough because of various reasons. We hope that from September things will pick up, things are much better from June onwards and regarding your question of price adjustment yes some price per se will not come down, but some benefit will passed on to the dealers and this I have already said in my investor meet also but overall it will be a net gain for Kajaria in the year.
As I said earlier let me repeat that for the , we should save about INR150 to INR175 crores in FY and we should pass on roughly about INR50 to INR75 crores to the trade and INR100 crores will remain in the company. And as far as JV is concerned, I also repeat because I repeat ed the same thing I said the same thing earlier that last year the JV’s didn’t do well. They made a profit of about INR2 crores, this year it should be INR40 to INR50 crores plus.
Rahul Agarwal : And one last question then I will come back in the queue, on the Nepal plant should we expect like INR10 crores, INR15 crores of profit next year from Nepal?

Ashok Kajaria : Nepal will only be commissioned by March 24. So, nothing will come out this financial year.
Rahul Agarwal : Yes, sir I am asking about fiscal 25, assuming that you have 50% share, my sense is Nepal could be like a INR30 crores annual profit business and INR15 crores comes to Kajaria from next year, is that assumption correct?
Ashok Kajaria : Yes.
Rahul Agarwal : Perfect sir. I will come b ack in the queue. Thank you so much. All the best.
Moderator : Thank you. Next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.
Keshav Lahoti : So, in Q1 the depreciation cost has decreased what is the reason for that?
Sanjeev Agarwal : There was a subsidiary Vennar earlier year. In this financial year Vennar was not there.
Keshav Lahoti : Okay, understood. Last question from my side, how has been the fuel prices for Q1 region - wise and how is it currently?
Ashok Kajaria : The average fuel prices for Q1 has been about INR39 and it will on the same lines

in quarter
two.
Keshav Lahoti : What about region mix for Q1?
Ashok Kajaria : Q1 mix is INR39 for North, 44 for South, West 37, average is 39.
Keshav Lahoti : Okay, thank you.
Moderator : Thank you. Next question is from the line of Achal Lohade from JM Financial. Please go ahead.
Achal Lohade : Good evening, sir. Thank you for taking my question. I had a question about in terms of the demand situation, like you s aid, April, May has been weak, June onwards it's improving and you're maintaining 13%, 15%, but is it possible to give some more colour in terms of industry? Have you seen, I mean, in your estimate, has the industry seen a decline in volume in 1Q or was it kind of flattish, any colour on that?
Ashok Kajaria : See, industry should have been flattish. If Kajaria has grown at about 7%, I would say industry has been flattish, more or less. Exports have picked up, definitely and going forward, as we all are aware, things are moving in the right direction in the country with a lot of real estate growth, you are more aware than me
Septembe r onwards that demand should come, infrastructure demand should come and as you know elections are coming, general elections are coming, that demand should also come from sometime from October, so things are much better, things should be much better.

Acha l Lohade : Understood.
Ashok Kajaria : We see positivity on the ground.
Achal Lohade : Correct. Sir, if you could talk about the capex for FY24 and FY25, what kind of capex can we build in the estimate?
Ashok Kajaria : FY24, the estimated capex is about INR370 cr ores.
Achal Lohade : And could you elaborate where, which all plans and what capex are, is it possible?
Ashok Kajaria : Gailpur modernization is about INR50 crores, Sikandarabad new plant is INR70 crores out of Rs.100 , Nepal is INR90 crores, Bathware is INR80 crores, maint enance capex is about INR30 crores plus and we are making corporate office should be another INR50 crores already some capex has incurred last year, and some capex will be this year.
Moderator : Thank you. Next question is from the line of Praveen Sahay from Prabhudas Lilladher Pvt. Ltd. Please go ahead.
Praveen Sahay : So, my question is related to the gas pricing. How much of the biofuel contribution right now to your North plants?
Ashok Kajaria : To the North plant is about 33% and total is about 20% ove rall.
Praveen Sahay : And how is the pricing there?
Ashok Kajaria : Biofuel pricing is about INR22.
Praveen Sahay : And you also use propane into South plants how is the pricing there?
Ashok Kajaria : We are not using propane anymore . South plants are a ll gas based .
Praveen Sahay : And the next question is related to subsidiary realization which has gone down some around 11%. So, is there any specific reason for that or is just a market behaviour ?
Ashok Kajaria : Please see most of our JVs are situated in Morbi and since there is a massive reduction in the gas prices there, we passed on that benefit to the trade because of the competition out there because in JVs we are making mostly polished vitrified ti les which Kajaria is buying and we have reduced the price.
Praveen Sahay : So, that will be maintained over here at this gas price?
Ashok Kajaria : If the gas prices continuing like this, yes.
Praveen Sahay : Okay. Thank you, Sir, I will come in a queue.

Ashok Kajaria : Thank you.

Moderator : Thank you. Next question is from the line of Sneha Talreja from Edelweiss. Please go ahead. Sneha, may I request you to unmute your line from your side and go ahead with your question, please? Du e to no response, we move on to the next participant. Next question is from the line of Nikhil Agrawal from VT Capital Markets. Please go ahead. Nikhil, can you hear us.
Nikhil Agrawal : Good evening, si

r. Sir, can you just guide on the pricing strategy lik e will you be taking a price hike in the first few days of July and what is our trend going forward?
Pallavi Bhalla : Nikhil, your voice is echoing. Can you please speak through the handset?
Nikhil Agrawal : Now it’s audible, sir?
Pallavi Bhalla : Yes, you are audi ble. Please repeat your question.
Nikhil Agrawal : Sir, pertaining to this guidance like what kind of pricing strategies we are looking forward going ahead like do you take any price hikes in the first few days of July like we have seen some significant pri ce drop has happened?
Rishi Kajaria : As we said that we already got a good saving on the gas, so there's no reason of taking a price hike. In fact, we are maintaining the prices and giving a little bit more benefit to the dealer so that we increase our sales. As we said that our target is to do 13% to 15% of volume growth and that is what we are looking for. So, we can't increase prices, but the savings in gas will be passed on in trade to achieve our volume. Volume is the main criteria which we are lookin g at. And you have seen the margins have already improved in the first quarter.
Nikhil Agrawal : Got it, got it sir. So, the second question is like we have seen some significant spike in our raw material consumption. Can you please throw some light on tha t thing, like what kind of things are causing that sudden spike in these raw material cost?
Rishi Ka jaria : There is no spike in the raw material. In fact, the raw material costs have stabilized and even gone down quarter on quarter . there is no spike anywhere.
Nikhil Agrawal : Okay, sir. Got it, sir.
Moderator : Thank you. The next question is from the line of Abhishek Ghosh from DSP Mutual Fund. Please go ahead.
Abhishek Ghosh : Yes, hi sir. Thank you so much for the opportunity. Sir, just looking through your volume on a more l ike a four-year CAGR, we still are looking at about a 6% four year CAGR volume that you have grown for 1Q FY24 and if you look at broadly some of the other building material category we see much sharper growth happening on a three year, four year, CAGR bas is. So, is it that with a lag effect, one should expect a much stronger H2, how are you looking at the demand? Is there a point of inflection? Sir, just some thoughts there we will be helpful.
Ashok Kajaria : See, the quarter two, after September things will be better, no doubt about it. But right now, let us restrict to 13% to 15% volume growth. First quarter, we have done at 7%. We must make it

up also to make sure that we achieve that numbers, right . So, there is no inflection. And let us focus on what w e are trying to do.
Abhishek Ghosh : Okay, great.
Rishi Ka jaria : Just to add to that, you are also increasing our advertisement spent and all, as we said which will also help us achieving our growth numbers.
Abhishek Ghosh : Okay, and what would be the spent for the quarter and the year look like?
Chetan K ajaria : So, last year we spent INR108 crores in advertising . This year the target is roughly INR135 crores. Last year same quarter we spent INR19 crores, and this quarter, we spent around INR26 crores .
Abhishek Ghosh : Great. And from the current capacity of about 81 MSM, how should one look at it by end of FY25? What would the capacity be like?
Rishi Kaj aria: So, with our Sikandarabad expansion I will add another 2.6 and then 8.1 in Nepal. So, th at will make it about 89 and these are the ones we have planned as of now. Other than that…
Ashok Kajaria : The outsourcing will also increase.
Rishi Kajaria : Other than that, as we go along, we'll plan. No other expansion planned as of now.
Abhishek Ghosh : Okay. And sir just one last question in terms of the bathware segment, how should one look at the growth prospects from there because there, I think the opportunity

for market share gains are much better. So, anything that we should look at the growth prospec ts as far as the bathware is concerned?
Rishi Kajaria : Yes, so we are very positive on the bathware. I think in quarter one we did a 20% growth

roughly, which is a tough quarter overall. We still did a 20% growth, and we are looking at a 30%-plus growth in t he entire year. We had a very good launch in the bathware where the dealers were very, very happy with our products that gives us a good confidence for business growth and all that. So, we are definitely going to achieve 30% -plus volume growth in bathware value growth.
Abhishek Ghosh : Okay, and so sir just one thing on the large slab part of it, how has been the market feedback, progress, any colour there would be helpful?
Rishi Kajaria : See, large slab market is still very small in India. It's still a growing segment. I mean, you know, still a lot of work has to be done. But with our South plant, we are the only company which has a large slab line in the South. And we are just started our line in North. So, with both these lines, we're definitely going to increase our slab s ales in times to come. These are high margin, the volumes are very less, but the margins are good. So, as we go along, as the market develops, things are going to get better.

Abhishek Ghosh : Okay, great. And sir just one last question, any colour on the c ompetitive intensity as far as the end market is concerned, any colour that would be helpful? How has that been shaping up?
Ashok Kajaria : See everybody is trying to do the job better. I think Somany Johnson should do well with the GST as I have always said, GST helps us in taking a market share from the so-called regional players. And we are all trying to do our best efforts and I think these are all for a positive gain in the coming time.
Moderator : Thank you. Reque st to all the participants, please restrict to two questions for participants. Next question is from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah : Hi, sir. Thanks for the opportunity, couple of questions. Sir, first one, you indicat ed 23% revenue growth for exports for Q1. Sir, how much is the volume growth over here and the price growth?
Ashok Kajaria : Price growth for exports should be more or less the same, whatever number you are seeing is the volume growth. There is not much chang e in the whatever you are seeing is the value growth .
Ritesh Shah : So, 23% is value so there is volume growth that's what you ar e saying?
Ashok Kajaria : No, It’s mostly volume growth and less of value growth. price has not changed much .
Ritesh Shah : Sir, my second question is on..
Ashok Kajari a One minute. The exports are 23% volume growth over last quarter. So, this quarter Morbi did almost INR4 ,800 crores of exports.
Ritesh Shah : And there is no price change?
Ashok Kajari a: No, there is no price change… not much
Ritesh Shah : Perfect. Sir, second is how much is it a fuel costing for the Morbi guys specifically the reason is I asked is I think propane import duty has got increased during the quarter, but the underlying prices would have reduced. So, I just wanted to understand on a parity basis, where would Morbi be operating at versus the number that you stated for us is around INR39. Sir, can you please prov ide some colour here?
Ashok Kajari a: Morbi, the current price of gas is about 41 including taxes, number one. And propane is also the same price. Propane is INR 1 higher 41 point something. So, their landed cost of gas today is INR41 per SCM and the propane is also around INR41 per SCM.
Ritesh Shah : And this is after the import duty, right? Bump in import duty?
Ashok Kajari a: Yes, when we talk about landed means landed to the plant. Import duty is being paid by the manufacturer but whoever is importing.

Ritesh Shah : This is helpful. And would it be possible for you to give some colour on how we arrive at INR39 earlier you had indicated about biogas, some colour over here that would be useful?
Ashok Kajari a: That details you can pick up later, but right now , as I said earlier, the North prices are 39, South is 44, and West is 37. Landed is 41. So, the average is 29.
Moderator : Thank you. Sorry to interrupt you sir and I will request you to join back you again for a follow -up question. The next question is f rom the line of Jenish Karia from Antic Stock Broking. Please go ahead.
Jenish Karia : Yes, thank you for the opportunity, sir. So, my first question is that there is a contraction in the gross margin during the quarter. So, is there any specific reason th at you can highlight for that?
Management : The marginal impact, very marginal.
Pallavi Bhalla : No, there is a marginal improvement in the gross margin if you take a purchase of traded goods, power and fuel, and raw material together. And if you're not taking p urchase of traded

goods, then remove the outsourcing volume from the total volumes.
Jenish Karia : Okay, so I am not taking into consideration the power and fuel cost, so it is just the purchase of trading goods and stock and trade that I am taking in cons ideration. So, considering that 63% gross margin has gone down to 56%?
Pallavi Bhalla : if you're comparing Y -o-Y then obviously in Q1 FY23 the raw material cost was lower as compared to today's raw material, but quarter on quarter it has come down. So, all i nflationary impact has come down Q-o-Q, but Y -o-Y there is still some impact.
Jenish Karia : Okay understood and would it be possible to quantify the benefit that we have passed on to the dealer in terms of the reduced gas cost during the quarter?
Rishi Kajaria : See, it is not a question of quantum, it is a question of some discounts depending on the product is given so that he pushes more to the market. That will be very difficult to tell you exactly on what. But yes, something like 3% decline overall in the revenu e.
Jenish Karia : Okay, that helps kind of. I'll come back in with you for some more questions. Thank you.
Moderator : Thank you. Next question is from the line of Hasmukh from Star Union Dai -ichi Life Insurance. Please go ahead.
Hasmukh : Yes, thanks for t he opportunity. My question is on margin. So, you guided for let's say 14% to 16% margin for this year, with Q1 at 15.9%. And as gas prices are also let us say favourable , so any specific reason to be conservative here?
Ashok Kaj aria: Let’s hope going forwar d, you will see better margin.
See as we all know, quarter two and quarter three were the toughest last year. Gas was cut, gas prices went up high, spot prices were at double the prices of the normal pricing. Things have

become normal, I'm s ure with the market improving, you will see a better result. That's all we can say today. We keep our guidance unchanged, but if the number goes up, you will see it first.
Hasmukh : Okay on that line only employee cost this quarter has declined on a Y -o-Y basis. This is slightly unusual in Q1. So, any specific reason here?
Ashok Kajaria : See, as far as the employee costs are concerned as we said earlier two years back, no manpower is added every year. Manpower addition is almost zero. Somebody goes, somebody comes in is one issue. Secondly, with this growth of volume, whatever is happening, manpower cost will proportionately come down. Absolute numbers are same Y-o-Y.
Hasmukh : Okay, so basically going forward in the next couple of quarter s, whether this more or less a trend remain as volume growth will start picking up from September onwards?
Ashok Kajaria : Yes, Volume growth will start definitely from September onwards.
Hasmukh : Okay. Thank you.

That’s it from my side.
Ashok Kajaria : Thank you.
Moderator : Thank you. Next question is from the line of Sonali Salgaonkar from Jefferies India Pvt. Ltd. Please go ahead.
Sonali Salgaonkar : Sir, thank you for the opportunity I hope all of you are doing well. So, my first question is regardi ng biofuel. You mentioned in your earlier commentary that the average usage of biofuel across is about somewhere 20%. And I think, correct me if I'm wrong, the maximum that it can go is about 35% of your overall power and fuel cost. So, does that mean that there is a further leeway of margin expansion as you increase your biofuel mix in the overall power and fuel?
Ashok Kajaria : First, the biofuel in North is 33%, overall biofuel is 20%. That's number one. That's the maximum we can go right now, number one. Bu t as some participants asked earlier, right now if you see the numbers, we have done, as far as EBITDA is concerned, it's 15.9, and the two quarters ahead were the most difficult quarters. So, once the sale picks up, numbers will improve, definitely. EBITD A margins has to improve. I'm not giving any guidance right now as I said, but definitely you see more positivity as we go forward.
Sonali Salgaonkar : I understand, sir. Sir, my second question is, you mentioned that April -May was tough in terms of demand . I understand because of unseasonal rains as well. June seems to be picking up. Is July also a case where we are seeing a demand pick up on the ground and where do you see the demand coming on from rural or rather urban versus Tier 2, Tier 3, Tier 4 citie s?
Ashok Kajaria : See, July would have been better but unfortunately excessive rainfalls everywhere in the country has made transportation and everything very, very difficult. If the transportation doesn't reach, the dealer doesn't know whether I can, I will have a customer tomorrow or not. So that's the reason. July has been overall a tough month because of the excessive rains all over the country and especially in Northern India, as you are aware, thi ngs have been very,

very tough and even in Gujarat and M umbai, things have been tough. So, looking at that, July has been a tough month. But July, August are two months where heavy rainfall takes place in India and as I said earlier, September onwards you will see very positive scenario in the country, and I am sure this will also apply to us.

Sonali Salgaonkar : Got it, that's all from my side, thank you.

Ashok Kajaria : Thank you Sonali.

Moderator : Thank you. Next question is from the man of Udit Gajiwala from Yes Securities. Please go ahead.

Udit Gajiwal a: Yes, sir just one question pending. You have highlighted a lot of things. Sir, can you throw light on your plywood business. Earlier we were aiming for more than INR100 crores in 2024, but Q1 has just been INR10 crores. So, how do we see the whole year planning for the business?

Chetan Kajaria : So, last year we did INR77 crores of revenue. This year we're targeting INR100 crores, which is a 30% revenue growth. The main reason being we've got a very strong sales team now. We took a very senior gentleman from the plywood industry for heading the plywood vertical, and he's getting in a very strong sales team in the next month or two. So, we are looking at positively crossing INR100 crores turnover in this financial year.

Udit Gajiwala : Okay, that helps us sir. All the best.

Chetan Kajaria : Thank you.

Moderator : Next question is from the line of Sneha Talreja from Edelweiss Mutual Fund. Please go ahead. Sneha, we are unable to hear you may I request you to speak through the handset. Sneha if you can hear us may I request you to unmute your line please. Next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi : Hello sir, good evening. My question pertains to your volume assumption. As you men

tioned
second half of the volume n umbers should pick up. So, are we factoring in 20% sort of volume growth for second half?

Ashok Kajaria : Let's not go into the details. Let us focus on our job and we are saying that we are looking at 13% to 15% volume growth for the whole year and I am sure with the market improving we will do it.

Rajesh Ravi : Okay, this main guidance 14% to 16% also we could deliver this Q1 sort of margins in subsequent quarters even if the volume numbers pick up?

Ashok Kajaria : Slightly look better.

Moderator : Sir, sorry to interrupt you, we missed out on the beginning of the year, can you repeat that please?

Ashok Kajaria : As far as the margins are concerned, the quarter 2, quarter 3 last year were the toughest because of the gas prices, because of gas cut, and the spot prices were double than the normal prices. Things have normalized on that forefront. And going ahead, the moment the volumes come, you'll see a better EBITDA margins, that much I can assure you. But I am keeping... But I can assure you that the margins will look better.

Rajesh Ravi: Okay. Great, sir. I'll come back in queue. Thank you. All the best.

Moderator: Thank you. Next question is from the line of Utkarsh from Haitong Securities. Please go ahead.

Utkarsh: Yes. Hi. Good evening, sir. So, first question is l ike, what is the reason that our manufacturing tiles production was down 5% on a Y -o-Y basis, whereas our outsource sales volume was up 13% in this June quarter?

Rishi Kajaria: So, our manufacturing was down because we were upgrading our Secunderabad plant, so that entire quarter, that plant was shut down and this, it just, we commissioned the line on 15th of July and the production will come on 29th or 30th of July or early August and then it will match up. The entire quarter was shut because of the up gradation of the plant.

Ashok Kajaria: And even going forward, you see, as we are saying that 13% to 15% volume growth, we just shared a few minutes back the capacity part. So, our sourcing will increase more and more. Depending on where we are marketing, t he outsourcing will depend on that.

Rishi Kajaria: And also, what we're also trying to do is we are launching a good massive ad campaign very soon, early August. And we are increasing our ad spend. So, all these factors will help us do our numbers.

Utka rsh: Okay. So, second question is on the export side. So, on the global tile trade space, if you can give some idea, where India is placed in comparison to China in terms of quality and cost?

Rishi Kajaria: India quality and cost both are excellent.

Utka rsh: Do you think we are more competitive than China or they are more competitive than us?

Ashok Kajaria: No, we are almost equal to China. We are now number two just after China. And a lot of countries are now preferring India over China. So that is the r eason that you see an surge in

exports. And secondly, if you recall two years back, last two years, the freight rates had gone up sky high. That has come down to almost 15% of what it was. A container to USA was costing USD12,000 to USD15,000, it h as come down to USD2,000. So that has also made it worthwhile to export to all these countries. The freight rates have come down to 10% to 15% of what it was two years back.
Utkarsh: And sir, what kind of a margin and return is earned on tiles export, thos e who are exporting from India?
Rishi Kajaria: That Morbi people will tell you better.

Utkarsh: Sir, since you might be having an idea, so just wanted to get a sense from you?
Ashok Kajaria: No, you get this idea from them, that will be better.
Utkarsh: Okay, thanks a lot.
Moderator: Thank you. Next question is from the line of Sneha from Investor. Please go ahead.
Sneha: Hi sir. Am I audible? Sneha, from N

uvama. I'm really sorry for the earlier disturbances. Just two questions from my end. One is on the adhesive part of it. I think in the opening remark, you mentioned this particular quarter you've done INR10 crores. Just wanted to understand what are we doing here and what's the vision in this particular segment and what are we aiming for FY '24? And even going ahead.
Chetan Kajaria: So last year, we had a turnover of INR38 crores in the adhesive division with a PBT of roughly INR7 crores and this year's target is a turnover of I NR65 crores with a PBT of roughly INR12 crores to INR13 crores. We've already tied up with 10 manufacturing facilities across the country for faster and timely delivery in cost competitive manner to all the dealers and channel partners because it's a freight intensive product. So that's the vision plan for this financial year. and next to next year we plan to cross INR100 crores turnover in this segment.
Sneha: Okay, so this segment is actually growing much faster than even the wood panel division that you h ave at this point of time.
Chetan Kajaria: Correct.
Sneha: And on the wood panel side, although you have given clarity in terms of what you are looking at, what is the rough break up? We were also doing laminates here. What is the rough break up right in b etween the plywood and the laminate side that you are working on?
Chetan Kajaria: Roughly INR45crores was plywood and INR32 crores was laminates. That's a rough breakup of the last year's turnover.
Sneha: And what is the ambition going forward? Like you sa id, INR100 crores you have to reach. So roughly the similar kind of growth in both the segments?
Chetan Kajaria: Yes, similarly, similar growth is in both the segments?
Sneha: Sure. Got that. And one last one if at all I can just come in again is on the di stribution front. You mentioned your agenda for the ad spends, you want to increase it to INR135 crores, what are you looking at in terms of distribution edition this particular year and what have you already achieved in quarter one like any, numbers that you can show here?
Chetan Kajaria: So, roughly we have 1840 dealers across the country. And we are looking to surpass 2000 dealers in this financial year. Out of which 500 will be exclusive Kajaria dealers. Meaning they will be selling only Kajaria tiles.

Sneh a: Understood. Thanks a lot, and all the best team.
Chetan Kajaria: Thank you.
Moderator: Thank you. Next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni: Sir, thank you for taking my question. Sir, you spoke abou t export and how strong export growth has been. Typically, we have seen whenever Morbi is focused on export, the competition in the domestic market is a lot lesser. Are you seeing that play out? Can you talk about how this export growth impacts realization in the domestic market? Any colour on that would be helpful.
Ashok Kajaria: A good question, Pulkit. Whenever there are more exports, as you rightly said, the lesser pressure will be from the Morbi on domestic market, yes. Secondly, two things have happene d. Gas prices have considerably reduced in the last 12 months. So, prices per se will not go up at least in the next eight months, but our margins will improve for a simple reason that whatever benefits like last year I said, we are s aving close to INR150 crores to INR175 crores this year on the gas trend only. And that partly that will be passed on to the trade and at least INR100 crores will remain with the company.

Secondly, JVs which were not working well are also working very well now. That should add very positive as far as the bottom line is concerned to the extent of INR40 crores to INR50 crores. So that will be the net addition. But exports, whenever it goes up, you take it there will be less pressure on the domestic ma

rket from Morbi.
Pulkit Patni : Sure, sir. So that's helpful. Sir, maybe one more question. Can you talk about broadly for the industry, is there significant capacity addition that is planned for the industry? I'm just trying to visualize how the demand supply dynamics could look in th e next few years.
Ashok Kajaria: See, if I take you three years back, in the year '19, almost every year in the month of Janmashtami, was there, they were adding 30, 40, 50 plants in a year. '20, '21, '22, '23, there's hardly an additi on of 50 to 20 new plants all together . So that is a scenario in Morbi. And the biggest change is GST. Before GST, there was a lot of tax play, after GST tax play has reduced to a great, great extent and that is one reason, why the organized sector, for say like Kajaria, Somani, Johnson is taking the market share away from them.
Pulkit Patni: Sure sir, very helpful. Thank you so much.
Ashok Kajaria: Thank you.
Moderator: Thank you. Next question is from the line of Onkar from Shree Investments. Please go ahead. Onkar, may I request you to unmute your line and go ahead with your question please.
Onkar Ghugardare: Yes. My question was on ROE. What kind of ROE and ROC targets you are looking for this current year?

Ashok Kajaria: There are no targets. Kajaria doesn't h ave these targets.
If the margin goes up, ROE and ROC will go up automatically. And as I said earlier, Sanj ive will say more about it, with the more outsourcing, you see math, Kajaria has to grow 13% to 15% in volume terms every year. Part of it will be, lot of it will be outsourcing also. So automatically your ROC E will go up.
Onkar Ghugardare: Maybe Sanju can give far more light on this?
Sanjeev Agarwal: See, in this quarter also, there is a 300-bps improvement in ROE from 15.5% to 18%. A nd this quarter, we have done only 6%, 7% volume. When we grow more, when we achieve 13% to 15% volume, coupled with better margin, the ROE, ROC E, both will go up. And as Chairman sir said, because of the more outsourcing, t he ROC will go up further.
Onkar Ghugardare: Okay, you've talked about 13% to 15% annualized growth. So, in order to achieve that, you have to grow significantly in the next three quarters. So, what's making you so optimistic about this?
Pallavi Bhalla : Can you can you come again with your question because your line is not so clear.
Onkar Ghugardare: Yes, my question was in order to grow 13% to 15% on an annualized basis, you need to grow substantially higher in the remaining three quarters as you h ave grown just 6%. So, what is making you so bullish?
Ashok Kajaria: I think I have already answered this to everybody.
Onkar Ghugardare: No, I just joined the call a little bit late. So that's all.
Ashok Kaj aria: As I said earlier, markets are tough, have been tough in April and May. June was better, July is again tough because of excessive rains all over India, August will be okay, and September onwards things will be very, very positive in the country as we ll as for us. So, we are very confident of reaching 13% to 15% volume terms, number one.
Secondly, as Chetan said, we are going to spend about INR135 crores plus in advertising from first week of August, we are going very strong on advertising and that wi ll also help generate more sales to our dealers . Basically, that's what is the purpose of advertisement .
Advertisement purpose is to bring the customers to the door of the dealer.
Onkar Ghugardare: Just wanted to know any longer -term plans on revenue f ront and margin front, you want to say? Not immediate short term, maybe three years, five years, kind of.
Ashok Kajaria: No. The target for this year is 13% to 15% volume growth, 14% to 16% revenue growth, and 14% to 16% EBITDA growth. That is what we are looking at, that is we are focusing on.
Onkar Ghugardare: That's for the current

year you have seen, right? Any medium term plans ?

Ashok Kajaria: There is no medium -term plan, there i s no long-term plan. This is what we are talking for this year. We'll talk about it after six months.
Onkar Ghugardare: Alright, thank you.
Moderator: Thank you. Next question is from the line of Lavanya, from UBS group. Please go ahead.

Lavanya: Hi, than k you, sir. Thanks for the opportunity. Most of my questions are answered. Just one thing, I wanted to understand, as you have been highlighting that pricing would be largely stable or slightly lower for Kajaria. How has been the pricing scenario of the ov erall industry? How it has come down and what's the pricing difference between Kajaria products and Morbi products? Any sense there?
Ashok Kajaria: The pricing for Kajaria has been stable. Prices per se have not been changed . But as we said earlier, some d iscounts will be passed on, some trade benefits will be passed on to the dealers to sell more, That's one. As far as the difference between the pricing is concerned, I can often tell you that between the nearest competitor, that is number two, I think the pricing difference is between 6% to 10% depending on the product. As far as Morbi is concerned, it should be close to 20% - 25% between Kajaria and Morbi.
Lavanya: Got it. And this is largely stable over the last year and now, right?
Ashok Kajaria: This is stable for the year and now, but before GST, the difference was between Morbi and Kajaria was 40% to 45%. GST has minimized the difference from 40% to 45%, 20% to 25% because we are also paying GST, they are also paying GST.
Lavanya: Got it. That's my que stion. And anything on exports that we are planning? I know that it's a very small business for us, but do you see any opportunity there going ahead?
Rishi Kajarai : So, our focus is not on exports. We'll export a little bit here and there but our a nd main focus is domestic . Dubai showroom is helping us a little bit to expand our export horizon. We're getting some inquiries from Africa and all that was the whole purpose of opening a showroom in Dubai, to get our international pres ence. So that's helping, but that's a very slow and steady process. Overall, all the buyers come to Morbi. That is the export market.
Moderator: Thank you. Sorry to interrupt you, Lavanya. I'll request you to join the queue again for a follow -up question. Next question is from the line of Nikhil Agarwal from VT Capital Markets. Please go ahead.
Nikhil Agarwal: Yes, sir. Thank you for the opportunity, sir. Yes, sir, can you please guide us in the trade meeting…
Moderator: Nikhil, you are not audible.
Nikhil Agarwal: Am I audible now?

Moderator: Sir, initially when you were speaking, it was fine. Can you go back to the same old setting? Nikhil, can you hear us? Due to no response, we move to the next participant. Next question is from the line of Rahul Agarw al from InCred Capital. Please go ahead.
Rahul Agarwal: Yes, Thank you for the follow -up. Ashokji, just one question on the business mix. Now I can see, when we discuss about outsourcing and own manufacturing, obviously outsourcing will increase as we've d iscussed earlier. But if I look at the average selling pricing, it looks like the outsourcing tiles are much, at least 10% expensive than what we're making in -house. I just wanted to get my thought process very clear on this. As a strategy, shouldn't we do ing be more value addition in -house and lesser outsourcing?
Ashok Kajaria: No, first your information is not correct. As far as outsourcing is concerned, like we said earlier, we are looking at 13% to 15% volume growth for the next three years. That's numb er one. Now next year, we are adding lesser capacity, so outsourcing may increase. Depending on which market

you sell, suppose we want to sell to North and East, then we will put up a plant in North. If you have to sell to South more, the South plant will expand. If you have to sell West, then it will come from Morbi. So that is a basic strategy.
As far as the outsourcing is concerned, only polished vitrified tiles, which is being outsourced from Morbi . The bigger slabs are more value addition than the no rmal production. In ceramic and GVT, nothing is like that. The manufacturing in -house will always be more expensive than the outsourcing. The realizations are always better than the outsourcing.
Rahul Agarwal: Got it. You know, why I was referring to that was, when I look at your reported numbers, your outsourcing realization is 440 versus manufacturing 390. So, I'll just stop.
Ashok Kajaria: That is only for polished vitrified tiles.
Rishi K ajaria : That volume is very less, know. We have very selected items what we are outsourcing. There are very little value -added products we are outsourcing .
Rahul Agarwal: Perfect. I got that. Thank you so much. Thank you for answering.
Ashok Kajaria: Thank you.
Moderator: Thank you. Next question is from the land of Saurabh Jain from H SBC. Please go ahead.
Saurabh Jain: Thanks for the opportunity. Most of the questions have been answered. I want you to understand that in addition to the sales team that we have on a payroll, correct me if I'm wrong, that people like the architects or th e masons also are, a strong component in this whole value chain and also act as a sales ambassador for our brand. Is that the right understanding?
Rishi Kajaria: So, masons really don't play a role. Architects, yes, in some places, they do play a role. And

we already have people in our organization, who are meeting architects and interior designers.
Saurabh Jain: Got it. So, what initiatives are we putting in on ground today to kind of strengthen our relationships with people like the architects or the other influencers?

Rishi Kajaria : We already have people in place. We don't have to do anything today. We've already been doing it for years. We already have people in place, who are very aggressively meeting architects and interior designers and promoting our products.
Saurabh Jain: Yes, that's great. What I understand is that, correct me again, if I'm wrong, that things like large -size slabs, there is a lot of training that needs to be put on ground as far as the masons are concerned, because they are facing somewhat hard time to handle or deal with such large slabs that they haven't dealt with before. Is that the right understanding? If yes, then do you see a need for training also to be an important part along with your sales strategy, when you want to scale up the contribution from these larger -sized slabs?
Ashok Kajaria: See large slabs, Kajaria has come after two years. Morbi has come before two years ago. So, they are already trained. And there are 15 plants operating in Morbi. Kajaria pu t the first plant for itself in South, now it is putting up in North, which are the individual plants.
Saurabh Jain: Okay, understood. Thank you, that is helpful. And another question that I had, can you talk about your medium to long -term aspirations in the plywood segment? Now that you have highlighted that, you are kind of also turning up the sales team and you look to be getting aggressive in this space. Can you highlight in the mid to long -term, what are your aspirations in this business?
Chetan Kajar ia: So right now, we are focusing on this quarter and the next quarter. We can update more after the next two quarters once we are close to this 100 crores number, which I talked about in the call.
Saurabh Jain: Okay, thank you so much.
Mod erator: Thank you. I now hand the conference over to the management for closing comments.
Ashok Kajaria: Thank you.

Thank you very much. I think, it was a good set of questions and answers, which came from various set of people, and we hope as Kajaria tea m, we have answered it to the best of our this thing. So, thank you very much for organizing this Manish. Thank you.
Moderator: Thank you very much. On behalf of Antique Stock Broking that concludes this conference.
Thank you for joining us. You may now di sconnect your lines. Thank you.

Call: Oct 2023

INDIA'S NO.1
TILE COMPANY Kajaria
October 26,2023
BSE Limited
P.J. Towers
Dalal Street
Mumbai -400 001The National Stock Exchange ofIndia Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai -400 051
Dear Sir,
Re.: Transcript ofConference Call
Incontinuation ofour letter dated October 20, 2023, informing about the uploading ofthe audio recording ofthe Conference Call held onOctober 20,2023, weenclose herewith transcript ofthe said Conference Call, incompliance ofthe provisions ofthe SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
The above said transcript has been uploaded attheCompany's website www.kajariaceramics.com
Kindly take theabove onyour records.
Thanking you,
For Kajaria Ceramics Limited
R.C. Rawat
COO (A&T) &Company Secretary
Encl.: Asabove
Kajaria Ceramics Limited
Corporate Office:)1/B1 (Extn.), Mohan Co-opIndustrial Estate, Mathura Road, New Delhi ·110044, Ph.: +91-11-269464091
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Kajaria
"Kajaria Ceramics Limited
Q2FY2024 Earnings Conference Call"
October 20,2023
Kajaria ®@eoulrus
MANAGEMENT: MR. ASHOK KAJARIA -CHAIRMAN &MANAGING
DIRECTOR -KAJARIA CERAMICS LIMITED
MR. CHETAN KAJARIA -JOINT MANAGING DIRECTOR
-KAJARIA CERAMICS LIMITED
MR. RISHI KAJARIA -JOINT MANAGING DIRECTOR-
KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL -CHIEF FINANCIAL OFFICER
-KAJARIA CERAMICS LIMITED
MR. NEHAL SHAH -DVP STRATEGY -KAJARIA
CERAMICS LIMITED
MRS. PALLA VIBHALLA -GM INVESTOR RELATIONS -
KAJARIA CERAMICS LIMITED
ANALYST: MR. PRANAV MEHTA -EQUIRUS SECURITIES

Moderator:
Pranav Mehta:
Ashok Kajaria:
Ladies and gentlemen, good dayandwelcome toQ2FY2024 Earnings Conference Call for Kajaria Ceramics Limited hosted byEquirus Securities. Asareminder allparticipant lines will beinthelisten-only mode and there will beanopportunity foryou toaskquestions after thepresentation concludes. Should you need assistance during theconference call please signal anoperator bypressing "*,, then "0" onyour touchtone phone. Please note that theconference isbeing recorded. Please note that certain statements made bythe management may beforward looking within themeaning ofapplicable laws andregulation. Actual result might differ substantially from those expressed orimplied. Kajaria Ceramics Limited will notbeinanyway responsible foranyaction taken based onsuch statement. I now hand theconference over toMr.Pranav Mehta. Thank you andover toyou Sir!

Good evening, everyone. Thank you forjoining this call. Today wehave with usthe management ofKajaria Ceramics Limited. From themanagement side wehave Mr. Ashok Kajaria, CMD; Mr. Rishi Kajaria, JMD; Mr. Chetan Kajaria, JMD; Mr. Sanjeev Agarwal, CFO; Mr. Nehal Shah, DVP Strategy and Mrs, Pallavi Bhalla, GM Investor Relations. Without wasting much time, Iwill hand over thecalltoMr.Ashok Kajaria forhisopening remarks after which wewill open upthefloor forquestions andanswers. Sirover toyou.
Thank you Pranav. Good evening everyone. You have already made theintroduction soI will notdothat again. We must acknowledge theongoing challenges inthedomestic tile market asthedemand continues toremain weak. InQ2FY2024 our volume showed a modest year-to-year growth of6.23% reaching 26.47 million square meters. The consolidated revenue forthequarter amounted toRs.l122 Crores reflecting a4%increase compared tothesame period lastyear. Our EBITDA margin strengthened exceeding 16% a notable improvement from 12% inQ2ofFY2023 primarily duetoreduction infuel costs. While first half of2024 witnessed weaker demand than anticipated wehave observed a gradual uptake involume since September. Furthermore weexpect afavorable shift inthe demand environment driven bythepositive impact ofthehealthy growth inthereal estate sector. This outlook augurs well foranimprovement involume growth insecond half of FY2024.
We arepleased toannounce asuccessful commissioning oftheSikandrabad and Gailpur modernization cum expansion projects. These projects hold great promise forourfuture growth. InAugust 2023 wecommissioned 3million square meters ofGVT capacity in Sikandrabad followed bytheexpansion cum modernization ofourceramic tilecapacity by 1.92 million square meters atGailpur inSeptember 2023. These newly operational facilities allow ustoproduce larger tiles while achieving energy efficiency due toadvanced killns technology. The recent commissioning ofthese projects signifies apositive step forward for ourgrowth trajectory.

Pranav Mehta:
Moderator:
Rahul Agarwal:
Ashok Kajaria:
Ontheexport front India isbecoming aninevitable production hub forglobal exports. Being thelowest cost producer intheworld, India's exports grew 25% toapproximately Rs.l6000 Crores inFY2023 which islikely toreach Rs.20000 Crores toRs.21000 Crores in FY2024 ascompared toRs.l2750 Crores inFY2022. India exports accounted for15% of theworld's total tileexports. Ifthecurrent trend ofIndia's tileexports continues, India may aimtowards becoming theworld's largest tileexporter involume terms byFY2025.
Now forthis quarter's fmancial performance, InQ2FY24, thecompany achieved a4% year-on-year increase inconsolidated revenue from operations, reaching n,122 crores compared ton,078 crores inQ2FY23. Despite thechallenging market conditions, the bathware segment performed well, registering anotable 15% increase inrevenue during Q2FY24, reaching ~85 crores compared to~74 crores inQ2FY23. The plywood revenue increased by21%during Q2FY24, to~23 crores ascompared ton9crores inQ2FY23. Revenue from theAdhesive grew by35% ton3 crore inQ2FY24 ascompared tono crore inQ2FY23. PAT fortheyear grew by55% ton08 crore inQ2FY24 ascompared to ~70crore inQ2FY23. Asof30th September 2023, theworking capital days decreased to53 days from 62days asof30th June 2023.
Looking forward, weremain steadfast inour commitment toour growth strategy. This strategy entails acontinued emphasis onexpanding our reach insmaller towns and introducing innovative products. We are confident that our strong foundation and unwavering commitment toexcellence will sustain our success inthequarters tocome. With this Itake theopportunity ofthanking you allforjoining ustoday inspite ofabusy schedule. Over toyou Pranav!
Thank you Sir! Operator wecanopen upthefloor forquestions andanswers.
Thank you very much. We will now begin thequestion and answer session. Ladies and gentlemen wewill wait foramoment while the question queue assembles. The first question isfrom thelineofRahul Agarwal from InCred Capital. Please goahead.
Good evening Sirthank you fortheopportunity. Myfirst question essentially anything you would like toputasarevised guidance fortilevolume growth and revenue growth and margins forthisyear?
Seetwo things asIsaid earlier every quarter will bebetter than theearlier one andthat is what wearetalking about. Weare looking atapositive scenario forQ3and Q4should be better than Q3.Asfarasrevenue guidance itislinked tothegrowth ofvolume andasfaras margins areconcerned wearekeeping that at14% to16% butwewill beattheupper end

that much Icanassure you because even ifyou seethe6%volume growth inthis quarter

Rahul Agarwal:
Ashok Kajaria:
Rahul Agarwal:
Ashok Kajaria:
Rahul Agarwal:
Ashok Kajaria:
Rahul Agarwal:
Ashok Kajaria:
Rahul Agarwal:
Moderator:
Sonali Salgaonkar:
Ashok Kajaria:
7%intheQIwehave been able toachieve this 16% margin. Ithink going forward itshould beslightly better that istheway Ilook atit.
Got itSirand secondly onthefuel pricing ifyou could help uswith the2Qaverage and outlook forsecond half ofthisyear?
AsfarastheQ2isconcerned thetotal ifyou take alltheplants itisabout Rs.38 andgoing forward itwill bemore orless same plus orminus Rs.l because asyou allknow brent has slightly increased intheinternational market soitshould beaplus orminus Rs.l like that butatthesame time since weareusing biofuel soweareconfident that itwill notgo beyond it.
The regional breakdown ifitispossible fortheNorth, South, andWest?
Gas isRsAO inNorth, Rs.38 inSouth, West isRs.33 andaverage isabout Rs.38 forQ2.
Got itSirand lastquestion thesavings from power and fuel Ithink itwas expected tobe about Rs.150 Crores forthefullyear how much was that infirst half, isitequal like isit Rs.75 Crores?
No, itshould beslightly better than that. Iwould sayslightly better and part ofitwill be passed ontothetrade asIsaid earlier.
Yes Iamaware ofthat Sirsointerms ofpassing ontothetrade butshould belike Rs.80 Crores toRs.85 Crores isit?
Approximately.
Thank you somuch Sir.Iwill come back inthequeue. Allthebest.
Thank you. The next question isfrom theline ofSonali Salgaonkar from Jefferies. Please goahead.
Sirthank you fortheopportunity. Myfirst question isregarding thecapex anyrevision in theguidance forthecapex ordowehold toourguidance oflastquarter?
The capex guidance remains thesame Ithink thisyear weshould bespending close toabout Rs.370 Crores inFY2023-FY2024 and going forward Ithink itshould beabout Rs.200 Crores toRs.250 Crores every year forthenext three years.

Sonali Salgaonkar:
Ashok Kajaria:
Sonali Salgaonkar:
Ashok Kajaria:
Sonali Salgaonkar:
Ashok Kajaria:
Sonali Salgaonkar:
Ashok Kajaria:
Sonali Salgaonkar:
Ashok Kajaria:
Rishi Kajaria:
Sonali Salgaonkar:
Understand. Sirsecondly ontheexport front you actually gave avery good summary of how India isfaring well asalow cost producer soanyanyupdates ontheQ2exports how much have wegrown andwhich arethenew markets that wewill becurrently targeting?
You seetotal first sixmonths exports arefrom India isabout Rs.l 0000 Crores plus.
Got itSir.Siranyrelevant pricing actions inQ2that wehave seen ineither tiles orsanitary ware?
Any.

Any pricing action pricing price hike orreductions.
Prices asIsaid earlier also theprices persedonotgetreduced butwepass oncertain benefits tothetraders orthedealers tosellmore basically that iswhat hasbeen market.
Any relevant pricing actions across your product portfolio, any segment where you have increased orprobably rolled back theprices?
Right now there hasbeen noprice increase inanysegment. Nochange assuch.
Got it.Sirjust one lastquestion inyour starting commentary you said that demand isabit weak soifyou could help usunderstand where isthis weakness primarily coming from, is thisurban driven orTier-2 orTier-3 rural driven?
Seeallofyou have been saying that real estate hasbeen good forthelasttwo years which weaccept, now what hashappened isfirst year asIsaid earlier they have sold their old inventory what was there, second year thenew construction started. Our demand hasstarted coming now asIsaid September has been better than last five months and things are looking positive. First they use steel and cement and allkinds ofthings formaking the building cables andallthat, now atime hascome where they will beusing thefmishing end where thetiles, sanitary wear, plyand allkinds ofthings will come and paints and allthat allwill come insothat isascenario which isnow emerging andIthink itshould bebetter from here.
Now weareseeing thedemand coming inthereal estate sector sogoing forward things are going tobemuch better.
Iunderstand. SirifIamcorrect your revised volume guidance was 11% to13% isthat right forthefullyear?

Ashok Kajaria:
Sonali Salgaonkar:
Moderator:
Shubham Aggarwal:
Moderator:
Onkar Ghugardare:
Ashok Kajaria:
Onkar Ghugardare:
Ashok Kajaria:
Onkar Ghugardare:
Ashok Kajaria:
No, wearenotsaying that. What wearesaying isseeQIwedidthevolume growth of7%, Q2wedid6%. What wearehonestly saying iswith themarket looking upQ3will be definitely better than first andtwo andQ4will bebetter than third soifyou average itoutI think itshould beclose toabout 9%to10%. Ithink that iswhat weshould look at.
Understood Sir.Right that isallfrom myside. Thank you.
Thank you. The next question isfrom theline ofShubham Aggarwal from Axis Capital. Please goahead.
Thank you fortheopportunity. Myquestions have been answered thanks.
Thank you. The next question ISfrom the line ofOnkar Ghugardare from Shree Investments. Please goahead.
Myquestion was regarding thevolume growth earlier you targeted was around 15% to20% atthestart oftheyear sonow you arerevising itto9%to10% soanycomments onthat?
We never give aguidance of15% to20%. What wegave guidance was 13% to15% in volume terms atourday conference when wedidourannual results. You arealso aware what ishappening intheindustry itisnotthat Kajaria hastodosomething which isbeyond expectations, results have started coming from many multinationals, they allaresaying that themarkets have been very tough soarewe. Looking atthecurrent scenario, wehave revised ourtarget andhave just shared it.
Sojust now you shared that now things have started inforthetilesector asearlier thecable andwire sector orother sectors aredoing well sohow confident areyou about thisrecovery which will betaking place astheresults from other players have been very strong other players intheother relevant industries toreal estate?
Don't give ageneral statement. Talks about aspecific industry where theresults have been good. Wearealso aware ofwhat ishappening.
Iamtalking about infrastructure; Iamtalking about cables andwires.
AsIsaid earlier cables and WIres are being used atthe time ofconstruction. Post construction tiles, sanitary ware, paints, and plywood, allthese things come in.Asfaras ASTRAL isconcerned you said they arealso catering toagriculture sector anddonotforget agriculture isdoing very well inIndia. Sodonotmix that. Seeyou should compare anapple toanapple Iwould saythat.

Onkar Ghugardare:
Ashok Kajaria:
Onkar Ghugardare:
Moderator:
Sneha Talreja:
Ashok Kajaria:
Sneha Talreja:
Ashok Kajaria:
Sneha Talreja:
Chetan Kajaria:
Sneha Talreja:
Ashok Kajaria:
Sneha Talreja:
Moderator:Kajaria Ceramics Limited
October 20,2023
SoIwas asking about thesame thing how confident areyou that since theallied industries aredoing?
What wearesaying isintheconsolidated sixmonths wehad avolume growth over 6%to 7%and going forward itwill bebetter than that. Things arelooking upnow, things are looking better andnext sixmonths aregoing tobemuch better than thefirst sixmonths.
Alright. Thank you.
Thank you. The next question isfrom theline ofSneha Talreja from Nuvama. Please go ahead.
Good evening Sirandthanks alotfortheopportunity. Just two questions from myendthat isrelated toyour, one isemployee cost wehave seen sudden increase inemployee cost jump, anyspecific one-off orwill itbenow thenew runrate?
Itissome provision ofincrement intheQ2.
Itisprobably thisrunrate basically cancontinue forfullyear considering these increments will stay here?
Yes sothenext quarter isgoing tobesimilar toQ2slightly maybe very slightly higher than QI,you cantake employee cost inQ3andQ4what wehave shown inQ2.
Understood Sirand secondly Ijust wanted tounderstand what hasbeen theadd spend for first half aswell asQ2?
Sowespent roughly Rs.l08 Crores last year and wespent Rs.60 Crores inthefirst six months. Our target istoincrease this and have atotal spend ofRs.130 Crores toRs.l40 Crores forthefmancial year ending 2023-2024.
Sothesecond half with volumes improving there you will seeaggressive happening?
Correct.
Understood. Thanks alotandallthevery best toyou.
Thank you. The next question isfrom theline ofDhananjay Kumar Mishra from Sunidhi Securities. Please goahead.

Dhananjay Kumar M:
Rishi Kajaria:Kajaria Ceramics Limited
October 20,2023
Thanks fortheopportunity. Just wanted toknow wehave done growth wehave done in terms ofvolume 6%to7%sofrom where thisdemand iscoming, whether itiscoming from replacement market upgradation ormore coming from new builders sodoyou have any estimate ofthat andwhat kind ofgrowth inboth thesegment ishappening asofnow?
Aswesaid, thefirst sixmonths was 6%to7%andthenext sixmonths will better interms ofvolume. And thegrowth iscoming from everywhere ingood proportion mainly from Tier-2 and Tier-3 cities where new houses arebeing built. Metros aremore forrenovation basically that istheoverall scenario. Dealers areopening more showrooms and stores in Tier-2 and Tier-3 cities. Sowearelooking atamuch higher volume growth from smaller towns.
Dhananjay Kumar M: Then incremental demand will coming once asyou said that weareexpecting good demand once theproject will come incompletion stage right?
Company Speaker: Right.
Dhananjay Kumar M: Thank you Sir.
Moderator: Thank you. The next question isfrom theline ofAkash Shah from UTI Mutual Fund.
Please goahead.
Akash Shah:

Ashok Kajaria:
Akash Shah:
Ashok Kajaria:
Akash Shah:Good evening. Thank you very much fortheopportunity. Ashok jijust wanted toasksowe aresort ofincreasing ourfootprint ininternational market like letussayDubai andalso we had setupaNtosell products inUK market soany sort ofthoughts whether arewe willing toramp upourexport sales oritwould still remain small intheoverall scheme of things?
Seeoverall wearevery, very strong inthedomestic market. Export will always beasmall percentage ofour overall sale. Byopening ashowroom inDubai and byopening a showroom inLondon wearetrying toseehow wecangetsome share oftheexport market and increase ourexport sales. Itwill beaslow andgradual process, butweareputting our effort togetsome share ofthemarket.
Sure, andwewill beselling product tiles inourown brand name, right?
Absolutely because Kajaria products arebeing sold inDubai orLondon.
Sure andjust sorry Imissed that part soweshared thegascost region wise sowhat was the number forWest andSouth?

Ashok Kajaria:
Akash Shah:
Moderator:
Amit:
Ashok Kajaria:
Amit:
Ashok Kajaria:
Amit:
Ashok Kajaria:
Amit:
Moderator:
Parv:
Company Speaker:
Parv:
Ashok Kajaria:
Parv:
West is33andSouth is38andnorth is40andaverage is38.
Sure thank youvery much.
Thank you. The next question isfrom thelineofAmit from Elara Capital. Please goahead.
Good evening. Thank you forthis opportunity, Sir. SirIwas saying that Ijust wanted to know you have been talking about getting into smaller towns aggressively and you also highlighted Tier-2 andTier-3 markets Ijust wanted toknow ifyou could share what would betherevenue split like ifpossible orthedealer split like ifpossible, forour existing current dealers orourcurrent revenue?
Seecurrently metro isabout 15% to16%, Tier-l what wecallitisabout 30%, Tier-2 would beabout 30% andTier-3 will bethebalance, Tier-4 will behardly 2%.
Soourexpansion plan arewelooking atTier-4 orarewesaying Tier-3 andTier-4?
Tier-2 andTier-3 will bethearea where themajor construction ishappening andpartly into Tier-4 aswego.
Interms ofour distribution current mix what would itwill, itshould besimilar tothe revenue mix right?
Yes itwill besimilar totherevenue mix.
Thank you Sir.
Thank you. The next question ISfrom the line ofParv from Niveshaay Investment Advisory. Please goahead.
Sircanyou please share thesplit ofrevenue between tiles, bathware andadhesive andtheir respective margins?
Forthelastsixmonths?
Yes.
Tiles is90%, bathware is7%, plywood andadhesives together is2%to3%.
The respective margin?

Ashok Kajaria:
Parv:

Rishi Kajaria:
Parv:
Rishi Kajaria:
Parv:
Rishi Kajaria:
Parv:
Ashok Kajaria:
Parv:
Ashok Kajaria:
Parv:
Ashok Kajaria:
Parv:
Ashok Kajaria:
Parv:

Sotiles isabout 16% EBITDA, bathware isbout is9%EBITDA andplywood isnegative margin.
How doweseethebathware demand coming upyou didgive some good guidance ontiles?
Sobathware market forusfirst half grew about 16%, thenext sixmonths aregoing tobe much, much better than thefirst sixmonths sowearelooking atablended growth of20% plus fortheentire year.
This isinthebath ware alone?
This isthebathware segment yesbathware andsanitary arecombined.
Allcombined wewill seeavolume growth of9%to10% right?
No,tiles wearetalking about 9%to10%, forbathware wearetalking about 20% plus value growth.
Can you please share thedealer numbers asonSeptember 30,2023?
For?
Number ofdealers you hadguided 150additions thisyear areweontrack onthat?
We arevery much. Right now, thecurrent noofdealers isabout 1950. We started with 1840 current status is1950.
Majority areinT2andT3cities?
Nothey areinmetro andallover India. How canthey only beinTier-2 andTier-3.
Sorry Imissed?
They areallover India. Kajaria issitting allover India metro, Tier-I ,Tier -2,Tier-3 and partly Tier-4. The addition will also beallover butoutof110dealers which wehave added you cansayabout 35areexclusive Kajaria.
Thank you Sir.
Thank you. The next question isfrom theline ofLavanya Tottala from UBS. Please go ahead.

Lavanya Tottala:
Ashok Kajaria:
Lavanya Tottala:
Ashok Kajaria:
Lavanya Tottala:
Moderator:
Ronald Siyoni:
Ashok Kajaria:
Ronald Siyoni:
Ashok Kajaria:
Ronald Siyoni:
Sirthank you fortheopportunity. Most ofmyquestions areanswered. Just wanted tocheck onother expenses even other expenses saw aspike inthis quarter soanything one offor with higher outsourced itisatahigher rate?
Wecannot hear youproperly. Itismainly because ofadvertisement expenses.
Soitwill behigher forthenext half also with increased?
Itwill besimilar towhat wehave shown inQ2. There will notbethesame increase inQ3 what wehave shown between QIandQ2.
Got it.Thank you Sir.
Thank you. The next question isfrom theline ofRonald Siyoni from Sharekhan. Please go ahead.
Good afternoon Sir.SirIjust wanted aperspective ontheIndian tileexports market soas

you said that India ispoised tobecome thelargest tileexporter byFY2025 soisitthat only thelower gasprices compared toglobally iswhat domestic exporters aregetting benefits of orarethere any other benefits compared toother Southeast Asian countries Imean tosay during COVID andafter just before theCOVID theglobal gasprices were much higher so versus what arethepros and cons with respect tothis cost versus the Southeast Asia exporters?
Seegasprices what they aretoday arealso there internationally. Indian manufacturers are paying whatever areinternational prices. Last year ifItake you back inthecalendar year 2022 gasprices Europe were 8Xand lOxand India was about 1.5x and 2xbutright now everywhere istheprices have come down more orless 2XorIX. India per share has become very competitive and the credit goes toMorbi because there arealmost 600 manufacturer there and outofthat you can seeabout 120 arefocusing mainly onexports because weareavery competitive producer asacountry sothat iswhy ourexports are picking upandlooking forward Ithink wehave afeeling that itshould gofurther upasthe time passes.
Sothis isavery sustainable trend that exports would continue because thegasprices are comparable?
Exactly.
Thank you very much Sir.

Moderator:
Nikhil Agarwal:
Pallavi Bhalla:
Nikhil Agarwal:
Pallavi Bhalla:
Ashok Kajaria:
Nikhil Agarwal:
Pallavi Bhalla:
Ashok Kajaria:
Nikhil Agarwal:
Ashok Kajaria:
Nikhil Agarwal:
Moderator:
Mohit Agrawal:
Thank you. The next question isfrom theline ofNikhil Agarwal from VTCapital. Please goahead.
Good evening Sirandthank you fortheopportunity. Ihad acouple ofyears ofquestions. In Q2your realization forsubsidiaries has gone upand outsourcing has gone down quite significantly soanyreason behind that?
Nikhil there issome mistake from ourend. Revenue from oneofthesubsidiaries gotadded intheoutsourcing revenue. Now wehave corrected thenumber and going forward this is going tobethetrend.
SotheQ2numbers that arereported those arecorrect right?
Yes soevery number inthisearning release iscorrected andnow thisgoing tobethetrend. Wehave regrouped thenumber fortheprevious quarter tomake itcomparable with theQ2.
Got itand one more question itwas like onthegascost, gascost asapercentage ofthe topline and asapercentage ofoperating expenses they have increased quarter-an-quarter while you said that your average cost was 38inQlitwas 39ifIamnotwrong solikewhat could bethepossible reason?
No, soithasgone upslightly because oftheslight increase inthepower cost. Inoneofour units inRajasthan there aresome changes intheduty, and ithasincreased thepower cost slightly andgascost ismore orless same.
Soifyou look atproduction aswell thecapacity utilization inQ2ishigher than QIsothat isthereason thepower cost hasalso gone upquarter-an-quarter.
Got it.Your capacity utilization inQ2would bearound 95% plus ifIamnotwrong?
Yes.
Got it.That isitfrom me. Thank you somuch.
Thank you. The next question isfrom theline ofMohit Agrawal from IIFL Securities. Please goahead.
Thanks fortheopportunity. Sirjust one question canyou quantify thevolume growth for themonth ofSeptember andifpossible could you give some color onOctober 15days also thedemand side?

Chetan Kajaria:
Mohit Agrawal:
Moderator:
Jenish Karia:
Rishi Kajaria:
Jenish Karia:
Ashok Kajaria:
Jenish Karia:
Ashok Kajaria:
Jenish Karia:
Ashok Kajaria:
Company Speaker:
Jenish Karia:
Moderator:
Ritesh Shah:
September was roughly about 9%andfrom October things should bealittle better.
Should belittle better. Thank you Sir.
Thank you. The next question isfrom thelineofJenish Karia from Antique Stock Broking. Please goahead.
Solast year wewere saying that Morbi would take annual shutdown soISthere any shutdown planned during theQ3from Morbi?
Wewould notknow. You should asksomebody inMorbi wewould notknow that.
Ithought you might beaware because wehave Nsnoproblem.
Our JV's have nottaken any shutdown. Last year also when they had shutdown, wedidnot take anyshutdown.
Sure Sirthat helps. Secondly Sirifyou could just reiterate thecapex guidance forFY2024 andwhere would webespending itinthesecond half?
Sowespent roughly Rs.51 Crores intheGailpur modernization, SKD was Rs.IOO Crores plus, theNepal project isRs.91 Crores andKerovit Global isroughly Rs.80 Crores andour corporate office will bearound Rs.50 Crores and Rs.26 Crores isthecapex maintenance andmiscellaneous will beanother RS.25 Crores that isRs.370 Crores forthisfinancial year.
Next year will beRs.200 Crores toRs.250 Crores each?
Yes correct. The next three years should bearound.
There isnomajor expansion plan asofnow fornext year.
That isallfrom mine. Allthebest forthefuture. Thank you.
Thank you. The next question isfrom theline ofRitesh Shah from Investec. Please go ahead.
Thanks fortheopportunity. Sirmyfirst question isonthis data pertaining toceramic world review what itsurprisingly indicates isthat India production and consumption actually in volumetric terms declined forCY2024 anythoughts over here that you would like toshare isthere something that oneshould read across?

Ashok Kajaria:
Ritesh Shah:
Ashok Kajaria:
Company Speaker:
Ritesh Shah:
Ashok Kajaria:
No, you arecorrect what ceramic world review says butitisactually forthecalendar year andwhen you look atthefinancial year because inIndia wedoitfinancial year andthat is where wehave updated theexport data also aspertheMinistry ofCommerce and ifyou look atthefinancial year wehave been flatondomestic volumes and exports have grown from Rs.l2500 Crores toRs.l6000 Crores. Overall industry hasbeen very tough lastyear forcalendar year 2022 ifyou can seetheceramic world review data worldwide ithas degrown by9.6% because thefuel prices went upincertain parts oftheworld 8X, lOX and 2Xdepending onwhere you aresothat was areason butIthink everything hascome back toXormaybe maximum of1.5X sothat isthescenario. Sotheindustry overall oneshould also dobetter.
Right Sirsorry just todiginto itbasically itindicates 15% decline even ifitisCYhow should onebelieve thisnumber, isitsomething realistic?
Whatever they have given wecannot argue onthat butafter seeing that data when wewent tothefair inSeptember weconsulted alltheMorbi people also they also felt that the industry hasnotdegrown inspite ofashutdown lastyear. Please note that they have shut

down onemonth andsome oftheunits have, some oftheunits have notthey feltthat perse theproduction hasbeen flatyou cansaythat and some oftheproduction hasbeen diverted toexports. Part oftheproduction fordomestic was flatexports have grown up,sosome of that production went toexports.

Market share from Morbi.

That ishelpful. Sirsecond iswehave given our volume guidance but given wehave bunching upoffestivities thistime oftheyear, wehave Diwali andChhath Puja altogether sodoyou hear ordoyou worry about concerns around labor availability which canactually putaconcern onvolume growth andgiven there aremultiple state level elections arethere anyhistorical trends from which basically haslabor availability been aproblem orisitokay lifegoes on?

IfItake you back forthefirst five months except forthemonth ofJuly where there was excessive rainfall inNorth there were nomajor holidays still wecould not dovolume growth what welike todobutasyou know inlast sixmonths oftheyear ifyou take it historically forthelast 10years atleast thegrowth hasalways been better. Whatever you plan happens soholiday will always come, Diwali will always come either inOctober and November andChhath will bethere allthat. Elections persearebeneficial. Whenever local elections arethere ornational elections arethere there ismore work inthesystem. They try toclear more projects sothat work cantake place sobasically itispositive, positive and positive.

Ritesh Shah:

Ashok Kajaria:

Ritesh Shah:

Moderator:

Akash Shah:

Ashok Kajaria:

Akash Shah:

Chetan Kajaria:

Akash Shah:

Moderator:

Onkar Ghugardare:

Ashok Kajaria:

Onkar Ghugardare:

Ashok Kajaria:

Sure and lastly ifyou could give some comments onthepricing and discounting trends what wesaw inQ2andhow doyou seethat inQ3?

Whatever hashappened hashappened inQ2because thegasprices were like that. Slightly gasprices have went upbyRs.S onSeptember 1,2023, August 21,2023 and September 1, 2023 inMorbi butifyou look atthat nothing much should happen inQ3. Nothing much should happen asfarasthepricing isconcerned. Weare notlooking atanychanges.

Sure thisishelpful. Thank you somuch. Allthevery best Sir.

Thank you. The next question isfrom theline ofAkash Shah from UTI Mutual Fund. Please goahead.

Thank you very much forfollowup opportunity. Sirwehave recently seen that inplywood thecompany would beable togive abithigher loan tothesubsidiary soany sort of threshold limit that wehave thebroad amount thatwewill invest inplywood business?

Last year wedidRs.77 Crores turnover inplywood thisyear wearelooking at100plus and theloan limit wehave notfixed that tillnow. We look atapositive future going forward andthisalso should come down aswegoahead sowetake itasitcomes basically.

Sure Sirsoasofnow theplan istoinvest inthisbusiness asweseehuge opportunity inthis business?

Yes because theplywood industry size isRs.27S00 Crores inthecountry, organized isonly Rs.7000 Crores, unorganized Rs.20S00 Crores andtheGST coming inweseealotofshift from theunorganized totheorganized peers. Itisabigsize industry andwearehopeful of gaining some market share aswekeep onmoving forward.

Right sure Sir.Thank you very much Sir.

Thank you. The next question IS from the line ofOnkar Ghugardare from Shree Investments. Please goahead.

Ijust wanted toknow what isthecapacity utilization currently you areworking at?

Capacity utilization intheQ2is98%.

You said 98% right?

98%.

Onkar Ghugardare:
Moderator:
Allvallavhi Rumgta:
Ashok Kajaria:
Allvallavhi Rumgta:
Moderator:
Udit Gajiwala:
Ashok Kajaria:
Udit Gajiwala:
Moderator:
Ashok Kajaria:
Thank youvery much.
Thank you. The next question isfrom theline ofAllvallavhi Rumgta from Robo Capital. Please goahead.
Sirmyquestion relates tothegassowhen canweexpect theimpact ofnatural gastobe corrected?
Natural gasislinked toBrent andweareallaware Brent prices have gone uprecently ithas touched ashigh as$97. The prices ofgasforusinNorth would have been much higher but fortunately since weareusing biofuel wearesafe bythat sothat iswhat wesaid thecurrent price oftheQ2was Rs.38 average. ForQ3wearelooking atalmost thesame scenario plus Rs.l max because otherwise itcould have been much much higher sothat isascenario so that iswhere weareright now.
That was very helpful.
Thank you. The next question isfrom theline ofUdit Gajiwala from Yes Securities. Please goahead.
Sirjust onequestion earlier you had mentioned that there arenonew capacities coming up inMorbi butofflate weareseeing some signs offresh investments coming inover there from thesmaller unorganized players sodoweseethis asthehindrance oryou would attribute thesame fortheexport growth?
No, ourinformation also saythat almost 25to30plants arecoming inMorbi butmainly they will beforexports. You areabsolutely correct there are25to30plants coming good size plants arecoming Iwas told and mainly forexports because export market isreally picking upsothey have they want abigger share andbetter share ofthat pie.
Got it.Thank you Sir.Thank you soandallthebest.
Thank you. Ladies and gentlemen that was thelastquestion fortoday. Iwill now like to hand theconference over toMr.Ashok Kajaria forclosing comments. Please goahead Sir.
Thank you very much forallthepeople who have joined ustoday and spending their available time. Ihope webeen able toanswer few ofthequestions that they have puttous and any further questions canbesent toourteam ofSanjeev, Nehal and Pallavi formore answers. Thank you very much forjoining ustoday. Thank you.

Moderator:
Thank you. Onbehalf ofEquirus Securities that concludes this conference. Thank you for joining us.You may now disconnect your lines.

Call: Feb 2024

February 05, 2024

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India L imited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated January 31, 2024, informing about the uploading of the audio recording of the Conference Call held on January 31, 2024 , we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your records .
Thanking you,

For K ajaria Ceramics Limited

R.C. Rawat
COO (A&T) & Company Secretary

Encl.: As above

"Kajaria Ceramics Limited
Q3 FY24 Earnings Conference Call"
January 31, 202 4

MANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN AND MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. CHETAN KAJARIA – JOINT MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. RISHI KAJARIA – JOINT MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL – CHIEF FINANCIAL OFFICER – KAJARIA CERAMICS LIMITED

MODERATOR : MR. ARUN BAID – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY24 Earnings Conference Call of Kajaria Ceramics Limited hosted by ICICI Securities . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal an operator by pressing star the n zero on your touchtone phone.
Please note that this conference is being recorded. I now hand the conf erence to Mr. Arun Baid . Thank you, and over to you, sir.
Arun Baid: Good evening, ladies and gentlemen. On behalf of ICICI Securities, I welcome you all to the Q3 FY24 post con call result of Kajaria Ceramics. From the management side, we have Mr. Ashok Kajaria, CMD; Mr. Chetan Kajaria ; JMD; Mr. Rishi Kajaria , JMD; and Mr. Sanjeev, CFO. Now I hand over the call to Ashok ji for h is opening remarks, post which we 'll have the Q&A. Over to you, Ashok ji.
Ashok Kajaria: Thank you, Arun. Very good evening to eve ryone. It gives me great pleasure to welcome you to the quarter three '24 earnings conference call of Kajaria Ceramics Limited. Joining me on this conference call are my sons Chetan and Rishi; my grandson Kartik Kajaria; our CFO, Sanjeev; Nehal Shah, DVP, Strategy; and Pallavi Bhalla, GM, Investor Relations.
Considering the privilege and sustained demand changes in the tile indu stry, the tile volumes continue to remain muted in quarter three '24 as well. Our volumes executed a modest year -to-year growth of 6%, reaching 27.09 million square meters. Even though Gujarat gas price increased by 17% since August '23, the Morbi manufacturers have not taken any price hike.
Despite the existing challenges, we maintained a positive outlook for the tile industries' demand in FY25. Considering the likely rub -off of strong real estate demand to drive improvement in offtake for tiles in financ ial year '25, we are confident of achieving better than industry growth going forward, driven by our extensive and relentless bran ding and distribution efforts.
The consolidated revenue for the quarter amounted to INR1,152 crores, indicating a 6% increase compared to the corresponding period last year. The EBITDA margin for quarter three stood at 15.52%, representing an increase of 332 basis points from the same quarter previous year.
The progress of our previously announced Nepal project is slightly delayed due to heavy rainfall in the last quarter. We n

ow anticipate commissioning of 5.1 million square meters of glazed vitrified i n ceramic capacity by June '24.
On the export front, India's tile exports have experienced a remarkable 49% growth, reaching more than INR12,300 crores from April '23 to October '23 compared to INR8,278 crores in the same period in the previous year. Our exports have slowed down post October '23, with the issues prevalent in the Suez Canal, leading to uncertainty in the region and sudden spurt in an

ocean freight. Once the situation eases in the Suez Canal, we hope the growth momentum and pickup.
Now for t his quarter's financial performa nce.
In quarter three '24, the company achieved a 6% year -to-year increase in consolidated revenue from operations, reaching INR1,152 crores compared to INR1,091 crores in quarter three , '23.
Tile segment grew by 3% year -to-year growth in revenue, reaching INR1,013 crores compared to INR984 crores in quarter three '23.
Bathware segment registered a 16% growth in revenue, reaching INR92 crores compared to INR79 crores in quarter three '23. The plywood revenue increased by 81% during quarter three '24 to INR34 crores as compared to INR19 crores in quarter three '23. Revenue from adhesive grew by 42% to INR13 crores in quarter three '24 as compared to INR9 crores in quarter three '23.
PAT for the quarter grew by 40% to INR104 crores in quarter three '24 as compared to INR74 crores in quarter three '23. As of 31st December '23, the working capital days increased to 60 days from 53 days as of 30th of September.
With this, I take this opportunity of thanking you for joining us toda y. Over to you, Arun, for Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. T he first question is from the line of Pranav Mehta from Equirus Capital.
Pranav Mehta: Sir, I wanted to understand your strategy on the tile adhesive business. So basically, what I

understand is that even Pidilite is seeing a very fast growth coming in from the tile adhesive
busine ss up there. So just wanted to understand how you are going forward into this business?
Ashok Kajaria: See, Pidilite is a very large company we can't compare Kajaria with Pidilite on that front as far as adhesives are c oncerned. Adhesives, we have just started about a year back. And now with Kartik coming in, we have handed over this division to him, so we are trying to increase the business. This year, we should be ending up with about INR50 crores.
Next year, we are targeting anywhere between INR75 crores to INR80 crores. And we hope this business should grow to INR200 crores in the next two, three years, that's what we are looking at because with the increasing users of tiles and the bigger size of tiles, adhesive mark et is g rowing bigger and bigger over a period of time.
Pranav Mehta: Sure, sir. And sir, my next question was related to your acquisition in plywood. So basically, now we are looking for an acquisition somewhere in North India. So, if you can throw some light on how you are going to move ahea d in this business now that we have been doing kind of a trading business for three to -- or last two, five years. And what is the strategy here going forward?
Chetan Kajaria: Hi Pranav, it's Chetan here, can you hear me?

Pranav Mehta: Yes, sir.
Chetan Kajaria: Okay , sir. Last year with turnover of INR77 crores in the plywood business. This year, it should end at INR100 crores, and the next year target is INR150 crores. The main reason for the ac quisition of the plywood plant in North India, we were facing lot of issues in suppl ies and quality because we were outsourcing a lot of small -small units in North and Central India. But now with the acquisition happening, there's a lot of stability in terms of quality and

supply
and we're very confident of hitting INR150 crores mark in this coming financial year '24 -'25.
Pranav Mehta: Okay, sir. And sir, anything you're looking at, let's say, in laminates as well? Or as of now, you'll be respecting this ac quisition towards plywood only?
Chetan Kajaria: This acquisiti on is only towards plywood and blockboards and doors. Laminates, we'll continue to trade and outsource only as of now.
Moderator: And the next question is from the line of Rahul Agarwal from InCred Equities.
Rahul Agarwal: Ashok ji, just first question on the capex . I think you announced a couple of plants into Morbi. I just wanted to understand this a bit more clearly. The 6 -MSM we're talking about in K TPL is a functional plant. And typically, f or a similar size, are we getting any benefits in terms of we doing it versus buying it?
Rishi Kajaria: Hi, Rahul, this is Rishi Kajaria . So yes, this plant is operational. We saw it both in the closed state and then we got it opened and lines were running. And it 's producin g a very good cost. And going forward into expanding our own plant in Morbi, we thought better to acquire this plant. We were getting a better volume, a more higher square meter at a very good cost.
Rahul Agarwal: So, this should add to our production starting immediately, is it?
Rishi Kajaria: Starting, April. It will take two months. There's some work to be done, some machinery to be upgraded. A very sm all co st. It will take about two months. And April, we're just trying to start sales from this plant.
Rahul Agarwal: Okay. Perfect. And secondly, on the KUPL, the INR30 crore s land buying, can you give some more details? This is for a large format tiles , right?
Rishi Kajaria: Sure. So going forward, some – looking export market and domestic market, we want to make some big tiles, which we're not able to make in the existing plants. So, for that, we bought this piece of land and in a target of 15 to 18 months, we plan to put up a factory for the slabs here. Both for exports and Domestic market which is going to come up in India. So, for that, we are making thi s. W e are buying the land because we're very bullish on the Indian market going forward. So, unless we have the land, you can't put a factory. So, we're buying the land right now for future expansion.
Rahul Agarwal: So, any number here in terms of capacity you're looking for, any capex numbers?

Rishi Kajaria: No, nothing right now. Let us get the land first. In the next three , four months, we'll make a paper and then we'll probably in the next meeting, we'll present all the details .
Rahul Agarwal: Okay. Got it. So, because it was about INR370 crores is what we were intending to spend this year, I think with the Morbi capex of INR80 crores, this number should go up. Could you give some kind of sense on capex for this year and next year, please?
Ashok Kajaria: See, this year capex , we have already said that's about INR370 crores. And next year, we will work out and share it at the next meeting after the fourth quarter.

Rahul Agarwal: Okay. So, this current investment of INR50 crores an d INR30 crores for the new plant is not part of the 320, right?
Rishi Kajaria: No, no, no, not yet. It's not capex it's an acquisition. So, I think the INR50 crores in acquisition capex ...
Ashok Kajaria: It's not part of it. It's an additional thing.
Rahul Agarwal: Got it. And Ashok Ji, what was the average gas price for North, South, West, please, for the quarter? And any changes today?
Ashok Kajaria: No, no changes. It is INR39 on an average for quarter three . And hopefully, it should continue at the same level in quarter 4.
Rahul Agarwal: Could you give a breakup if possible, North, South, West?
Ashok Kajaria: Sure, I can. Yes. North was 41, South was 42, West was 34 and average is 39.
Rahul Agarwal:

Got it, sir. And last, just to close, just some outlook on how do you see the full year like in terms of growth and next year, in terms of volume, pricing or margins, whatever you want to share, please?
Ashok Kajaria: Since we have already shared in presentation, we will grow 5% to 6% more than the industry, which we have been doing also for all these years if you look at it. And as far the margin is concerned, this year, we talked about 14% to 16%. We are at the -- more or less at the upper end. W e are about 15.5% plus for the nine months as usually maintained. And I think next year, if we do well, if things are okay, it should be anywhere between 15% to 17% because that 14% thing is out.
Rahul Agarwal: Okay. Got it.
Moderator: And our next question is from the line of Ritesh Shah from Investec.
Ritesh Shah: First on the North Sea thing that you indicated. So, does it have any impact on the gas that you procure? I think we have very attractive l ong-term pricing . So on a landed basis, is it likely to impact the cost curve? Or are we already h ave; how should we understand that?

Ashok Kajaria: No. Long -term gas is still expensive because it is based on 3 months average of brent/ and it's still expensive. When I'm giving you all these numbers, these are fuel cost: average cost of gas, biofuel or all other components. it's not a gas cost.
Ritesh Shah: Yes, fuel cost. So basically, the Red Sea would not impact. Basically, you indicated blended INR39, it is likely to remain at similar levels, this takes into account the poten tial risk on back of the ongoing disruption?
Ashok Kajaria: No, no, nothing has changed. Ongoing disruption if you see this year for the last two months -- 2.5 months now, this problem at the Red Sea. So, nothing has changed. Gas price is more or less on the same level.
Ritesh Shah: Perfect. And sir, y ou indicated since October, industry exports have actually reduced. So, in this scenario, are the Morbi guys putting material locally? Or have you opted to operate at lower utilization levels?
Ashok Kajaria: Question for me to answer because Morbi will know better, but some material has to come locally and some from production. The exact information will come from them. I'm not the right guy, but that's what market intelligence says ...
Ritesh Shah: Sure. And sir, lastly, on ply, how much is the amount that we paid for acquiring 51% stake? And if you could please , detail on the capacity as well?
Ashok Kajaria: The total amount invested is about INR42 crores to acquire 51% stake.
Ritesh Shah: And sir, capacity?
Chetan Kajaria: 2.14 million square meters, which is 80 trucks a month, the capacity is roughly 2.14 million square meters, which is roughly 80 to 85 trucks a month. And then full optimization -- optimum utilization up to INR90 crores to INR100 crores of revenue.
Ritesh Shah: Sir, sorry, I could not hear the capacity, I heard INR90 crores to INR100 crores?
Chetan Kajaria: The capacity is 2.14 million square meters, which is 80 to 90 trucks per month. And on full optimum utilization, the plant will generate a revenue of INR90 crores to INR100 crores per annum.
Moderator: And the next question is from the line of Sonia Kohli from Shri Money Matters.
Sonia Kohli: So, first of all, many congratulations for another splendid quarter. So, first question from my side is about, from where are they getting the major ity of our business? Is it from the renovation activities or the properties that have been newly constructed?
Chetan Kajaria: See it's mixed. The demand is mixed. It's a combination of both renovation and some new projects. But looking forward, we foresee that in future, we can get new projects much more.

Sonia Kohli: Okay, okay. Because of the infrastructure development

, right. And sir, second question is that -
- I want to know the approximate respective contribution of Tier 1 and Tier 2 cities. Both in the current performance and the future expectations?
Ashok Kajaria: In metro, it is close to about 20%. In Tier 1, it's close to about 30%. In Tier 2, it's about under 30%. In Tier 3, it should be close to about 15%, and Tier 4 should be about 5%.
Sonia Kohli: Okay. And we expect to continue thi s trend in future also?
Ashok Kajaria: No. The Tier 3 , Tier 4 over a period of next three years should slightly go up because that's where a lot of new construction is happening. So, I would say that Tier 3, Tier 4 should slightly do better.
Sonia Kohli: Understood. As my final...
Ashok Kajaria: Yes, please, please.
Sonia Kohli: My final question is about the industry as a whole. So currently, this industry is experiencing a boom. But what do we see in the coming time for this?
Ashok Kajaria: See, industry is passing through a tough time. Two reasons. you see, real estate has been good for the last two years, as you all have been saying. First year, what they did sold the inventory, which was locked.
Second year, new construction started, whereby they made these structure where cement, steel, cables and all that got used. Now is the time for our kind of industry like paint, tiles, sanitary ware, ply, all these will come in from now on. So, we hope that next three years should be good for the industry.
Sonia Kohli: Understood. Thank you so much and all the best.
Moderator: Thank you. And the next question is from the line of Achal Lohade from JM Financial.
Achal Lohade : My first question was with respect to the demand scenario. I know you've already partially answered, but have you seen some improvement in January or January also looks pretty much the same what it was in October, November, December months?
Ashok Kajaria: January has been equa lly tough. As we all know, North has been very cold with so much of fog in last 20 days . So, North market has been affected. West, South is more or less okay. East is okay, but North has suffered very badly due to weather, entire North, as you all know. So, January has been very tough. And I would say the quarter will also be tough. If we are looking at a scenario where Kajaria should grow at about 6%, 7% in volume terms for the quarter. But going forward, we are very positive that things should improve.
Achal Lohade : And how do we look at the lead indicators? I mean, yes, you did mention abo ut the real estate, but is there any green shoots, any particular indicator you're seeing that things are improving? Or how do we see...

Ashok Kajaria: It's too early to tell. I just told you that January has been tough. February and March will be more or less like this, where Kajaria should grow at about 6%, 7% in volume terms, maybe 7% in volume terms. But looking at that lead indicators, we will only know after the post budget, post-election where things should start looking up. So, I think we have to wait for another two months.
Achal Lohade : Got it. Sir, a related question. You did mention that you have outgrown the industry by five , six percentage points even in the past, and the same is expected to continue. So given the numbers, what we have reported for last few quarters, is it that the industry is kind of flat or seen a slight de cline? How do we look at this?
Ashok Kajaria: Absolutely. You are absolutely correct. The industry is flat. Two things I told in my opening remarks als o, gas prices have gone up much more by almost 17% from August onwards. Morbi has not even touched the prices. So , why? Because exports are down, the local market is down. So, looking at that, we have to see where to find the right balance, and more indications will come only around end of March.
Achal Lohade: Understood. Sir, the

second question I had was with respect to the pricing. Now if you look at the realizations for each of our three buckets, whether it is owned or subsidiaries or outsourced, we see a realization kind of being down Q -o-Q as well. So, is it purely the discount? Or is it purely the mix? How do we read this?
Ashok Kajaria: No. Prices, you are absolutely correct, prices have come down by 2% to 3%. And I would say we are lucky that the prices have only come down by 2% to 3%, looking at the overall scenario. Because as I just said, Morbi in spite of 17% increase in gas prices , normally they would have increased tile realisation . They have not touched the prices at all.
The prices per se has not come down. We have given more benefits to the traders to sell, which I've always said. Prices per se don't come down. We give benefit to the dealers so that they can sell more by some sort of scheme or something.

Achal Lohade: Got it. Sir, if I may ask one more. I'm sorry. If you look at what Morbi was, let's say, five years back and what it is today, you see that Morbi is far more competitive now given the players have become bigger, the Tier 2, Tier 3 players have become bigger and hence, I mean it may not re ally hurt Kajaria, but in the industry, do you see that Morbi is far more organized and hence, the possibility of any significant margins or significant growth is kind of getting reduc ed year after year?

Ashok Kajaria: See, two things you asked, and I will answer one by one. First, what has happened in Morbi? .Morbi has improved partially due to GST. Y ou know what was the situation six years back . Because GST just completed 6.5 years now, after first of July, that 6.5 years have been completed. They have par tially corrected themselves. And today, what is happening is more or less, people have come in GST.

There are some things going here and there, I'll not go into the deep side of it. But that process will further be c orrected maybe in a year or two years or so. But once it is corrected, definitely,

their share will come down . The organized sector, per se, will take some market share. That's number one. Number two, as far as their organization concerned, yes, they are getting better. They are puttin g better plants, and they are trying to do. But see, they are all local players, all based in Morbi. When you go all over India, like we are , or Soman i is, or Johnson is, then you have to do a lot of advertising and all that to build the brand, which is still far away. Couple of people are trying to emerge like Simpolo and Varmora, we a ll know.

But it's still far away because to make a national brand, you have to spend a lot of money on advertisement and placement of plants at other areas also, right now they are restricted to Morbi .

Sanjeev Agarwal : May I add some things, Achal. Achal, I think your question was whether the market is more advanced and competitive, the answer is yes. The product is concerned, their product quality, they are coming in a big sizes, that is correct. But in India, India is a very vast market. There is a brand conscious customer, there is a cost-conscious customer.

So, despite they are making the same type of tile, the same quality of tile, there is a segment in the country which will go for the brand even the products are similar. So -- so both will grow. I mean, they will continue to cater to the cost -conscious customers and branded players will continue to contact to the brand -conscious customer.

And going forward, there will be a situation where the gap between the branded and unbranded will shrink. And a lot of -- because of Indian people inspiration, a lot of peop le will turn towards the branded players. So, we are very confident the industry will move towards the branded player.

Achal Lohade: Got it. Sir, this is very helpful. Just one more que

stion, if I may. With respect to the fuel mix, the RasGas, Gujar at Gas, biofuel and propane, et cetera, coal for the quarter, sir?

Ashok Kajaria: I just shared our prices of INR39 blended for the fuel.

Achal Lohade: So, I mean, fuel mix in terms of the total fuel consumption, how much is propane -- sorry, how much is biofuel, how much is RasGas, how much is Gujarat Gas, because...

Ashok Kajaria: See, for North plants i.e Sikandrabad, Gailpur, we are using 30% as a biofuel. And overall scenario, you see the combination of biofuel , coal and this -- what you call propane is around 25% ove rall. Propane, right now, it's zero .

Achal Lohade: And the balance, 75% is gas and Gujarat Gas?

Ashok Kajaria: 75% is g as, yes. Gas consists of Ras Gas , other gases and Gujarat gas.

Moderator: And the next question is from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: Sir, you highlighted the margin guidance for next year, what sort of volume you are targeting?

Ashok Kajaria: Volume, we've already said that, and I think you must have listened while you are at the -- this listening that we will do 5% to 6% more than our competitors. And that's -- and that industry, I'm sorry, than the industry, and we have been doing this for years. And we are confident that industry will improve . Industry wi ll improve, our growth will go.

We cannot quantify at the moment, but we are confident that we will be growing 5% to 6% higher than the industry. If Industry will grow by 5%, 6% next year, we will be growing 12%, 13% like that.

Keshav Lahoti: But any sense like what sort of growth you are expecting for the industry, when is the demand revival, what sort of number...

Ashok Kajaria: It's too early to tell today, as I said, let's wait until March.

Kesh av Lahoti: Got it. What is the capex for the first nine months? And what sort of capex you expect in

FY25?
Ashok Kajaria: FY25, I already said that we will share with you in the next quarter results. And this year, it's about INR370 crores for FY24.
Ashok Kajaria: March '24 should be INR352 crores capex .
Keshav Lahoti: This is excluding Nepal.
Ashok Kajaria: Yes, Excluding Nepa l.
Keshav Lahoti: So last two questions from my side. One is on the slab plant. So, it's a normally less competitive market and the margins are higher. So once the plant ramps up, what sort of EBITDA margin you expect in this? And lastly, on the brands side, which is right now around 3% of revenue. Is it going to stay at the similar level? Or is it going to inch up going forward?
Ashok Kajaria: Starting with the first question, you asked on the slab plant. It's too early. Right now, as you said, that we're going to give this -- I think, in the next half of next quarter, we'll give you details as to what we plan to put and what is -- how it's going to be. And as far as the advertisement is concerned, yes, 3% is there, and it's only going to be more. I mean, we're going to be around that level, we're going to be spending on advertisement from our company.
Moderator: And the next question is from the line of Sneha Talreja from Nuvama.
Sneha Talreja: Good evening, and thanks a lot for opportunity. A couple of questions from my end. Firstly, on the demand front, I know you've already answered a lot. But just one clarity here, this kind of scenario that you're seeing right now, is the demand stood on completely broad -based, like region -specific or Tier 1, Tier 2 cities or whether i t be a replacement or new demand? Any sense on any of these parameters would help.
Ashok Kajaria: Going forward, we are more positive than what we are today, number one. Metro is more of a renovation , Tier 1, Tier 2, Tier 3 is more of a new construction. So, if you take it like that, it

will be new construction

will be close to about 75% and replacement, renovation will be about 25%.
But I also like to add for the benefit of the people that a lot of work is also coming from the government side. A lot of things are happening on education, and health sectors , a lot of work is coming from the states on that front. They are now with this new push towards new railway stations, push towards new airp orts, all this is going to add more to the demand because of the infrastructure spend being spent by the government.
Sneha Talreja: Understood, sir. Sir, secondly, on your new division, could you specify what are you exactly -- like what is the -- how is the distribution with respect to adhesives on plywood front? How is the distribution reached? What we understand is y our Bathware was something which were -- you were targeting our existing tile dealers. But what's happening with the plywood panel space? As well as adhesive’s part would be helpful.
Chetan Kajaria: First, I'll answer the adhesives part. Currently, our existing dealers are selling our adhesives, plus we're also hiring a new team from the market from the adhesive industry . In terms of plywood, the distribution network is totally separate. And the existing tile dealers do not sell plywood and laminate, the y have separate distri bution networks for that.
Sneha Talreja: Sir, lastly, while you mentioned a lot on the Morbi -based player, any comments on large brands looking at entering into tile industry, whether it be somebody like an L&T or somebody like -- we have been hearing even a couple of other players are in this industry. Any view there? What's the right to win or any su ch feedback would be helpful from your end.
Ashok Kajaria: We haven't heard anything like that. Number one. Number two, the key thing, as you all know, you se e number of dealers, the kind of dealers you have. See, to manufacture in the industry is much easy. To have the network of dealers is the most difficult part, which has been generated over a period of 35 years. So, I think any new guy coming in, I'm not talking about L&T. There are some sanitaryware people who also wants to come in, they come in, they get out, they come in and get out. So, I leave you to judge that, how it will shape up.
Moderator: And the next question is from the line of Mahek Talati from Yellow Jersey Investment Adviso rs.
Mahek Talati: So, a couple of questions, especially on the export side. So how has the Red Sea prices impacted the overall export market?
Ashok Kajaria: Exports have slowed down. November, December, January, the exports which are on an average of about INR18 crores, which is the data we gave you for the first seven months have come down to about INR1,300 crores. November, December, January, the exports have been to the order of INR1,300 crores each month. See the rates have really increased. I give you an example, container to UK was costing $600 in December. And today, it's costing $4,000. So, because of the high fee rates and the transit time, exports are down 40 days of year. The export -- transit time has increased in that part of area from 20 days to 40 days also. So, availability of shipping will be less, this will further be high if this problem continues.

Mahek Talati: So then -- can we expect this export demand to transfer that to domestic, which can result in oversupply and further decrease of prices going ahead?
Ashok Kajaria: I just answere d this in earlier this thing, two things will happen. Part of it will come to domestic, I don't say. Whereas, secondly, they will cut down in production because they can't sell everything to domest ic. And third, the moment the situation exists in that part of the world, they will again go back to export because exports is a pri ority to them for various reasons. And also, it's not easy for any brand to jus

t dump in the Indian market without any network since they've been exporting. So, there are no leverage, they are not...
Rishi Kajaria: And they have no brand. So, it is not a switch on and off button that you suddenly export, you suddenly dump in the domestic market, you're starting to export again. So, if your exports are going down, then you most probably reduce your production and you stop the plant.
Mahek Talati: Okay. And last, in terms of the two acquisitions. So, what are the capacities which we are expecting to come from KUPL and KTPL...
Rishi Kajaria: KTPL already mentioned, it's going to be 6 million square meters at our acquisition costs about INR50 crore s. And for KUPL, it's still very early. We're just buying land right now. And in the next three to four months or in the next quarter review, we will give you an outline as to what we are planning.
Moderator: And the next question is from the line of Anmol Grover from Albatross Capital.
Anmol Grover: I just wan ted to know what is the profitability for the bathware segment?
Ashok Kajaria: Bathware segment EBITDA is roughly about 8% for the first nine months. And I think by the time year -end, it would be between 9% and 10%.
Anmol Grover: Sorry, 9% and 10% for nine months?
Ashok Kajaria: No. So far for nine months, it has been close to 8% plus. And by the year -end, it will be close to between 9% to 10%.
Anmol Grover: Okay. Okay. All right. Is there any way you can bifurcate this between faucet and sanitaryware products?
Ashok Kajaria: More or less the same. It's more or less the same.
Moderator: And the next question is from the line of Arun Baid from ICICI Securities.
Arun Baid: We have seen you diversify from tiles to bathware, now getting to plywood, adhesives. Do you think our broad range is not done, or we still have more addition to think about?
Ashok Kajaria: We are diversified. We have only diversified to plywood . These are all related fields where the dealers said, you are already a big supplier of tiles to us. Why can't you give you r bathware and sanitaryware, which we started. And as I said in my various earlier meetings, 50% joined,

50% didn't joined because som e of the m were married to other brand like Jaquar or HSI or Cera.
And now in the last year, the dealer themselves said, we are using adhesives also. Why can't you supply adhesives to us? So, we have launched the brand name of Gres Bond by Kajaria. So, adhesives have been launched on those lines. The only diversification which we did was in the field of ply and laminates.
Arun Baid: Sir, do you think the portfolio is complete from that sense? Or there are more to come?
Ashok Kajaria: See the kind of growth we are talking about, unfortunately, it has not happened from the volume side or revenue side this year. I think the h ands are full for both my s ons, they are looking after the day-to-day things. And next three years, actually, we hope that we should grow much faster than what we have done. And we should focus on what we are already doing.
Arun Baid: On the wood front, particularly, we have gone into plywood, MDF is fast -growing segment there. Do we have plans for that segment too?
Ashok Kajaria: No. You see as far as ply is concerned, you all know that we have not made any money so far, we have lost money. So, first idea is to make money. And as Chetan said earlier, that we had to have this JV because of the quality problems because of the supply problems because they were small units who were supplied to this division. Now once this plant comes, then we should have stability. Next year, we are talking about INR150 crores. And still, we'll lose some money. Let me tell you in advance to the order of about INR6 crore s to INR7 crores. And next year after that, we should be able to breakeven. So that's w hat we are talking abo

ut. So as of today, what we have to do is to do our job well as far as ply is concerned so that we will be

breakeven at the earliest.
Arun Baid: Just one clarification here. My question was with regards to MDF because most of the guys who sell ply are looking at MDF also. So, I'm just trying to understand whether we have plans for MDF in the near future?
Ashok Kajaria: No, I already answered, you didn't listen , we are not looking at anything. The only growth is what we are doing, ply we will do by partly manufacturing, partly outsourcing. Laminates, as Chetan said, we will do by outsourcing.
Moderator: And the next question is from the line of Shubham Agarwal: from Axis Capital.
Shubham Agarwal: Just one small clarifi cation. You said the realization. So, we saw the realizations have dropped for you, 1% Q -o-Q. This is because though Morbi has not taken any price increases you said and we wouldn't have either, is this because of the product mix change? Or have we taken some price cuts? Or as you said, that we passed on additional benefits to the dealers which has led to lower realization?

Ashok Kajaria: No, I said two things. One, Morbi has not taken any price hike, yes, they have not taken. And our prices have fallen by 2% to 3% over a period of time. And t hey have not fallen as far as price is concerned, we have given that additional benefit to the dealers to sell more. So it could be in the quarter, we have given a discount of about 2% to 3%. And partly you see a 1% fall could be due to product mix.
Shubham Agarwal: Right. Sir, and given that you've said that the exports have also seen a downtrend, if I got the numbers right, you said INR1,700 crores was the run rate -- monthly run rate earlier until October, which h as decreased to INR1,300 crores since November. And since...
Ashok Kajaria: Yes, November, December, January is INR1,300 crores average per month.
Shubham Agarwal: Yes. So, since that has happ ened in some tile is being diverted to domestic markets, are you seeing an increase in competition?
Ashok Kajaria: Sir I have already answered this question twice . Anyways since you are asking again. And as we said, partly t hey have taken shut down which is much easier than what we can do, number one. And partly, as Rishi said just now, a few minutes back, that it's not easy that unbranded player comes and says you buy my products today and tomorrow, I'll not be there because I have to export. It doesn't happen in the trade, you know . The dealer has to run a shop, he is an entrepreneur. He has to take his wise decisions, whether I should have a onetime thing or I should continue doing my business. So, it doesn't happen like that.
Shubham Agarwal: Right. What I was asking was, have you seen a month -on-month increase in competition in January over December? Like would you be able to give some...
Ashok Kajaria: Nothing like this, nothing like this. You see , you are asking this question, you have seen the results of other building material companies, like Asian Paints, everybody is feeling still the market has been tough. So, we are not out of that. We are putting our best efforts . I can tell you. But what the market scenario is, as you all understand.
Moderator: The next question is from the line of Aasim from DAM Capital.
Aasim : One question on the Tiles realization. I think just taking your 9 -month volume and tiles revenue, the average number is just about 380 per square meter. Now given that pushing price hikes is hard unless everyone in the industry does it. I just want to know that how wil l mix improvement help this realization figure in the future? Can your upcoming capacities in GVT and large format tile basically mix improvement? Is there a case for the 380 figure to go to say, 395, 400 in the next couple of years?
Ashok Kajaria: See, the question which you as

ked is very valid and very important. Let me tell you about GVT then I'll tell you about ceramics also. Once value -added tiles increases, your realization per square meter will definitely come up, for example, it wil l take some market share of the existing players . And you th eir the price is much higher.

Similarly, ceramic also sell value -added products bigger sizes tile, the realization will go up. Price increase per se will not happen at least for some time that we are looking at. But value realization, the market is slightly improved .
Aasim : But I think product innovation has not really helped keep prices rather blended realization, higher for a longer time, but given that the competi tion has also been -- have been able to provide similar products in the past. So just that the 380 number going to 390 by 400, I just wanted to understand the degree of confidence behind.
I understand that theoretically it should go up. But the probability of that happening, is that like a decently high number as per you? Or would this still be like overal l a volume game?

Tiles volume growth will come in, blended realization may be flattish given the way the competition is?

Ashok Kajaria: You didn't underst and what I said. The market is moving gradually towards bigger tiles in the last three to four years. When these bigger tiles come in, they are priced higher as compared to these smaller tiles. So, the realization will , is not a resultant of how better I'm producing a good tile or the other guy is producing a slightly lower tile. Realization will come from more use of bigger tiles where the price s are higher . And at the end of the day, you will get a better per square meter realisation for that particular commodity, whether it's ceramic or GVT.

In PVT, also we have brought a lot of value -added products, bigger sizes, which some of them we are outsourcing and the value addition will also be looked upo n accordingly.

Rishi Kajaria : So yes, to answer your question, the company is moving towards value addition as we go ahead . And that's the reason of putting the continual plus lines also. That's the reason of buying the land also in future. So yes, it will take time because the market is flat, we have really not got any results this year, but maybe in future, definitely, we are looki ng at a very positive scenario.

We are also working on our distribution network and seeing how we c an display more and more of value -added tiles. So yes, the future looks good. We can't comment on the exact numbers what the realization will increase to, but yes, company is moving in that direction.

Aasim : Sure. And just one follow -up. I think to an earlier question, you did say that Tier 3 and 4, Tier four marke ts will grow faster. Will that have a negative bearing or would that not be material enough on the realization -- blended realization?

Ashok Kajaria: We are selling best of the tiles. People have a lot of money out there; they are showing interest to the tiles. I gave you an example, the showroom opened in Jhanjharpur and Darbhanga, they are state -of-the-art showrooms. Jhanjharpur is a population of 70,000. It's a Tier 4. Darbhanga, you can say Tier 3 .

And the guy over there has opened 15,000 square feet in Jhanjharpur exclusive Kajaria. In Darbhanga, he has opened 11,000 square feet exclusive Kajaria and all kinds of products are

displayed, all value -added products. People have money but they didn't know where to buy their product. They used to go to Patna to buy the products.

Moderator: The next question is from the line of Rahul Agarwal from InCred Equities.

Rahul Agarwal: Ashok j i, one question I had in my mind was on real estate. What we understand is premium luxury real estate is actually doing better a cross the countr

y, both if we track Delhi, Bombay, Bangalore, that's what it looks like, larger metro cities. Larger houses, people want more square footage, higher floors, in -built amenities, stuff like that.

Most of the discretionary companies, I know, you also mentioned Asian Paints and Havells they are looking at some kind of slowdown and everybody is hoping for a recovery to retail demand. Just wanted to get a sense, obviously, it has to tie up with this Tier 3, Tier 4 story of that mix actually getti ng better. And your exposure to metros, as you said, is over 20%. So, I'm not really sure whether this premium luxury kind of changes our business.

And coupled with this also is you mentioned infra demand from government airports, ports, railwa y stations and stuff like that. Would you -- since you sell everything through your dealers, how would you track that? What is Kajaria's penetration into, let's say, project side? And then on the retail side, does this premium luxury demand also help you? I'm just try ing to get a sense of whether this real estate demand actually will p lay out into our favo ur or not?

Ashok Kajaria: See, there are two things. You said metro. For metro, they require better tiles, good tiles, even larger tiles for which we are talking about putting up the plant of glazed vitrified and we already have products in glazed vitrified in bigger sizes, but even more bigger sizes.

As far as general construction is concerned, they're using all kinds of tiles. Be it ceramic, be it polished vitrified, be it glazed vitrified it doesn't make any difference.

It all depends on where you're making that property, number one. Number two, metro is a different story . Tier 1 is a different story. Tier 2 is a different story, Tier 3 is a different story, Tier 4 is a different story. India being a large country, all kinds of products are being used not from today, it will last for many years and will continue to do. See, when you talk about specifically that luxury is in demand. It's basically limited to cities.

When you go to Tier 1, Tier 2, Tier 3, Tier 4, it's again a normal scenario.

Rahul Agarwal: So, Tier 1 to tier...

Rishi Kajaria: Just to add in that, like Delhi, Bombay, Bangalore and all we supply directly to projects. Lot of these especially we supply directly to projects and can t rack what is happening. Even government projects , a lot of it is supplied directly so that we can track and they also wants to buy directly from the company. Some of them are very large -scale projects , so, they are through contractor . So, all our sales are not through dealers.

Rahul Agarwal: So, what my understanding was about maximum 10% is what you build directly to government or projects, right? Is that correct?

Ashok Kajaria: It's close to about 30% is the institutional sales. Yes, we always been saying 70% is through retail outlets that is a dealer outlet. And 30% is institutional sales. When you talk about the institutional sales, it is a two to three types. One, government projects where they want the billing directly or through a contractor, but company markets itself for that account. The n smaller builders where they want direct billing, but payment is not an issue. So, these are the two key kinds of things which we are targeting as far as institutional sales are concerned.
Rahul Agarwal: I mean your experience over the last 12, 15 months, where we're seeing a tough time, has this proportion changed in favo ur of institutional sales? I think that should have happened?
Ashok Kajaria: Institutional sales have improved. But in Kajar ia, the overall percentage is still low. Institutional sales, when you say government institutional sales have improved, and it will be more and m ore with the kind of government putting infr astructure. As I said earlier, two areas we are spending a lot of money is heal

th and education. And also, now a lot of business will come from airports, which they are trying to modernize.
From railway stations, which we are talking about . Like for Bombay and Lucknow, they are talking about modernizing the airport. So, these are the demands which will come over the period of next six months to one year. The projects are already on. And if you all recall, Modi ji has already sanctioned 500 railway stations across India to be modernized in the next three to four years.
So ultimately, tiles have to be used in all these places.
Chetan Kajaria: And our mix will remain about 75%, and 25% is projects because we're working in both the plants. So that proportion is more less the same even going forward, we feel it's going to be t he same.
Moderator: And the next question comes from the line of Utkarsh Nopan y from BOBCAPS .
Utkarsh Nopany: Sir, like if we see in December quarter, we operated at 101% capacity utilization. I'm talking about our old and subsidiary facility. And our capacity would increase by only 7% in FY25 with the help of the recent acquisition of 6 -MSM GVT facility in Morbi. So, I wanted to know, do we have scope to increase our own and JV sales volume in the current March quarter on a sequential basis as we operated at full level in December quarter?
And do we plan to add more capacity in the domestic market in FY25 as we are quite positive about the demand scenario from next year onwards?
Chetan Kajaria: See, it will be a mix of both outsourcing and increasing our own capacities. And we take the call, there we go ahead and see how the market conditions improve. We already announ ced two projects in GVT When as the market condition improves, we can update you more in the next couple of quarters how we are planning to increase our own production or outsource the remaining capacity.

Utkarsh Nopany: Okay. So, for this March quarter, whether our owned and JV sales volume would be limited to what we have done in December quarter, there would not be any sequential growth in the volume?
Chetan Kajaria: Correct.
Ashok Kajaria: I already said that.
Moderator: And the next question is from the line of Amit Purohit from Elara.
Amit Purohit: Just -- sir, on the initiative that the company is taking up more on the sales for automation from April 2024. And on dealer management system, if you could give some more insights into what is this change will happen due to this operational...
Chetan Kajaria: The sales force automation is more to improve the efficiency of our existing sales force. And we don't plan to increase more manpower. As we go along and increase our production and capacities, the same team will do t he sales. This is more for more efficient working, mapping their routes, making them more efficient and you manag ing your time more efficiently.
The dealer management system is more for making the deal ers more efficient. They can see the stocks online. They can see the outstanding online. They can place the orders to the factory. So, to get this is more automated and make it more efficient for everybody on holding the good suppl y chain.
Amit Purohit: Yes. But would that result in some reduction in the inventory at the dealer level? Or would this could have an impact on a -- whenever it gets launched, some inventory correction in the system?

Ashok Kajaria: It will reduce inventory level also, plus it increases efficiency of our people, increase the efficiency of the organization.
Amit Purohit: Okay. So, I mean would this be more of an online ordering system by sales force guys?
Ashok Kajaria: No, no, no online ordering. Online ordering, we see, the dealers still do online orders, but we can see live stocks and order directly to the plant through dealer management system, just like an airline ticket. It will increase his efficiency also.

Amit Purohit: Sure. And sir, sorry, I'm new to this sector, but I just wanted to know that what is the sales force automation, which is the sales team does is basically to take orders and give it to the dealers in terms of -- for execution of the orders? Is that...
Chetan Kajaria: It is more of automating the whole system. As they make new dealers, it will map that new dealers whol e profile that all comes in the system. Everything is stored digitally to reduce the paperwork, map their routes, increase efficiency, and know what they're doing. The whole chain get s more digitized and automated.

And all the seniors to the juniors do know exactly what is happening in the system where the people are traveling, what is in the whole day, are they efficient or not. That is the whole purpose of introducing a sales force automation system in the organization.
Ashok Kajaria: Many good companies have done it. Just like we were told that Asian Paints, Havells, they're already doing it. We are slightly late, but we are implementing from 1st of April. And also going forward, if -- this should also make sure that we don't increase our manpower and the same team will take care of the future growth as we ll.
So, all these systems -- so two or three years down the line, as the company grows, but no of employees will not grow, and it will be more systematized.
Amit Purohit: So, we are the first in our sector to do this?
Management: I can't say that. We can't say that. We are the first of -- yes.
Ashok Kajaria: No, no, we are not the first -- we don't know -- in our tr ade, we don't know, but I just told you that Havells and Asian Paints are already doing it. And that's what we have learned, and we are trying to improve ourselves. That's all I can say at this stage.
Amit Purohit: Sure. And just one more thing on the investment that we are doing. One, I understand that there is an a cquisition. And first is a subsidiary for the tile. So why is he setting up a subsidiary why can't we do it in the Kajaria itself?
Ashok Kajaria: We are going through subsidiary because we also want some stake of local partners from Gujarat from whom we are buying the company .
Amit Purohit: Okay.
Rishi Kajaria: Morbi is really peculiar market. We don't want to have any factory on our own, for all the local issues, you always need a partner. So , all our JVs and Morbi have a local partner. So, the similar model, we wanted this one to be as well. There's the other controlling stakes, anywhere between 80%, 90%, and the rest is with a local partner.
Moderator: And the next question is from the line of Achal Lohade from JM Financial.
Achal Lohade: It's been a while now. Just in terms of the data, if you could help us with the GVT PVT ceramic mix for 3Q FY24 and nine months?
Chetan Kajaria: So roughly, the ceramics -- revenue is at 39% and volume is at 43%, PVT is 26% and 25% and GVT is 36% and 32%.
Achal Lohade: Got it. And Chetan, if you could help us understand in terms of the comment made was obviously not given the harsh winter. Obviously, it's impacted. Can you help us understand from a FY23 or nine months, how the mix is for North, West, South, East?
Chetan Kajaria: So roughly, North is 40%. South is roughly 30%, West is another 18% and East is 12%.

Achal Lohade: Understood. Understood. I think that's very helpful, sir.
Moderator: And the next question is from the line of Saurabh Jain from HSBC.
Saurabh Jain: I'll make it quick in the interest of time, sorry. So, what I'm trying to understand is why there is so much variation in terms of your capex cost for setting up 1 MSM of capacity because it ranges from almost like INR10 crores per permission for the new plant acquisition that you have made just now.
And it goes up to more than INR

30 crores for the Nepal plant and some of the previous brownfield expansions that you have done, I think it translates to somewh ere about more than INR20 crores per MSM. So, I understand it could be different for different kind of products

that we do, but what explains so much the variation in your capex cost? I wanted some clarity here.
Ashok Kajaria: See, as far as Nepal is concerned, nothing is available there. Everything has to go from India. So like equipment and the machines have to be coming from China or Europe and has to be routed through India. So, putting up the costs are high. But at t he same time, the realizations are much better because it is based on ba sically an input -based country.
There are three plants already coming up and running. But at the end of the day, the realisations are much better than what we have it here. So, the cost of putting up the plant will be there, but the realizations, EBITDA margins will be better at the end of the year.
Saurabh Jain: But then comparing the, say, ROCEs for the new acquisitions that you have done, would the ROCEs be materially higher than wha t would you probably do at Nepal or some of your previous business? Or how do you see that?
Ashok Kajaria: See, that's what we are seeing, and that's why we are putting up the plant. Nepal ROCE should be better than what we are having it correctly.
Saurabh Jain: And c ompared to the new acquisition, Keronite ?
Rishi Kajaria: Keronite it will be me much, much better because we've got a very good deal on the entire project. So there, they're expecting ROCE almost 30% plus.
Saurabh Jain: Yes. So that is precisel y my question is that why we rather -- if we have such attractive rates in the market, why not rather try to focus our capital allocation on striking such good deals, wherein we make very strong ROCE?
Rishi Kajaria: It's not necessary to get that deal every time. So, this is, I think, one of the good deals we got, and we grabbed it. And in the future, if we get anything like that, we are still open, right? If we have cash in the company, we are always open to good deals. So, this is a good deal. So, we got it, you're right, your calculation is pretty good that INR50 crores for 6 million square meter is a very good deal. And that's why we're looking at a much better ROCE and margin in this.

Saurabh Jain: Yes. And does it also then imply that probably the Ultima? Because I remember, I recall a couple of years back, we had plans to do 5 -MSM E at INR210 crores of cost in Ultima . So then again, that expansion could actually be kind of much lesser in terms of ROCEs compared to the Keronite acquisition?
Rishi Kajaria : You're absolutely right. This is the same Ultima plan which we have planned earlier, which we put on hold that time. We were not confident in the market, but now looking at this scenario, we are very bullish. And yes, going forward, the land we are buying is for something similar, which we are working on right now, which we want to buy the land first.
And last two, three months, we will announce in the next meeting as to what we want to do.
But yes, it is to put our slab plants . The exact working we will share in next quarter m eeting .
Saurabh Jain: Okay. Thank you so much. Thanks for answering the question s.
Ashok Kajaria: Thank you.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comments.
Ashok Kajaria: Thank you very much for this meeting. I think good questions, and I hope we have answered it to the best of our ability, and thank you very much for organizing this. So, I thank all the people who have joined us today for this conference on behalf of Kajaria management and myself. Thank you.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joi

ning us . And you may now disconnect your lines.

Call: May 2024

May 14, 2024

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India L imited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Investor and Analyst Meet

In continuation of our letter dated May 8, 2024 , informing about the uploading of the audio recording of the Investor and Analyst Meet held on May 8, 2024 , we enclose herewith transcript of the said Investor and Analyst Meet , in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company’s website www.kajariaceramics.com

Kindly take the above on your record.
Thanking you,

For K ajaria Ceramics Limited

R.C. Rawat
COO (A&T) & Company Secretary

Encl.: As above

Kajaria Ceramics Limited (KAJARIACER)
Invest or and Analyst Meet
May 08, 2024

MANAGEMENT: Ashok Kajaria - Chairman & Managing Director
Chetan Kajaria - Joint Managing Director
Rishi Kajaria - Joint Managing Director
Sanjeev Agarwal - Chief Financial Officer
Kartik Kajaria – Head (Adhesive Division)
Nehal Shah – DVP (Strategy & Inv estor Relation)

Lata Kabra: Good evening, everyone. Welcome to Kajaria Ceramics Investor and Analyst Meet. On the dais, we have Mr. Ashok Kajaria, C hairman & Managing Director ; Mr. Chetan Kajaria, J oint Managing Director ; Mr. Rishi Kajaria, J oint Managing Director ; Mr. Sanjeev Agarwal, the CFO & Mr. Nehal Shah, DVP -Strategy and Investor Relations. We also have with us Mr. Kartik Kajaria who heads the A dhesive Division. We will commence this forum with the opening comments from Mr. Ashok Kajaria after which we will throw open the floor for questions and answers.
Please note that certain statements made by the management may be forward looking within the meaning of applicable laws and regulations. Actual results might differ substantially from those express ed or implied. Kajaria Ceramics Limited will not be in any way responsible for any actions taken based on such statements.
Now I would like to invite Mr. Ashok Kajaria to begin. Thank you.
Ashok Kajaria: Good evening, Namaskar. I think for a long time you wanted that Chetan and Rishi should be here , so they are here today. And also I have Kartik , who is the elder son of Chetan and my grandson who just

completed his studies at UCLA America and just joined the business
from July 2023. H e is heading the ad hesive division.
A very warm welcome to all of you. Thank you for sparing your
valuable time with us this evening. This time the format is a little
different. I am going to share a three year mission of Kajaria; what
Kajaria is looking at for the next t hree years . Numbers and everything
for the year , which has just ended, for the quarter just ended is already
with you. That can be part of the Q &A later. But I would like to share
the vision of Kajaria for the next three years.
Company at a glance, t hirty six years of experience. Presence in
building material segments like tiles, bathware, plywood and tile adhesives . Ten manufacturing facilities , seven for tiles, two for
sanitaryw are, one for bathware. 7000 plus employees. The turnover
for FY24 is INR45.8 billion and consolidated PAT is INR 4.2 billion.

The PAT has gone up by 23% compared to last year in spite of very
difficult year what we faced last year . Market cap currently about $2.3
billion. 20% market capitalization growth over last decade.
Benchmark ing with best corporate governance . Experience and
diversified professional board. Effective risk management.
Transparent and detailed shareholder communication. No equity
dilution since last ten years. Capital allocation strategy ,

which you
keep asking al l the time. CapEx met through internal accruals only.
40% to 50% dividend payout policy in place since last three years.
Invest only in products and segments which can leverage brand or
existing dealer network. Invest in product segments which generate 20% plus ROC on a sustainable basis. Healthy balance sheet . Lean
balance sheet to accommodate growth . Sound working capital
management . Net cash balance sheet since past six years. Rated AA
for long- term facilities and A1 for short -term facilities by ICRA.
Our business segments ; 89% is tiles, 8% is bathware and sanitaryw are,
2% is plywood and 1% is adhesives. Over the past few years, while we have intensified our focus on tiles and bathware verticals, we have also extended our presence into plywood a nd the adhesive segments.
Despite other than tile segments likely to grow faster than tiles, the later would still account for 85% of the total revenue by end of March 2027. Tile is the core segment . Number one player in India . Eighth
largest player globally . Seven manufacturing plants . Our current
annual capacity , is 86.47 million square meters . We sold last year 108
million square meters. Roughly we produced about 83.5 million
square meters , rest was outsourced . 40.6 billion consolidated tile
revenue in F Y24. 3500 SKUs in tiles and 1800 plus strong dealer
network.
Key business mode , inherent strength . Superior product mix . Proven
track record of execution . Experience and retained sales team . Strong
manufacturing prowess . Robust supply chain. Unprecedented focus on
quality , which has been the forte of Kajaria for the last so many years .
Widespread dealer network . Out of 1800 plus , 415 are exclusive
showrooms and 70% presence in the retail segment , normally the
industry norm is 50: 50. Superior brand recall . Premium pricing versus
peers . 10% market share in the domestic tile industry . The tile
industry , roughly the domestic market is about 42,000 crore and
exports ending March is about 19,500 crore , which means the total tile
industry in India currently is about 61,500 crore .

Volume growth enablers ; market share gains to continue from regional
players , the key factor is GST . Domestic tile industry expected to
grow at 6% to 7% CAGR over 24- 27. Sustenance of export growth

momentum for Morbi players to limit comp etitive intensity in the
domestic space. Volume growth enablers . Incremental volume growth
to be met through a mix of capacity additional , brownfield and
greenfield, and contract manufacturing . Increased dealer penetration at
Tier 3 and Tier 4 cities . Focus on adding exclusive showrooms .
Aggression in brand spends to continue . Focus to intensify on larger
format tiles with upgradation of our manufacturing units in north and
south India , Sikandrabad and Kalahasti . Recent launch of luxury brand
UniTerra tiles UniTerra brand to add further premiumization. Creation
of pan India project team to intensify focus on government projects .
Right now we have government team only for north India. We have
decided to have strengthen it and we are in the process of doing it by
end of June . IT upgradation to improve business efficiency.
Recent initiatives which will take us to the next level.
Premiumizations , recently installed CONTINUA+ line to enable us to
significantly improve our positioning in large format s labs
manuf acturing . Upgraded our Sikandrabad and Kalahasti plant , which
has now started manufacturing high -quality premium tiles. Introduced
significantly cheaper biogas fuel in north India units which has made manufacturing very , very cost -effective.

Branding: Our brand spends has stood at over 840 crore in the last
decade, m ore than cumulative spends of three major listed players in
the last decade. A&P s

pends for FY24 stood at 131 crore . Major
spends in F Y24 included spends towards creating more exclusive
dealer showrooms, airport branding, cricket and sponsoring for
women's IPL RCB team .
Distribution : We have started taking concentrated steps to further
improve our existing distribution network, increasing our pocket share in existing dealers while removing the non- performing dealers. The
year which ended, we have added 200 dealers but at the same time we
have removed almost 150 dealers who had not perform ed. Adding
more exclusive showrooms in T ier 1, Tier 2 and Tier 3 cities and
towns in particular. We curren tly have presence in 1000 towns in
India and aspire to expand it to 2000 towns over the next three years. Currently, as per government data, there are 4041 towns with
municipalities in India. Kajaria presently is in about 1000. We hope to
increase it to 20 00 in the next three to four years.

Digitization : We are also upgrading our IT related infrastructure with
recent introduction of SFA which will improve employee productivity
and DMS , which will increase business efficiency of our dealers and
branches.
Key initiatives : Conitnua+ presses installed in our own manufacturing
units at Sikandrabad and Kalahasti . Exclusive showrooms opened in
Tier 3 cities. You are seeing one in Kushalnagar, Karnataka and one is
in Hoshiarpur, Gupta Trading Company , and many such showrooms.
Of course, the RCB women's team which won the recent WPL . Focus
on large format tiles and slabs. The bigger tiles which we have started
manufacturing now at Kalahasti and Sikandrabad.
Key initiatives : Airport branding , you see Kajari a everywhere in all
the major and smaller airports.
Bathware : A fast growing supplementary segment. Current
positioning , we are there for almost ten years, ten years of existence,
Kerovit is a brand name. Sanitary ware and faucet capacity of 1.2
million and 1.6 million pieces respectively. 500 plus dealership
including 85 premium outlets. Premium outlet means a guy who has
given us a good space of almost 1500 to 2000 square feet. 3.6 billion
is the revenue, bathware r evenue in FY2024. 7.4% EBITDA margin in
FY24. 2% market share and 15% equity held by Westbridge
Crossover Fund.

Growth enablers : Increase in number of bathrooms in residential real estate segment . Bathware industry to continue to grow in double -digits over FY24-27. Higher penetration of premium products . Recently commission ed state-of-art sanitary plant in Morbi to drive volumes in premiumization. It's an absolutely state -of-the-art plant. Expanding the existing distribution network . Focus on aggressively adding exclusive showrooms and brand sp ends to gain further momentum.
Gresbond by Kajaria: Tile adhesives is taking a big space in the industry now because with the large format tiles coming in, especially in the floor, they are only being put by adhesives t hat gives additional
strength. Thi s market has grown over a period of time and currently it is a 5000 crore market. Kajaria's positioning is , it's been three years of existence. Presence in tile adhesives, grouts and tile cleaners. Gresbond is the brand name . Currently an outsourcing model . Meanwhile, we are putting a plant at our Gailpur plant very shortly. It should be commissioned by end of September. But of course we have

to buy regionally also because freight is a very important matter . And 50 crore revenue in F Y24.

Market and growt h enablers : for adhesives market share gains over unorganized players to continue. Our biggest strength is the dealer network because every dealer sells adhesives. Right now he may be selling other brands such as Laticrete, ROFF, and Mapei but rig

ht now
we have touched only about 20%, 25% of our dealer network. Tile adhesive industry to continue to grow 12% to 15% CAGR over 24- 27. Increasing acceptance of large format tiles and slabs t hat is where the adhesives users is growing. Significant scope to leverag e KCL style dealer network . First manufacturing plant to be set up in Gailpur , I just shared . This should be happening by FY25. Outsourcing to continue for east, west and south markets .

Plywood, diversified business segment : Now almost seven years of existence. Presen ce into plywood, blackboards, shuttering ply and laminates. Kajaria is the brand name . Currently an outsourcing model and the revenue were 104 crore in FY24. Plywood industry to grow at 5% CAGR over 24 -27. Market share gains over unorganiz ed players to continue on gradual basis. Plywood industry however is currently grappling with rising timber prices , which is like ly to ease over 12 to
18 months. Focus on expanding the distribution network.
Three year mission where we will be at Kajaria . 150 million square meters of tiles . Revenue 5500 crore . Other segments should be around 1000 crore. EBITDA margin we are targeting at 15% to 17% .
EBITDA margin enablers ; one, benefit of operating leverage.
Realization across style category seem s to have bottomed out . As we are aware, FY22-23 gas prices have gone up very much , which came down at FY 23-24, s o some benefits had to be passed on to the dealers in the form of additional incentives. S ome prices have not been cut but lesser price realization. Cost realisation across the value chain. Scaling up in adjacencies to be margin accretive. EBITDA margin trajectory likely to remain sustain ed at 15% to 17 % range b arring impact of steep gas price volatility.
Three year roadmap . Consolidated revenue 6500 cr ore. Three year CAGR 12% . Tiles 5500 crore , bathwar e 675 crore , plywood 175 crore , and adhesive will be at 150 crore. Proposed CapEx every year will be 225 crore to 250 crore every year from 20 25 to 2027.
Thank you.

The floor is open for questioning. You can address who you want to answer. Chetan is here. Rishi is here. Our CFO Mr. Sanjeev is here and Kartik is here. So you can say that w ho you want to address that?

Yeah, please, ma'am. Go ahead. Yeah. Somebody raised a hand over there. Yes, please. Mike to her, please. Mike. Mike.

Question -and-Answer Session

Jyoti Gupta (Nirmal Bang) : Good evening everyone . That was a very crisp presentation. We were expecting the tile segment to do well in the second half and we haven't seen the kind of numbers. While the roadmap looks quite nice, quite promising as well, I wanted to understand when do you think the tile segment is actually going to pick up? Do we see this happening from second half of FY25 or is it like the story is yet to start m aybe from Q3FY2 5 or Q4FY 25? And secondly, of course, to the young generation, how do you see where is your vision in terms of tiles? And on the larger scale, you're moving towards, modernization of tiles into tabletops, etcetera. Where do you see the tiles business actually going forward from here?

Rishi Kajaria: Hi. So, two, three things. What are we doing as a company? One, you asked the demand is there and w e are not able to sell that much. As we are aware, the construction industry is now on the right front and as they say, your tile demand comes T plus two. So, from this year onwards we see a very good demand coming in for tiles. Number two, what have we done and what are we planning to do? As Kajaria, we have invested in technology. We have put in two Conitnua+ lines. And we are the only company which has plants in north and south of India for Conitnua+ technology. So we are investing in technology. We are making excellent products , number on

e. Number two, we are training the dealer staff . Especially in south, the showrooms are huge. They are 30,000 - 40,000, they deal with multiple brands. I went to Kushal nagar. I opened that showroom in Karnataka. I also went to Vellore in Tamil Nadu. While we are travelling around, we see potential is huge but a lot of these deale rs are working with multiple brands. So what we are doing is, one, we are working on our products, giving them good products ; secondly, training their staff . On our cost we are getting these people to our factories. Like all the south people are coming to Kalahasti factory. We are training them, telling them about the product, giving them that energy to sell w hen they go back to their shop. They are so bullish on Kajaria that over all the other brands is Kajaria and thirdly, we are spending a lot of money on brand. So fourth, w e have recruited people who are meeting architects

and interior designers . As a company we are going more on value - added tiles , this is mostly sold by architects and interior designers , so we are also keeping a team who is going to pr omote , who is going to go and meet them. As CMD just said that we are also strengthening a government department. We just had a ten people team in north of India. Now we have kept a senior guy and we are going to have 30 - 35 people team all over India mee ting only government projects. So with all these moves we are very sure that going ahead we look at a very good year. The key is, as we said, in India there are 4041 towns , as Kajaria, w e are just in about 1000 of them. The key is to make these showrooms w herever we can , to penetrate as far , as deep in India. India , India is a huge country . The only thing is to make showrooms , showroom showrooms ; motivate our retail partners, motivate our dealers and make showrooms. Wherever we have made our showroom, we ha ve had our presence, we have seen a drastic improvement in sale. I give a very small example. When I went to Kushal nagar, the guy did 4.5 crore , 5 crore . He says, sir, I will double it to 10 crore this year. So my only point is that the potential is huge. As we keep on making showrooms, we are definitely there to achieve the growth. Yes , last two years have been tough. The

volume growth
has not been there , but we see the future very good.
Jyoti Gupta: But then due to elections, do you think your demand is affected? We've lost two quarters , which is FY 24. Do y ou think we're going to
lose another two quarters of FY25 as well b ecause of elections ? We
haven't seen much pick up in construction as well as cement as well. So where do you see tiles , sir?
Ashok Ka jaria: The year which went by has been one of the toughest years on the
demand front. Now you will ask why. You all always ask though real
eatste is doing so well, why is tile not being sold. See, real estate was very bad for the last so many years. First they sold their inventory .
Last year they started the construction where they did the civil part.
This is the year where they will finish the finishing part where paint,
tiles, sanitaryware, all will be used . And we are confident enough,
bearing aside one or two months , which is election months , you all
understand, that June onwards things are very positive and we have
already said that for the year also that it will be a low -double -digit
volume growth and 15% to 17% of E BITDA . So I think we are very
confident and fortunately we have shared our three year vision plan. So this we have never talked before. This is the first time we are
sharing this in a forum like this. And we are very confident that we are there and will be there.

Unidentified Analyst: Sir, this is the question for

Ashokji. Sir, q uestion is how is the industry
volume growth in FY24 and whether we have gained some markets
here? How is our positioning in the market?

Ashok Kajaria: Industry volume growth for the domestic market was almost zer o. We
at Kajari a have only grown by about 6% - 6.5% in volume terms , so I
don't think that's a big gain of market share. I won't call it. But of
course exports have grown up drastically from the industry and as we all know it has grown up by almost 25% to 30%. So that's the current scenario. And as I said, industry should grow at 6 % to 8% in volume
terms over a period of next three years. And Kajaria’s growth will be
better than that w here we are targeting for volume growth of low -
double -digit which is anyw here between 11 % - 12% - 13% .
Unidentified Analyst: Second question on the gas price correction. So in F Y25 how much
cost saving we can quantify from that account?
Ashok Kajaria: There is no change in gas. FY24 has been a very normal year for gas.
The g as prices almost are the same as what it was in F Y24. Quarter to
quarter , it's almost the same.
Unidentified Analyst: No, no, I'm asking for the next, next year , the FY25. You said in your
presentation that --
Ashok Kajaria: No, I said there F Y23, the gas prices went through the roof , as we are
all aware. FY24, the gas prices came down . Quarter -to-quarter , there
is no change in the gas prices for FY25 also as we see it now.
Unidentified Analyst: And then what is the total cost , this amount spent on the a dvertisement
branding for F Y24?
Ashok Kajaria: FY24 we spend 131 crore. I already said that.
Sudhakar (Kaveri Capital):We are also into export and imports. Quality and Kajaria are two
sides of the same coin , that's how you have progressed in the last 40
years . That’s shown in your financials. I think we need to give him a
big round of applause , please. Sir, you mentioned total turnover is
42,000 and export is 19,000. Now what is the growth you feel in
export market and which country ? Is it Africa ? It is South America ,
North America. Where is your presence dominant in export? That's
number one. Number two is that you are expanding from 4000 cities to 1000 cities of India. What is your take on northeast? Is there any northeast , seven sister states , Assam , one of the biggest state of India ?
Number three is that, the urban and rural divide because you know

low cost housing is going to be dominant in the coming next 20 years.
The demand for an overall cost saving factor is going to be very interesting. So how do you look this issue in the low cost housing
area? And one more - you removed 150 not very good dealers and you
added 200. That means actually you added only 50 of them. So effect
is low. So do you think, in this 400 new township you're going to be
doing a real good dealership network. Thank you.
Chetan Kajaria: So replying to your question one, exports should grow by minimum 15% to 20% this year also. The biggest export markets in the world
for India first is US, followed by Russia, UK and Europe. Your second question about the north -eastern states, we are focused there and it is
one of our target areas to how to increase volume growth there. We
have a strong sales team based in Bengal and Calcutta and team based
there. We definitely will focus in that p art also. Your third question
about the urban demand and the rural demand, our focus is to
penetrate more, as we all said in the earlier presentation, also make more and more showrooms. The real growth is going to come in T ier
3 and Tier 4 cities going for ward and the company's focus is on
making very good showrooms in those cities to tap the growing fund in these rural towns in Tier 3 and Tier 4 cities. The last question
related to your low cost housing , Kajari a is a premi

um brand, we
cannot drop our price s too much because we have to maintain our
margins also. But we are doing projects on a case -to-case basis where
the margins are decent and the payment security is of utmost
importance to us also. So all things being in focus, we have a very balanced appro ach in that regard f or your fourth question. Thank you.
Smithesh: Just one question with regard to demand. A s per presentation what we
suggested, T+2 can be a revival for the tile industry and ancillary
home industry , plus from 1000 town we are going to 2000 towns,
right. And right now we have limited capacity. So how do you plan to
increase the capacity? And secondly, would we be able to meet the entire incremental demand if it comes through
outsourcing, what we are currently doing also ? Thank you.
Rishi Kajaria: There is no limited capacity. There is unlimited capacity. W henever
we want we can always scale up through outsourcing. That is always
an option a nd our plants are very well equipped. So as long as demand
is there, we are completely equipped to f ulfil all the demands. So
capacity is not an issue. Does that answer your question?
Sneha Telreja (Nuvama) :Good evening, sir. Thanks a lot for the very brief presentation . Just
two questions from my end. You mentioned about your growth

targets. You've gi ven your revenue targets, you've given your volume
targets. When we do some math, your volume CAGR comes out to be
around twelve odd percent versus your revenue CAGR at about 10%.
Just trying to understand what kind of product mix are you expecting
to chan ge. Is there any products which are expected to come at lower
end because of which, we'll be able to ramp up volumes and where there could be, you know, slight difference realizations. That's my first question.
Chetan Kajaria: The current volume mix in our basket is ceramics is 43% , PVT is 26%
and GVT is 31% . What we're looking at is ceramics and PVT will
continue to grow a 10% volume growth. G VT will grow more , 15% to
16%. So, all the divisions will grow in the next coming three years to
attend the numbe rs which is shown in the presentation.
Sneha Telreja : So ideally speaking, GVT is a better product in terms of pricing and in terms of realization. Ideally if it's 12% volume growth, that should have led to at least a 13 % or a 14% revenue growth. That is some
math I'm just trying to understand. So is it the pricing strategy which
is going to be more aggressive? Is it competitive intensity which we are planning to address something there ?
Rishi Kajaria: So, right now we are just looking at fulfilling the demand of the
market. However it will shape up, we will change our strategy
accordingly. Right now, our only focus is volume, volume, volume.
So right now we are not making any product mix change. All the three
verticals have to sell. Whether ceramic, P VT, GVT, all are selling , all

have to sell . As the market takes the demand , we'll do it. But we are
also working on, yes, value -added products, which takes a little bit
more time to get established , as we making showrooms, as they are
displayed, t he showroom s, yes, the margins will be little bit better.
Sneha Telreja : Understood. So when you are talking about its large slab , basically ,
that is one product which I understand.
Rishi Kajaria: But the market size is very, very less for it. W e are working on it . We
are trying to promote it as much as we can , but the overall in the
portfolio, it's very, very less. It's a very small percentage.
Sneha Telreja : Understood, sir. T hanks for that. My second question is related to
CapEx . When you mentioned 250 crore of CapEx a year, are we
looking to add at least about five MSM capacity each year , that's the
plan? Or if you could elaborate on your CapEx plan there ?

Rishi Kajaria: Now you have almost seven tile plants and three sanitary ware and two
sanitary ware and one faucet plant. So these are all regular CapEx . Any
other, whenever you want to add some production, there will be a
different CapEx . This is all the CapEx to maintain the plants , regular
CapEx .
Unidentified Analyst: Hello sir. Hi. Very good evening and thank you for the opportunity.
So my very first question would be The Coalition for Fair Trade in Ceramic Tile , that has filed a petition within US International Trade
Commission to initiate an investigation to seek anti- dumping of tiles
which have been shipped from India. Do you see any upside potential risk that M orbi players will start ultimately dumping their production
volume in India ?
Chetan Kajaria: So the US market is only 7% of India's export turnover. Even if the
duty comes out, we only lose 3.5% because exports will still happen by players. So it will not get a big difference in the entire export scenario going forward.
Unidentified Analyst: Okay. And my last question would be how exactly do you see this overall market panning out in next two to three years? Like more often , what exactly customers are preferring the design or are they
preferring big ties? How exactly is in T ier 1, T ier 2 and T ier 3 cities?
Rishi Kajaria: See, what does a customer want? A customer wants a good product , a
good bra nd, r ight. The designs are more or less the same. What tile
Kajaria is making , XYZ is making the similar kind of tile. A s a
company, what we can do is good products at good cost, good prices. Again, as a customer, a customer who is in Jalgaon or any other small
city, what does he look for? He makes his house once or twice in his lifetime. When he wants to build a house, he will go around in the
market. Kajaria, yes, is the number one brand in the country because
we, as a company , spend a lot of money and that's one of our biggest
forties. Secondly, by giving that experience of the showroom , so when
a customer gets a good brand, a good customer experience in the showroom, a good product, we personally feel why will he go to
somebody else . As a company , this is what we can do , right. Giving
good products, good experience as a customer , a good brand, good
well-trained staff to attend the customer. If a customer is getting all
those factors, we personally feel of whatever experience we have in the industry and when we speak to our dealers . We had a big dealer
meet right now in Thailand about four days back. And so we take all this feedback from dealers and they say, sir, for sure it is Kajaria is the number one tile brand in the country without any doubt . And as w e are

giving the right experience to our customer we feel that he will not go
anywhere else.
Unidentified Analyst: Thank you so much, sir.
Unidentified Analyst: Over the past ten years we have seen two major events which has

happened. Two major market s izes which have formed where Kajari a
has not really been able to gather a lot of market share. So when I'm speaking out exports from India which is like you alluded like a 20,000 crore market. The adoption of tiles which are on the 5000 crore market. So that's almost half the market size of your current domestic
market which you are in. And we've not been able to take advantage
of it yet. So what are we doing now to ensure that whenever the next big shift or big market size gets created we'd be the prime be neficiary
of it.
Chetan Kajaria: See, exports will always be a very low realization business. And we don't intend to do more than 2% to 3% exports because globally we
have not invested that much money in branding. You're fighting against the whole world. In India, as we said, we spe

nt 800 crore in
the last ten years to build a brand premium. So, exports is a very
competitive market where you don't get the realization. Morbi does that because they have to sell their production at the plant because
they don' t have the brand premium in the domestic market. Coming to
second question, we just entered adhesives three years ago , now we
started taking it very seriously. Our first plant is coming up in
Rajasthan by September. That give s us a boost once our own
manuf acturing facility. And as we keep on going further, we take
more steps to see how we can consolidate our position in this new segment which we just recently entered.
Ashok Kajaria: This young man is handling the adhesive division,
Chetan Kajaria: Kart ik, so add on more to this , about adhesive .
Kartik Kajaria: So in FY24 we grew at 42% from 35 crore to 50 crore and this year
we're targeting a 70% growth to 85 crore. We are being very
aggressive in the segment and we're targeting to capture as many dealers from our network as we can to sell our products.
Unidentified Analyst: Thank you.

Shaleen Kumar (UBS) : So Kartik, you're talking about the growth near term. How should we
think about the margins of this category , let's say , three years down
the lin e?
Kartik Kajaria: So currently we have EBITDA margins of around 20% a nd I expect
that we can maintain somewhere around 18% to 20% going forward as well.
Shaleen Kumar : And should we expect any kind of CapEx in this? Because right now
it's an outsourcin g model.
Kartik Kajaria: Yes, we will have some CapEx , but it's not very expensive to set up
adhesive plants. And we are going to set up small , small units across
the country because it's a freight intensive segment.
Unidentified Analyst : If I can ask Ri shi or Chetan on your sanitaryware. So that's where our
growth plan is quite aggressive , like you're talking about 24% kind of
a CAGR growth, right? And T+2 should be applicable here as well ,
same amount of time.
Rishi Kajaria: So sanitary ware we have do ne a lot of things. 30th March we just
opened a new plant in Gujarat, the CapEx , which was approved by the
Board. So it is one of the most high tech plant producing very, very
good value added products. We are having a big launch in July where we are takin g almost 300 dealers all over India to the plant to book
orders and to show them the plant. So with sanitary ware, our faucet
ranges anyway is very good. Again the model is the same. Again, here
we are again making showrooms , showroom , showrooms. "Jo dikhta
hai vo bikta hai" Again the penetration is the same. Sanitary ware
funnily it's a big industry , again, when you're talking to dealers, we are
talking to this dealer , he says, I'm going to open a showroom next
month in Kanpur. He's opened a 25,000 square feet showroom , 7000
square feet is Jaquar and Artize where he's given us 8000 sq uare feet
of tile as well. He's been dealing with Jaquar for a while. So what I'm
trying to say is that again we have the same concept, wherever we can penetrate, make showrooms , that way the volume will grow. So we
are again with this new plant, our product basket will be properly complete. We have all kinds of products, all ranges. And we're going
to spend on brand and again make showroom with dealers.

Unidentified Analyst: Size wise, we have been reaching a reasonable size. And should we
think about that -- how come we think about the margin versus the
growth? So in terms of the margin in next three years or where you think you can stable at what level, in what time ?

Rishi Ka jaria: I think what we are really missing out is in the volume right now. So right now we did 380 crore top line last year and t

he vision is in the
next three years is to double it. We are going very aggressive and the vision is to touch 700 crore to 750 c rore of top line. If that happens,
the margin will automatically come. Margin is not a problem. It's a
good margin product. The only thing is our volumes are not there. Our expenses are more. As the volumes increase, the value increases, the
margin automatically come. It will be in the similar lines of tiles , not
less for sure. Not less for sure.
Unidentified Analyst: In next three years, can we reach, let's say, low -double -digit to mid -
teens kind of margin?
Rishi Kajaria: Hundred percent, for sure. Bet ter than that. Because even the plant,
which we have put, we're going to make much more value added products where the margins are much better. So as a plant sale picks up, automatically the margins will start getting better.
Unidentified Analyst: Got it. Thank you.
Vinamra : My only question was, the bottoming out of realization, does it mean
less promotions, or is this due to larger tile sizes in the portfolio?
Chetan Shah: No, bottom out prices have now reached and cannot come down
further, and it wi ll only be maintained at the same level. It will not go
down more. That's what the bottom ed out realization sentence means,
basically.
Vinamra : Okay, so next question, so premium and especially elite consumption, it's really doing well. Premium tiles are a great segment, but marbles
are the ultimate form of premium flooring. How are you convincing
customers, you know, between the choice of tiles versus marbles?
Chetan Kajaria: Again, the key is making good showrooms and experience centres .
Tiles have a lot of advantage over marble in terms of the cost, the laying time, and the consistency. So as we penetrate deeper with the larger format tiles and the slabs, which are equivalent to marble, automatically the tiles will start replacing marble, which is alr eady
happening in a lot of cities when we talk to dealers across the country.
Rishi Kajaria: Just to add to that, for your information, lot of projects are now taking tiles who used to take marble. A lot of them are converting into tiles. So, marble indus try is not growing, but tile industry , yes, it is.

Vinamra : Okay, thank you.
Sohil Kaura (ICICI Securities): I just wanted your revenue and volume mix for FY24 in terms
of the ceramic PVT and GVT. Thank you.
Nehal Shah: The volume mix category wise, c eramics was 43% , PVT was 26% ,
GVT was 31%. In terms of revenue mix, ceramics was 38% , PVT was
26%, and G VT was 36%.
Anmol : I have a question that what are the key IT initiatives that we are going
to take in next three years , as I saw in the presentation a s well ?
Chetan Kajaria: The first we are introducing the Salesforce automation concept which will improve the efficiency of our own sales team. We have 155 sales
force across the country. So they will be able manage their routine
better, meeting dealers better. They can open a lot of function in the app to manage the whole system. Then we are also introducing a
dealer management system , which will help the efficiency of our
dealers by placing orders directly to the factory , which goes through
the sales co ordination team r ight now . They can see the invoice
online , their accounts online. It will be very easy and efficient for
them going forward once the whole system is introduced across the country.

Anmol : Thank you.
Amit Bhojwani (Meta): In your presenta tion, there was a mention and reference to digitalization. I think the time and the age has come for digitalization of at least marketing and communication. You referred in your presentation to digitalization.
Chetan Kajaria: That was one part of the IT initiatives, but we're also spending money on digital marketing towards our bran

d. That's what's already happened right now . Every year the budget is increasing for digital marketing of the Kajaria brand , that's also being taken care of . In various social media like YouTube and Instagram and Facebook and Twitter everywhere, t hat's already happening.
Amit : Yes, yes. That's a wonderful thing. And the second thought was there is a serious push towards affordable and low cost housing. Are we contemplating to have a production line or a dedicated plant towards this segment catering of our titles?

Ashok Kajaria: First, let me tell you, some gentlemen also put this word low cost housing. Low cost housing in India has failed. I hope some of you are aware of that . It has not worked the way it should have worked because aspirations of people have gone up. They are not looking for low cost housing. Am I right? Please correct me if I am wrong. So there is no question of putting a separate line and low cost housing pe r se has failed . As already said by Rishi . Kajari a is a premium brand, so the question of low cost doesn't come in. Affordable housing and low cost housing are two different things.
Amit : Yes.
Abhishek Shah (Valcore Capital):I had two basic questions. One was , on the demand side you mentioned real estate demand comes T+2 for us. So last three, four years, when I look at resale numbers of major real estate developers in India, they've not gone up by 10%, 15%, i t's been 3X or 4X. And when I see our expectation or our projection of tile growth for us, it is just 11%. So my question to you is, are we being conservative in this?
Because if I look at the numbers, you know, we could be looking for a very serious up cycle for us.
Ashok Kajaria: You people ask t his question even without listening to what we are saying , right. Everybody asks real estate is doing good, why not tile? I keep on answering this , First they sold inventory, then civil and now its time for tiles . But if you keep on asking the same question, it will be the same answer. What can we do more than that t ell me ?
Abhishek Shah: I'm just trying to understand. Three years out.
Ashok Kajaria: Our journey has just started and that's why we have shared a three year vision with you.
Rishi Kajaria: We might be little conservative in our approach. Let us perform and then talk about it, rather than just talking about it not performing.
Abhishek Shah: Right. Fair enough. Got it. Second, also somewhere on similar lines, but on the EBITDA margins . Histor ically we've done much higher margins also , I understand once growth comes, we could be looking at that. Adhesives is expected to do 20% margin, 18% to 20%. Our sanitary ware business also we are seeing margins could go up sharply from where they are. So then why the 15% , 17% range, again is that conservative? Because historically we've done much higher and the other segments where margins are relatively lower will scale up significantly.

Sanjeev Agarwal: I think the main contributor will be the volume bec ause we are going to get some operating leverage also . Last four, five years , we have grown in mid -single digits. So now our focus is to grow in a good at 10%, 12%, 13%. So when the volume will go, the expenses will not go in tandem with that , so definitel y that will give us operating

leverage. And selling price have bottomed out and we see good
growth coming and everything will be better going forward. The expenses are not going to go in tandem with the volume.
Abhishek Shah: Fair enough. Thank you.
Mud it Agarwal (Motilal Oswal) : So my first question is related to the biofuel. What was the
mix in FY24 full year? And we expecting a further benefit on the biofuel side in the total power and

fuel cost ?
Ashok Kajaria: Biofuel overall is roughly about 22% . For north plants , it's close to
about 30% and fuel prices are more or less for the same lines w hat it
was in FY24 quarter -to-quarter. First quarter will almost be the same
like before , unless any drastic thing happens at the gas front, more or
less it will be the same lines w hatever happened in FY23.
Mudit Agarwal : Okay. And second question was on the mix for the institutional as well
as retail like we are now focusing on adding more to the government project. So is there any material shift from institutional , I mean B2C?
Ashok Kajaria: See currently our sales are 70% retail through dealers , against the
industry normal of 50: 50 that's why Kajaria 's margins are better . Out
of 30% that we sell , we call it institutional sales. Institutional sales are
about three, four kinds. One is government projects where there is a
lot of money being spent by government on infrastructure like education, healthcare, airports, defence, now railway stations , so these
are the areas where the government is working on. That's r oughly
about 12% in Kajari a as of now. It can further go up with the
strengthening of the government project team by at least 3%, 4% in
the coming next two, three years. Another 7%, 8%, you can say is for
the large builders that we talk about, which are li sted builders, you can
say, or large builders. And 10% is a mid- level builder across India. So
that's the basic ratio.
Mudit Agarwal : Thank you, sir. Thanks much .

Rishi Kajaria: So just to add to that, we are putting our effort in every channel,
whethe r it is a showroom retail channel or the project channel , so that
we are looking at where we can get business from every angle.
Keshav Lahoti (HDFC Securities) : Just a follow up on last question. In FY24, how has been
the demand , if you can divide in reta il and institutional side ? And
further you can give some sense how is your private order book right now and what is the outlook on industry side?
Rishi Kajaria: He just mentioned it is 70 :30, 70% is our retail orders and 30% is our
institution orders. That's the basic fund a. And as we said, we are
penetrating from both the angles. From the retail angle also we are getting very aggressive , institutional angle a lso we are getting
aggressive so that we can get more market share, increase our volumes.
Kesha v Lahoti: Okay. And how is the margin profile on institutional side?
Rishi Kajaria: It is lesser than retail.
Keshav Lahoti: Any broader ballpark number?
Rishi Kajaria: It will always be 3 basis points , 4 basis points lesser than retail, 4% or
5% les ser than retail.

Keshav Lahoti: One last question f rom my side . We can see the discounting might
have increased in Q 4 to push volumes. So will this incentive continue
in Q1 also ?
Ashok Kajaria: Not only Q 4, the entire last year, as you are aware, the gas prices kept
coming down. When I say gas prices may be the fuel part, the
combination of gas and the other biofuel and everything. So as a result, we had to pass on the incentive to the dealers to sell more because the market was such. So basically it happ ened throughout the
year. Now the prices, as already said, have bottomed out because there is nothing further to go beyond that. So this year you will see the realization also getting better than what it was in FY24 in all the three
divisions .
Keshav Lahoti: Okay, got it. The question was more on that side because earlier fuel prices were cooling off , so higher incentive were given. But in Q 4,
fuel prices were stable. Still we can see NSRF taken a knock which has led to lower margin.

Ashok Kajaria: Last year, as I said, the market was s

ubdued. You have to understand
that part also. If the market was subdued, what do you do? You try to
sell more with better discounts to the dealers. Prices in industry
doesn't come down normally, but it's a more incentive t o the dealer to
sell more , so that's what it is.
Keshav Lahoti: Okay, got it. Thank you.
Nitin Gandhi (Inoquest Advisors) : Just trying to understand what's likely to be overall capital
allocation strategy for bath , ply and adhesive. Because you are aimi ng
say 20% revenue coming by in three years to that level. So, what's
going to be like out of 225, 250, how is it going to be allocated and
what's likely to be the gross block by 2027 for these three business or capital employed for that matter? And what's overall strategy that,
what kind of percentage revenue you would look for forward from non-tile business, say five, ten years down the line? Thank you.
Sanjeev Agarwal: So the other non- tile businesses are growing faster than the tile
because the base i s low . We are a tile company and we would remain
majorly a tile company. So going forward, let's say after three or five year, our sales from tile would not be less than 85% to 87%, maybe 84%. So they may grow faster , but the tile, because of the high base ,
will always have a very, very major portion. And the capital allocation will primarily be for tile and for normal CapEx . In other adhesive or
bathware, it is going to be very small. Like in adhesive, we are putting
up a plant just for 15 crore rupees. So for adhesive, the CapEx will not
be more than 20, 30 crore depending upon the growth. If they are getting good growth, maybe the CapEx may be more, but we are not
going to do a very big CapEx or diversify into any business. So the
total focus will be tile and the products , which our dealers are selling ,
because we will leverage our brand and dealer distribution network.
Nitin Gandhi : Thank you. And regarding Nepal, if you can share some thoughts ,
what's likely to be potential revenue coming from there and how is it
considered in 1000 crore ?
Chetan Kajaria : So basically we're putting up a 5 million square meter plant in Nepal. It'll be a mix of ceramic and GVT. The CapEx is 181 crore. It's a
50:50 joint venture between Kajaria and Ramesh Corporation out
there. The total market size is roughly 2000 crore. So we're expecting
a 10% share. The total market is 40 million square meters . So
expecting a roughly 10% market share once we sell full capacity. Due to incessant rains in the last couple of months, the project was

delayed ; looking at a production starting roughly around July 2024
basically.

Nitin Gandhi : So it's likely to be low or set down.
Rishi Kajaria: Margins are better. Turnover will be less , margins will be better. And
once we double the capacity in one or two years it will even get better .
In Nepal duty is very expensive when you sell from India. So we'll get
much better margin when we produce in Nepal t hat is the reason of
putting our plant there.
Nitin Gandhi : The duty is 50% to 55% out there, the customs duty , and to double the
capacity , what will be the additional CapEx required?
Rishi Kajaria: Much lesser. Much lesser. If we are putting 180 crore right now, it
will be about 70 crore, 80 crore .
Nitin Gandhi : Thank you very much.
Sudhaka r (Kaveri Capital): I think I missed asking you what is going to be the CSR model , if
there is any . Is it IPL which you mentioned, is there any connection
with the CSR project?
Chetan Kajaria: No connection between CSR and the IPL .
Ashok Kajaria: Brand spending.

Chetan Kajaria: The IPL is a b rand spending , it's part of the advertising budget. And
CSR is more for the corporate social responsibility.
Sudhakar : What is that CSR projects which you have in the country ?
Chetan K

ajaria: Lot of projects ar e happening. The most recent is training of masons,
which we've initiated. Then a lot of our factories are doing their own
CSR in their surrounding districts and neighbourhoods like cancer
treatment things, building sanitation facilities. So it's all there on the
website. A lot of activities are happening in the CSR regard.
Rishi Kajaria: Building of schools, building of toilets in schools. So what we also do is in and around our factories , because that can be monitored very well
by our factory team. So i n and around our factories , we spend a lot of
money on CSR to develop the local places.

Sudhakar : Anything on AI, artificial intelligence , to be to your workers or to
your dealers ? Kajaria looks maybe 50 years ahead.

Rishi Kajaria: We look ahead but we go with the times, right? We have to do what is
right , right now.
Sudhakar : Okay, thank you.
Janam Vora : I'm trying to understand what are the trends that you see in the building material industry, particularly in tiles. Has the customer
behaviour changed like you were talking about, it's a premium brand
and you're taking those initiatives. So I just wanted to understand from a macro perspective when it comes to building material, because we
are. also looking at adhesives and all other categories as we ll. Is there
any change in the consumer trend and is there anything that has remained same? Because the macro tendency, I can understand of building home once and all that , but is there something that has
remained same and is there something that has chang ed? If you could
throw some light on that.
Chetan Kajaria: So one change, if you noticed, is after COVID, people have g ot in
spending more on their houses. That has come more into a tech focus
because that is where they spend a lot of their time . Now they want to
splurge more and have higher brand aspirations also. So this is gradually translating into buying more known brands and spending more money in renovating the house and going for bigger size tiles
also because that is where maximum of the time is spent in the house. That's one change I noticed we have noticed after COVID.
Janam Vora: Thank you.
Ashok Kajaria: If there are no questions, thank you very much. But we can informally
discuss over drinks and dinner outside after this. Thank you and pl ease
join us for drinks and dinner. Thank you.
Please note that w e have edited the language, and made minor corrections, without changing the
content, wherever appropriate, to bring better clarity.

Call: Jul 2024

July 2 6, 2024

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India L imited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated July 2 3, 202 4, informing about the uploading of the audio recording of the Conference Call held on July 2 3, 2024 , we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your record.
Thanking you,

For K ajaria Ceramics Limited

R.C. Rawat
COO (A&T) & Company Secretary

Encl.: As above

"Kajaria Ceramics Limited Q1 FY25 Results
Conference Call "

July 23, 2024

MANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN AND MANAGING
DIRECTOR , KAJARIA CERAMICS LIMITED
MR. CHETAN KAJARIA – JOINT MANAGING
DIRECTOR , KAJARIA CERAMICS LIMITED
MR. RISHI KAJARIA – JOINT MANAGING DIRECTOR ,
KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL – CFO, KAJARIA CERAMICS
LIMITED
MR. KARTIK KAJARIA – HEAD ADHESIVES DIVISION ,
KAJARIA CERAMICS LIMITED
MR. NEHAL SHAH – DVP STRATEGY AND IR, KAJARIA

MODERATORS : MR. PRANAV MEHTA – EQUIRUS SECURITIES

Moderator: Ladies and gentlemen, g ood day and welcome to the Q1 FY25 Results Conference C all of Kajaria Ceramics Limited hosted by Equirus Securities.

As a reminder, all participants ' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an o perator by pressing " *" and "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pranav Mehta from Equirus Securities. Thank you, and over to you, Mr. Pranav.

Pranav Mehta: On behalf of Equirus Securities, I welcome you all to the 1Q '25 Post-Result Con call with the management of Kajaria C eramics.

From the management side, we have Mr. Ashok Kajaria – Chairman and Managing Director, Mr. Chetan Kajaria – Joint Managing Director, Mr. Rishi Kajaria – Joint Managing Director, Mr. Sanjeev Agarwal – CFO, Mr. Kartik Kajaria – Head (Adhesives Division) and Mr. N ehal Shah – DVP (Strategy & IR).

Now I hand over the call to Ashok sir for his opening remarks, post which we will open up the floor for question and answer. Over to you, Ashok sir.

Ashok Kajaria: Thank you, Pranav. Good evening, everyone. It gives me great pleasure to welcome you to the quarter one FY 25 Earnings Conference Call of Kajaria C eramics.

As already sai d by Pranav, joining me on this Conference Call are my sons, Chetan and Rishi, my grandson, Karthik ; our CFO – Mr. Sanjeev Agarwal, and Nehal Shah – DVP (Strategy).

Despite the softness in domestic demand being an election-led quarter, our tile volumes in Quarter 1 F25 grew by 7.8% year -to-year to 26.98 m illion square meters. Going forward, we continue to maintain a positive demand outlook for the tile industry. As far as our company is concerned, we are confident of achieving low double -digit growth, volum e growth for the current financial year driven by our extensive relentless branding and distribution efforts. Our consolidated revenue for the quarter stood at Rs. 1,114 crores, indicating a 5% increase compared to the corresponding period last year. The E BITDA margin for the quarter was 15.01%. Our recently acquired Keronite unit with a capacity of manufacturing 6 million square meters of GVT in Morbi, commenced production in Quarter 1 F25. We expect this unit to achieve optimum capacity util ization by Qua rter 4 , F25. The progress of Nepal project is on and we anticipate commissioning of 5.1 million square meters of GV T and ceramic capacity by September 24.

On the export front, India tile exports experience an impressive 26% growth in F24, crossing Rs. 20,000 crores (Rs. 20,175 crores to be very precise) for the first time. In the first 2 months of F25, Morbi exports however remained flat tish at Rs. 3,350 crores. It is worthwhile to mention

that despite the recent initiation of ADD by US on Indian tile imports, the Morbi exports to USA in April and May put together have still grown by 16% to Rs. 335 crores versus Rs. 289 crores achieved in the same period last year. With exports momentum like ly to sustain and rub off of strong real estate demand, likely to drive improvement in offtake for tiles in F25 , we expect the tiles industry to fare much better than it did in F24.

Now for this quarter segment -wise financial performance :

Tile segment grew by 3% year -to-year, reaching Rs. 990 crores compared to Rs. 957 crores in Quarter 1 F24. Bath ware segment registered 8% year -to-year growth in revenue, reaching Rs. 91 crores compared to Rs. 84 crores in Quarter 1 F24. The plywood revenue increased by 25% in Quarter 1 F25 to Rs. 18 crores as compared to Rs. 14 crores in Quarter 1 F24. Revenue from adhesive grew by 59% to Rs. 15 crores in Quarter 1 F25 as

compared to Rs. 9.6 crores in Q1 F24. PAT for the quarter de -grew by 16% to Rs. 90 crores in Q1 F25 as compared to Rs. 108 crores in Q1 F24. As of 30th of June 24, the working capital days increased by 1 day to 59 days from 58 days as of 31st of March 24.

With this, I take the opportunity of thanking you for joining us today. Over to Pranav for Q&A, please. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mr. Rahul Agarwal from Ikigai Asset Manager. Please go ahead.

Rahul Agarwal: Sir, just wanted to start with the budget. Essentially, any take -away sir for our industry and any changes would y ou see over the next 12 months?
Ashok Kajaria: Budget has been positive on two, three fronts. One, lot of business will come from Bihar, lot of business will come from Andhra. And also the Finance M inister has announced a Rs. 10 lakh crore budget for urban housing for the next 5 years for one crore citizens. So, I think because when it's urban housing that means the demand of tiles will further go up.
Rahul Agarwal: I will jump to questions on the company. Sir, if I did for a low double digit volume growth fiscal 2025, any views on the revenue growth because 1st Quarter obviously, we have seen pricing compression. Do you see revenue growth to be lowe r than volume growth thi s year?
Ashok Kajaria: It will be slightly lower. The revenue growth should be around 8% -9% compared to 11% -12% of volume growth. And just to tell you that the prices are more or less stabilized. If you see the numbers of Quarter 4 , last year, that means F 24 Quarter 4 and F25 Quarter 1 , there is no pricing change. Realization difference is half a percent only. So, prices are more or less stabilized.
Rahul Agarwal: Perfect, sir. And any comments on the gas pricing, sir? How was it in 1st Quarter for North South, West? And what is the expectation?

Ashok Kajaria: Gas prices more or less same what it was in Quarter 4 and Quarter 3 of last y ear. There is no change per se.
Rahul Agarwal: Rs. 39 rupees on an average for the company?
Ashok Kajaria: 37 rupees for the Quarter 2 5.
Nehal Shah : For N orth, it is 37, for South it is 36, for W est it is 36 and overall it is 37.
Ashok Kajaria: Yes, it's not gas, it's a combination of all fuel.
Rahul Agarwal: Any comments on gas pricing, sir?
Ashok Kajaria: Gas prices are more or less same, no ch ange internationally as of now.
Rahul Agarwal: Yes, and the last question we hear propane seems like it's bit cheaper versus gas at Morbi . Are we seeing any price disadvantage or there is no material change?
Ashok Kajaria: No, more or less they are same. Rs. 1 – Rs. 2 difference doesn't make much difference because that's how they are pricing each other.
Moderator: Thank you. The next question is from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.
Jyoti Gupta: I believe good set of numbers. What surprised me was the volume growth. I mean, as per my dipstick this quarter had not been great, yet an 8% growth. I believe 2nd Quarter would be a little dull because of the monsoon. So, do you think we will be so mewhere around mid -teens in terms of volume growth? Second is, as per my understanding, the gas consumption of 75 mmscmd has not come down. Is there any change in this quarter where the gas consumption has come down? If not, then do we expect the productio n to be at same levels and therefore the third quarter and fourth quarter should see a pickup in demand?
Ashok Kajaria: See volume growth for the quarter which is now should be close to about 11% -12%, that's number one.
Jyoti Gupta: This quarter? Quarter 2 you are saying 11% -12%?
Ashok Kajaria: Yes, and secondly the question on gas which you asked, there is not m uch change in the price of gas.
Jyoti Gupta:

And third sir, on this container side, I understand that the material which is produced for exports cannot be actually sold in the Indian market typically because of the expectations in terms of , but do you think shortage of container will in any way impact the domestic mar ket now that we are seeing pick up in demand and hopefully it's going to sustain in t he next 3 quarters, 11% -12% 2nd Quarter is a very good number ?

Ashok Kajaria: Just to interrupt this question keeps on coming whether export material can come to the domestic market which I have always answered in the manner that a dealer suppose I am a dealer. I am keeping a material of Kajaria or Somani or someone else. I cannot keep on changing. In our industry, what is visible is sold . If I have displayed certain, if I am a dealer of X and I have displayed that material, somebody comes to me and offers 10% -15% less, even then I cannot sell because I cannot display , it will not sell. So, basically export material cannot go to the domestic market and some of the people who are making it for exports, they are basical ly making it for export market.
Moderator: Thank you. The next question is from the line of Shaleen Kumar from UBS. Please go ahead.
Shaleen Kumar: Good evening to everyone. Sir, I must say a good set of volume growth, that's a positive surprise for all of us. Sir, I noticed one thing that despite weaker realization, our gross margin has been improved and now you are looking forward for a better growth volume in 2Q. So, assumingly

the realization stays here, improved from here. So, is there a scope for margin to improve from here as well, gross m argin? Can we think about that?

Ashok Kajaria: So, we are looking at a 15 % to 16 % EBITDA margin as we have said previously also, and we are maintaining that right now because our priority is to sell vo lumes in the market going ahead while keeping our projected margins.

Nehal Shah : Shaleen, as far as gross margins are concerned, I think it's at 38.5% this time which is 100 bps higher than a Y -o-Y quarter. So, I think you are alluding to this, right? So, with respect to raw material cost, I think the raw material cost is significantly lower comp ared to Y -o-Y and that keeps changing because of outsourcing mix keeps changing. So, one should not dwell much into this quarter, but as far as gross margin is concerned, I think it should be in this range plus minus 1%.

Shaleen Kumar: Even if, let's say, some realization improvement happens, we should get some benefit out of it , right? Is it fair assumption?

Ashok Kajaria: Yes. That will further add to the gross margin.

Shaleen Kumar: Right. The second thing, y our manufacturing number was higher than the sales number. So, when you allocate the cost, i s there some part of the cost which is already coming in in this quarter from those manufacture d trial or you proportionate it? I mean, for example, I could see that your power and fuel cost was up like 10%, right. So, how sh ould I think about that?

Nehal Shah : So, the growth what we see here is largely because of increase in production which ha s gone up by 13% during the quarter .

Shaleen Kumar: So, then which effectively means then we have taken part of the cost in this 1Q, right?

Ashok Kajaria: Right, because t hat's there in the stock today.

Shaleen Kumar: Right, so I mean, correspondingly, then it will not be same for the next quarter because w e already have a stock with us.

Ashok Kajaria: Yes, but if in the next quarter the stock again remains, the incremental stock comes into play, then again, we will have the same situation. So, again it varies depending on where the stock is.

Shaleen Kumar: Righ t, so basically, I was looking at the avenues where we could have, there's a case for a margin improvement.

I think coming back to the same points on the cost, on the employee headcount , can we understand how much is the increment phase and how much is the additional headcount phase because there is again a big jump over there and sustainability of that ?

Sanjeev Agarwal : Actually Shaleen, what had happened that last year same quarter, there was a mistake that we did not take that increment in the quarter. S o, there is some difference because of that and the Secunderabad plant we started, we capitalized the salary in the last quarter so this time additional Rs. 3.5 crores salary has come from Secunderabad and around Rs. 2 crores from the other Kerovit Global and all. So, this will be the run rate for all the quarter roughly.

Shaleen Kumar: Basically our costs are hitting us because we are kind of starting new plants and the benefit of them in terms of revenue will come with the lag.

Sanjeev Agarwal : That's cor rect. Yes.

Shaleen Kumar: And hence the deprec iation is also a little higher.

Sanjeev Agarwal : Revenue will also go. So, in this quarter, the quarter has been penalized because of the costs and corresponding revenue has not come in this quarter.

Shaleen Ku mar: So, basically, yes, understood. It is a great show. I think m omentum has come back. We look forward to see the area delivering double digit volum e growth.

Moderator: Thank you. The next question is from the line of Praveen Sahay from PL Capital. Please go ahead.

Praveen Sahay: So, the first question is related to the product mix, PVT, GVT, ceramics . Is there any material change versus th e last Q1 FY24 to this quarter?

Nehal Shah : It's more or less the same. No major change. The only change that has happened is GVT mix has gone up a bit while the other two segments the mix has been a bit down.

Praveen Sahay: Secondly, on the Nepal J V, why there is a delay in the commission ing from June to now September?

Ashok Kajaria: There were very heavy rains in Nepal. So, because of that we delayed the expansion, but now everything is in order. August, we plan to light up the kiln and by September the production will start.

Praveen Sahay: And last question related to the non-tile segment. So, there is a good decline in the EBIT margin in this quarter. So, why is it so and when we will see improvement in this segment ?

Ashok Kajaria: When the bathware segment the 1st Quarter margins were low because we just started the new

plant of Kerovit Global on March 30th. But sanitary w are plant takes 5 to 6 months to commence production properly. So, 1st Quarter was pretty poor on the production. From this quarter , the production will pick up and from the next 6 months, October to March , it will give you go od results. So, this was the reason why even 2nd Quarter will be a little muted in terms of bathware because of the loss of the new plant , but from October that will be compensated.
Management: And in terms of plywood, the 1st Quarter the loss was higher due to increase in timber price in the market for which we have taken a price increase on 22nd July of 3% but in terms of adhesive , the profit was much higher versus Quarter 1 last year.
Moderator: Thank you. The next question is from the line of Dhananjai Bagrodia from AS K Investment Managers. Please go ahead.
Dhananjai Bagrodia: I just wanted to ask broadly for your breakup of revenue between metros and tier one and rural, do you have any broad-based breakups?
Chetan Kajaria: Basically we can give you a rough idea, North is 35% of our sales , South is roughly 30% , East and West are 17% each . If you go to metros like we can say Delhi is 3% , I can give you a state wise break up if you want but that's a rough number of our zones .
Dhananjai Bagrodia: So, what was that? Roughly, because we don't understand North and South both are 30: 30 each .
Ashok Kajaria: 35 and 30

.
Dhananjai Bagrodia: Just to understand, would you have a broad base in terms of metro and tier 1 because that is how we are speaking about how you will...
Ashok Kajaria: See, metro is close to about 15% overall. Tier -1 would be about 31% -32%. Tier-2 will be about 31%-32%. Tier-3 will be about 14% -15%. And Tier-4 and below will be the rest.
Dhananjai Bagrodia: 15, 30, 60, 75, 90. So, basically the remaining will be 10%?
Ashok Kajaria: Yes, about Tier -4 and below should be about 7% -8%.
Dhananjai Bagrodia: So, last three years, we have not had strong volume growth per se because Metro was the one which was leading in housing. Now with government again focusing back on Tier -2 and Tier-3 in terms of improving their market scenario, then we will be the bigg est beneficiary of that, right?
Ashok Kajaria: That is where the action is. For the last 2 -3 years that is where the action is. Tier -1, Tier-2, Tier-3 that's where the action is.

Dhananjai Bagrodia: So, then sir, why didn't we have strong volume growth if the acti on was out there predominantly?
Ashok Kajaria: That's why it started, no? With this quarter the volume growth has started with 8% and overall annually we will be looking at about 11% -12%, so there's a lot of gro wth will come from these areas.
Dhananjai Bagrodia: So, that's why sir, Tier -2, Tier-3 have just sta rted picking up, is that right?
Ashok Kajaria: No, they are there for the last one year, 1.5 years. See, overall the demand in India was not there , right? Overall the industry, as we discussed even last year, the industry was flattish where we grew by 6 %-7%. This year we are forcing the industry to be at 5 %-6%. We will outpace the industry by 6% , so we will be plus the industry .
Dhananjai Bagrodia: And just to have an idea how would exports be then l ike could there be any impact in our...
Ashok Kajaria: The industry grew from Rs. 16,000 to Rs. 20,000 crores . At Kajaria , we don't export much. O ur main focus is the domestic market so our export has also been flat tish.
Dhananjai Bagrodia: Industry, how industry growth be in exports because see if exports become weak then they will start dumping in India but as long as exports grows in a way where they don't need to dump in India , then we are through .
Ashok Kajaria: See firstly let me just clear that concept they don't dump it in India if the exports de grow , they close their factories . Dumping in India is not easy. It's not a switch on and off button that you can just supply to people and then s uddenly shut the supply, ri ght? So, they don't dump in India. If the exports don't wor k, they shut down their plants.
Moderator: Thank you. The next question is from the line of Utkarsh Nopany from BOB Capitals. Please go ahead.
Utkarsh Nopany: Sir, m y first question is on the tile capacity utilization. So, in the presentation, we have mentioned that we are going to dispose of two ceramic tile lines at Gailpur plant from July onwards . And if we adjust for this capacity, then we operated it around 96% r ate in the June quarter. So, my question to you is, like, if we are quite optimistic about the demand scenario, then what is holding us back to come up with a large expansion program in the domestic market, as we are already operating at a pretty high rate, and we also have a strong balance sheet position?
Ashok Kajaria: That's what we're going to do because that's the need of the hour, and that's what we do every year. If you have to grow at 11% to 12% , 15%, every year we have to put up capacity or do some outsourcing. So, it's a question of a right balance which we are looking at. And once we dispose these two lines, which were very old, 26 -year -old, we will put up a new capacity there. But that capacity putting up takes 6 to 7 months before we can put up that capacity.

Utkarsh Nopany: And some connecting question to this is like our outsourced tile for the share has gone up from say 18% in FY 19 to around 25% at present. So, where do you see the share to settle down over the next 2 to 3 years? And if you can also provide some clarification whether there is any difference in the product quality and margin profile of our own JV and outsource d types volume or all are same ?
Ashok Kajaria : It all depends on which market you are catering to. If we are catering t o North and East, we would like to have our own capacity. If we are catering to West and South, we will partly use for West. West is outsourcing and South will expand our capacity. We have two plants there, Southeast Asia and this Kala hasti.
Ashok Kajaria: See margins are always better in our own manufacturing plants as compared to Morbi. Margins will always be better. It will be a mix of both manufacturing and outsourcing going forward. We cannot give you the numbers right now, what will be a 2 to 3 -year projection, but it will be a mix of both manufacturing and outsourcing.
Utkarsh Nopany: And sir, my last question is on the Nepal operation. So, whether we are going to consolidate Nepal operation going forward or it would be shown separately as share of profit from JV going ahead? And can you please provide some sense regarding how the ramp up of the plant is expected to happen in second half of FY25, FY26 and 27 ?
Nehal Shah : So, it will be shown as share of profit of associate which is below the line.
Utkarsh Nopany: And how the plant ramp up is expected to happen?
Ashok Kajaria: Let it start first and then we will review and say what will happen tomorrow.
Moderator: Thank you. The next question is from the line of Keshav Lahoti from HD FC Securities. Please go ahead.
Keshav Lahoti: Just want to understand on volume front, how has been it like, whether June has been quite healthy versus possibly April and May, how should we see the monthly trend and how is July going?
Ashok Kajaria: April was not good, May was better, June is slightly better and that's what we see that the trend moving better from here on.
Keshav Lahoti: Understood. Got it. So, there has been some price hike by Gujarat Gas in July month. So, will it have any impact on margin? How should we see that?
Ashok Kajaria : The price hike was just Rs. 2 per SCM and the impact is not there that much.
Keshav Lahoti: Understood. Got it. And o ne thing you said the average fuel price was 37 for this quarter. So, last quarter you mentioned it as 39 or was it flat o r marginally down this quarter?

Ashok Kajaria: Last quarter the fuel was 39 , average 39 and this quarter is 37.
Keshav Lahoti: Underst ood. Got it. It is quite clear now. Just one last question. How much is your Nepal sales right now in volume terms in FY24 or maybe for this quarter?
Ashok Kajaria: It's not a very major number. See, right now, since we are exporting from India, Nepal sales is not a very major number. We are selling about 70 -80,000 square meters a month. When the plant comes, we have to sell about 4 lakh square meters per month. The real game will start when the plant comes into production because the custom duty is also ve ry high in the range of 50% to 55%. It will be much more competitive, and we can get more volumes. That's the whole purpose of the plant.
Keshav Lahoti: So, it can add a new layer of growth to the company , the Nepal market , understood.
Moderator: Thank you. The next question is from the line of Vinamra Hirawat from J M Finan cial Services. Please go ahead.
Vinamra Hirawat: So, I heard you say Morbi can't easily dump in India. So, regarding the US tariffs, we shouldn't estimate any change in volumes o r realization guidance in tiles if the US expected tariffs of 400% to 800% go through?
Ashok Kaj

aria: See, first of all, where this number has come from about the additional duty. As far as the additional duty is concerned, even it comes, it will not be more than 10% to 25% . That's number one. Number two, India is very competitive per se. Number three, just to give you some statistics, in the month of June, Russia has overtaken America as number one market, USA is #2. So, lot of markets are opening up because India is a very competitive player in the international market. So, don't think that alone America will do anything great. It's a whole world which has opened up to India, and there are 178 countries which India is exporting tiles to.
Vinamra Hirawat: Nice to hear that. My next question is on GVT, PVT and ceramic. As I understand , GVT is

growing the fastest and commands a price premium. What is the expected volume growth for
the next couple years in GVT? And do you expect GVT and a better more premium product mix
to drive higher realizations going forward than what they were this quarter?
Ashok Kajaria : See, all the three verticals have to grow to get the consolidate d number of 11% to 12%. GVT
might grow a little faster than ceramic and PVT but they all will be growing and yes as a value
as you know as the product mix changes as we sell more of the value-added high big tiles; your
margins will be little better but that will be offsetted by t he volumes. Our first priority would be
to deliver our volumes.
Vinamra Hirawat: Got it. I just have one more question on your bathware . If I heard you corre ctly, I think we grew
at 8% in b athware. Are we seeing higher volume growth here in line with tiles in the second half
and in FY26?

Rishi Kajaria: Yes, we definitely will. It will be a good double digit growth for sure, end of the year. And we
will see th e numbers increasing from here.
Moderator: Thank you. The next question is from the line of Ritesh S hah from Investec. Please go ahead.
Ritesh Shah: Couple of questions. One is if you could provide us an update on implementation of sales for
automation and DM S. How far are we? That's one. Second is are we already opting for channel
financing? If yes, to what extent of sales does it get covered? And if you have any plans over
here?
Ashok Kajaria: So, in terms of Salesforce automation, it has already become live. It has been sent to all our sales
team force in the last month. And we've already started tracking the movement of the people. In
terms of DM S, we did a n initial launch for the top 50 dealers across the country last week. And
we're going to go live in the first week of August, where they can see the stocks online, place
orders online. So, first week of August, it's going to go live to 900 dealers across the country.
On channel financing, 50% dealers are already under 4%, 3%, and 170 dealers have already
come under channel financing. And we hope to have at least another 300 dealers in channel financing by next 2 to 3 months.
Ritesh Shah: Sir, how do you see the velocity of sale s actually change for us as we i mplement sales for
automation and DMS is going forward. How is it likely to benefit us if we could just educate?
Chetan Kajaria : See, it is n ot directly to velocity of sales . It's about improving the quality of the time with the
dealer spend and our people spend in the market . Today we can track how many architects are
wasting, how many dealers are wasting, are they wasting time on the same dealer, how many
times in a month. It improves the quality and efficiency of the team as well as the dealer community basically. Let's say a
dealer phones a guy 4x for placing an order, he can now just
punch it online to get the plan directly. It's all about improving the efficiency and the speed and
the quality of time management basically.
Ritesh Shah: And on channel financing as we are open to more dealers , is it likely to impact sal

es o r can it be
incremental leader?
Management: It will help in improving sales.
Ashok Kajaria: It is helpin g those dealers to grow faster.
Chetan Kajaria : See right now their orders get stopped if their payments are stuck right. Once you get into channel
financing , then their orders are not going to be stuck. They are clearing their orders and the
orders are being cleared and they are paying the financers.
Ritesh Shah: Right, that's useful. And sir, is Salesforce Automation and Dealer Management System
something unique to Kajaria or is that something the industry practice like are we the first movers
for Ceramic?

Ashok Kajaria : Industry is already doing it. There are a lot of industries in the building industry who i s doing it.
Ritesh Shah: Sir, specific to Ceramic. So, are other Morbi players or other companies...
Ashok Kajaria : Ceramic we are not aware, but we learned it from meeting new people that a lot of building
material people in the industry are doing it, Havells , Asian paints. So, we adopted for it being
Kajaria being number one, we had to go for it, and we did it.
Ritesh Shah: Sure, that's helpful. S ir, second question is on government orders. I think this was one particular
focus area to increase volumes. I think you had indicated setting up a dedicated team during the
analyst day. Are there any numbers over here? What's the scale of improvement ? What can we
expect over here?
Ashok Kajaria : You will see a positive trend in government orders from this year more. Right now the team was
only in North, now we have an all India focus team.
Ashok Kajaria : We are treating it as a separate division to help us in increasing our government orders.
Ritesh Shah: Okay, sir, will it be possible for you to quantify what percentage of our total volume of

government orders right now? To what extent will it be comfort able with, say, y ear down rate?
Ashok Kajaria : The whole idea is to get more of the government share. It will all result in overall volumes.
Ashok Kajaria: We will quantify it at the end of this financial year.
Ritesh Shah: Sir, just last question, can you detail the fuel mix basically for North to what I understand we had biofuel, we had R- LNG and biofuel was nearly like 30% biofuel by energy. Same thing basically for Gujarat and South if you could please provide some color ?
Asho k Kajaria: In North, biofuel is about 30% plus. In Morbi , there is no such thing as biofuel, they are using coal for filing of spray there. And for South plant , they are using pa rtly a mix of biofuel and coal.
Ritesh Shah: Sir, what will be the pricing for biofuel? Basically, when we say Rs. 36 – Rs. 37, b iofuel is at what cost? Is it like variable?
Ashok Kajaria: Biofuel is costing about Rs. 22 to Rs. 23 rupees per SC M.
Moderator: Thank you. The next question is from the line of Shubham Agarwal from A xis Capital. Please go ahead.
Shubham Agarwal: First question, can you share the revenue or volume mix of PVT, GVT and ceramic tiles in Q1 25 and 24?

Chetan Kajaria: So, the volume mix in ceramics is 43% , PVT is 23 and GVT is 34 and the revenue mix is ceramics is 38% , GVT is 37 and PVT is 25.
Shubham Agarwal: This is for Q1 25, right?
Ashok Kajaria: Correct.
Shubham Agarwal: And can you say for 24 as well?
Chetan Kajaria: In 24, it is 44% ceramics, 31 G VT, 25 PVT for volume mix. And revenue is 38 ceramics, 36 GVT and 26 PVT, more or less the same basically.
Shubham Agarwal: So, actually the reason for asking this was that I noticed that the gross margin has expanded Y -o-Y, and this has happened despite ther e being a realization decline and you having a largely similar revenue mix from in -house manufacturing. So, what has actually driven that will help you increase the gross margin significantly. Ge

nerally these are the things that help you increase gross mar gin.
Nehal Shah : Yes sir, so as we just commented on it, raw material costs were lower but again you can't actually compare that with year -on-year because the outsourcing m ix and everything keeps changing. The gas prices were favorable but because of the increase in production that is not seen there in the gross margin , but that also helped improve our gross margin and on the EBITDA margin side, the employee cost is one cost which has led to shaving off the gross margin advantage which has not come into EBITDA margin.
Shubham Agarwal: Right. So, the outsourcing mix is also very similar. That's what I was thinking because everything is very similar Y -o-Y till this margin expansion. I will circle back on this. No worries. I will take the s econd question that I had in mind. This is regarding the gas cost. Now I actually calculate gas cost as per SM of production. Now gas cost per MSM of produc tion has actually increased QoQ for you by about 9% despite there because you mentioned that the ave rage gas cost per SM has declined from 39 to 37 marginally , but power and fuel cost per MSM of own production has actually increased 9% Q -o-Q just trying to understand, am I seeing it right or how should I see it?
Ashok Kajaria : Q-o-Q, the gas prices are same. So, overall gas price was 37 and now it is 37 , fuel price which is combination of all the fuels. And Y-o-Y the fuel prices have come down from 39 to 3 7 on an average .
Shubham Agarwal: And if you could highlight what's giving us the confidence that if you can highlight, give us some more color on what's giving you the confidence of the 12% or volume growth over the rest of the year as well. Maybe I believe some of it would be coming from diversification into a new revenue segm ent, let's say one Nepal and the second being the government orders that you're now picking up which you weren't picking up earlier. Is that the right way to think? Like the

new distribution channels that are opening up or the new geography that are openin g up is helping you?
Ashok Kajaria : What is going on in all the areas, whether it is projects, whether it is government projects, whether it is a retail. So, everywhere we are putting all our efforts, so we are looking at a combination from all these , the combination of everything we are look ing at a 11 %-12% volume growth as long as the industry also grows at about 5% -6%.
Shubham Agarwal: Which you are reasonably sure that you are seeing that growth having come back sustainably ?

Ashok Kajaria : We are optimistic and positive about it. And the 1st Quarter , with the 8% volume growth, at least we know that things are in the right direction.
Shubham Agarwal: I will just verify two numbers now. One, I missed your channel financing share. Like what percentage of your revenue is chann el financed at the moment?
Ashok Kajaria: We have given you som e data. Rest you can get later.
Shubham Agarwal: No, I actually missed it if you can repeat it, sir. That'll be helpful. You men tioned it in the same call, right?
Ashok Kajaria: You listen to this conference recording later; you will get the answer.
Shubham Agarwal: I will listen to it, okay got it. And your share from government orders you mentioned it will increase to 45% by the end of year. Did I hear that righ t?
Ashok Kajaria: No, I think we didn't say all that. You please listen, you will have all the answer s. You missed out few portions.
Moderator: Thank you. The next question is from the line of Sneha from Nuvama. Please go ahead.
Sneha: Just a couple of questions from my end. If you had done around 8% growth, what would be a rough estimate for the industry? How would have industry fit in the same current quarter?
Ashok Kajaria: Industry should have also grown by 3% to 4%, I would say. But things are

looki ng positive on
the ground, that much I can tell you. The numbers, more numbers will clear later because 1st Quarter as we all know, was election quarter, June was very hot. Looking at everything, I think what we have done is okay. And industry should have done slightly better, but I think things will be more clear at the end of the 2nd Quarter .
Sneha: So, you mean the growth has come back for the entire industry not only in Kajaria?
Ashok Kajaria: Exactly.

Sneha: Understood. And what about exports? Would exports also have grown because what we understand is exports have taken slight hit because of anti-dumping duty talks on US.
Ashok Kajaria: No. Anti -dumping is a very small thing. People are not understanding that part. The serious problem is the freight rates because of the Hamas Israel problem, which has gone up sky high. They have slightly come down from what they were at the peak, but still it is very high. So, that's the thing which is causing exports to slightly come down. The moment this problem gets resolved or some solution is found, exports will pick up again. The freight charges have gone up very high. So, it's not America. America is a small issue.
Sneha: The real issue is the freight rates. Once it comes down, we will again start seeing grow th coming back.
Ashok Kajaria: Exactly.
Moderator: Thank you. The next question is from the line of Rishab Bothra fro m Anand Rathi. Please go ahead.
Rishab Bothra: Two, three questions . To take from the last question, what is our lead distance in terms of transportation? We have three factories, two in Gujarat and one in Ra jasthan and another two in the…
Ashok Kajaria : We have 8 factories right now .
Rishab Bothra: No, but 8 is in different states. So, I was mentioning of Rajasthan.
Ashok Kajaria : No, 8 is tile factories, not in different states. Eight are tile factories.
Rishab Bothra: So, what is the lead d istance I wanted to understand?
Ashok Kajaria : Lead distance from where?
Rishab Bothra: I mean from the E astern factories, one located in South and one i n the E ast.
Ashok Kajaria : What is the questio n exactly? What are you asking?
Rishab Bothra: What is the maximum distanc e of travel and transportation?
Ashok Kajaria : Where do you need the transportation distance from? You are putting a very confused question.
Ashok Kajaria : South factories are catering to South India.
Rishab Bothra: The maximum distance of transportation from any of the locations. Let's say there i s a plant which is 700 km away.

Ashok Kajaria : What do you want to do w ith that? What is the distance?
Rishab Bothra: My question is how can we reduce that whether a new plant is to be set up in that particular state or other one?
Ashok Kajaria : You leave it to us. You can't take all those calls. We have 8 factories. Please get your data righ t. We have 8 factories, 2 in South, 3 in West and 3 in North. Those 8 factories are properly distributed to all over India.
Rishab Bothra: Second question is we have 90% of the revenue coming from tile and 10% from the remaining

segments. So, what is our g rowth plans for those segments?
Ashok Kajaria : It's basically a tile company. Next 5 years also you will see revenue should be between 85% to 86% of tiles and rest will be from other ver ticals like what we have today.
Rishab Bothra: But we want to grow those segment as well , you don't want to hive it off .
Ashok Kajaria : Yes, of course.
Moderator: Thank you. The next question is from the line of Amit Purohit from Elara Capital. Please go ahead.
Amit Purohit: Sir, just on the growth, we've been growing ahead of the industry, and you would attribute it to what? I mean, would you attribute it to distribution expansion or existing markets also doing well? How do we think

about that? And you highlighted that the smaller towns are doing better but just wanted to get your insight?
Rishi Kajaria : So, as mentioned we are basically working on all fronts. We are strengthening all our fronts whether it is a retail channel, whether it is projects, whether it is government projects everywhere the action is on to make sure that we do our desired volumes. I will give an example like in the retail front, a dealer of us opened a 20,000 square feet showroom in Hyderabad, r ight, so everywhere the things have to be there, then only the volumes will come, right , on all the fro nts whether it is distribution, whether it is projects in terms of branding to get the market share to increase our volumes.
Rishab Bothra: Sure. And sir, how does one think about over the next 2 to 3 years as the volumes comes back? I mean, we have seen very high kind of margins earlier, as well in the range of F Y16-17, we were flocking somewhere around 19% kind of EBITDA margin. How does one think about, given the context that there are many players which have entered and this category does see competition coming and realization do get impacted , so can we think about over the next 2-3 years somewhere when the volumes recovered to m id-teens or so, would a margin outlook of 17% to 18% is a possibility or you would probably look at high teens kind of a volum e growth and keeping the margin same or do you think you would..

Ashok Kajaria: We have already given a 3 -year vision at our annual meet in the month of May, where Kajaria would be after 3 years, number one. Number two, we have already given an EBITDA guidance of 15% to 17 % for this particular year. And as we go forward, we will see how things shape up.
Rishab Bothra: Sure. But you think there is a possibility, as the demand improves , the margin of liquid.
Ashok Kajaria : See we have to work on a combination of both volumes and margins as we want to do better than the industry , so we have to do our volume growth as well and the margins will result into fit, but as we discussed 15% to 17% looks quite doable and we als o have to do our volume growth.
Moderator: Thank you so much. The next question is from the line of Saurabh Jain from HSBC. Ple ase go ahead.
Saurabh Jain: My question is relating to your Nepal plant. Now that the plant is expected to get in commission in September, can you make some comments around how would your distribution strategy would be like? What kind of number of dealers are you looking to add? And some more color also on your marketing initiatives for that local mar ket. That will be very helpful.
Ashok Kajaria : So, just to give you a background, our capacity will be 5 million square meters of ceramics and GVT. The total market in Nepal is roughly 2,500 crore. We are looking at a 10 % to 12 % market share once we get fully operational. In terms of dealer distribution, we were already expo rting to Nepal as Rishi said, between 7 0,000- 80,000 square meters per month. So, we have a decent distribution network, but we've now strengthened a team in Nepal, and we are trying to increase our dealer network much more, do the branding, increase more dealer s, and do some local advertising also to get the Kajaria brand more registered out there. So, as we keep on moving along, we will keep on strengthening our local network out there. That is our strategy.
Saurabh Jain: So, even now, do you have your ex clusive dealer partners in Nepal or is it sold more to multi-brand?
Ashok Kajaria : No, we already have a Galaxy dealer in Nepal who are exclusive Kajaria dealers. And we are looking to inc rease that number to much more.
Saurabh Jain: Can you share those numbers what is today and what are your expectations in terms of number of dealers, please?
Rishi Kajaria So, we already had a dealer base when we talked about our plant in

Nepal. Currently , we have about 50-60 dealers, which will increase to about 100 dealers in the next 3 months.
Saurabh Jain: 50 to 60 are almost like doubling to in the next 3 months.

Ashok Kajaria : The moment the plant comes , everything changes right? Because your price will be much lower as to what you're giving right now. So, we will increase our dealer base and we will strengthen our branding. We are very s ure that we will get our numbers.
Saurabh Jain: And 5.1 MSM, correct me if I'm wrong, almost 1 MSM would be like cannibalization . Is that right understanding? Because what we will be exporting from India that will be done away with and so incrementally net net about 4 MSM of net addition will be there. Is this the right understanding?
Ashok Kajaria : Yes, we have to quadruple or make our sales 5x of what we are doing right now. But that will all happen because of the price advantage. What we are selling right now is with all the duties and everything and when we produce the price to the dealer will be much lesser.
Saurabh Jain: And also can you also elaborate a bit what kind of marketing initiatives you are going to take in that market? What kind of interest you are evoking? And if there are any plans to open up local Nepalese based celebrities, any insight will be useful ?
Ashok Kajaria: Nothing on the card for a local Nepali celebrity. As we mentioned, once a plant comes in, price will become more competitive. We can get the dealer smaller lots, the rotation cycle will increase, the distribution base will expand, that 's how we will sell our capacity.
Rishi Kajaria : So, it's ve ry similar to India. Nepal is very similar to India. Our strategy is whatever is working here, we will use a similar strategy there.
Saurabh Jain: And if one question, if I may ask, you are aspiring to do about 150 MSM of tile sales by end of FY27, which is like a 12% kind of an annual growth. Can you also tell us what kind of dealership expansion ambitions do you have to achieve this kind of volume growth as you take? What could be the number of dealers you would want to have in the next 3 years for the total company level, yes of course ?
Chetan Kajaria : So, it will be a combination of both. We are right now at about 1800 dealers as of March 31st, 2024. So, every year, I think with this, we will add about 10%, which is about 200 dealers every year.
Saurabh Jain: So, almost like 700 kind of a number in the next 3 years .
Chetan Kajaria : Also , a lot of our existing dealers also open more showrooms and increase volumes. So, it'll be a combination of both.
Chetan Kajaria : And we also have 415 exclusive dealers only sell Kajaria. The main thrust will be to open more exclusive stores also of Kajaria.
Moderator: Thank you. The next question is from the line of Rajesh Kumar R avi from HD FC Securities. Please go ahead.

Rajesh Kumar Ravi: My question pertains to this shot up in the container f reight index. What are your thoughts on exports from Morbi becoming less attractive and that impacting again the supply in the domestic markets?
Ashok Kajaria : So, nothing like that will happen in this 1st Quarter , even despite the freight increase and the freig ht transit time, the M orbi exports have been flat tish. So, whatever they did it last quarter FY23 -24, they did the same in ‘24- 25 and they are going to soften as we go along, this free trades and all. So, things will get better, they'll come back.
Rajesh Kumar Ravi: Because we are seeing reports which forecast that the freight index may further shoot up and that is why this concern that most of the freight rate which has gone up may not have refle cted in the freight c ost in Q1?
Ashok Kajaria: If it shoots up , it is not happening only for India, it shoots up all over the world. As I sai

d earlier ,
India is the most competitive player along with China in the international market. If exports hav e to take place which it has to, India will be a very large player along with China in the export market.
Rajesh Kumar Ravi: And any idea what sort of volume growth we did in month of June? Any ballpark , was it double digit volume growth?
Ashok Kajaria: June was double digit volume g rowth. As earlier Rishi said, April was tough, lower, May was better, and June was even better.
Rajesh Kumar Ravi: And that is why you are looking that this quarter the volume numbers should remain in double digits ?
Ashok Kajaria: Yes, that's what I have already said.
Moderator: Thank you. Due to time constraint, we will take that as last question. I would now like to hand the conference over to the management for closing comments.
Ashok Kajaria: Thank you very much for having this conference done on behal f of Kajaria and on my personal behalf. And thank you all for doing it. And thank you all the participants who have spared their time to be part of this conference. Thank you very much.
Moderator: On behalf of Equirus Securities, that concludes this confer ence. Thank you for joining us and

you may now disconnect your lines.

Call: Oct 2024

October 26, 2024

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India L imited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated October 22, 202 4, informing about the uploading of the audio recording of the Conference Call held on October 22, 2024 , we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your record.
Thanking you,

For K ajaria Ceramics Limited

R.C. Rawat
COO (A&T) & Company Secretary

Encl.: As above

"Kajaria Ceramics Limited
Q2 FY '25 Earnings Conference Call "
October 22 , 2024

MANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN – KAJARIA CERAMICS LIMITED
MR. CHETAN KAJARIA – JOINT MANAGING DIRECTOR – KAJARIA
CERAMICS LIMITED
MR. RISHI KAJARIA – JOINT MANAGING DIRECTOR – KAJARIA
CERAMICS LIMITED
MR. SANJEEV AGARWAL – CHIEF FINANCIAL OFFICER – KAJARIA
CERAMICS LIMITED
MR. KARTIK KAJARIA – HEAD ADHESIVES DIVISION – KAJARIA
CERAMICS LIMITED
MR. NEHAL SHAH – DVP STRATEGY AND INVESTOR RELATIONS –
KAJARIA CERAMICS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Kajaria Ceramics Q2 FY '25 Earnings Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch- tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aasim Bharde from DAM Capital. Thank you, and over to you, sir.
Aasim Bharde: Thank you, Siddhant , and good evening, everyone. Thanks for connecting to Kajaria Ceramics Q2 Results Call. From the company side, we have the senior leadership team of the company who will take us through the Q2 performance, after which we'll open the cal l for questions.
Thank you. And I'll hand the floor to Mr. Ashok Kajaria for his opening comments.
Ashok Kajaria: Thank you, Aasim. Good evening, everyone. It gives me great pleasure to welcome you to the quarter 2 F '25 Earnings Conference Call of Kajaria Ceramics Limited. Joining me on this conference call -- my grandson Kartik; our CFO, Mr. Sanjeev Agarwal; and Mr. Nehal Shah, DVP Strategy and Investor Relations.
While we expected industry demand to r evise post -election led quarter -on-quarter, the sustained weakness in domestic market and excessive rainfall in the months of August and September has led to a subdued quarter 2 for the tile industry. Nevertheless, our tile volumes in quarter 2 F '25 grew by 8.5% year -to-year to 28.70 million square met ers.
We, however, expect the demand outlook to improve for the tile industry in second half of this current fiscal. Our consolidated revenue for the quarter stood at INR 1,179 crores, indicating a 5% increase compared to the corresponding period last year.
Our EBITDA margins remained soft at 13.5% for the quarter, driven by muted margins reported by the bathware division, which was largely attributable to losses incurred in the recently commissioned Sanitaryware unit in Morbi.
Additional overheads incurre d by Keronite unit in the tiles division, which commenced operations during the quarter. Our Nepal project commissioned in September '24, and we expect the plant to witness a gradual ramp- up in production in second half of F '25. On the export front, India 's tile exports experienced a 15% fall in the first 5 months of the current year, totalling to INR7,400 crores versus INR8,700 crores in the same period last year.
This was largely attributed to a significant jump in ocean freight rates due to ongoing Red Sea crisis and lack of container availability due to this. Now for this quarter segment -wise financial performance. Tile segment grew by 5% in revenue terms reachin g INR1,053 crores compared to INR1,000 crores in quarter 2 F '24.

bathware segment registered a 6% year -to-year growth in revenue, reaching INR 90 crores compared to INR 85 crores in quarter 2 F '24. The plywood revenue decreased by 26% in quarter 2 F '25 t o INR17.5 crores as compared to INR 23.5 crores in quarter 2 F '24.
Revenue from the adhesive grew by 40% to INR 18 crores in quarter 2 F '25 as compared to INR13 crores in quarter 2 F '24. PAT for the quarter degrew by 22% to INR 84 crores in quarter 2 F'25 as compared to INR 108 crores in quarter 2 F'24. As of 30th of September '24, the working capital days remained flat at 59 days compared to 31st of March '24.
With this, I take this opportunity of thanking you for joining us today. Over to moderator for Q&A, please. Thank you.
Moderator: First question is from the line of Rahul Agarwal from IKIGAI Asset Management.
Rahul Agarwal: Sir, firstly, just a view on gas pricing. Broadly, what we are

understanding is LNG is going to be oversupplied globally. It looks like long term; the gas pricing is going to be extremely low. This is a more longer -term view, I think '26, '27 we're going to see a big -time correction in gas pricing. Any thoughts internally you would have thought that -- how do you see tile business long term, if that really happens in India?
Ashok Kajaria: No. Gas prices as of now are not changing much. And as you know, we are buying in North gas from GAIL, in Morbi, we are buying from GSPC. Nothing much has changed in the first 6 months of this financial year. And looking at that scenario, we don't know right now what the

situation would be. But as you are aware, we are also using biofuel to the extent of about -- overall about 22%, 23% overall. And in North, it's close to about 30% plus. So firs t 6 months, there is no major change.

Rahul Agarwal: I understand that, sir. What I was asking was basically global studies are saying that LNG pricing could correct like 40% going into next 3 years. Any major change would you see, let's say, hypothetically, if that happens, what if that happens.

Ashok Kajaria: Global right now is not in our hands. We are not buying gas directly. We are buying through these companies. So unless there is a major change, we cannot comment on that. That's not our thing that we can do anything about it.

Rahul Agarwal: Sir, secondly, just on the industry performance, overall first half and outlook, what do you think like how will this really pan out? Obviously, we all know that real estate launches have been a bit slower, but ultimately outlook is okay. Any thoughts on what should be the first sign of recovery in demand?

Ashok Kajaria: No, it's already happening. Things are looking positive. What the dealer feedback is things are looking positive. And the demand is coming from rea l estate projects partially. So we feel that what we have done in the first half, second half should be much better than the first half.

Rahul Agarwal: And last question on the working capital, is 59 days. Sir, can we as a business do better than this as in, in terms of -- is it really possible to run the business at 30 days because what we're seeing is Somany is actually trying to run it at almost zero investment. Is it really sustainable?

Ashok Kajaria: See, what we will do -- what we will try to do that it will not be 40 days, but I think by end of March, we'll bring it down to 50 days.

Rahul Agarwal: And how will that come through this.

Ashok Kajaria: We are trying to bring it down to 50 days by end of March.

Rahul Agarwal: Got it, sir. Will that come mo re from receivables or inventory management?

Ashok Kajaria: Both. Receivables and inventory management. It's a combination of both.

Moderator: The next question is from the line of Shaleen Kumar from UBS.

Shaleen Kumar: Sir, you said that second half is li kely to be much better than the first half. Is there any signs or any discussions with your dist ributor indicating that, like.

Ashok Kajaria: In tile, as you know, there are no distributors. There are dealers across. We have almost 1,850 dealers across Ind ia. And the feedback is coming positive. You see, two things you all must understand that in the months of August and September, there has been excessive rainfall all in the country. And you have just seen the result of Ultratech other day. There is a fall of 35%. You see, why?

Because things can't move if there is so much of rain, things can't move. Things are much better in the country now, rains have stopped. And as you know that second half is always better than the first half, but this time first half, this first 2 months were election period, April and May, August and September were excessive rainfall. If you look at that, second half will definitely be better, Shaleen.

Shaleen Kumar: Sir, I just wan

t to understand if you have any sense, we have delivered like 8% growth -- volume growth. Any sense sir, we've grown ahead of the industry? Like, how much was the industry? I mean, just like in case you have any Intel on that?

Ashok Kajaria: Shaleen, industry should have grown at about 2%, 3% domestical ly. Exports are down, as you know, because of the -- this problem in the Israel -Hamas war. And we at Kajaria have grown by 8.5% plus in the second quarter. I think we are definitely at least 5% more than the industry. And going ahead, as you know, Kajaria has always been doing much better than the industry. I can assure you on behalf of Kajaria -- team Kajaria that we will definitely do 5%, 6% more than whatever industry grows.

Shaleen Kumar: Yes. Sir, our realization has been flat. I understand it's a tough environment. But how should we think about, like it's a volume versus value play. So going forward, is there a chance for our realization to improve and what will drive it if that could be a case?

Ashok Kajaria: Shaleen, realization will remain flat more or less. At least it is not coming down. As I said last year, the realizations have become normal than for the first 6 months. number one. Number two, any realization growth will only come when more value -added tiles go to the market, the bigger tiles, the market increases, there'll be a slight improvement. But what you will get as a mileage will be increased volume. Increased volume will give you some lever to margin.

Shaleen Kumar: But that's not something we are looking in near term, right? It's mor e of a little -- few quarters away.
Ashok Kajaria: Increased margin will be there in the second half -- increased volume will be there in the second half. So definitely, it will be much better than the first half, whatever you're seeing.
Sanjeev Agarwal : Shaleen, yes, Sanjeev this side. So you rightly said that, see, there are 2 part of business, one is a tile business, and another is a non- tile business. So what we have done is, as sir has said, that we have done much better than the industry. The volume - - in such a challenging industry, the volume has been good, and the most important part is this -- despite this bad scenario, the realization has not fallen.
Why the margin has fallen? Margin has fallen mainly because of 2 things. One is the tile unit we have put up Keronite that is under stabilization. So that has been somehow responsible for the falling margin. And another major factor is the bathware division, wherein we had put up a plant, which is still under stabilization, and there will be significa nt improvement in the second half.
So the blame should go to these things and this -- which are rectifiable in the next half year.
Shaleen Kumar: Actually, that's kind of answered my another question where I could see increase in other expense. So is that the reason for jump in other expense?
Sanjeev Agarwal : Yes. When the volume will go up, so other expenses will not go up in tandem. So we'll get some operating leverage there also.
Shaleen Kumar: And sir, last bit -- okay, other expense I understand now. H ow should we think about our gross margin? That's have also come down a bit, right? So is there any particular input costs that have gone up.
Nehal Shah: Yes, Shaleen. So if you look at year -on-year, the gross margins are down. That's largely because of realization drop by nearly 3%. And if you look at quarter -on-quarter, the gross margins are down almost 90 bps, and that's largely because of higher mix of outsourcing, which has gone up from 23% to 26%.
Shaleen Kumar: Yes, I was looking for the sequential . It's larg ely because of the outsourcing.
Moderator: The next question is from the line of Sneha Talreja from Nuvama.
Sneha Talreja: Just continuing on the margin part of it you've also mentioned that there were losses in

the
bathware, which was a newly c ommissioned unit and also because of the Keronite unit, is it possible to quantify so that we can come to the normalized margins?
Sanjeev Agarwal : I think because the margin should be around 80, 90 bps because of the bathware thing, roughly.
Sneha Talreja: Because only of the bathware 80, 90 bps kind of an impact?
Sanjeev Agarwal : Yes, you can say roughly 100 bps, 90 to 100 bps because of the bathware. There is some softness in the faucet also because the prices have -- of metal has gone up, and we have not been able to

pass it on in this quarter, maybe we generally pass it on with a lag. So maybe we'll make up next quarter in faucet also.
So majorly, you are right, you can put the blame falling margin to bathware. The tile business has been fortunately -- there is -- which is our core business, it's our main business that has not been affected, and we have performed better than the industry, both in volume terms and there is no fall in realization.
So we are quite satisfied, though we have not done the way we wanted, the way we guided for the volume the way we guided for the margin, but we are quite satisfied that given the circumstances we have done really fine.
Sneha Talreja: So these margins then definitely can normalize in the coming 2 quarters, which i s -- I mean, H2.
Sanjeev Agarwal : Now, it should be so . This is the special circumstances we have attained this margin. So I've given you the reason. I'm not saying -- you are intelligent enough to calculate the margin. I've said the reason for fall in margin, first, the bathware unit did not stabilize, which is under stabilization. So it is stabilized. So it will not show the same margin, which it had shown in the first half or the Q2.
Second, the Keronite tile division, which has worked only at 38% wi ll not work at 38%. When the percentage will improve, obviously, the margin will improve. So I think we will regain the lost margin in these 2 segments. And the tile business, we are not -- and we are not guiding you for a better improved margin in tiles s ector also, as Kajaria ji had said that we are not expecting any price increase.
But at the same time, we are not expecting any fall in the price also. So fortunately, the things improve, you may -- we are not guiding, but we may see some price improvement also going forward, we don't know.
Sneha Talreja: Just last 2 questions, if I may. Can you give us the gas prices for North, South and West, sir.
Ashok Kajaria: Gas prices average is INR 37 right now.
Sneha Talreja: Which is exactly same as last quarter, and all the 3 units also remain -- I mean all the 3 regions

also remain the same gas price?
Ashok Kajaria: Yes. It is INR 38 for North, South is INR 37, West is INR 35, and average is INR 37.
Sneha Talreja: One last one from my end. While you mentioned about t he volume, is there any industry growth estimate for H1?
Ashok Kajaria: Volume growth for H1 industry should be about 2%, 3% only. It's been a muted performance.
Moderator: The next question is from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: Sir, as your Nepal plant is commissioned now, give us some sense on how the Nepal market is doing, what sort of ramp up you are planning, what sort of margins you would make in this market?
Chetan Kajaria : So basically, we put a 5.1 million square meter capacity of ceramics and GVT in Nepal. We just commissioned September '24. The total market size is INR 2,500 crores. And in volume terms its -- between 22 million and 25 million square meters. So if we're loo king at ramping up our now sales in the next coming 3 to 6 months as the plant gets stabilized and the dealer showrooms get made basically.
Keshav Lahoti: So should we expect like what sort of ramp

up like 50% utilization in next 1 year? And how would be t he margin in this plant compared to your Indian business?
Chetan Kajaria : Yes, plant is okay, 100%, and our target is to se ll 100% of the plant capacity going forward.
Keshav Lahoti: So this is a margin accretive, like Nepal is a margin -accretive business compared to tile business?
Chetan Kajaria : At the moment, it is difficult to make any comment on the margin because it's a new market. So it may be margin accretive, maybe similar -- it's too early. I think let's wait for another quarter to enable us to gi ve any guidance about the Nepal market.
Keshav Lahoti: Sir, secondly, coming on the Sanitaryware business. So again, sort of a subpart performance of 6% only volume revenue growth in Sanitaryware and plywood business have declined by 26%. So how should we see this business going forward?
Rishi Kajaria: So for Sanitaryware business, we had a very low growth. The only reason was again as -- because of the heavy rains, the market was really very difficult last quarter. And we are looking at a much better H2 going on from here. We are doing a lot of things also, a lot of showrooms are being made, a lot of work is happening at the ground level. So we are looking for a much better H2.
Keshav Lahoti: Last question from my side. The volume growth guidance what you have given last time, 11% to 12% for FY '25 with 15% to 17% EBITDA margin. Does it remain intact? Or would you like to lower it?
Rishi Kajaria: No, it will go down because the new plant has really got lowered down our margins, and it will still take anoth er 2, 3 months to stabilize. And from the quarter 4 will be much better.
Sanjeev Agarwal : He is talking about the guidance part.
Rishi Kajaria: So I think we -- in bathware, we will not be able to maintain our guided margin.
Keshav Lahoti: Okay. So what is the new guidance for this year?
Rishi Kajaria: In this financial year.
Keshav Lahoti: So what's the new guidance for this year for volume growth and margin?
Sanjeev Agarwal : Volume growth, we can say -- as Rishi ji has said, that plant is still under stab ilization. So.

Ashok Kajaria: The overall volume growth this year, overall for the tiles will be anywhere between 9% to 10%. We have already done 8% in the first quarter, 8.5% in the second quarter. And as I have already said, the second half will be bette r than quarter 1 and quarter 2. So we are looking at a 9% to 10% volume growth as far as the second half -- for the full year is concerned -- for the full year.
Rishi Kajaria: And margin guidance would be at the lower end of our stated earlier.
Ashok Kajar ia: As you know, we have given a margin guidance of 15% to 17%. It will be -- by the end of the year, it will be at the lower end of this guidance in this year.
Keshav Lahoti: Okay. So by Q4, it could be 15%, right?
Ashok Kajaria: Yes.
Keshav Lahoti: For Q 4, you're talking or as a year you're talking?
Ashok Kajaria: No, I'm talking for the whole year. I'm talking for the whole year.
Moderator: The next question is from the line of Jyoti Mishra from Nirmal Bang.
Jyoti Mishra: This is related to the same volume growth number that is given that full year, it will be in the range of high single digit, 9% to 10%. Could you give us any guidance in terms of the pipeline because we know that the project which would require tiles, the order for those tiles would have any which would have come. So pipeline -- so do you have your pipeline.

Ashok Kajaria: Let me correct you. It is not a project -based company, where there is a pipeline of pending orders, it's the dealer -based company. We have 1,850 dealers across, orders keep on coming and going. This has been going on for an umpteen number of years. So there is no such thing as pipeline. And since we have already done 8% in the first quarter, 8.5% in the second qua

rter. And with the markets looking positive, we will do whatever we are saying. There's no such thing in this industry.

Jyoti Mishra: I agree, sir. But you will have a breakup of your tile volumes in terms of IHB and the real estate or segment and real estate would typica lly have a pipeline. So maybe.

Asho k Kajaria: We will talk about it at the end of quarter 3.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: A couple of questions. Sir, first is, in the last analyst meet, you had indicated that we will focus on gover nment projects, and we'll have a pan India team. You had also indicated certain target numbers from this particular segment. Any specific update over here? And what will be the contribution of government projects, if you could please help on that?

Ashok Ka jaria: You're absolutely correct. The project team is in place. Already a project team in is in place, point number one. Point number 2, as far as government projects are concerned, it will definitely go by at least 25% more than what we did last year beca use earlier we had a project team only

for North. Now the project team has come in place in East, West and South. So definitely, it will be more than 25% government work what we have done last year.

Rishi Kajaria: And just to add to that Ritesh, that this year will be mostly, more of approvals, which should be done. The real sales will have start coming from next year. But the team is in place, and they're full fledgedly going and meeting a lot of government's departments.

Ritesh Shah: That's useful. And si r, would it be possible for you to quantify what percentage of our total volumes are from government projects right now and where we aspire this number to be?

Ashok Kajaria: Yes. Last year, if you remember, we did 10% in government business. And this year, we are looking at least at about overall sales volume, 12.5% to 13% of the government business.

Ritesh Shah: This is very useful, si r. Sir, my second question is.

Ashok Kajaria: Just to complete my sentence, as Rishi said, this year more -- in government department, approvals require a lot of time. What approvals are done now, the business comes next year. So with the project team in place all India now, I am sure that next year, this number should go up to 15% as far as government share of the total sales are concerned.

Ritesh Shah: Sure. That's helpful. Sir, my second question is on capital allocation. Just keeping a check of what the company is doing. I see basically there was a JV that we did I think it's in -- for U.K., I think Kajaria UKP Limited. Aft er that, we have made an acquisition of CTD stores wherein the quantum is quite significant. So is it like change in thought process? Are we investing into the retail network overseas? How should we look into this? And the total amount that we have actually spent on the overseas assets, if at all, we have acquired them, if what I read is correct?

Rishi Kajaria: No. So we're not going to spend a lot of money, and our focus has not changed. After opening the London store, we got this very good distressed deal of these 7 stores, which we thought would further strengthen our retail operations. So in terms of capital allocation, very less capital has been allocated, and we don't intend to allocate a lot of capital at all.

Ritesh Shah: So is my number right, GBP 400,000 to acquire 7 stores?

Sanjeev Agarwal : Correct.

Ritesh Shah: Okay. And from an incremental ROC E standpoint, if I have to look at this particular aspect in isolation, I think Kajaria ji has always been focused on incremental ROC and margins. So how does this particular bucket on overall scheme of things actually pertain? Because it's a bit different to traditionally how we have operated.

Sanjeev Agarwal : Ritesh, it is too small to -- which will make any impact o

n ROC. 400,000 -- how much is that INR4 cr ores per investment . I mean, this is not even a question to be asked. INR4 crores investment, will it impact my overall ROC E? Even if it comes to 40 %, it will not have any impact. Even if it comes to 2 %, it will not have any impact.

Ritesh Shah: Fair thing. But we don't intend to progress this -- on this path going forward, right? Or is it like if we have some distressed assets, we'll continue to buy?

Sanjeev Agarwal : That portion here Rishi ji had answered. I'm just answering the ROC E point of view.
Rishi Kajaria: Ritesh, as you said that we are not acquiring any more assets, and this is just to stabilize the London operations, and we are not getting into it much any further.
Ritesh Shah: Sure. That's helpful. Sir, my third question is, I was moving ar ound the channel. And I found basically 2 brands, one was Primera and other was Technica. The price points over here in the same Kajaria shop were significantly lower. I'm just trying to understand, is there some change in thought process on our market pos itioning because Kajaria has always been a premium solid brand. That's how our pricing has been.
Chetan Kajaria : Ritesh, you must have seen it in the Kerala market. Basically, it's the same tile but to cater to a different set of dealers. Let us suppose in Kochi, there are 50 dealers, we can't make dealers in every shop. This is to give a higher distribution reach but in the Kajaria brand only, and prices are not much lower. It is hardly 5% to 7% lower than the actual Kajaria brand we are selling. So there is not a major difference in the pricing pressure in this.
Ritesh Shah: Okay. So is this something for a specific micro market in Kerala or is we intend to replicate on a pan India basis?
Chetan Kajaria : Currently, it's only the Kerala market as of now.
Ritesh Shah: Okay. This is quite helpful. And sir, last question. Yes. Yes. Sorry, sorry, please finish sorry.
Chetan Kajaria : That's 100% retail market with no projects. That's a different market altogether. This is only for the Kerala market as of now.
Ritesh Shah: Okay. And sir, would it be possible for you to quantify the quantum of volumes attached to this? Or is it very, very small?
Chetan Kajaria : It's too small. The volumes in the overall picture in this is very small.
Ritesh Shah: Okay. Last question, sir, channel inventory, is it low, high? How should we gauge?
Ashok Kajaria: Channel inventory overall has reduced after GST. You see earlier, the transit time was much higher than what it is now, GST has removed a lot of roadblocks. So today, the dealer keeps a maximum inventory of 45 to 60 days, and he rotates with that because the delivery time has reduced drastically. That's how -- because of the wide range of products, it keeps an inventory of 45 to 60 days.
Moderator: The next question is fr om the line of Praveen Sahay from Prabhudas Lilladher.
Praveen Sahay: Sir, my first question related to the bathware. As 5.7% of the growth for this quarter, how is the guidance for a full year or the year ahead?
Rishi Kajaria: So full year, we're looking at a 15% -plus volume growth -- revenue -- revenue growth. Next 6 months should be much better. Because the plant is stabilizing, the markets will be better. I think

we'll -- the next 6 months would be much, much better. We will compensate for the first 6 m onths in these 6 months.
Praveen Sahay: Good to hear, sir. Second question is related to the Nepal project. Earlier, you had said you have already business there, and you do around 80,000 square meter per month. And with the plant coming in, even you'll ra mp up to the 400,000 square meter per month. So that holds true. So from September or when the plant is commissioned, so October, November, we will start seeing such num

ber improvement?
Rishi Kajaria: No, the plant has already started. The plant started on sixth of September, and it will come into full production by November, and we intend to sell as much as we produce as we go forward.
Praveen Sahay: Okay. So currently, you are already doing 80,000 square meter per month from Nepal?
Rishi Kajaria: That is just started. That was in September. September, the plant has just started, September, we've sold about 60,000, 70,000 square meters. From October, it will improve. And every month hereon, we'll increase our sales. As the production is increasing, the sale s will also increase.
The number you're talking about that we're doing when we are exporting from India. Now everything is locally made there. So obviously, there's a price -- big price advantage. And now with the plant coming, we'll get much bigger share in the Nepal market.
Praveen Sahay: Yes, sir. Secondly, on the last call also, you had given an indication of broadening the coverage of channel financing among dealers. Can you quantify in these numbers like how much of 1,800-odd dealers so far covered with the channel financing? And how is our future target?
Ashok Kajaria: I'll answer that point. There are 2 kinds of things. One is payment. We have two -- as I said last time, out of 1,850 dealers today, almost 950 dealers are under 4% to 3%. 4% means pa ying in advanced, 3% means paying in 10 days. And almost 175 dealers are already covered in the channel financing. Our target is that by end of March, we should cover at least another 300 dealers in channel financing.
Praveen Sahay: Sir, on this only, is t hat the Kajaria only doing in the market this kind of a channel financing to the dealers or the deal s?
Ashok Kajaria: No, others are also doing. Cera is doing, Somany is doing. They're already doing.
Praveen Sahay: And just to clarify, which you had answer ed earlier related to the government project. So for FY '24, you had said 12% to 13% of your volume came from the government project and 15% for this year.
Ashok Kajaria: Absolutely correct. Last year it was 10%. This year, it should be close to about 12.5 % to 13%.

Praveen Sahay: That is -- sorry sir, that is for the volume you are saying?
Ashok Kajaria: Volume. We only talk about volume.
Praveen Sahay: Okay. Last year, 10% volume this year, 12.5% of volume?

Ashok Kajaria: Absolutely correct.
Moderator: The next question is from the line of Sonali Salgonkar from Jefferies.
Sonali Salgonkar: Sir, my first question is regarding the Morbi exports. You did mention that there is a 15% fall in H1. So I wanted to check on 2 aspects. Firstly, was there a planned shutdown in August, September by Morbi? And secondly, is the dip in exports impacting any domestic operations in terms of pricing because of the higher influx of their supply in the domestic market?
Ashok Kajaria: Now -- good questions. First, the freight impacted very much. I'll just give you a small example. The freight, let's say to Europe was -- at one time was $1,000. It went up to $4,000. Now it has come down to about $2,500. So the freight impacted. As a result, the exports came down because the buye r -- for a container, if the freight is almost 40%, 45% of the component, the buyer cannot afford to pay, and he cannot sell locally there. That's one.
Secondly, if you are aware in -- just before Janmashtami, about 250 plants got shut down, and they were almost close for 1.5 months, and they are gradually starting now. Yes, you are right. Whenever the -- exports suffer, partly they close the plant, partly they try to deal in domestic. But as I've said, umpteen number of times in the past also, suppose you are a dealer, and you have a showroom. In our trade whatever is seen is sell.
So you have displayed a certain material of Somany, Johnson or Kajaria. Now somebody comes and says you

look, I'll give you 15% cheaper what you will do, because you cannot dis play and sell because next time that material will not be available. So it doesn't impact at all the local market at all. It used to earlier because the price difference was very much. With GST coming in, that difference has narrowed down to a great extent . So if -- honestly you ask, it is not affecting the local markets.
Sonali Salgonkar: Sir, very clear. Sir, my second question is regarding pricing. Between April '24 to September, what has been the overall pricing action in H1 FY '25, both for tiles and S anitaryware ?
Rishi Kajaria: Price has been completely stable, actually. There's been no price change at all between April to September.
Nehal Shah: As you can see in our realization.
Rishi Kajaria: And we continue to -- I think we will continue to see that in the next 6 months as well. We don't see either a price increase or a price decline.
Sanjeev Agarwal : We already answered this earlier.
Sonali Salgonkar: Sure. So that's good to hear because despite the.
Ashok Kajaria: Sonali, the only thing that has gone up is this brass prices in bath fittings, because brass prices went haywire and then again getting back to normal. So that was the only difference as well as the brass prices. In tiles, not much has changed.
Sonali Salgonkar: Sir, last question, capex guidance for FY '25.

Nehal Shah: Yes. So for capex , if you look at the first half, we have done a capex of INR135 crores, which includes INR101 crores, excluding Nepal. Nepal was INR 34 crores. And for the full year, we expect capex of around INR200 crores , which includes Nepal INR 44 crores and balance INR 156 crores for domestic .
Sanjeev Agarwal : This is including the normal capex .
Nehal Shah: Yes, including the maintenance capex .
Ashok Kajaria: Maintenance capex and some capex for the office building. We are making a new office.
Moderator: The next question is from the line of Onkar Ghugardare from Shree Investments.
Onkar Ghugardare: I just wanted to check with this lower revenue growth than earlier projected. Is there any impact on your long- term goals w hich you had earlier stated 3- year goals?
Ashok Kajaria: Can you please repeat the question, please?
Onkar Ghugardare: Yes, I was asking whether -- with the lower growth in the revenue because of the industry performance in tiles industry, I just wanted to know whether there will be an impact on your guidance, which we had earlier given 3 -year goal?
Ashok Kajaria: Three years is not changing much because every year cannot be the same, since year is not changing much. And this year also, as we have already s aid, the full year, we'll have a volume growth of 9% to 10%. Earlier, we expected to -- but a lower double digit. Now it's 9% to 10% we are talking about. And EBITDA of 15% to 17% we have guided; you are saying that will be

at the lower end of this guidanc e.
Onkar Ghugardare: So I guess for the 3- year goal you had stated around 13% to 15% kind of revenue growth, if I'm not mistaken.
Ashok Kajaria: Yes.
Onkar Ghugardare: And what was the margin guidance given for 3 years?
Sanjeev Agarwal : As I said that we had given a 3 -year vision, we had given a guidance of 15% to 17%. So we cannot give any specific number. This year, it will remain at the lower end of the guidance. The next year, it maybe middle, maybe upper end of the margin. So overall guidance is what we have guided between 15% to 17%, it will remain the same. How much which year, we cannot tell
you.
Onkar Ghugardare: And what about the revenue projections you have given?
Sanjeev Agarwal : Revenues, you're repeating, we have already answered that we are not changing the guidance of the year marginally because this year, the performance has been muted as against this year guidance. It may impact slightly our overall guidance,

but it is difficult to say this now, maybe
next year, we can grow better than wha t we expect. So overall, we are not changing our 3 -year vision.

Onkar Ghugardare: Okay. As far as the current quarter is concerned, have you seen any green shoots since you are saying the second quarter -- second half will be better than first half?
Ashok Kajaria: Already answered, already answered. This point has already been answered.
Moderator: The next question is from the line of Vinamra Hirawat from JM Financial.
Vinamra Hirawat: Sir, I wanted to compare the 10 days between the beginnings of Navratri to Dussehra. Is it possible to provide a rough estimate of growth for 10 days between Navratri and Dussehra for this year and last, even a rough, that's my look is ?
Ashok Kajaria: It's a normal sale. It is not something that -- we don't have an Amazon sale . It's a normal thing, normal sale.
Moderator: The next question is from the line of Nilesh Sharma from Anantnath Skycon Private Limited.
Nilesh Sharma: Sir, my question is regarding -- we are planning to increase our government revenue from 10% to 15% next year. So is there any negative impact on working capital, which we are planning from 59 days to 50 days because in the government projects payments are being little delayed. Please, clarify.
Ashok Kajaria: There is no impact at all. Let me tell you, f or the last 3, 4 years, the government is paying much better than even the private sector vendors. So the government payment has been very, very good for the last 3 to 5 years.
Nilesh Sharma: Sir, next question, how we are encountering the inventory increa se due to lower exports from Morbi local players? Is there any risk of dumping in local market?
Ashok Kajaria: I already answered that when Sonali ji asked this question, I already answered this. There are two things we do normally. First, they shut down t heir plants. There are almost 100-plus plants who are basically export -oriented, number one. If the exports are less, they triple down their capacity or they shut down their plants.
Secondly, if there is a showroom, suppose say about 5,000 square feet showroom, you have displayed Somany, Johnson or Kajaria, either of the branded players. And somebody comes to you and says, that you can buy 15% from us, take 10%, 15% discount, you will buy the goods, who will you sell to? Because what we see here in this tr ade, what we see is what you display sells. So as a result, if you just buy, where will you sell? Nobody will buy from you. Because a retail customer who comes, he sees the product and then decide what product I will use. So it doesn't work.
It used to work earlier because the price difference between the Morbi and the branded player and specially Kajaria was very high, this has now minimized to a great extent. The difference today is between 20% to 25% between Morbi and Kajaria. So that thing is no more v alid. It used to be valid 6 years back when there was no GST.
Moderator: Next question is from the line of Rahul Agarwal from IKIGAI Asset Management.

Rahul Agarwal: Sir, just one question on Keronite. How is the product rollout which happened starting May -- how is the acceptance from the dealer? Is it like the product is very different than what the range we used to supply in GVT, some colour on that, please.
Rishi Kajaria: You're right. The range is not very different. We were just adapting a different dealer market

dealer segment in different areas, but we are keeping it very, very slowly. I mean, we have hardly sold anything in the last couple of -- 2, 3 months. And we are growing very, very gradually in it. We'll take a call as we go along. If it doesn't suit in the market -- it's again a very, very small quantity right now. We're just testing the market.

Rahul Agarwal: Sorry to interrupt, sir, your line got disconnected i n between. Can you please repeat yo ur answer?

Rishi Kajaria: I said, the quantity is very, very small. Without impacting Kajaria in any way, we are testing the waters. We'll take a call as we go along. If it works, it works if it doesn't work, we will chan ge -- we will remove it and change it to Kajaria, the plant.

Rahul Agarwal: Sir, could you just explain how is that different from Kajaria as of now?

Rishi Kajaria: We are tracking a different dealer network. This is more to attack the Morbi market. This brand has been launched to make sure that -- to counter the Morbi products. And -- like, I'll give you an example. In Tamil Nadu, there is a dealer in Dindigul. I went to the showroom. He had the 100,000 square feet showroom, where he has 25 brands of Morbi . So we are tracking people like these where we already have a relation and with the 25 brands of Morbi, we'll have another 26 brands of Morbi, which is Keronite. So we are tracking these kinds of people where our Kajaria brand is not impacted by anyway, w hich it is not. Insignificant volume going forward as well.

Rahul Agarwal: Yes. Well, I'm assuming that this 38% utilization will obviously increase. And it's a 6 million square meter plant. It's not small, right?

Rishi Kajaria: Right, right. We are also getting some material made for Kajaria from there. So we'll balance it out. We will not go very aggressive in it.

Rahul Agarwal: Okay. So the 6 million will have Kajaria, Keronite both separately. That's what you're saying?

Rishi Kajaria: Correct.

Nehal Sha h: And even if we sell the entire quantity, it's going to be just 5% of our sales. So nothing more to read into it.

Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Ashok Kajaria: I think -- thank you very much for this session. I think a lot of good questions have come and we tried our best to reply to the best of our ability. I'm sure that anything else which can come later will be answered by our team of Sanjeev ji and Nehal. They are available at any point of time to take care of these questions. Thank you very much for organizing this conference call. Happy Diwali to everybody, on behalf of entire team of Kajaria.

Sanjeev Agarwal : Thank you. Happ y Diwali. Thank you.

Moderator: On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

February 10, 2025

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India L imited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated February 04, 202 5, informing about the uploading of the audio recording of the Conference Call held on February 04, 2025 , we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your record.
Thanking you,

For K ajaria Ceramics Limited

R.C. Rawat
COO (A&T) & Company Secretary

Encl.: As above

"Kajaria Ceramics Limited
Q3 FY '25 Conference Call "
February 04, 2025

MANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN AND MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. CHETAN KAJARIA – JOINT MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. RISHI KAJARIA – JOINT MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL – CHIEF FINANCIAL OFFICER – KAJARIA CERAMICS LIMITED
MR. NEHAL SHAH – DVP, STRATEGY AND INVESTOR RELATIONS – KAJARIA CERAMICS LIMITED

MODERATOR : MR. PRANAV MEHTA – EQUIRUS SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Kajaria Ceramics Limited Q3 FY '25 Conference C all hosted by Equirus Securities. As a reminder, all participant lines will be in the

listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone phone.
I now hand the conference over to Mr. Pranav Shah. Thank you, and over to you.
Pranav Shah : Yes. Thanks, Mike. Good afternoon, everyone. On behalf of Equirus Securities, I welcome you to the call of 3Q '25 post result management call of Kajaria Ceramics. From the management side, we have Mr. Ashok Kajaria, CMD; Mr. Chetan Kajaria, JMD; Mr. Rishi Kajaria, JMD; Mr. Sanjeev Agarwal , CFO; and Mr. Nehal Shah, DVP, Strategy and IR.
I'll now hand over the call to Ashok sir for his opening remarks, post which we'll have the Q&A session. Over to you, Ashok sir.
Ashok Kajaria: Thank you, Pranav. Good evening, everyone. It gives me great pleasure to welcome you to quarter 3 F '25 Earnings Conference Call of Kajaria Ceramics Limited. Joining me on this conference call are my sons, Chetan and Rishi; our CFO, Mr. Sanjeev Agarwal ; and Nehal Shah, DVP, Strategy and Investor Relations.
Contrary to our expectations, the sustained weakness in domestic market and sluggishness in exports has led to another subdued quarter for the tile industry. Nevertheless, our tile volumes in quarter 3 '2 5 grew by 6.7% year -to-year to 28.90 million square meters. We, however, remain optimistic on the demand outlook for the tile indus try in the near to medium term.
Our consolidated revenue for the quarter stood at INR 1,164 crores, indicating a 1% year -to-year increase compared to the corresponding period last year. Our EBITDA margins remained soft at 12.78% for the quarter due to lower realization and loss in Bathware division, which was largely attributable to new Sanitaryware unit commenced in Morbi.
Our Nepal project, which commissioned in September '24 has seen a gradual ramp-up in production and operated at 70% utilization in quarter 3 '25. On the export front, India's tile exports experienced a 16% fall in value in the first 8 months of the current year , totalling to INR11,600 crores vis -a-vis INR13,800 crores in the same period last year. This was largely attributed to significant jump in ocean freight rates due to ongoing Red Sea crisis and uncertainty in the Gulf market.
Now for this quarter segment -wise financial performance. Tiles segment grew by 3%, reaching INR1,041 crores compared to INR 1,013 crores in quarter 3 F '24. Bathware segment registered 2.5% growth in revenue, reaching INR 95 crores compared to INR 92 crores in quarter 3 '24. The plywood r evenue decreased to INR 8 crores as compared to INR34 crores in quarter 3 '24. Revenue from the adhesive grew to INR 20 crores in quarter 3 '25 as compared to INR 13 crores in quarter 3 F '24. PAT for the quarter degrew by 25% to INR 78 crores in quarter 3 '25 as compared to INR 104 crores in quarter 3 '24. As of 31st of December '24, the working capital days was higher marginally by 1 day to 59 days compared to 31st of March '24.

With this, I take this opportunity of thanking you for j oining us today. Over to you. You can go ahead with the Q&A.
Moderator : Ladies and gentlemen, we will now begin the question and answer session. We have the first question from the line of Keshav Lahoti from HDFC Securities.
Keshav Lahoti: Sir, it's very h eartening to see Nepal hitting 70% utilization. Is it possible to give what was the Nepal sales in Q3? And is it a fair understanding Nepal sales are not clubbed in this quarter in total sales volume. From next quarter onwar

ds, it will be clubbed as it will become subsidiary?
And initial color, how is Nepal margin and what are the ramp -up plans? How is the demand looking? That would be a lot helpful.
Ashok Kajaria: The Nepal project, the Nepal sales are not clubbed in this quarter and probably will not be clubbed in the next quarter also. It should take effect only from 1st of April -- 1st of April '25, number one. And sales figure, we don't have right now because it is -- we just get the bottom line right now. And the plant has operated, as I said, at 70% c apacity. And hopefully, as we gradually go up, the capacity will be ramped up to about 80%, 85% by end of March, April.
Keshav Lahoti: Okay. Understood. Sir, how has been the domestic sales since January month? Have you seen any pickup in market? And there were you talks about Morbi taking a shutdown. What is the progress on that? And what is your take on that?
Ashok Kajaria: See, there is a slight improvement. I think the budget will also give a lot of improvement as we go along. And also this Government's RBI policy is expected on 7th of Feb. I think that should change things slightly on the ground. Morbi shutdown, we have no news because they have not done anything as far as the shutdown is concerned.
Keshav Lahoti: Understood. One last question from my s ide. So Bathware, we are hoping to close this year with 15% growth. Still this quarter also Bathware growth has been sort of muted and Ply has seen a big degrowth in this quarter. So what is the outlook for both the segments?

Ashok Kajaria: Bathware, this year, we should grow roughly at about 10%, close to 10%. That's what we are looking at. Market ground level has been very tough. And Ply also, we slightly slowed down for a simple reason that the raw material prices went up very high. So we thought let us see how things are because we were losing money. And as we go along, we'll review.
Sanjeev Agarwal : The focus is, as Chairman said, the focus is less on sale and more on market recovery because we will not compromise . We are very concerned about the working capital. So we are focusing on recovery rather than pushing sales. So once the situation -- unless the situation is like this, we will continue to focus on recovery.
Moderator : We have the next question from the line of Jyoti Gupta from Nirmal Bang.
Jyoti Gupta: I'm lucky that my numbers are completely in line. Only thing is I know that Morbi has not gone in. They've been contemplating, but no such action has been taken so far. However...
Ashok Kajaria: Ma'am, can you speak a little louder? Your voice is not clear.

Jyoti Gupta: So I'm saying that my numbers are in line. So obviously, the thought process is quite well aligned. My question is while Morbi had been contemplating the shutdown, but nothing -- no such action h as been taken. How has been the outlook in fourth quarter? How has been the situation so far?
Because cement has picked up? And how does it -- and what about the first quarter of FY '26?
Is there any pickup in demand? And the other thing is, is it that the tiles is suffering because while the real estate is growing at a robust growth because of ultra-luxury segment where basically the demand is more for Italian models and less of tiles , because the segment should have grown this second half, but it has not picked up. What could be the possible reasons from the export angle?
Rishi Kajaria: So answering your first point, in Morbi also a lot of plants have taken a shutdown. So there's no actual demand happening. And yes, you read a lot in the newspapers that a lot of real estate projects are coming. So retail -- at the retail level, the dealer level, the sales is still very, very low.
Right now there's no demand. There are dealer shops where there's no demand. Projects, yes, projects are still happening. But a s in Kajaria, we

have 70%, 75% of our sales is through retail
and about 20%, 25% is through projects. So retail sale is very low. So that is the reason. But we see -- going in future, we see hopefully, the demand should improve and things should get better .
Jyoti Gupta: Sir, in the project sales, has it been consistent? Like is it that demand is decent? It's only the retail, which is struggling? Or is it both, even the project sales is struggling?
Rishi Kajaria: The project sale is still okay. But because as a company, overall we are very heavily dependent on the retail sale as well. So retail sales also have to pick up in order for us to grow and get our margins in place. If you also see our realizations have fal len. So another reason is that we have supplied more in projects and projects is very, very competitive. Anybody who's giving us such big orders, they will negotiate the hardest price.
Jyoti Gupta: Correct. So which means that this quarter, we again, you expect that the prices might or there will be no increase in the prices for tiles. You don't -- obviously, because demand is still quite muted. So obviously, pricing will again take a hit this quarter as well?
Ashok Kajaria: So yes, we are not expecting any price increase. But we are hoping that the retail sales improve a little bit more, so our mix becomes better and our realizations increase.
Jyoti Gupta: Okay. So on the energy side, the power side, sir, any respite that we've got because I mean, do we see that while the demand would still be muted and prices may not increase, but there will be some respite coming from the cost front. So anything on that front in terms of the gas thing.
Ashok Kajaria: Sorry, your voice was not audible. We couldn't understan d your question. Can you repeat the question?
Jyoti Gupta: My question is any -- can we expect a decline in cost for this quarter? Cost?

Sanjeev Agarwal: No. In this quarter, there is no decline, but we see some operating leverage happening going forward because the sales -- from the sales will increase and the expenses should not go in proportion to the sale. So some margin would come up…
Jyoti Gupta: I meant fuel prices.
Ashok Kajaria: No, fuel prices, there is no change. No change. There was no change. There was no change in quarter 3. There is no change expected in quarter 4. But as you know that in between the oil prices have went up, but still the gas prices have been more or less constant.

Moderator : We have the n ext question from the line of Onkar Ghugardare from Shree Investments .
Onkar Ghugardare: Yes. Given how the 9 months have performed, you had earlier given a 3-year guidance. So do you think you would have to revise that guidance?
Ashok Kajaria: We will not try to revise that guidance. We hope that's a year, which has gone by. You're absolutely correct. But I don't think at this stage, we are looking for any revision of the guidance.
We'll put o ur best efforts as things should improve. Everybody says so. So we will look at a scenario where the guidance remains the same, and we do our best to make up in the next 2 years, next 2 financial years.
Onkar Ghugardare: Okay. And what about the EBITDA mar gin, sir? Do you think there is scope to move upwards from here on? Or it would be somewhere in a similar range of 13% -odd?
Ashok Kajaria: EBITDA margin will definitely improve for a simple reason. We made some losses in the new Sanitaryware plant. The mom ent that plant sets up right, every quarter, things will start looking up an d EBITDA margin has to improve.
Two things, what our CFO said, Mr. Sanjeev, that with the volume, some improvement will be there, some operating leverage will be there as Sanitary ware plant, new Sanitaryware plant improves, which we have already committed. So with this, the EBITDA margin will improve gradually quarter -to-quarter.
Onkar Ghugarda

re: Okay. And what would be the asset turns for the Nepal joint venture?
Ashok Kajaria: Nepal joint venture after this quarter 4, once it becomes part of the company, it becomes a subsid iary, we'll get more details. Right now we are only getting the bottom line because of the 50-50 thing. And as we go along, right now the plant is operating at 70%. And as I said in the next 2 months, we try to raise it to 80%, 85%. So things should start looking better.
Sanjeev Agarwal : See, as of now last 3, 4 months, it has made profit, but it is so small quantity that it is not a number I can put for the future sales. So we have to wait for another quarter to give a proper guidance as to what the margin would look like. And one thing has happened very positive for Nepal that the interest rate, which used to be 13%, 14% when we conceived thi s plant is now around 8% to 9%.
And we have locked all our interest liability at 9%. So when we conceived the plant it was 14%, so it's a -- 5% is a big saving.
And it is not going to go up since we have lo cked this number. So

that is going to be a big help to us. And as the plant capacity move, the margin will improve.
And it's already making profit, but the offtake is not much. So when the offtake i s more, then it will result in good numbers.
Onkar Ghugardare: The last thing is on the payout. You have gradually increased your payout in the last 1, 2 years. So with that, do you think it will continue? And how that would impact your ROC?
Sanjeev Agarwal: In our dividend policy, we have clearly stated it has to be around 40% to 50%. So sometime it can be 40%, it can be 50%. It will be near to that unless any special circumstances come where we have some big capex or some other thing. Otherwise, there is no change. We don't see any change going forward in near to medium term as far as payout is concerned.
Moderator : We have the next question from the line of Yogesh Patil from Dolat Capital.
Yogesh Patil: As you mentioned, domestic demand weakness and the c hallenges in the export market, particularly because of the freight rate. My first question is related to the freight rates for the export. As the Israel and the Palestine situation is at a ceasefire and a truce level, when do you expect that freight rate will cool down, come down? And will it help you for your exports? That's one.
Ashok Kajaria: So your question was not absolutely clear. But as you said, as the freight rates come down, then the exports will definitely increase from Morbi to the rest of the world.
Yogesh Patil: Correct, sir.
Ashok Kajaria: Was that your question?
Yogesh Patil: Correct.
Ashok Kajaria: With this Hamas -Israel problem being solved, it is temporary right now, but all indications are that it should be positive. It will give us stability in the Gulf market, the exports will pick up again. And the freight rates have already started coming down with this development.
Yogesh Patil: If we compare with the last year in the same period, how the freight rates are right now? Yo u can give us a ballpark number?
Ashok Kajaria: I can give you certain numbers like, let's say, for U.K., the freight, which was 1,600 before this problem had gone up to 4,000. It has now come back to 1,750. So this much change has already happened per container.
Yogesh Patil: Okay. Sir, second question is related to what are the major reasons behind the domestic demand slowdown? And how many months it will take to revive this demand weakness? So sir, as per your experience, what would be the big trigger for the dema nd revival in medium to long term?
Ashok Kajaria: First trigger will be the rate cut, which we are -- everybody is expecting, which should happen

on 7th of Feb with the Reserve Bank policy. I think that rate cut is a very important thing for housing and for a home buyer because it affects him in many

ways, number one.

Number two, with the money being released to the individuals in the budget, I think that should give a lot of buying power to the people at large. I think these are the 2 things.
And rest, t he infrastructure investment by government because as we all are aware, in this financial year, a lot of infrastructure investment by government got affected because of elections and because of rains in August and September. So I think things should start picking up as early as quarter 4 , quarter 1 next year.
Yogesh Patil: Lastly, we are reading that the ceramic plants are facing challenges of receivable days. It has been consistently increasing. Is it a real issue, sir? Can you throw some light on that?
Rishi Kajaria: Can you repeat the question?
Ashok Kajaria: That is their problem, they have to solve, what do I do? See, that's why every 2 months, they talked about the shutdown, nothing happened, they manage. So it's a scenario, which goes on and on. So we can't answer that. But a lot of plants are shut down in Morbi. Those plants, just for information, those plants who are old, they are not able to manage it for a simple reason. Energy -efficient plants have come and the old plants are shut down.
Yogesh Pat il: Okay. And sir, if you allow me the last question related to cost of India.
Ashok Kajaria: Yes. Go ahead.
Yogesh Patil: Sir, propane prices are much cheaper compared to the PNG industrial prices. So any thoughts on that side? Will you switch to the propane side?
Ashok Kajaria: Propane prices are not much cheaper. They are cheaper by about 4%, 5%, 6%. And in Morbi, whenever the propane prices are cheaper, even our plants convert to propane instead of gas, and it happens with everybody. But the difference is not more than 5%, 6%.
Moderator : We have the next question from the line of Vinamra Hirawat from JM Financial.
Vinamra Hirawat: Sir, it seems difficult to meet our guidance of a second half recovery, 9%, 10% volume growth with realizations bottoming out. Kajaria has done better than peers, but do you think this real estate cycle will be significantly different for tile players compared to the last where you had multiple years of double -digit sales growth because whether it's a weaker consumer, more competition, which have access to large amounts of capital or for any other reason?
Rishi Kajaria: See, as we mentioned earlier, our focus is primarily retail, which is 75% and project is 25%. Now projects is a very competitive space where major multi ple-brands are compared for the pricing for the builder. So also the real estate cycle has a lag with a tile usage, it's 24 to 30 months. So definitely, the outlook is positive, but our primary focus is retail, which gives us better margin versus the projects bas ically.
Ashok Kajaria: See, you yourself said that in the years when the real estate was not doing well, we have come with better volume growth of -- better margins, better volume growth. Better volume growth in reality, if you ask, real estate boom or increase in prices have not been beneficial to us for 2, 3 reasons.

One, in first year or first 1.5 year, they sold their inventory and the construction started. Now that impact should start coming in and multiple factors are positive, which is coming out. O ne is the budget, which we all saw. Second is expected rate cut in the Reserve Bank policy. I think this will help us in driving the sales growth effective first quarter of next year - financial year.
Vinamra Hirawat: So sir, I can expect this real estate cycle despite higher competition in every price point to give us that same double -digit growth for consistent years going forward?
Ashok Kajaria: We'll do our best. I can only assure you that.
Vinamra Hirawat: Of course. Just another question. Sir,

in the last call, you had stated that there was some margin pressure in the Faucet segment because of increased cost of metal, which will be passed on? Have we taken any price increases in faucets this quarter? Is it around the corner? And yes, just any color on that?
Ashok Kajaria: That happened in quarter 1, and we passed on that benefit that time itself. After that, the prices of brass has been very constant. They have not moved much. This happened in if you recall in May, June of '24, '25. And after that, the brass prices have been very constant.
Moderator : We have the next question from the line of Pankaj Tibrewal from Ikigai Asset Management.

Pankaj Tibrewal: One thing which was a little bothering me on the overal l results was the employee cost. So when I look at last year versus this year, the sales is absolutely flat, but almost 150 basis points has got increased on the employee cost, now 13% of sales. And when I look at all the companies in India with a gross ma rgin between 35% to 40%, we have one of the highest employee cost? How do you address that? Because if market tends to be sluggish, then this is a sticky cost, which can remain with us for a long time and margins would be under pressure. Just wanted your thoughts on that side.
Ashok Kajaria: Pankaj Ji, you are absolutely correct. And we have attracted a lot in the past. And I thank you all the time for the guidance, which you have given in the past when you were with this Kotak. But let me tell you, honestly, and it's a very good question, I appreciate. We are working on that front. And I can assure you, next year, let me see next financial year, that is '25, '26, it will be at par with '23, '24. That numbers in terms of percentage will be at par with '23-'24.
Pankaj Tibrewal: Okay. So about 150, 200 basis points, which is looking higher right now?
Ashok Kajaria: Correct, correct. That will be corrected. one, we are doing that cost -cutting exercise. And number two, the sales will go up, as I have already said. So with this percentage wise, it will be on the level of '23 -'24.
Pankaj Tibrewal: Okay. That's heartening to hear there. And the second part is on the price realization side. How do you see it moving forward because your other expenses have also gone up when I look at? So from a realization perspective, over the next 12 months, even if the demand remains sluggish, is there a way in terms of premiumization or product mix, which can help us on the pricing side?

Ashok Kajaria: Now 2 things. You said -- raised 2 points. Let me answer you the point number one, the other expenses are flat this year. The '23 -'24 vis -a-vis '24 -'25, the other expenses are flat. There's no increase. Point number two, why the realization has gone down, as said earlier by Rishi, this year, because of the sluggish demand in retail, we had more focus on projects, w hich is not normal for Kajaria.
So Kajaria's percentage, as you recall, is 70% retail through the dealer network and 30% is through institutional sales. This year, it slightly varies because we had to keep our plants going.
And as you are aware with the data, which is there that all the plants -- overall, the plants have operated 95% plus.
And with retail improving, this realization will be back to what it was in quarter 1, I would put it like that. It will not go down because the decrease in realization is only 2%, and that will be made up the moment retail picks up.
Pankaj Tibrewal: Okay. So the margins, which have come to almost a very low level, you believe that it could move to 14%, 15% next year?
Ashok Kajaria: It will, sir. It will.
Pankaj Tibrewal: Okay. Fair enough. And last but not the least, on the distribution side, the pin codes that there is a large market still untapped, and we have to move from 350, 370 pin codes to 540. Where is that distribution -led strategy? How

is it working? Because in a market like this, you have to make sure that you enter new areas, take away market share. So...
Ashok Kajaria: It is already happening. Sir, it is already happening f or the last 3, 4 months, and we are entering new areas. And now we are not talking about 350 to -- if you recall earlier, I said the Lok Sabha numbers, that 542 the Lok Sabha. Now we are talking about the Vidhan Sabha numbers, which is 4110 all over India, where we have to penetrate and go to the smallest town where Kajaria can be there.
Either of the dealers can be there, but we'll penetrate to the smallest town. And just to tell you, currently, we have 1,880 dealers across India and out of which 460 are exclusive Kajaria.
Pankaj Tibrewal: Okay. And last but not the least, in times of slowdown, always in every sector, we see the leader doing better and taking away market share. Somehow for us, it's not happening, though I appreciate on the balance sheet, y ou and Sanjeev Ji has done a great job in control ling the working capital cycle.
But from a growth perspective, if you are having such a hard time, I'm sure the smaller players in the industry must be having a tough time. So we must be taking away market share from a balance sheet perspective, the strength, which we have. How should we look at this scenario right now from our understanding perspective because you are the leader of the sector?
Ashok Kajaria: The growth of the industry has been flat because if you look at the numbers, every now and then, they have been talking for the last 3 months taking a shutdown. Why they're taking a shutdown?

They are thinking of taking a shutdown because of their overcapacity. So basically, we have
taken a market share.
The industry per se has not grown. And as you rightly said, being a leader, we have to take the
market share of others, which we are doing, but that number will be speeded up as we go along. The moment we penetrate more to the smaller market that number will be speeded up.
Moderator : We have the next question from the line of Praveen Sahay from PL Capital.
Praveen Sahay: Can you give a bifurcation of the ceramic PVT, GVT for a quarter?
Rishi Kajaria: You wanted the split basically?
Praveen Sahay: Yes.
Rishi Kajaria: So the volume mix in ceramics is 42%, PVT is 25% and GVT is 33%. And revenue wise,
ceramics is 37%, PVT is 26% and GVT is 37%.
Praveen Sahay: Okay. And also, if you can give the gas prices, Northwest and South and aggregate?
Rishi Kajaria: So for the quarter, the North gas price is INR 38 per SCM. South is also - fuel price, correct. This
includes biofuel, LPG and coal. South is INR 38, West is INR 37 and the average is INR 37 for
the current quarter, quarter 3.
Praveen Sahay: Okay. and the next question is related to the Nepal project. The re the increase of 1%, but there
the capex has increased significantly. So why is it so?
Rishi Kajaria: So the capex is INR31 crores. We are building a godown, which is a warehouse and a shed for
stocking the inventory. That is where the capex is being req uired right now.
Praveen Sahay: Okay. So and even the working capital capex has incr eased there quite significantly?
Rishi Kajaria: Yes. So some inventory has increased because the plant is running full, and we are selling 70%
of the capacity. So inventory has gone up. That is why the working capital has also increased,
which should come down in the coming months as the sales pick up.
Praveen Sahay: Okay. And also related to the Sanitaryware in the last 4 quarters, we are seeing your growth is
going down continuously. So even at this size, you are not able to grow in the market because
of a demand is not there? Or is there a lot of a competitive intensity, which is restricting you for
a growt h?
Rishi Kajaria: As I mentioned, basically, because the retail demand is slow, so in

Sanitaryware, mostly our 90%, 95% would be sales in the retail market and the project market is very, very less because we're still a newer brand in the market. So becaus e the retail sales being slow, that's why we
couldn' t really grow this year.
But hopefully, as the demand increases, if the things look better, I think next year should be a much better year. Also, we had some issues with our Sanitaryware plant, which has now

stabilized and the real impact will start coming from next, from every quarter here, you'll see an
improvement in that.
Praveen Sahay: Can you give some color what happened in the Sanitaryware plant? Sorry.
Rishi Kajaria: So the Sanitaryware plant, we set up a new plant. It takes about 6 to 12 months to stabilize
production, unlike a tile plant, which happens in a month. So we were stabilizing production.
And at the same time, now production is quite stabilized and the demand is also coming up. And
we see a much better -- from here on every quarter, the sales should be much better.
Praveen Sahay: Okay. Okay. Got it. Last question, sir, related to the institution versus retail mix. Definitely, you
maintain 70%, 75% retail. But over the last couple of qua rters, as you had also highlighted that
the institution sales has increasing. So can you give a color in the last 9 months and this quarter,
how has been the mix change? And also some more color on the institution like direct to the
large builder or how much is contribution coming from that kind of businesses?
Rishi Kajaria: So we supply to a lot of large builders like L&T Realty, Hiranandani, even in North, a lot of
these guys. So the mix has become a little higher in the last 9 months so that we didn't wa nt to -
- our factories are running, we didn't want to lose out on our sales, right? So we are selling to
them at a, let's say, more competitive cost whereas compared to what it used to be earlier. And
as the retail sales pick up, that mix will start gettin g better.
Praveen Sahay: Any number you want to highlight, like how much is institution right now versus 30% earlier?
Ashok Kajaria: Generally, the norm is 70-30. But as we said earlier in the earlier question, this quarter, the sales
-- the proportion has been more in favor of the project. So we don't know exact number, but...
Rishi Kajaria: Maybe 65 -35 -- 60-40...
Ashok Kajaria: Maybe -- but just as an estimate, there is no exact number... we have.
Moderator : We have the next question from the line of Rishikesh Chandrakanth from Kotak AMC.
Rishikesh Chandrakanth: So first is, thanks for clarification on the employee cost, but is there any noncash ESOP cost also that is sitting in the employee cost?
Ashok Kajaria: Not much to be quantified.
Rishi Kajaria : No, no. There is nothing...

Sanjeev Agarwal: There is no non-cash ESOP cost basically.
Rishikesh Chandrakanth: In this quarter you are talking about?
Sanjeev Agarwal: Yes, in this quarter.
Ashok Kajaria: Would you mean this, why the admin, other overheads are more, are you looking for that?
Rishikesh Chandrakanth: Sorry?

Ashok Kajaria: You're looking for why the other expenditure are more?
Rishikesh Chandrakanth: No, only employee cost because there is an ESOP cost also generally that sits in there. So ju st clarifying on that.
Ashok Kajaria: That is not because of the ESOP cost.
Rishikesh Chandrakanth: Okay. The second is a lot of discussion on call happened on clearly institutional mix being higher this quarter. But just from the product mix in sense that we supply to institutional, is there a change also intent and that is getting reflected in realization? Or is it higher discounting only?
Rishi Kajaria: See, in institutional sales, definitely, vitrified is more preferred, but all the divisions are sellin g t

o projects also and discounting is happening a little bit, as we said earlier because it's a very competitive space. So that is the reality of projects and as the retail picks up, the project sales will start coming down a little bit.
Rishikesh Chandrakanth: Okay. And lastly, in terms of the reported segments that we have, clearly, the non -tile segment, other segment there, the EBIT losses have come off. It's more to do with plywood sales -- reduction in plywood sales, right, ramp down of plywood sales, lower sales in plywood. The Bathwa re losses seems to have gone up?
Rishi Kajaria: So what is the question?
Rishikesh Chandrakanth: So in other segments, the non-tile segmental margins that we pr ovide in our press release, P&L? So in that if I look on the E BIT losses, there, I think that has come off. But clearly, is it more to do with lower plywood sales? That's how we should read it. The Bathware losses persist, right?
Sanjeev Agarwal: Mainly because of the Bathware losses, there's not much change in plywo od. Plywood, we sold less, but there is no much change in the losses of plywood.
Moderator : We have the next question from the line of Souvik Mohanty from Nuvama Wealth Management.
Souvik Mohanty: I just had one question, can you help me understand how much -- how many months of inventory do the distributors hold? And has there been any major change in the last 1 year?
Ashok Kajaria: So distributors don't hold that much inventory, let's say, I would...
Rishi Kajaria: So we have about 1,800 dealers all over India, and they must be hold. They hold about a month of inventory or something, not more than that. It's not that they are...
Sanjeev Agarwal: Post-GST, it has come down significantly, and we also encourage them not to hold much inventory because our supply chain is very robust.
Moderator : we have the next question from the line of Utkarsh Nopany from BOB Capital.
Utkarsh Nopany: Sir, my first question is like whether our understanding is clear that we are mainly dependen t on outsourcing model to grow our sales volume as our domestic capacity operated at 105% rate in previous December quarter and our outsourced sales volume grew by 17% on a Y -o-Y basis in

December quarter. And what could be our maximum capacity utilization for our domestic tile plant on an annualized basis, as per you?
Ashok Kajaria: So all our plants are running at full capacity and they're selling all the material of our plants. And now the rest is what we are outsourcing. That's only about 20%, 25% of our total sales.
Utkarsh Nopany: No, sir. My point was that like our manufacturing sales volume is going to remain flat only going forward because what we are noticing that whatever the incremental volume is coming, that is mainly coming from the outsourced model. And is that going to continue going forward also?
Ashok Kajaria: Right. So we have enough capacities built in. We are not rightly looking to put any new capacity. And the new -- this further sales will come from outsourcing.
Sanjeev Agarwal: Going f orward, the capex is going to be -- next year capex is going to be very low. We are not contemplating any future capacity utilization. The endeavour is to sell this capacity well and at a better price. And if the need be, we'll be doing that from outsourci ng.
Utkarsh Nopany: Okay. Sir, second question is like we are planning to acquire 75% stake in a group entity called Kajaria Adhesives Private Limited as we are planning to put up a tiles adhesive plant in Tamil Nadu. So wanted to know why we are not acqui ring the entire 100% stake in that company?
Ashok Kajaria: We'll be ultimately acquiring 100% -- no, it's a 90%, 10% is...
Rishi Kajaria: Basically Kajaria Adhesives Private Limited, the share capital is INR 4 crores in that. Three is

Kajaria Ceramics and one is one of our biggest deal

ers in the country called Lakshmi Ceramics
based in Coimbatore. So he is a 25% partner in that. He has 17 showrooms in Tamil Nadu. So we roped them in as an equity partner becaus e of 2 reasons.
First, he help us promote our sales of adhesives in Tamil Nadu. And secondly, any local issues, which comes up in the plant we're looking to acquire, he help us manage that also as a local entity out there. That was the thought process behind this, giving him that stake.
Utkarsh Nopany: Okay. And sir, like what would be our advertisement cost for December quarter?
Rishi Kajaria: So basically, last year, we spent roughly around INR 131 crores. December should be in the range of roughly INR 30 crores as an advertising cost. INR 30 crores, INR 32 crores basically.
Utkarsh Nopany: And sir, lastly, like if you can provide the EBIT margin guidance for the tiles and non- tiles segment for FY '26?
Ashok Kajaria: Right now we are not giving any guidance. We give the guidance at the end of quarter 4 next year. Next year, we'll talk about it at the end of quarter 4 because things are still to look up in the country. And as you know, all building material products are under pressure. So keeping that in mind, it's not the right time to give any guidance. We review as things go up. And at the end of the quarter 4, when we meet, we'll give you -- try to give you some guidance.
Moderator : We have the next question from the line of Onkar G from Shree Investments .

Onkar Ghugardare: Yes, sir. My question is regarding you earlier mentioned that you will be trying your best to achieve the guidance, which you had given. But I mean, even if you do around INR 4,700 crores of sales this year, considering a 10% growth in the fourth quarter, you would still have to grow around 17%, 18% to meet that guidance. And you had given a CAGR of 12%?
Ashok Kajaria: We are not looking at that. Our overall volume growth this year should be close to between 8% to 9%. That's what will happen. That's the reality on the ground. And we are not looking at anything beyond that at this stage because things are very tough on the ground. You're all aware of what is happening on the grou nd.
So if I give you anything, which is not correct, it is not right. So current scenario, we are looking at a scenario where Kajaria Ceramics should grow 8% to 9% in volume terms for the full year.
Onkar Ghugardare: And similarly, you had given 15% to 17% guidance. How realistic is that in next 2 years to achieve that?
Ashok Kajaria: No. We will talk about next 2 years at the end of quarter 4. It's too early to talk about the next 2 years.
Onkar Ghugardare: So you had given this guidance a ye ar back. That 's what I'm asking?
Ashok Kajaria: I'm doing nothing right now, as I said.
Sanjeev Agarwal: See, that was a 3 -year vision, we had unveiled last year. So we are not changing much in that vision as of now. When we will -- after the year, we will sit back. If there is a major deviation, we'll come back as of what Chairman wants to say. At the moment, we have not examined whether to revise th is guidance and to what extent.
So that we will do. It is not -- it's a very careful process. It cannot be answered on every quarter.
See, the 3 -year mission was made on a certain assumption. The assumption some quarter it happens, some quarter, it doesn't happen. That doesn't mean every quarter, I'll be changing my 3-year guidance.
Post this year, after seeing all the eco nomic scenario of the general economy in the country and the tile industry, if need be, we'll change our guidance. And at that time, we'll unveil our revised guidance if need be.
Moderator : We have the next question from the line of Rishab Bothra from Anand Rathi.
Rishab Bothra: Just wanted to understand whether we track residential, commercial and infra consumption, which segment is the fastest gr

owing for us?
Ashok Kajaria: When it comes to retail, it's a combination of real estate and commercial. When it comes to projects, it's more of commercial, less of retail. That's how it works basically. And Kajaria's focus has been on retail more because as we said that we are 70% retail. That's what we have been doing for the last so many years, 30% inst itutional sales. So that's what the focus would be.

Rishab Bothra: And lastly, sir, in residential, do we eye for large housing projects or stand-alone projects as well? Both are our focus area?
Ashok Kajaria: Combination of all.
Moderator : We have the nex t question from the line of Pulkit Patni from Goldman Sachs.
Pulkit Patni: I mean most of the questions are answered. I just wanted to pick your brain on, has anything

changed in the industry in the last 4, 5 years, whether it is in respect of competition, whether it
is in respect of technology? Are your peers now being able to produce the same product as you?
Or is there some change between marble and ceramic?
I just wanted to get a sense because multiple people have asked this question in different ways.
But if real estate sale is strong, eventually, it has to result in some bit of retail sale, right? If the
builder is making the lobby, the flat also is required to be made. So any sense on if anything has
changed in the industry in the last 4, 5 years bas ed on your experience and expertise?
Rishi Kajaria: Right. So first, we'll talk about the industry in terms of industry, in terms of machine technology.
The latest machines, whatever, the latest technology is continuer plus technology, but your
company alr eady has 2 of those plants. So you are blessed with all the technology, right? And
as compared to product also, we are making all the products, so there's no differentiation in terms
of that, that somebody else is doing and we are not doing.
What we are s aying is that at this tough market, if you are growing at 7%, 8%, when the retail
market increases, the volume will be much better. But we don't want to comment and we don't
give any guidance right now. We're not going to leave the proje cts, which we're al ready doing.
And we are waiting for the market to revive. The retail market revives, automatically our
volumes will be better and our realization will also get better. But there's nothing new in the
industry, which we are doing and nobody else is doing or somebody else is doing and we are not
doing.
Pulkit Patni: No, fair. I mean you've always been the leader. So my question was more about something that you were doing,
which competition is doing. Maybe let me just extend that one step further. Do you think the supply situation is much worse,
i.e., there's much more excess supply today than
it was a few years back in this industry?
Rishi Kajaria: So if the demand slows down, the supply will be excess, right? We already have b uilt in
capacities. We are the n umber 1. Our production is very high. So yes, we have to make sure that
-- and the factories should not be shut down. So the supply will always be high. And yes, today,
the suppliers are a little excess as compared to what it used to be earlier. General in dustry,
everywhere supply is high. Everywhere supply is high.
Ashok Kajaria: Pulkit, this particular year, as we have been talking, what has happened is, exports have come
down. So that INR4,000 crores of exports partly has come in the domestic market. I wouldn't
say fully, but partly has come to the domestic market. So that has kept the mar ket under pressure,
number one.

Demand has not gone up because of various reasons, we are all aware in the most of the building
materials segment. So this is what the reason is that the pressure has been there. With things
looking up, I think things going ahead sho

uld be better.
Moderator : Thank you. Ladies and gentlemen, that was the last question. I would now lik e to hand the
conference over to the management for closing comments.
Ashok Kajaria: Thank you, Pranav . I think it's been a good interaction. A lot of good questions were asked. I
hope on behalf of the management and on my own behalf, we've been able to answer it to the
satisfaction. But if anybody has any queries, you can come back to Sanjeev and Nehal for further
clarification. Thanks a lot, everybody, for joining us today.
Moderator : Thank you. On behalf of Kajaria Ceramics Limited, that concludes this conference. Thank you
for joining us, and you may now disconnect your lines.

Call: May 2025

May 8, 2025

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India L imited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated May 6, 2025 , informing about the uploading of the audio recording of the Conference Call held on May 6, 2 025, we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your record.
Thanking you,

For K ajaria Ceramics Limited

R.C. Rawat
COO (A&T) & Company Secretary

Encl.: As above

"Kajaria Ceramics Limited Q4 FY '25 Earnings Conference Call"

May 06, 2025

M
ANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN AND MANAGING DIRECTOR
MR. CHETAN KAJARIA – JOINT MANAGING DIRECTOR
MR. RISHI KAJARIA – JOINT MANAGING DIRECTOR
MR. KARTIK KAJARIA – HEAD, ADHESIVES
MR. SANJEEV AGARWAL – CHIEF FINANCIAL OFFICER
MR. PARVEEN GUPTA – DEPUTY VICE PRESIDENT , FINANCE

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY '25 Earnings Conference Call of Kajaria Ceramics Limited , hosted by Equi rus Securities Private Limited.
As a reminder, all participant lines will be in listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during this conference call, please signal an operator by pressing "*" , then "0" on your touch tone phone.
Please note that this conferen ce is being recorded.
I now hand the conference over to Mr. Pranav Mehta from Equirus Securities Private Limited.
Thank you and over to you, s ir.
Pranav Mehta: Thanks, Pooja. Good afternoon, everyone. On behalf of Equirus Securities, I welcome you to this post result conference call with the management of Kajaria Ceramics .
From the promoter side, we have Mr. Ashok Kajaria – Chairman and Managing Director ; Mr. Chetan Kajaria – Joint Managing Director ; Mr. Rishi Kajaria – Joint Managing Director ; and Mr. Kartik Kajaria.
From the finance team we have Mr. Sanjeev Agarwal – CFO ; and Mr. Parveen Gupta – DVP Finance.
I will straight away hand over the call to Ashok s ir for his opening remarks , post which we will open up the floor for q uestion and answers. Over to you, Ashok s ir.
Ashok Kajaria: Thank you, Pranav. Good evening , everyone. It gives me great pleasure to welcome you to the Q4 F'25 earnings conference call of Kajaria Ceramics Limited. Joining me on this conference call is the Senior Management Team of Kajaria Ceramics.
Our consolidated revenue for the quarter stood at Rs. 1,227 crores , including Plywood, indicating a 1% year -to-year decrease compared to the corresponding period last year due to low tile volume growth and decl ine in Plywood sale. I n Q4 F' 25 we witnessed a very soft demand in the domestic as well as export market . We grew our tile volume by 2% in Q4 F' 25. In the full Financial Year we have attained a 6% volume growth, reaching 115 million square meters.
The EBITDA margin for Q4 25 stood at 10%. The reasons for the decline in margin are another muted quarter of the Bathware division , some loss in UK operations and provision of doubtful debts in the Plywood division , as we have decided to close this divisio n.
We had set up Plywood division in 2017, hoping that due to implementation of GST there will be a shift from unorganized products to branded one. But this thesis did not work , hence we have decided to close this de vision .
Our Nepal project, which commissioned in September '24, has operated at 50% utilization in Q4 '25. India's tile exports have experienced a 20% fall in value in Financial Year '2 5 to Rs.

16,000 crores versus Rs. 20,000 crores last year. This was largely att ributed to increased freight rates due to the Red Sea crisis and other ongoing geopolitical disturbances.
The industry scenario is a bit challenging. We have initiated certain measures to optimize our sales and marketing re sources. We have started this w ith four states and shall take it further as we go along. Due to competitive reasons, we shall not discuss this in detail till the successful execution of the sale. We are also exploring certain other measures, including cost of optimization, strengthening the brand, enhancing the reach and reposit ioning our value proposition to the end customers. We hope that these measures should make us more competitive and grow much better than industry , and result in improving margins going forward .
Now for this quarter 's segment -wise financial performance. Tile segment remain ed flattish at Rs. 1,088 crores compared to Rs. 1,092 crores in Q4 F'24 . The Bathware segment registered 8% year-to-year growth in revenue reaching Rs. 111 crores compared to Rs. 102 crores in Q4 '

24.
The Plywood revenue decreased to Rs. 5 crores as compared to Rs. 33 crores in Q4 '24. Revenue from adhesives grew to Rs. 23 crores in Q4 as compared to Rs. 14 crores in Q4 '24.
PAT for the quarter degrew by 58% Rs. 43 crores in Q4 '25 as compared to Rs. 102 crores in Q4 '24. As of 31st March, '25, the working capital days decreased by 7 days to 51 days compared to 31st of March '24. The lower number of days in March '25 is due to reduction in Plywood business.
With this, I take this opportunity of thanking you for joining us today . Over to moderator for Q&A .
Moderator: Thank you very much. We will now begin the question-and -answer session. The first question

is from the line of Rahul Agarwal from Ikigai Assets. Please go ahead.
Rahul Agarwal : Hi, sir. Good evening. Thank you for the oppor tunity . And good to see the balance sheet discipline in a very tough environment , so congratulations on that. Sir, two questions I had. Firstly to start with , on industry growth versus what Kajaria has done , for full year Kajaria grew 6% on volumes. I just wanted to know how did the industry pan out overall on domestic side and your outlook on domestic and export sales for the next year . That's the first question.
Ashok Kajaria: Rahul, industry should have grown by about 2%, 3% in the Financial Year which ended in March '25 domestically . And as I said, exports have de grown by 20% in Financial Year '2 5.
Rahul Agarwal : What do you think about next year in terms of outlook , any comments, qualitative also will help ?
Ashok Kajaria: You see two things ; the market is still muted . But at K ajaria with all these things what we are planning, we should do much better than the industry.
Rahul Agarwal : And do you see a revival in exports next year?

Ashok Kajaria: Exports should definitely go up . With the things easing out worldwide and also the freight rates are the lowest today , so with this export should start picking up. A nd I think I personally feel that export should touch Rs. 20,000 crores again this year.
Rahul Agarwal : Got it, sir . And sir , the second question was on fuel price, both gas and propane , I think what are the trends you are seeing currently ? Because I think the cheaper crude should help going forward, so any outlook on fuel pricing bit?
Ashok Kajaria: See, currently we are paying about Rs. 38 cumulative for all the plants. Right now gas i s at par with propane . Like in our South plant just now one of the plants at Kalahasti gas has become slightly cheaper than propane, so they have s hifted to gas. So in the North plant we are only using gas , as you know . In Morbi the flexibility is there whether to use propane or gas , depending on the prices prevailing in that particular month.
Rahul Agarwal : Would you say that we will have a cheaper fuel price going forward , like next year versus this year?
Ashok Kajaria: It's too early to say. It's too early to say. Because prices are related to Brent , as you know Brent is slightly lower right now, but it's difficult to make a commitment for next year. It will all depend on how things shape up as far as fuel and gas is concerned.
Rahul Agarwal : Got it, sir . Alright, sit, that's all from my side. I will get back in the queue. All the best.
Moderator: Thank you. The next question is from the line of Sonali Salgaonkar from Jefferies Group. Please go ahead.
Sonali Salgaonkar: Sir, thank you for this opportunity. Sir my first question is a little broad based , so how do you see the real estate cycle panning right now? And even in the past two to three years when the real estate cycle was sort of steady , on the tile industry, and this is more of an industry level question, I know we have grown faster than the industry. Why are we still seeing , as an industrial , a single -digit volume growth in tiles?
Ash

ok Kajaria: See, as far as Kajaria is concerned, as I said, we are now unifying our entire operations over a period of next six months to nine m onths. And with this, I think things should be much better as far as we are concerned , and we should do better than the industry.
Chetan Kajaria: So in the real estate market , as we said earlier also, our turn is we are T + 2. So I think now this year I think things should be much better . If the industry grows , in real -estate if there's a boom in the market, if things are all good, I think we should definitely get a good share of the market.
Sonali Salgaonkar: Understood. But right now the real -estate cycle is broadly steady, right?
Chetan Kajaria: The market is stable. So yes , as the demand increases in the market we should get a good share of it.

Sonali Salgaonkar: Understood. Sir my second question is in terms of any pricing actions you have taken in Q4, or you are planning to take in Q1, specifically given the challenging environment?
Chetan Kajari a: Your voice was not clear , can you repeat your question ?
Ashok Kajaria: Sonali, can you repeat ?
Sonali Salgaonkar: Yes, sir. Apologies for that. Is there any pricing action that you have taken in Q4? O r do you feel free to take in Q1 considering that the market is a bit challenging right now , as in any price cuts in Bathware or tiles?
Ashok Kajaria: No. So pricing we have not touched till now, but now we are increasing our pricing. We are increasing our pricing little bit to see how it goes.
Sonali Salgaonkar: Okay . And that would be?
Ashok Kajaria: Sorry.
Sonali Salgaonkar: Quantum of price increase.

Ashok Kajaria: Very, very less.
Sonali Salgaonkar: Understood. And this will be across Bathware and tiles?
Chetan Kajaria: No, it is not across all the division , it is a select type of product . And we will take it as we move forward.
Sonali Salgaonkar: Understood, sir . And just one last question, any guidance for F Y '26? Because this is the fourth quarter, so just to understand any volume or margin gu idance you would like to give at this point in time for FY '26?
Ashok Kajaria: Sonali, at this stage we are not giving any guidance. It is the b est possible scenario in the current environment, so I think you have to wait for the quarter or so before we come out with some numbers and then we will talk about it , if you permit us.
Sonali Salgaonkar: Of course , sir. No problem at all. Thank you. And all the best to the team.
Ashok Kajaria: Thank you. Thank you.
Moderator: Thank you. The next question is from the line of Sejal Gupta from SC Securities . Please go ahead.
Sejal Gupta: Yes. Good evening , everyone. So my question is , sir you have been guiding and forecasting an X growth for your company which you have not been able to achieve . So when the management guide s something to the investors, we really rely on that . And when obviously you are not being

able to achieve those numbers brings a lot of disappointment. I just wa nted to understand what is the reason of this forecast failure at your end.
Ashok Kajaria: No, you are absolutely correct. We have been guiding for the last three years we have not been able to perform, I agree, on behalf of the management . And as I said j ust now to Sonali that this year we are not guiding and will perform. See,
Sanjeev Agarwal : Mr. Sejal , one thing is there, the promoter is always optimistic. So by giving guidance, he is always bullish. A nd it happens or not, it is not in our hands some time , or in this time this has been, we will agree that for three, four years what we have been guiding we have not been able to do. So that is why we are refraining ourselves from giving any guidance. Rather , we will perform and then say anything. Because some of the t

hings we forget that some things sometimes are not in our hands . We try our best . we will do our best , we will do the right thing. Whatever things in past we have done anything not correct , we are correcting everything. So you will see a much better picture.
Sejal Gupta: Okay , I just hope that in this year we should perform well because it has been quite some time that we need to see some good performance coming out of the company. My second question is , we have a plant in Nepal , could you just make me understand what is the reason of opening up for plant in Nepal? And what kind of profit and loss are we making in that plant?
Chetan Kajaria: So Sejal, in Nepal we put a 5 million square meter capacity plant which makes ceramics and GVT. The total market size is roughly Rs. 2,500 crore s. And the basic thought process behind it was, there is a huge customs duty from India to Nepal which is 50% to 55% , by putting a domestic facility we have become more competitive, and we want to gain more market share in the Nepal market. So , we operate at 49% capacity in Q4 with an EBITDA margin of 12 .5% currently. And going forward, the volumes out there should improve.
Sejal Gupta: As of now, are we making any loss in that plant or is it a profitable plant at 50 %, 55% capacity?
Sanjeev Agarwal : Mr. Sejal , as of now the numbers are not very important, because this is just two months operation . So we will be able to give right picture, let's say , after the first half or so, t hen we will know . Because what had happened that w hen we put up a plant in Nepal, then the situation was different. Now the situation is a bit tough , that is why we have not been able to utilize our plant at full capacity.
Ashok Kajaria: That's fine. But Sejal, just for yo ur information, we are not losing money , we are making money. And we will continue to improve as we go.
Sejal Gupta: Because as I understand, so this is my thought process , where any management goes outside India, that means that either the demand in the country is slowing down or you think that you have already fulfilled the demand in the country and then you go out of the country to set up the plants , because you see your plant in London, you have already started in London, t hat is also bleeding.

Rishi K ajaria: Nepal is like India . And looking at the demand, we have a local partner there and we just started the operation six months back , this year we should be much better.
Sejal Gupta: Yes, because I am seeing, your Plywood business which you have obviously taken a call to shut down, and your London, this UK business is not doing well. So why not concentrate on India

business rather than going outside India . In case you are bleeding, I do not know , if in case, do you plan to wind up this business at some point of time or you want to continue with Nepal now?
Sanjeev Agarwal : This is not relevant at this point of time because we are not bleeding . And Mr. Se jal, I will request you to please allow the other participants to ask the question s, please.
Sejal Gupta: Fine. Thank you. Thank you so much for your answers.
Moderator: Thank you, Sejal . The next question is from the line of Sneha Talreja from Nuva ma. Please go ahead.
Sneha Talreja: Good evening, team. And thanks a lot for the opportunity. Just a couple of questions from my end. Just extended to one of the previous participant's question in terms of the real estate cycle, I would rather want to know where exactly was the weakness , was it across Tier -1, Tier-2, Tier-3 markets or was it related to pr oject and retail segment ? In case we can get some color on that along with liquidity situation now on ground.
Ashok Kajaria: See, the whole industry did not grow at all. Industry literally grew at about 2%, 3%. We still did better than the industry . Going forward we hope t

hat the industry grows and we will perform much better than them.
Sneha Talreja: Yes, this is the industry level question only that the demand you are saying was across the Tier - 1, Tier-2, Tier-3 and even in projects in the retail market , I mean , that's the color that I wanted.
Ashok Kajaria: Correct, correct. Overall, the demand was weak overall across India.
Sneha Talreja: Okay . And now we are expecting improvement , any specific areas o f Tier-1, Tier-2 projects, retail, any specification that you would want to add here?
Ashok Kajaria: So going forward, see, India is going to grow, and we expect the demand to increase, be better from all sides , all fronts, whether it's Tier -1, Tier-2, Tier-3 or whether projects. Projects are also doing now , started a lot of projects are happening , so hopefully things should get better . If things get better, we will also do a much better job.
Sneha Talreja: Understood. Last quarter you had also mentioned that there was a certain amount of pressure on realization because the project share had increased. As on FY ' 25, what does our share look like for project versus retail?

Ashok Kajaria: Yes, the project share is approximately 30% , and it is more or less maintained like that. So t here's not much difference as far as that is concerned. Share of p rojects is 30 %, and retail is 70% to the dealer network.
Sneha Talreja: Understood, sir . Thanks for that , sir. Lastly on the margin front, we have mentioned a coupl e of one-offs, could we quantify that what were the losses in UK operations or what were the provisions that we have taken for the Plywood division that could help us just understand the normalized level of margin sitting in this quarter?
Sanjeev Agarwal : We have clearly mentioned the Plywood we have taken Rs. 14.5 crore s one-off, that is for some compensation we paid to our JV partner for which we agreed to enter into JV. A nd then later when we decided not to go further in this ply business , we paid some compensation to them and Rs. 6 crores is also to a vendor . So in ply we have taken around Rs. 14.5 crore s one-off. And in London, we have taken around Rs. 7 crores loan write -off this year. Apart from the loss , we have already been reporting in the earlier quarters. So this is additional in this quarter.
Sneha Talreja: Under stood. A nd Bathware, w here are we in terms of margins here?
Sanjeev Agarwal : There is no one-off in Bathware.
Sneha Talreja: Understood. And then one last one, if at all I may, you have also mentioned you will relook at the cost structure. While I understand the staff aspect, I am not getting into that, but what are the other measures the company is taking in terms of cost cutting ? And what's t he eventual target EBITDA margin if at all we are looking at something.
Sanjeev Agarwal : It is not one area, all the areas we will be looking . We will be looking all the area, we will not spare any area. So we know the cost is very important and we are cognizant of the fact that unless we reduce the cost it will reduce our competitiveness in the market. So we will focus on cost this year.
Sneha Talreja: Understood, sir. B ut any target margins here?
Ashok Kaj aria: No, we cannot quantify it.
Sneha Talreja: Understood. Thanks a lot for the team and all the best.
Moderator: Thank you. We will take our next question from the line of Rishikesh Bhagat f rom Kotak Mutual Funds. Please go ahead.
Rishikesh Bhagat: Hi. Good evening. So on Plywood, fair to assume that most of this impairment in the quarter is done, now there's nothing pending so in the subsequent quarter it will --
Sanjeev Agarwal : Sorry, Rishikesh, 98% we have done , so only Rs. 2 crores, Rs. 3 crores will come in the first half, that will be the salary of the people who are remaining with the company. S o apart from

that, we have taken everything in this f inancial year. So you are not going to see any surprise in
the next quarter or year as far as price is concerned, except Rs. 2 crores, Rs. 3 crores expenses,
or maybe some under provision or over provision of debt, small.
Rishikesh Bhagat: And just earlier participant 's question on Bathware, I know you spoke there's no one -off, but
broadly what will be the PBT margin or EBITDA margin , because I believe incrementally there
was thought that this drag because of new plant will gradually reduce as utilization improve s.
Ashok Kajaria: So this year, because the margin was 8% in '23 -'24, this year we could do 4% because of the
late implementation of the new plant. So the expenses have gone up and the sale was less , so
this year the first -year margin was low and we hope the margin will improve next year better.
Rishikesh Bhagat: Okay. And just lastly, whatever y ou spoke about provision regarding this Plywood, those are
taken above EBITDA, right, this is over and above the impairment , that's how we should look
at it?
Sanjeev Agarwal : If you see our investor release, it's very clear , we imply everything is in business loss except Rs.
14.5 crores .
Rishikesh Bhagat: Okay , Rs. 14.5 crores . Okay , thanks. Thanks.
Moderator: Thank you. We will take our next question from the line of Keshav Lahot i from HDFC
Securities. Please go ahead.
Keshav Lahoti: Hi, thank you for the opportunity. So we can see your JV has turned in profitable , we can see
some Rs. 17 million profitability , is it due to Nepal JV ?
Ashok Kajaria: Sorry ?
Keshav Lahoti: You right now loss, but this time it is Rs. 70 million profit for this quarter , is it due to Nepal JV?
Ashok Kajaria: No, no, no, nothing to do with the Nepal JV, Nepal number is very, very small.
Keshav Lahoti: So w hat is that Rs. 70 million pertaining to for this quarter ?
Ashok Kajaria: 70 million means Rs. 1.7 crore s?
Keshav Lahoti: Rs. 7 crores .
Ashok Kajaria: Sorry ?
Keshav Lahoti: Rs. 7 crore or Rs. 70 million . In consolidated we can see Rs. 7 crores profit from J V.
Sanjeev Agarwal : That I think there was some entry reversal of some earlier period this year. So this profit belongs
not to this quarter for some anti -reversal by the auditor in this quarter.

Keshav Lahoti: Understood. Got it. And Nepal, you know mentioned that Nepal is operating at 50% utilization.
So it would be fair to assume that the sales woul d also be 50% or sales would be lower ?
Sanjeev Agarwal : So sales is about 50% and gradually it will grow from here. And as I said earlier that we are not
making losses in Nepal. We are still profitable, but the profit is very, very marginal. And as the
volume increases, the profits will also increase.
Keshav Lahoti: Got it. By profit you mean profit after tax, not EBITDA, right?
Sanjeev Agarwal : See, i t is meaning less to talk about profit, a s I said . We have just started the operation. So any
figure, whe ther it is profit or loss, even if I say I have made a profit , but that's not loss or
whatever. So I will request you to wait for some time. Let us perform for six months, that will
be the real number we will be able to give you what we have achieved in Nepal.
Keshav Lahoti: Understood, got it. But just last clarification I need , by profit you mean operating profit right
now you are talking , right ?
Sanjeev Agarwal : There is operating profit in Nepal, yes .
Keshav Lahoti: Understood. That is helpful. Thank you.
Moderator: Thank you. The next question is from the line of Prav een Sahai from Prabhudas Lilladher
Capital. Please go ahead.
Praveen Sahai: Yes. Thank you for the opportunity. So my first question is related to the capacity. And if I look
at your production number , with the capacity you are at some 97% of utilization. So

if any
growth will come the way forward, how are you looking at the volume number to shape up,
especially from the own manufacturing and the subsidiaries?
Rishi Kajaria: So, our own manufacturing and subsidi aries are operating at almost 97 %, 98%. But plenty of
material is available in Mo rbi. So as we go along, whatever material we require, we can always
outsource from there. So that is not an issue.
Praveen Sahai: And related to that , sir, one just a clarification, because last year the growth number if I look at
is of around 6 %, but the product ion number is quite higher comparatively. And quarter -on-
quarter from the last four quarter s we are continuously seeing your production number is quite
a higher as compared of the sales numbers. So why actually this production number is on the higher side , inventory building
or so?
Chetan Kajaria: No, there's no inventory building. We have in fact reduced our inventory.

Praveen Sahai: Okay . The second thing , sir, see if I look at your production number versus sales number, there is quite a difference, s o that's why I asked this question. I will clarify offline. Next question sir

is related to the fuel pricing , fuel you had given Rs. 38 North pricing , how about the Morbi pricing , South pricing , and overall ?

Ashok Kajaria: Average price is Rs. 38 for Kajaria.

Praveen Sahai: Okay . And any bifurcation which you used to give like South , West and North ?

Ashok Kajaria: I can give you straight away. North is Rs. 38, Rs. 39 is South and West is Rs. 37, average is Rs. 38.

Praveen Sahai: Okay . Thank you, sir . That's it from my side.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Yes. Hi, sir. Thanks for the opportunity . Sir, I have a couple of questions, one is, earlier we had indicated that we were creating specific teams for government projects . And last year we had done around 10% of the volumes , the number indicated for this year was around 12% to 13%. So, just wanted to get a g ist where we are on that number and how do we see this number going forward?

Ashok Kajaria: Last year the number was close to about 4% , out of Rs. 100 million we sold the government projects was about 4% roughly , and this year we are targeting for about 8 % to 10%. I think roughly we have done about 6% as far as government projects are concerned.

Ritesh Shah: Sure, that's useful.

Ashok Kajaria: See, l ast year the team was only for North . Now we have penetrated to East , West and South, s o give an additional 2% more . As we go along, we will focus on that and try to reach to a level of 8% to 10%.

Ritesh Shah: Sure, sir. The second question is, I understand we have launched a few brands in the retail network . I was just trying to understand what is the thought process including I think specifically Kajaria Gres U niverse , is it a different type of showroom targeting the economy segment that we are looking at? How should we understand that?

Chetan Kajaria: So earlier we had showrooms called Prima Plus in the ceramics vertical, which we just rebranded to Gres Universe. That's the only change. Nothing else has changed.

Ashok Kajaria: Only the nomenclature has changed , everything has remained the same.

Ritesh Shah: Okay. So we have P rima Plus, we have Galaxy, and we have Word, nothing else has changed, right?

Chetan Kajaria: Correct. Currently Galaxy includes all the divisions, ceramic , PVT and GV T. Star includes two divisions out of three.

Sanjeev Agarwal : So Ritesh, we are in the process of rebranding our entire strategy , so going forward, in six months we will see a lot of changes. We are rebranding a lot of things to make it much easier for the customer.

Ritesh Shah: Okay . But will the SKU placement in each of the category be also very different to what we had in the pas t?

Chetan Kajaria: Yes, it will be.

Ashok Kajaria: We are consolidating our SKUs as well to make it easier for the customer.

Ritesh Shah: Okay . Would it be possible to give some broader thoughts over here?

Chetan Kajaria: This is too early. W e are working on it. Let us do it. A nd then as we all said that give us three to four months , you will see much more changes as we go along. It's too early to comment. The process of work has already start ed.

Ritesh Shah: Perfect. Sir, would you like to comment on the channel inventory , demand isn't great, but how is the channel inventory and how do you look at the competitive intensity in the marketplace?

Ashok Kajaria: Channel inventory over a period of time has come down for a simple reason, b ecause of GST the transit time has r educed . I think normally a dealer now keeps stocks of about 30 to 45 days because of the range. Otherwise the transit period has reduced drastically after GST. So I think more or less that remains the same because of the large range of pr oducts this is the inventory level at various dealers , 20 to 45 days.

Chetan Kajaria: Also because of multi -location factories it has helped. Now, since the factories are everywhere, that has really reduced the inventory at the dealer level.

Ritesh Shah: Right. And on the pricing discounting among the larger players in the industry, how should one read into that?

Ashok Kajaria: Sorry, come again.

Ritesh Shah: Basically I wanted to understand on the competitive intensity in the marketplace , given the

demand is weak, how is K ajaria approaching the marketplace? How do you see our peer set is approaching , so how should one read into the market?
Ashok Kajaria: First, demand is not weak, it's normal. Demand is not weak . If d emand is weak then we won't have sold what we sold. So demand is not weak, demand is normal . We are looking for a scenario , as we said earlier , the real estate projects some demand has started emerging , but demand is normal . And as far as the competitive intensity is concerned, the organized players have no such thing s that they are undercutting the prices. It is basically the competition in Morbi versus the organized players .

Ritesh Shah: Right . Sir, if I just refine the question a little . If one looks at a few brands out of Morbi , obviously they have a low base, but they have grown at a significantly higher pace versus what we have reported. So how should we understand this and how would we look to tackle this going forward?
Ashok Kajaria: First of all, there are two brands which have emerged , one is Simpolo, one is Varmora . By and large t hey are doing a good job because they are operating from Morbi , as we all know . The moment they diversify to rest of India , there will be lot of other things , lot of other expenses will go up, lot of branding has to be done. But basically right now two major brands have emerged which we value and which we understand. A nd at the same time, the moment they get out of Morbi it is a different scenario. Right now we are every where , Kajaria, Soman y, we are located all over . But the moment they get out , a lot of other expenses happen as you know. So we will see that performance when they get out.
Moderator: Thank you, sir . Sir, w e request you to rejoin the queue for follow -up questions. The next question is from the line of Nitin Shakdher from Green Capital F amily Office. Please go ahead.
Nitin Shakdher : Hi, good afternoon to the management. This is Nitin Shakdher from the G reen Capital Single Family Office. My question pertains to Kajaria International DMCC . While I understand that UAE h as a robust real estate demand , any learnings as to what really went wrong in UK and how well the company's taking it a step fur

ther and getting aggressive in the UAE real estate markets? It's not an analys t question, but more from an investor point of view.
Rishi Kajaria: No, it's a good question. So Kajaria DMCC invested earlier in Dubai and then in UK. So we honestly got tempted by the good retail prices in the UK market, t hat is why we entered into a JV with a local partner there. And while during the operations we realized the costs are very high of running it . So looking at the management bandwidth and looking at the domestic growth in domestic future demand in India, we said it is better that we give that showroom to the local partner only , getting our equity back and let them run it. And we will continue to export. See , export will always be 1%, 1.5% of our business. Our growing focus is domestic, domestic and domestic. That's where our brand is very, very strong and that's where we make the margin s. So Dubai is still o kay, UK we did not have a very good experience. So , rather than prolonging it, we still continue to export there but we have continued to discontinue our retail venture.
Rishi Kajaria: Correct. So I am assuming that Dubai will be continuous long term investments considering it's a very robust real estate market.
Rishi Kajaria: Dubai is not a very big investment , it's a very small investment. And it is breaking even because of the showroom we are at least getting some orders from the Gulf market.
Nitin Shakdher : Okay. And my second question is , Ashok ji has clarified before that there is an offset on the Plywood business and some operations are shutting down, a nd Bathware also m uted. Now I just want ed to understand as an investor, Quarter 4 seems like a cleanup where the books are cleaned up and then go back on the trajectory of growth . Is that understanding clear and we should not expect any further larger offsets apart from the barring Rs. 2 crores Rs. 3 crores m inor offsets ?

Ashok Kajaria: Absolutely correct. Absolutely correct. As Sanjeev has already said , and as far as flight is concerned, we have written of f everything. There will be a n impairment of about Rs. 2 crores, Rs. 2.5 crores, Rs. 3 crores because of the manpower, which is there, which will go by end of May. But other than that everything has been taken care of.
Nitin Shakdher : Okay . Okay . Thank you, Ashok ji . Thank you, Chetan . Thank you, Rishi .
Chetan Kajaria: Thank you.
Moderator: Thank you. We will take our next question from the line of Amar Maurya from Lucky Investments. Please go ahead.
Amar Maurya: Sir, thanks a lot for the opportunity. Firstly sir, what would be our revenue mix between Tier - 1, Tier-2 and Tier -3?
Ashok Kajaria: See, we have earlier said there is also Tier -4; Tier-1, Tier-2, Tier-3, Tier-4. Roughly Tier-1 is about 15% to 18% , Tier-2 is about 30%, Tier -3 is again about 30% , and the balance will be from

Tier-4 roughly , plus/minus 2%, 3% here and there could be there .
Amar Maurya: Okay . So sir, like in terms of the competitive intensity , majorly we would have seen the pressure in which part of this segment?
Ashok Kajaria: See, pressure is everywhere. See , the problem is everywhere, but basically the dealer , in our trade, I would like to repeat that word, what is visible sells. In our trade the one who makes a beautiful showroom, and the entrepreneur is branded , he is successful, whether he is in Tier -1, Tier-2, tier 3 or Tier -4. Now the earlier concept is not there , because earlier dealer used to be a retailer cum a wholesaler. Now after GST the wholesaler concept is more or less out. It's either he is a retailer or supplying to projects. So keeping that in mi nd, wherever good showrooms have been created , a good display is there and a good promoter is behind that showroom , he is successful.
Amar Maurya: Okay . And sir, I mean, we are of the view th

at the competition from Morbi has terrified and that is the reaso n majority of the organized players are basically having a volume decline or volume slowdown. So how far do you believe this story?
Ashok Kajaria: No, first you have to understand that overall industry has grown by 2% to 3%, which I have already said in my earlier remarks . The domestic market has grown by 2% to 3%. So when you say 2 % to 3%, as we all know 75% production of the country is in Morbi, that means they have grown. The organized players have grown by 6% or 5% or 10% or 8%, I do not know , Kajaria has grown by 6% volume. So even then, and we have taken some volume from somewhere from somebody .

Amar Maurya: Okay . Okay . And s ir, now normally in the real estate cycle, let's say, normally we would have seen a significant pre-sale in all listed real estate compan ies. So normally , I mean , in which year this real estate cycle come to actual revenue for us , in third year, fourth year ?
Ashok Kajaria: T + 3. T his is the year where it should pick up . Three years have completed since the real estate cycle started , as you all have been telling, this is the year where things should start looking around better as you go along.
Amar Maurya: Okay. Perfect , sir. Perfect. Thank you , sir.
Ashok Kajaria: Thank you.
Moderator: Thank you. The next question is from the line of Nitesh Dutt. Please go ahead, Nitesh.
Nitesh Dutt : Hi, thank you for this opportunity . Sir my question is on real estate cycle which a couple of participants and you have touched upon earlier. So, I believe there were a lot of launches around FY '22 and ' 23 which, as you just mentioned, should get reflected in an up cycle for tiles companies and other building material players in FY '26 and maybe FY '2 5. So that is largely on the Tier -1 side where you highlighted that 15 %, 18% of your sales come from. Do you also believe that things are picking up in Tier -2 and to an extent in Tier -3 as well? And if yes, are there already some signals , etc., that you are seeing on the ground, or any hard data on projects etc. that you a re tracking ?
Chetan Kajaria: So for Tier -2 and Tier -3 we are strengthening our distribution network. We are trying to make our dealers more exclusive. So right now we have 1, 850 dealers , out of that 440 dealers , about 430, 450 should be exclusive who sell only K ajaria. So our strategy going forward is more and more people to come in the fold of selling only exclusively K ajaria tiles. So with this, we will definitely see a surge in sales.
Nitesh Dutt : Got it. But the demand, like Tier-1 we are expecting the demand to revive a lot at an industry level, right, because of all of these new launch completions that was started in FY '22 and FY '23.
Chetan Kajaria: We expect the demand to be there all India, we cannot settle with only Tier-1. Tier-1, Tier-2, Tier-3, entire India the projects are happening everywhere so that result s will come from everywhere, a ll parts of India .
Ashok Kajaria: And Tier-1 is comparatively less , more action is happening in Tier-2 and Tier -3.
Nitesh Dutt : Got it. Any thoughts on what kind of industry growth should one expect for next couple of years, FY '26, maybe '27?

Chetan Kajaria: It's difficult to say, difficult to predict. B ut as we are committing that whatever the industry growth is, K ajaria will be better than the industry. We can guarantee that . How the industry will grow , it's very difficult to predict.
Ashok Kajaria: Sure. Thank you. I will get back in the queue. Thank you.
Moderator: Thank you. The next question is from the line of Rahul Agarwal from Ikigai Assets. Please go ahead.

Rahul Agarwal : Yes. Hi. Thank you for the follow -up. Sanjeev ji, you just wanted to clarify one thing , you said the

Rs. 14.5 crores of provision and about Rs. 7 crores of UK, that's Rs. 21.5 crore s. This is included in the other expenses line item in the consol accounts. Is this correct?
Sanjeev Agarwal: No, no, no, t hey are not included. So Rs. 14.5 crores has been shown as a separate item , as an exceptional item.
Ashok Kajaria: Okay . But when I look at cons ol accounts, there is no exceptional which is reported in the financials. I am looking at consolidated accounts.
Sanjeev Agarwal: Just a second.
Rahul Agarwal : Yes, sure.
Sanjeev Agarwal: I will clarify to you offline.
Rahul Agarwal : No problem , sir. And just one more clarification , on Bathware you said full year EBITDA was 4%. So when you say Bathware loss, it was EBITDA loss in 4 Q only , is that what you referred to?
Rishi Kajaria: This loss was basically because of the new plan t. The new plant which commissioned late , that made losses.
Rahul Agarwal : Okay, o nly for the new plant , not on a consol Bathware basis, right?
Rishi Kajaria: How much is consol Bathware, w hat is the number? The top line was about Rs. 4 00 crores.
Sanjeev Agarwal: The top line was around Rs. 390 crore s, and EBDITA was Rs. 15 crores .
Rahul Agarwal : Alright, got it. Alright. That helps. Alright, sir . I will connect later. Thank you so much.
Moderator: Thank you. We will take our next question from the line of Udit Gajiwala from Yes Securities. Please go ahead.
Udit Gajiwala: Yes. Hi, sir. Just a couple of questions. One on the pricing front, how do you see this year panning out in terms of your overall pricing for broad adhesives and tile s specific?

Ashok Kajaria: So as we go along, we will see. And as the market improves, we keep on trying to increase prices and improve the realization . But it will be a strategic and a very strange affair as we go along . It's difficult to tell you any numbers right now. But as the market demand improves and wherever we can get a better realization , we will start increasing prices.
Udit Gajiwala: Understood, sir . And sir lastly , what will be the CAPEX that you incur for the coming fiscal ? That's it from my side .
Ashok Kajaria: That w ill be around Rs. 150 crores to Rs. 200 crores for this year .
Udit Gajiwala: The regular CAPEX ?
Ashok Kajaria: For this year it will be Rs. 250 crore s.
Udit Gajiwala: Okay , Rs. 250 crores. Got it, sir. Thank you, sir . All the best.
Sanjeev Agarwal: Just I wanted to clarify one point which before you Rahul has asked about the ply thing . Actually what had happened was that because of some accounting standard the auditors have shown ply operation as a discontinued operation. So that is why the exceptiona l item is being merged with the loss in that account , in the auditor 's account. If you see the notes on account, it is shown in the note s of account , there is not e on account which shows that there is Rs. 14.5 crore exceptional item. So this is for Rahul.
Moderator: Okay . Thank you, sir . We will take our next question from the line of Utkarsh Nopany from BOB Capital Markets. Please go ahead.
Utkarsh Nopany : Yes. Hey, good evening , sir. Sir, my first question is on your CAPEX plan. So, like we have a pretty strong balance sheet with a good cash balance and our existing tile plant is operating at full capacity also , then why we have deferred our investment proposal of coming up with a large slab GVT tile plant in Morbi , can you please throw some lie?
Chetan Kajaria: So basically there is enough capacity in Morbi . And if we want to we can always outsource that in the future instead of putting our own Rs. 200 crore s CAPEX and putting up a fresh plant out there.
Utkarsh Nopany : Sir, e ven for the large slab G VT tile plant you are of the view that there is an excess capacity in the market so we are not intending to come up with a new plant?
Chetan

Kajaria: See, we already have two lines of container p lus, we are the only company which has a plant in North and South of India for container plus which makes big slabs. So we already have the capacity . And as right now the demand has been muted. So we do not want to invest that kind of money and just wait for industry to improve . As the market improves, we right now have enough capacity available in Mo rbi which we can outsource from. In later in future, if we need

to do, we will do it. We will again come to the Board . But right now we did not want to do it , so that's why we said we want to scrap this project .
Ashok Kajaria: Scrap this proposal for the time being , withdraw the proposal for the time being .
Utkarsh Nopany : The second question is on your tile margin in the March quarter. So even if we adjust the Rs. 7 crores write -off related to the UK operation, then al so our ti les EBIT margin has come down to multi- year low level. So can you please explain the reason for sharp margin pressure in the tile segment on a Q -on-Q basis?
Sanjeev Agarwal: So there has been various reason , like some write -off we have taken for London and p ly, apart from that we have also taken some bad debt provision. So we hope that next year onwards the margin will be much superior.
Ashok Kajaria: No, sir. What I am asking is that your Plywood losses you have shown it as part of discontinued operat ion. Now, if we adjust the Rs. 7 crores write -off related to UK also , then also your margin has come down on a Q -on-Q basis, so what is the reason for that?
Sanjeev Agarwal: The whole p ly operation, we have shown the ply losses of Rs. 49 crores . It is not Rs. 49 crores you will add back , you will add back only Rs. 33 crores , because Rs. 14.5 crore s was the exceptional item which has been shown as a note in the alternate accounts. So if you exclude, if you add the Rs. 49 crores , obviously the margin will come higher.
Ashok Kajaria: Sir, I am talking about the tile segment margin, which doesn't include the Plywood segment.
Sanjeev Agarwal: We do not have the tile segment margin . But yes, to answer your question, it will improve definitely going ahead. We have done a lot of corrective measures which you do not want to talk about right now. We want to do our job, but yes, the margins will significantly improve, will improve.
Ashok Kajaria: And lastly, on the ti les export front, so like whether our understanding is correct that the Trump tariff issue is likely to weaken the global tiles demand, which in turn may further impact our tiles export from India. So can you please throw some light over there , whether our understanding is correct or not?
Ashok Kajaria: We are thinking differently.
Ashok Kajaria: See, as far as if the Trump thing is concerned , right now India is levied at 10% and then he had put 26% . With all the efforts going on, it will not be more than 10% . And you will be happy to know , this is for all of you that there was an anti-dumping investigation against India in US, and the duty has come out as zero. So imports of tiles to America, whatever has happened last year will be 50% more this year because of the withdrawal of the anti -dumping duty.

Ashok Kajaria: India was the largest exporter of tiles to US, so the market demand will continue. So export s will not come down.
Chetan Kajaria: Even last year, in spite of anti -dumping threats , the exports were X. This year it will be X + 50% because there is no anti -dumping now.
Utkarsh Nopany : Okay . Thanks a lot , sir.
Moderator: Thank you. The next question is from the line of Ashwath Rajan from Arihant Capital. Please go ahead.
Ashwath Rajan: Yes. Hi, sir. Thank you for the opportunity. My question would on the broader scale, since we have seen thi

s over supply in this industry for a while right now, what do you foresee in this , do we see this supply to be diverted back into the export markets? What is you r opinion on the same ?
Ashok Kajaria: I have already said that this year the export should cost Rs. 20,000 crores for two reasons. One , the stability in the world markets ; and two, the freight rates are the lowest . The freight tier last year to the European markets was close to about $4 ,000, which has now come down to $1, 600, making India again very, very competitive. So that Rs. 16,000 crores should go beyond Rs. 20,000 crores , as a result, part of the materials which were diverted to the domestic m arket will not be diverted here , and the pricing part should look better as we go along.
Ashwath Rajan: Okay . And on the market share front, have we gained any market share given some closure in the Morbi , some unorganized players or players have been experiencing closures, have we gained some market share there?
Ashok Kajaria: No, I already said earlier that the domestic market overall has grown by 2 %, 2.5%. W e at Kajaria have grown by 6% in volume terms. We did not grow to what we wanted. Our thought was that we will grow double digit , we did not do. But definitely , we have gained market share. A nd as already said many times in this conference now that the coming year we will gain much better market share to whatever corrections we are doing .
Ashwath Rajan: Alright, sir . Thank you so much.
Ashok Kajaria: Thank you.
Moderator: Thank you. We will take our next question from the line of Moksh Ranka from Aurum Capital. Please go ahead.
Moksh Ranka: Hello , I wanted to understand the industry scenario regarding if I look at the history a ll players

will actually focus on one segment. For example, Hindware would be on Bathware, Somany would be on just tile. A nd then what happened is everybody started getting into everybody's

domain. And that's the whole industry thing. So is this the reason for over supply? Could you help us understand the industry scenario ?

Ashok Kajaria: Your question, you are not very clear what are you exactly asking, which division there is an oversupply , tiles or Bathware?

Moksh Ranka: Both I wanted to ask .

Rishi Kajaria: Firstly, it is a related business , right . All the tile companies, the bigger tile compan ies that is Simpolo or a Johnson or a Somany or Kajaria, they all are into sanitary faucet because it's a related business . Like I will give you an example. We just opened two, three experience centers, big experience centers in South . Like in Chennai, we opened at 14,000 square feet experience center with tiles and sanitary ware and faucets. We are getting very, very good demand. T he builders are coming, they are saying , oh wow, I did not know that Kajaria had such a good range of sanitary and faucet as well. So when the customer is buying the tile , he is also buying that. So it will work in our favor rather than your point of being a oversupply or it's a wrong point , it's not like that. It is a complementary business and it is only going to give us good returns in future.

Moksh Ranka: Okay . That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Arun Baid from ICICI Securities. Please go ahead.

Arun Baid: Yes. Hi, sir. Sir, while I understand you mentioned in the near term y ou do not want to give guidance . But sir from a medium term perspective, do we believe we will go back to that double digit kind of volume growth with our historical margin increase of about 15%, 16%, do you believe that is something which we can, as investors, still look at?

Sanjeev Agarwal : See, this is another way of asking the guidance . We have already said we will not give guidance, so please do not ask.

Arun Baid: No sir, I am not asking for guidance for FY ’26. I am saying with the measures you are taking right now and whatever you are --

Ashok Kajaria: We are doing our best and we will be doing very hard work , but we will refrain from giving any guidance. Because when we give guidance, when we do not attain the guidance then you people say you have not attained the guidance. So it is better not to give the guidance and perform.

Arun Baid: Okay, sir . Thank you.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Hi sir. Thanks for the opportunity. Sir, can you detail something on the initiatives that we have taken on the technology side , including sales force automation ? Is it already done on a pan -India basis ? Are you already reaping the benefits or incrementally do we expect something out of it?

Chetan Kajaria: So Ritesh , we have started sales force automation and DMS also, which is dealer management system. Both have started now. Benefits will accrue in the coming months. We just launched it. People are getting used to it because they were not in their culture and system earlier . But definitely we see more efficiency generating out o f it in the coming months as we go along.

Ritesh Shah: And has this been implemented on a pan -India basis or is it a certain pockets that we have implemented?

Chetan Kajaria: On a pan -India basis, feeling of orders in the system of dealers and the s ales force automation and everything.

Ritesh Shah: Okay , that's great. Just for the sake of repetition , sir, if I had to ask you one single variable which will help us drive volume growth into the next fiscal, what would it be? Is it the branding rejig that we are looking at or is it technology implementation or is it the distribution widening thing that we are working on, what will be the single most important variable?

Ashok Kajaria: There is no single big thing , there will be a combination of many, many facto rs.

Chetan Kajaria: All the factors.

Ritesh Shah: Sure, sir. Thank you so much for the answers. All the very best. Thank you.

Moderator: Thank you. The next question is from the line of Praveen Sahai from PL Capital. Please go ahead.

Praveen Sahai: Thank you for a follow up, sir . Just if you can give any clarification on your Rs. 250-odd crore s of a CAPEX you are planning for ‘26, where is it only for maintenance or something else as well?

Ashok Kajaria: Majorly for maintenance and for our new office we will be making. It's not Rs. 250 crores, Rs. 250 was the last I said wrongly if I had said . Rs. 250 crores we did last year , this year the

projection is around Rs. 200 crores plus. And out of that Rs. 100 crore s will be, let's say , about Rs. 100 crores should be regular maintenance CAPEX and around Rs. 75 crores will be for the corporate office, and small around Rs. 25 crores will be for adhesive and Rs. 15 crores, Rs. 20 crore s for maybe Nepal.
Praveen Sahai: Okay . That's really helpful. Thank you, sir .
Ashok Kajaria: Thank you.

Moderator: Thank you. Ladies and gentlemen , I would now like to hand the conference over to the management for closing comments.
Ashok Kajaria: Thank you. On behalf of the entire Kajaria team, which is here, I thank you all for organizing this. It was very interesting; a lot of good questions have come . And I can assure you on behalf of the Kajaria management which is here that we will try to do the best possible this f inancial year, with all the corrections which we are talking about. Thanks a lot.
Chetan Kajaria: Thank you.
Moderator: Thank you. On behalf of Equirus Securities Private Limited, that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: Jul 2025

July 25, 2025
The National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated July 22, 2025, informing about the uploading of the audio recording of the Conference Call held on July 22, 2025 , we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com
Kindly take the above on your record.

Thanking you,

For K ajaria Ceramics Limited

Ram Chandra Rawat
COO (A&T) & Company Secretary

Encl.: As above

"Kajaria Ceramics Limited
Q1 FY '26 Earnings Conference Call "
July 22 , 2025

MANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN AND MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. CHETAN KAJARIA – JOINT MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. RISHI KAJARIA – JOINT MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL – CHIEF FINANCIAL OFFICER – KAJARIA CERAMICS LIMITED
MR. KARTIK KAJARIA – HEAD, ADHESIVES DIVISION – KAJARIA CERAMICS LIMITED
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MODERATOR : MS. SNEHA TALREJA – NUVAMA WEALTH MANAGEMENT LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Kajaria Ceramics Limited Q1 FY '26 Earnings Conference Call hosted by Nuvama Wealth Management Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar and then zero on your touch -tone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Sneha Talreja from Nuvama Wealth Management. Thank you, and over to you, ma'am.
Sneha Talreja: Thank you, Vishakha. Good evening all. We welcome you to Kajaria Ceramics Q1 FY '26 Conference Call. We are today joined by the senior management of Kajaria Ceramics represented by Mr. Ashok Kajariaji, CMD; Mr. Chetan Kajaria, Joint Managing Director; Mr. Rishi Kajaria, Joint Managing Director; Mr. Kartik Kajaria ; Mr. Sanjeev Agarwal, CFO; and Mr. Parveen Gupta , DVP Finance. We will now start with the opening remarks with the management, followed by the Q&A.
I will now hand over the call to Mr. Ashok ji for his opening remarks. Over to you, sir.
Ashok Kajaria: Thank you, Sneha. Good evening , everyone. It gives me great pleasure to welcome you to the quarter 1 F Y'26 earnings conference Call of Kajaria Ceramics Limited. Joining me on this conference call is the senior management team of Kajaria Ceramics.
In quarter 1 F Y'26, overall market demand continued to remain soft. Our consolidated revenue for the quarter stood at INR1,104 crores, indicating a 1% year -to-year decline compared to the corresponding period last year, mainly due to low growth in tiles volume and decline in ply sales due to closure of this division. However, the margins have improved in quarter 1 FY'26 to 16.72% as compared to 15% in quarter 1 F Y'25.
During our last interaction, I had mentioned that we had initiated certain measures to optimize our sales and marketing resources, but had not detailed the road map. Having covered some ground in implementing our strategy, I would like to take a moment to illustrate our marketing blueprint.
When we entered the Vitrified Tile segment through trading, our Ceramic Wall and Floor Tile segment was already an established business vertical. To accelerate growth in vitrified tiles, we created a dedicated marketing channel and team. That plan worked w ell and our Vitrifie d Tile business scaled rapidly.
Times have changed, which mandated a rethink. Product differentiation between ceramic and vitrified tiles is marginal at best. Ceramic tiles are more for wall and vitrified tiles are, as they can be made in bigger sizes, are more relevant for floor, though they can be used interchangeably.
Considering these realities, we are in the process of integration of our 3 tile divisions into one. Our unified teams will drive efficiency and scale volumes. Our combined distribution network will showcase our entire range of tiles, which is beneficial to our customers. This integration

will enable us to streamline resource deployment, optimize costs and enhance organizational agility in responding to evolving market dynamics and customer preferences.
In this quarter, we initiated this transition in some states and have received encouraging feedback. Although the overall sales volume was muted due to external factors and the adoption of this unification strategy, we are confident that the complete adopt ion of this strategy will result in making Kajaria a lean and thin organization.
With this, I take the opportunity of thanking you for joining us today. Thank you, Sneha.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Ra

hul Agarwal.
Rahul Agarwal: Sir, basically, 3 questions. Sir, something you want to share on the current trends of the tile market. You didn't touch upon that. I just wanted to know what is the outlook for this year on both on domestic , as well as export market for tiles? That's the first question.
Ashok Kajaria: You can repeat -- you can tell all I will reply. I'll try to reply all together.
Rahul Agarwal: Okay, sure. Secondly, on the cost side, when I look at your P&L for first quarter, it looks like gross margin expansion has actually flowed through to EBITDA. When I look at staff cost and other expenditure, they are flat Y -o-Y. So all 3 line items on the cost side, I think there is a fair bit of optimization. If you could elaborate a bit more, how do you see the full year in terms of cost? And what kind of margins would you expect? That will be helpful.

And thirdly, just wanted to know, based on now the plywood division is now shut, Bathware, I think this quarter reflects only Bathware revenues on the other segment. So that business looks -- the EBIT is about INR4.5 crores. So some outlook on that? And what is the total savings would you expect from plywood and Bathware being profitable for fiscal '26 as compared to '25? If you could just highlight that, that will be helpful. That's all.

Ashok Kajaria: Okay. Three questions you asked. The first one is regarding the domestic and export market. The domestic market is still muted, but I think things should be slightly better as we go forward for 2 reasons.

One, the export, which was INR20,000 crores in '23 -24 has come down to INR16,000 crores in '24-25 because of high freight rates and external circumstances like the problems in Israel, Hamas and all that. Things are basically getting neutral. So this year, exports for the first 3 months is about INR4,500 crores. And going forward, it seems that the exports will definitely be between INR18,000 crores to INR20,000 crores.

The moment exports pick up, the domestic market should also improve. I think the kind of government spending, which was muted last year because of various reasons, mainly because of the election year , should also pick up. If the government starts investing in infrastructure more, which they will, things at the domestic level should also get better.

As far as the cost scenario is concerned, we have -- since this process has started from April, we have let down a few -- left few people. We are optimizing our costs. Also, the promoters are not taking any salary this year.

As far as the third part is concerned, we have 3 divisions right now: Tiles, Bathware and Adhesive also. Adhesive last year did INR75 crores. This year, we are looking at a scenario where it should do about INR120 crores. This Bathware division, which did last year about INR400 crores, we are looking at about INR480 crores. So this will also generate additional value. And last year, Bathware lost some money. This year, it will definitely be profitable.

Rahul Agarwal: Got it, sir. Is it possible to quantify the plywood loss for last year, which will be saved this year, just to know the change Y -o-Y?

Ashok Kajaria: I think if you look at the numbers, you'll get all the things. Plywood also, everything has been squared off last year. This year, for the first 3 months, we have had salary expense of about INR2.5 crores, and it will also be there in July and August about INR1 crore s, and that's it. Everything otherwise has been taken care in last year.

Moderator: The next question is from the line of Shaleen Kumar from UBS Securities.

Shaleen Kumar: Congratulations on a very good set of operating profit and earnings. Sir, I just want to little more understand what you talked about in terms of your strategy of optimizing your marketing. Sir, did I understand clearly that you had earlier different marke ting pe

ople for different product and now you are bringing them all together under one roof?

Chetan Kajaria: Correct. This is Chetan here. As you said correctly, earlier, we had 3 teams. They were respectively selling ceramic, PVT and GVT tiles, polished and glazed. Now we have started the process of unification, meaning we are combining the teams together under a common head state-wise and getting more cost efficiency out there.

And a single guy will go to a dealer and sell all the 3 products in that basket. So dealer doesn't have to deal with 3 people in the long run. He just gives it to one guy who sells the entire product basket when he goes to a shop.

Shaleen Kumar: So earlier, there were 3 people going to the same distributor?

Chetan Kajaria: Correct. And no distributor dealers. We don't have distributor policy in our company. It was mainly dealers.

Shaleen Kumar: All right. And sir, how has this -- like what was the thought process behind unification of this, bringing them together?

Ashok Kajaria: You see this dialogue has been going for a long time. And I'm happy to inform you that our CFO, Mr. Sanjeev Agarwal, he insisted -- we had a lot of meetings sometime in Feb, March. He insisted that we should follow this, and I'm thankful to him that the dialogue led us to this path. And I think going forward, we'll be a lean and very solid company as we go along.

Shaleen Kumar: Right, right. No, sir, sounds like good. Just 1 or 2 questions more to it. So sir, any initial distributor feedback that you have got from when you're doing this? Can there be a concern that -- because distributor may be dealing with multiple people, now h e's dealing with 1 person. Is 1

person adequate to offer all the products? What's the initial feedback you're getting?
Rishi Kajaria: Shaleen, it depends on the area and the size of the distributor. Smaller areas like a Trichy or a Jodhpur or the small areas, the people are very comfortable dealing with 1 person. But when it comes to some large areas and where the dealers are very big, i nstead of 3, we might be se nding 2 people right now initially. So that strategy will change varying from dealer to dealer. But overall, the dealers are very happy. The initial feedback which we have got, they are very comfortable with the ne w system.
Shaleen Kumar: Right. So effectively, what we believe that this amount of sales and marketing people are enough? Or there is still more scope you think, we can bring it down?
Rishi Kajaria: So as we go along, we'll see, and we'll optimize more if required. We'll also might be keeping some new people for doing business development, meeting architects and all that. But we'll optimize our resources as we go along.
Shaleen Kumar: Got it, sir. And sir, I think Mr. Kajaria, you made a comment about promoters have not taken salary. Is it possible to quantify it? And is it like this year? Or is there any thought process behind it? Like when would you like to take it or any idea on that ?
Ashok Kajaria: I think it was a very bold decision on the part of the promoters to forgo the salary for this year. And I'm sure it was a tough decision, but we went ahead with it. And I can also assure you what we have internally discussed that till we have a 4 -digit EBI TDA figure -- running figure of EBITDA, we will forgo our salary. Run rate of 4 -digit EBITDA, we'll forgo that part of the salary. We'll forgo our salary.
Sanjeev Agarwal: Shaleen, the thing is that we'll consider taking it back only when we see a run rate of INR1,000 crores EBITDA. That's a challenge we have taken to ourselves just to show the solidarity and the confidence in the company, plus that we are bent upon to make this is a very lean and thin, and -- see as y ou say, charity begins at home.
So cost cutting also begins at home. So the promoter has shown to the organization then when they

can sacrifice the salary, so others have also to follow the suit
So if they are not taking salary, they can say we are not giving increment. If they are taking salary and they are cutting our increment, then people say why you are taking salary. So promoters have started with themselves and then taken the cost -cutting m easures across the organization.
Shaleen Kumar: Got it. No, sir. That's a great move. So we are saying that we will not take salary till we reach INR250 crores of EBITDA per quarter. And right now, we are at INR187 crores …
Sanjeev Agarwal: We will consider after that. I'm not saying we will make it, but we will consider after that.

Shaleen Kumar: Okay. That's a very good thing, sir. Pretty positive for the markets and for the minority shareholders. Sanjeev ji, since I have you here, can I also ask you about what happened in other expenses? We could see that they have dropped significantly. Is it just -- because I think part of it may be the sales, but sales may be staff cost? So what else is happening and how sustainable it is?
Sanjeev Agarwal: It is more -- Shaleen, it is more of some one -offs like in Q4, we had around 22 -- you want a comparison from Q4 to Q1 or Q1 to Q1? Because there is a significant variation from Q4 to Q1. So whatever you said, I can explain.
Shaleen Kumar: Agree. But even if I look at before that -- Q2, Q3, before that, you were running at INR140 crores, and now you are at INR113 crores, right? So even you can see 20% drop from Q2, Q3 is there, right? And obviously, Q4, I understand there were some one -offs, but even that is -- there is a big drop. So I just want to understand how sustainable...
Sanjeev Agarwal: I will start with Q4. In Q4, we had around INR22 crores of bad debt that was with respect to Ply and some London operations , which are INR4 crores in this quarter. And there was some fixed assets loss in the first quarter, we sold some machine in our S ikandraba d plant. So that was to the extent of INR5 crores , which is not there this time.
The traveling has gone down slightly. Advertisement has also gone down. So about advertisement, we are making a very -- I will request Rishi ji to explain about the advertisement as how we are optimizing our advertising resources in a more meaningful way without making any impact on the cost …
Rishi Kajaria: So strategically, Shaleen , what we are doing is basically we are optimizing, putting the money in the right places and where it matters the most. We are especially driving our advertisement branding moves in Tier 2, Tier 3 cities, where we'll get more market share. So we are doing a very strategic and a focused approach in advertisement to make sure that our costs also don't go up and we get the maximum mileage.
Shaleen Kumar: Got it, sir. So fair to assume that this run rate is sustainable, INR115 crores odd for the other expense? Can you work with that?

Sanjeev Agarwal: Yes, definitely. Even the INR4 crores bad debt is there in this quarter will not be there next quarter, but there may be some increase. So it's okay. We can say around -- between INR110 crores to INR120 crores run rate you can consider.
Shaleen Kumar: Right, sir. So sir, is there a...
Sanjeev Agarwal: Shaleen, can I request others to -- give the opportunity to ask the question, please.
Moderator: The next question is from the line of Keshav Lahoti from HDFC Securities.
Keshav Lahoti: So sir, firstly, how is the fuel cost for North -South, the number which you used to give in all the calls? Can you give that?
Ashok Kajaria: Yes, yes. For North, quarter 1 is INR38, for South INR39, for West INR36, average is INR37.

Keshav Lahoti: Okay. Okay. And the same trend continues now, right?
Ashok Kajaria: Yes, yes. There's not much change. There's not change.
Keshav

Lahoti: And what was the promoter salary in FY '25 for the whole year?
Chetan Kajaria: For the full year, it was INR17 crores. You can see that it is around INR4 crores in this quarter.
Keshav Lahoti: Okay. Got it . And sir, lastly, this Nepal -- hello, am I audible?
Moderator: Yes, you're audible.
Keshav Lahoti: Sir, last question. Sir, this Nepal is -- it's a JV. So normally, you combine Nepal volume in the total volume what you show in PPT?
Sanjeev Agarwal: No, we are not c ombining it because this is 50%, 50%. So we are just adding below the line.
Keshav Lahoti: Okay. And you had a plan to increase this 50% to 51%?
Sanjeev Agarwal: No, we have taken a levelling resolution, but we have not done so.
Keshav Lahoti: Okay. Understood. So whether this will happen this year? Because once it becomes 51%, then possibly you will plug in the entire volume.
Sanjeev Agarwal: It may not come even.
Keshav Lahoti: Understood. Got it. And Nepal, what would be the sales utilization? We can see from PPT, the production, but the sales and production are broadly in line or possibly sales would be way lower?
Sanjeev Agarwal: See, the profitability is difficult to say because the volume is not much. So we have done -- the capacity is running at a capacity utilization of 60%, 70%. But we have to cover lot of things in Nepal. As some inventory build -up is there, we have to take care of that. So though optically, there is some profit in that operation, but I will not consider this as a profit. So we will not guide about the profitability as far as Nepal is concerned today.
Keshav Lahoti: Okay. And what would be the Nepal sales volume for this quarter?
Sanjeev Agarwal: Sales volume was around 0. 61 million for the quarter.
Moderator: The next question is from the line of Pujan Shah from Molecule Ventures.
Pujan Shah: My first question would be a very naive question, but just wanted to understand a brief idea of the industry dynamics which is shaping up. So we have seen the last 2 years have been very muted in terms of growth for the industry as well? And understanding that part while real es tate cycle has been very stable?

So what is happening which is not able to grow the industry? Is it about that export has been a decrease, which has been right now getting used in the domestic, which is impacting the margins or the sales growth? Or what is happening in the industry sector ?
Ashok Kajaria: See, industry is muted. As you said, real estate is doing well, but real estate is not fully doing well. What was happening a year back is not the position today, number one. And number two, if exports pick up, as I said, partly, they have already started picking up. If they pick up, it will definitely be improved in domestic industry. So I think we can look at the internal factors, which we are working very hard. But at the external factor, still it's very difficult to comment how things wil l shape up.
Pujan Shah: Right, sir. But just wanted to understand, we are doing everything what we can do in the terms of structuring internally. But just wanted to understand on the industry side, what has happened in the last few years, which have never been happened because ul timately, in India, the consumption story will be very strong. So what happened in the last 2 years?
Ashok Kajaria: See, if you look at all the building material industry, they are all not growing. If you look at it, any industry which is related to the building industry. You take anybody, whether it's paints, whether it's ply, whether it's this thing or -- nobody is gr owing exactly. So demand still remains muted as far as the domestic consumption is concerned. Whichever is doing exports will be

doing all right.
But as far as domestic industry is concerned, demand is still muted. In spite of the reduction in interest rates, in spite of Reserve B

ank releasing the money in the system, it still is muted. So we hope it should improve from the quarter -- after quarter 2.
Chetan Kajaria: To add to that, our dealers tell us that the customers' footfall is very, very less in their showrooms. So unless that improves, the real growth will not happen.
Pujan Shah: But sir, absolutely, I understand each of the industries has been suffering out. I understand the paint, I understand the pipes. But all of a sudden, in the last 2 years, I expect that in the coming quarter, there will be a demand shaping up very well. But in the previous 2 years, what such things have happened that the cycle has not been shaping up very well. So what -- I understand...
Ashok Kajaria: I have tried to explain to the best of my ability. You please try to find out from the other industries also why things are not looking up. Instead of me answering all the questions, I think you should find out from related industries also, it will help us also.
Moderator: The next question is from the line of Pranav Mehta from Equirus Securities.
Pranav Mehta: Very heartening to see that the margins have improved solidly in this quarter. Sir, I wanted to understand on the Adhesives business. So how are we seeing things picking up in that segment? And how are we placed in terms of, let's say, the strategic growth that we are targeting in this segment along with what kind of margins we are targeting in this segment, sir?
Chetan Kajaria: You're talking about adhesives, right?

Pranav Mehta: Yes, adhesives.
Chetan Kajaria: Last year, our turnover was INR75 crores. And as the MD said in the beginning of the call, we're looking at INR120 crores plus this financial year. Our EBITDA margin currently is 17%. Now with this unification of division happening, we are looking at a good and positive growth going forward, utilizing the expertise o f all our division salespeople.
And our -- one plant is already operation in Gailpur, Rajasthan on the 30th of May this year. Another plant is in the pipeline in a place called Erode, which is a couple of hours from Coimbatore in Tamil Nadu . The paperwork is going on, and we expect that plant to be operational in the next 3 to 4 months to cater to the southern markets.
Pranav Mehta: Okay, sir. And sir, how are we looking at, let's say, increasing the portfolio in this segment in particular? So we will be focusing more on the, let's say, Tile Adhesives and related segment only? Or are we going ahead with some new chemistries as well?
Chetan Kajaria: Currently, we are focusing on the Tile Adhesives segment only. We have all the adhesives, epoxy grouts related to the tiles currently in our portfolio with all the different CX1, VX1, LX, EX, all the variants available in the catalog. That's our primary fo cus as of now.
Moderator: The next question is from the line of Girish Choudhary from Avendus Spark.
Girish Choudhary: Congratulations to the entire team for the margin performance. My first question is again on the cost reduction measures, right? You spoke about the various initiatives. But if you can help us guide on how to quantify this going ahead in the sense how much has been realized this quarter and how much more scope is left to be gained going ahead, that will be helpful. Basically just to ascertain the sustainable EBITDA margins for the company post these measures?
Sanjeev Agarwal: See in this quarter, the measures which we are taking, which we intend to take, there is not much impact of those in this quarter as far as cost cutting is concerned. So going forward, we'll be taking -- we are working on many issues like we are working on boxes. We have reduced th e cost of our packing material.
We are looking to reduce -- we are renegotiating our outsourcing material. We are focusing to revisit our raw material prices. All the cost area we are revisiti

ng. All the -- everything is very, very important to us.
So the benefit of that will emerge going forward in the coming quarters. But I can't say whether it will result in improvement of EBITDA or not because EBITDA is a product of selling price, gas price and cost. I can -- I'm confident about cost reduction. A nd whether it will result in what type of EBITDA that is yet to be seen.
Girish Choudhary: Okay. But assuming the prices or realization remain as it is, I mean, just to understand -- I mean, what -- how much of impact can it come on the EBITDA, right? I mean, like you said, this quarter, not much has come and we have seen a significant improveme nt in the margins...

Sanjeev Agarwal: See, in this quarter, there were -- some one -offs were not there in this quarter. So some -- even the advertisement was low. So going forward, if the things -- see, I can say if the selling price remains the same, gas price remains the same, so EBITDA shou ld improve.
Girish Choudhary: Okay.
Sanjeev Agarwal: So -- but I can't say about the -- like in this quarter, the selling price has slightly gone up, whether it is sustainable next quarter or not because the volumes have also not gone up. So we don't think the selling price will go up. So we'll focus more on volume. So might be we may have to give some discount to the market. So we don't know. That's why it's unable comment on the margin. But if the selling price hypothetically remains stable, then we will get some benefit out of cost optimiz ation.
Girish Choudhary: But the other thing is, can we assume the current quarter margins as a base case minimum going ahead from here on?
Rishi Kajaria: So it's difficult to calculate, as we said, because we also might have to reinvest back in the market. So we also have to reinvest back in the market to maybe gain some more market share. So we are doing our work, but it's very difficult to give you the ca lculated numbers what it will be. But you'll see an improvement every quarter.
Girish Choudhary: Okay. Got it. I mean, given these -- my other part of the question is that given the streamlining of resources and on integrating the division, right, I mean, have you seen any revenue impact because volumes have not gone anywhere or I mean, it's not impac ting the volumes or revenues?
Rishi Kajaria: So as we said, the demand is muted, and it has not impacted any volumes. I think we have remained flattish in this quarter.
Girish Choudhary: Okay. So you don't see any impact to volumes because of the integration?
Rishi Kajaria: So yes, it will slowly come. We are right now consolidating. So right now, we'll have more of a cost benefit and slowly going forward, that volume impact will come.
Sanjeev Agarwal: And this year, focus will be to make this happen because of the big change we are doing in the organization. So the focus will be -- though we would like to go -- nobody would leave the sales growth. We are also trying for the sales growth, but the primary focus would be to implement the big strategy change which we have undertaken in the organization, make the organization lean and thin. And whenever the growth comes, then we will be very equality growth.
Girish Choudhary: Got it. Sir, my last question on the capital allocation. Now that we have close to INR500-odd crores of cash. I mean, if you can just guide us on the capex for the year and the dividend payout numbers as well.
Sanjeev Agarwal: There is hardly any capex . This year capex would be around INR100 crores, INR150 crores. That is also because of the new office we are making and some normal capex . We are not adding any c apacity in this financial year.

So there will be some increase in cash. So as of now, we have no option but to keep the cash, but we might, as subject to Board appro

val, we are -- me as a finance person is okay to return the cash to the shareholder. If we need to increase our dividend po licy, we will put it to the Board. Either we need to give the return to the shareholder or we will not keep their money in our bank account beyond a point.
Girish Choudhary: But any thoughts on any, let's say, inorganic acquisitions and all. I mean just...
Sanjeev Agarwal: No, we are not looking for any big thing. We are just being very conservative and very consolidating ourselves.
Moderator: The next question is from the line of Akash Shah from UTI Mutual Fund.
Akash Shah: Sir, just wanted to ask regarding the management structure. So earlier, if I remember correctly, Chetan sir , used to look at Ceramic Tiles division as well as plywood and Rishi sir , used to look at Bathware and GVT, PVT. Now we are trying to combine ceramic, PVT, GVT and -- I mean, all the Tiles division.
So -- and plywood is shut now. So sir, how would the management team -- I mean, how would the promoter look at the business? I mean, who would be managing which division, if you can share?
Ashok Kajaria: See, as far as Tiles division is concerned, now there is no such thing as ceramic, PVT, GVT. It's a unification. Between Chetan and Rishi, they will look after the entire division. And geographically, they will work on divisions, but basically, these 2 are the day -to-day bosses of the division. As far as adhesives is concerned, my grandson, Karthik is looking after that, and he's in charge of that division. As far as Kerovit concerned, Rishi is looking after the Kerovit division.
Sanjeev Agarwal: See, the whole tile market has been distributed area -wise, it is not division -wise now. So one person -- Chetanji would be looking 50% of -- half of India will be looked after by Rishi ji. So

they both are working together in close coordination with each other.
Akash Shah: Right, right. Sure, sir.
Ashok Kajaria: No, let me clear also. Earlier, one was looking after ceramics, the other was looking after PVT, GVT. Now what we are seeing, both have to know exactly what is happening in both the areas. So as a result, it is a great, great unification, which has happened. And as Sanjeev said, the year is where we unify, we consolidate and volume will come secondly because volume is also necessary, but the key focus will be unification, unification and unification.
Moderator: The next question is from the line of Shaleen Kumar from UBS Securities India.
Shaleen Kumar: Yes, sir. Just 1, 2 clarification, right? The volume impact, when you're talking about positive or there can be negative volume impact?
Ashok Kajaria: No, no. There will definitely be a positive impact. You see what happened, Shaleen. First quarter, the partly experiment went through because partly was done on 1st week of April, partly was

done in mid -May. You will definitely see a volume growth from here on. Exact numbers, we can't decide right now. I can only tell you that it will be a positive growth going forward.
Sanjeev Agarwal: I think, Shaleen, your question is because of the unification, the volume will go or down. So my answer and what sir also wants to say that unification is good for volume growth. It will help us to take even better market share, but there are some external factors which we are not unable to say anything. So unitization is growth accretive, it's not growth decretive. But external factors, we are not commenting.
Shaleen Kumar: Yes. Got it. No, I just wanted to clarify because of the -- I think the previous participant question was impact. So just wanted to clarify on that, which side of the impact you were talking about.
And Sanjeev ji, then why are we not committing towards the margin, right?
If we think that -- if the price remains where they are, if gas costs remain where they are, you are doing some c

ost initiatives, you're looking at the positive benefit of the strategy, then why this can't be a base margin, right? This should -- the margin should be better only from here?
Ashok Kajaria: See, what Sanjeev said earlier, our costs will be coming down. That's one part. That we can commit to you that costs will come down during the course of the year. If all factors remain the same, 2 things he said, that if gas prices remain the same, it is n ot our in hand. If the selling prices remain the same, margins will go up. If there is any turmoil in the indust ry, it will affect the margins.
And as I said also myself that if the exports pick up, the domestic market will definitely start looking up because domestic market, as one of the participants asked, has been very muted for the last 2 years. It should not remain the same. So with that, de finitely, things should look up. So we are just not giving any guidance at this stage, but we'll keep on working in a positive manner.
Chetan Kajaria: Also, Shaleen, to reiterate, we mi ght need to reinvest, as Rishi ji said, back in the market to gain volume share also. So based on all these factors, giving a concrete guidance on margin is very tough as of now.
Sanjeev Agarwal: And Shaleen, we have learned over our past thing that it is better to say less and perform better. So we will always try to surprise the market rather than giving better -- more guidance than what we perform.
Shaleen Kumar: Sure, sir. I understand. So we just wanted to understand on the cost side, I think that we are comfortable on the cost side.
Moderator: The next question is from the line of Ritesh Shah from Investec.
Ritesh Shah: A couple of questions. Sir, first is, in the last quarter, you had indicated rebranding exercise. And I think you had hinted towards what we have announced this particular quarter. But sir, my question is, what is it that prompted us to do this? Like why i s it that we are doing now? I think you did thank Sanjeev ji for pushing you on this. But what was the underlying reason why we are doing this particular exercise right now?

Rishi Kajaria: Ritesh, see, earlier, it was required to have different people selling those different tiles to the same dealer. As in the last 2 years, there is so much of product commonality -- the products have become so common that it was not making sense. So finally, after a lot of discussions, internal deliberations, especially, the jhatka (shock) we got from the last quarter, we all really sat down on the table and we discussed what is the way forward.
And after a lot of deliberation and all, we took out that the way forward is that we have to unify

and we have to optimize our resources. And going forward, this is what we plan to do. So that
is why it took us time. It took us a shock , but now we are on the right path.
Ritesh Shah: Right. But sir, to whatever limited understanding I have of our strategy, I think we were always
aware that there are certain SKUs in a particular store, which will not be available and we will
ask the buyer to go to the next store for that particular size , say, from PVT to GVT and
historically, we have maintained that there is no negative volume impact because of that. So
what is it that has changed? Is it the underlying volume growth was lower?
Rishi Kajaria: So, I'll tell you. There's no negative growth in terms of volume, however there's a lot of cost
impact. I'll tell you, for example, in a nt place we were having 3 showrooms, 3 experience centres .
This is not required, right? So now going forward, like in Bombay, we have combined all the 3
experience centres into one. Banaras, we opened a single experience centre .
So we are now optimizing ourselves. And yes, as you said that this year, we might not see a
spurt in volumes, but we'll definitely -- we'll have an impact of consolidation

and a lot of cost
optimization will happen. And going forward, definitely, a volume increase will also happen.
When it will happen, we can't comment yet because it's not in our hands. But what is in our
hands, w hich is the cost and everything that is definitely we are working a lot on that.
Ritesh Shah: Sure. Sir, this is helpful. My second question is we had different stores, Star, Prima, Prima Plus,
Eternity, Eternity World, Gres Universe. We have been adding the type of stores. So when it
comes to the end distribution, how should we look at the consoli dation over there? And if you
can help us with the number of stores that we have and what is the road map on consolidation
over here?
Rishi Kajaria: See, right now we have about 1,850 dealers, where about 440 dealers are exclusively selling
Kajaria Tiles . Right now, they might be selling 1 vertical, 2 verticals, 3 verticals, maybe ceramic,
PVT, GVT or either of the 3. Going forward, as we go along, definitely, things will get better.
The same store will be, maybe selling all the 3 verticals, all the 3 ran ges. So as we go along, the
consolidation will happen. With the same network, we'll be able to get more value out of them.
So as we go a long, the branding will also change.
Ritesh Shah: Right. Sir, sorry to dig a little bit more. I think underlying strategy for us, what was earlier is we
have more shelf space. It helps us display more and that effectively helped us sell more. Now
when we are consolidating the end distribution network, we are seeing in the same store, we will
have ceramic, GVT, PVT, which essentially means that the number of SKUs on display will be
lower. So it's something counterintuitive to what we had always indicated. So how should one
understand on the ass et turn at the store level? And second is the inventory and working capital?

Rishi Kajaria: So shelf space is not going down. That shelf space, whatever it is still remains . In fact, now we
are motivating the same dealer that maybe he was only selling ceramic tiles earlier. And now
with the same -- with the consolidation, we are motivating the same dealer that you open another
store and yo u sell vitrified tiles as well.
So those -- the dealers which were under pressure from a single vertical, now they want to grow
-- which they always wanted to grow, now getting this opportunity to grow now with this
unification. So it's a win -win strategy going forward all the way. Shelf space will not go down,
it will only go up.
Ritesh Shah: Yes, shelf space is the same, but the number of -- yes, sorry.
Ashok Kajaria: No, no. I will answer that. Shelf space, the question which you asked, 2 years back, if I take you,
the average size of the showroom was between 3,000 to 5,000 square feet for a dealer. Today,
that showroom size has gone up from 5,000 to 10,000 for certain dealers because they are saying
how can I start display in a lesser store, I have to have a bigger outlet.
As Rishi said just now either he's opening a next store or he's expanding the existing area. The
shelf space has gone up by 50% to 100% in the last 2 years on the dealers, on the dealers
themselves. The range has become bigger and bigger and bigger.
Ritesh Shah: Okay. And sir, last question, Kajaria ji, you had indicated in the last call that we had our focus
on government orders, that number will actually increase from 4% to around 10% in FY '26.
And we had special teams in North, which were doing liaising . Sir, where do we stand over
there? Is this part of the business moving as desired?
Ashok Kajaria: I think currently, it has gone up from 4% to 6%. But going forward, it can increase further.
Ritesh Shah: Okay. And sir, just last one question I would like to squeeze. We had come up with a Keronite
brand, which I presume was economy tiles, probably better than Morbi, but we were giving a
value propositio

n, which was there. Sir, where do we stand on our strat egy over here?
Rishi Kajaria: So we have discontinued our strategy. We tested that strategy in a couple of markets. It didn't

do that well. So we have now -- and now with this unification, anyways, that problem is solved.
So now we have discontinued that s trategy and that brand is over.
We have hardly any stocks left. It is -- in the next 1 or 2 months, it will be completely finished.
So it was a test market, which didn't work well. I think this -- the new strategy is any day better.
So we have discontinued that. And now we are only focus ing on Kajaria, Kajaria and Kajaria.
Ritesh Shah: Possible, can I squeeze one more question?
Rishi Kajaria: Yes, please.
Ritesh Shah: Or else, I will join back the queue. Okay. Sir, just to understand, what we make of Infra.Market as a marketplace, like we understand they are now the second largest player in the country, getting into JVs -- multiple JVs in Morbi. How do you rate the competitive intensity because of this? Is it good, bad? And how does it change things for us?

Chetan Kajaria: Intensity -wise, it really hasn't affected us that much.
Rishi Kajaria: To answer that, see, Infra.Market is really not impacting us as a brand. See, Kajaria is a known brand in the market. Any project we go to, we are the first preferred brand if you can compete on the prices. So Infra.Market, although it is the second larges t, has really not impacted us in any way.
Sanjeev Agarwal: They are more of an aggregator rather than a competitor.
Rishi Kajaria: Yes.
Sanjeev Agarwal: So if you ask me to -- I will respect Simpolo, I will respect Varmora, more than Infra.Market. So Infra.Market is not a real tile player. They are not into tiles. They are into many other building products. So they are working as an aggregator. That's not a brand. Have you seen any brand like Infra.Market as far as tile is concerned or any product is concerned. So we will refrain -- I think we will refrain of making any comment on Infra.Market.
Moderator: The next question is from the line of Amit Purohit from Elara Capital.
Amit Purohit: Sir if you could highlight some of the regional trends in the demand that you have seen? And also second, on the gross margin, there has been sequential improvement. I understand Q1, if I'm not wrong, is a -- mix-wise, is a better quarter than the rest of the quarter. Is that the case one should think about it? Or is there something which is changing helping you to maintain this kind of gross margin?
Chetan Kajaria: In terms of the first question, regional demand. North accounts for 35% of our sales; for the South, which is 30% , West is 15%; and East is 20%. Tier 1 dealer account for 15% of our sales; Tier 2 and Tier 3, 30% each; and Tier 4 is 15%. So we are seeing a more uptick in Tier 2, Tier 3 cities where people are coming forward and making bigger showrooms also. So that's the regional split of our demand scenario. Question 2, I will let our CFO answer the question.
Sanjeev Agarwal: What was the question, about the gross margin?
Amit Purohit: Sir, gross margin, if I look at it, this quarter has been pretty strong. Sequentially, it has improved, although Y -o-Y broadly similar or slight improvement. So I just wanted to understand, is this that the mix is favorable during this quarter and going fo rward, this...
Sanjeev Agarwal: There was a slight -- as I said, there is a slight improvement in the sales realization. So -- and there was a reduction in other expenses. Raw material was also -- slightly there is some saving in raw material as well. So gross margin should remain in thi s -- I don't see any much change as far as gross margin is concerned going forward. So a lot of savings will come out of operating leverage, out of cost cutting, cost optimization. So that will add to the margin, if any.
A

mit Purohit: Okay. And I mean, if I just do a rough calculation of assuming a high single -digit growth trends, a 16.5%, 17% margin probably will help us to achieve that …
Sanjeev Agarwal: We have already discussed enough on margins. So please ask other question. And I would request you to allow some other gentlemen to ask the question.

Moderator: The next question is from the line of Rahul Agarwal from Ikigai Asset.
Rahul Agarwal: Sir, any initiatives also happening on the Bathware side, if you could -- you want to talk about that? How do you look at Bathware profitability going forward? It's going to be a INR500 crore s business. And I understand Bathware profitability could be better margin than tiles. So that could easily be like a 15% EBITDA business. Any thoughts on this division, please?
Rishi Kajaria: So Bathware industry right now, we didn't get any demand -- we had a flat quarter in terms of Bathware sales. The losses have gone. But yes, the profits are still to come. I think this year, if we work hard and we get a cheap numbers, the top line which yo u're looking for, I think the

profits will improve.
Still our costs are high. I think the more we scale up with the same cost, the margins will improve.
We'll not get the desired margin right now. But going forward, as the -- our top line has to
increase much more because we already made our base very heavy with all the costs, and we
have to work more on the top line.
Sanjeev Agarwal: And we are also revisiting our cost structure in Bathware as well.
Rahul Agarwal: Yes. That's what I wanted to check. I mean what could be levers there for Bathware? It could
also be like INR75 crores, INR80 crores EBITDA number there?
Sanjeev Agarwal: That is more on tiles. So we will take everything one by one.
Rishi Kajaria: And again, Bathware, the main focus has to be they have to increase sales. As the sales increase,
the things will get better. There's no growth happening right now. The growth has to happen.
Moderator: The next question is from the line of Sneha Talreja from Nuvama Wealth Management.
Sneha Talreja: Firstly, we're hearing a lot on Morbi or basically even the listed players taking price increases.
Is that really happening on ground, price hikes? And what are the reasons for price hike at this
point of time?
Ashok Kajaria: See, they have issued circulars, but it's actually not happening on the ground. So we are waiting
for that and watching very carefully because the vision of Kajaria is to take a market share as far
as volume is concerned. And as already said in so many wor ds that we are on the cost -cutting
drive. At the same time, we wa nt to have better market share.
And for market share, you have to have patience. Let not the price increase take place because
without that, also the margins are better and take a market share. So that is the mission, not
looking at a price increase. And even otherwise, the prices have n ot gone up in any case.
Sneha Talreja: Understood. The second question was with other Morbi -based leading players expanding
capacities geographically, how do we see our market share at that point of time? Does the
competitive intensity increase from those players?
Ashok Kajaria: If you look at it, only one player is expanding geographically, that is Simpolo in South, where
we already have a plant just very close to our Srikalahasti plant is there. But other than that,

nobody is moving up. It's very difficult for them to move out of Morbi and expand anywhere in
India.
Moderator: The next question is from the line of Shilpi Sharma from Prabhudas Lilladh er Capital.
Praveen Sahay: Sorry, I'm Praveen Sahay from PL. So my question is related to the realization because if I look
at on the last several quarters, overall realization is on the correc

tion. And in the same time, if
you can give a color. With the correction in the realization, your gross margin has improved
significantly for this quarter, 160 basis points on the Y -o-Y side. So how it's -- that's RM cost
has significantly...
Sanjeev Agarwal: We have already discussed gross margin. Next question, please.
Praveen Sahay: Related to realization, sir. Realization, sir, where you see this realization?
Sanjeev Agarwal: We have already said, there is a slight improvement in the realization. We have discussed this.
Can we take the last question, please?
Moderator: The next question is from the line of Ashwath from Arihant Capital.
Ashwath: So, since we don't have any capex on our cards right now, do we see -- what percentage do we
see of our sales coming in from subsidiaries and trading?
Sanjeev Agarwal: Sorry ?
Chetan Kajaria: Coming from subsidiaries and trading?
Sanjeev Agarwal: What was the question?
Chetan Kajaria: How much is the percentage of sales in the subsidiaries.
Sanjeev Agarwal: It's given in the presentation.
Ashwath: Yes. Going forward, what do we see for FY '26?
Sanjeev Agarwal: As we said, we are not going to expand our capacity. So whatever the growth will come, that
will come out of the unused inventory, unused capacity utilization. No, we are working on the
full utilization. So some growth will come because of the reduction in inventory and when
needed from outsourcing. We are not going to put up any capex in this financial year. So the
growth comes, this will also reduce our working capital because it will result in liquidation of
some inventory.
Ashwath: Correct, sir. So have you seen any market share improvement already in terms of Q1? I mean --
what do we target going forward since you did mention market share? So do we have any
number...

Sanjeev Agarwal: We've already discussed this. When we are not commenting on top line growth, so there is no point of commenting on market share. But one thing we have made clear that this strategy will be -- will help us to take market share subject to external conditions .

Ashwath: Okay. And on your Nepal plant, sir, have you seen any improvement in terms of volume and...

Sanjeev Agarwal: We've discussed Nepal.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

Ashok Kajaria: Thank you, Sneha. Very well organized and thank all the participants who have been there, who asked questions or otherwise, and thank you for this conference call. Thanks a lot from the management and on my behalf.

Moderator: Thank you. Ladies and gentlemen, on behalf of Nuvama Wealth Management Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2025

October 22 , 2025

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India L imited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated October 16, 202 5, informing about the uploading of the audio recording of the Conference Call held on October 16, 2025, we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your record.
Thanking you,

For K ajaria Ceramics Limited

Ram Chandra Rawat
COO (A&T) & Company Secretary

Encl.: As above

"Kajaria Ceramics Limited
Quarter 2 Financial Year '26 Earnings Conference Call "
October 16, 2025

MANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN – KAJARIA CERAMICS LIMITED
MR. CHETAN KAJARIA – VICE CHAIRMAN – KAJARIA CERAMICS LIMITED
MR. RISHI KAJARIA – MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL -- CHIEF FINANCIAL OFFICER – KAJARIA CERAMICS LIMITED
MR. PARVEEN GUPTA –DEPUTY VICE PRESIDENT , FINANCE – KAJARIA CERAMICS LIMITED

MODERATOR : MR. RITESH SHAH – INVESTEC CAPITAL SERVICES INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Kajaria Ceramics' Quarter 2 Financial Year '26 Earnings Conference Call, hosted by Investec Capital Services India Private Limited. As a reminder, all participant lines will be in listen -only mode and there wi ll be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ritesh Shah, Joint Head of Research and Analyst Materials from Investec Capital Services. Thank you, and over to you, sir.

Ritesh Shah : Thanks, Sama rth. Hi, everyone. Good evening, and thanks for joining. We have with us senior management of Kajaria Ceramics, including Mr. Ashok Kajaria, Chairman; Mr. Chetan Kajaria, Vice Chairman; Mr. Rishi Kajaria, Managing Director; Mr. Sanjeev Agarwal, Chief Financial Officer; and Mr. Parveen Gupta, DVP, Finance.

I would request Ashok ji to start with the initial remarks, post which we'll have a Q&A session. Over to you, Ashok ji. Thank you so much.

Management : Thank you. Thank you, Ritesh. Good evening, everyone. It gives me great pleasure to welcome you to the quarter 2 F '26 earnings conference call of Kajaria Ceramics Limited. Joining me on this conference call is the senior management team of Kajaria Ceramics.

In quarter 2 F '26, our consolidated revenue stood at INR 1,186 crores, a marginal growth of 1% year-to-year co mpared to the corresponding period last year, mainly due to low growth in tiles volume and absence supply sales due to the closure of this division. During the last two quarters, market remained soft. Our sales growth was minimalistic, yet the company achi eved a good operating margin and healthy cash flow, underscoring its operational strength and financial discipline.

As you are aware, the company is currently undergoing cost optimization journey focused on cost optimization, capital prudence and a strate gic sales reset. This transformation is intended to build a leaner, more agile and growth -ready organization that is both responsive and customer - centric. While the process is gradual and better sales growth will take some time to materialize, we remain co nfident of achieving it in the coming quarters.

Sales optimization and productivity will begin to accrue across the remaining dealers where unification became fully active over the next few quarters. The short -term adjustments, which are part of this proc ess are strategic steps that will result in higher efficiency, operational consistency and a stronger market presence.

Kajaria today is set to operate on three fundamental pillars: one, delivering above industry growth rate; two, superior operating margin; and third, higher free cash flow -- high free cash flow generation.

With Kajaria 2.0, we enter a new chapter of Board transformation, fresh thinking and renewed energy, led by both Chetan and Rishi, who have been recently elevated as Vice Chairman and Managing Director, respectively. I'm confident that Kajaria's future rests in capable and

visionary hands. Their new roles reflect our continued commitment to strategic growth and leadership excellence and will result in creating sustained value for all our stakeholders, be it our customers, our dealers, our employees and our shareholders.

Now for this quarter segment -wise financial performance. Tile segment remained flattish year - to-year, at INR 1,051 crores compared to INR 1,054 crores in quarter 2 F '25. Bathware segment registered a 14% growth in revenue, reaching INR 102 crores compared to INR 90 crores in quarter 2 F '25.

Revenue from Adhesives grew to INR 32 crores in quarter 2 F '26

as compared to INR 18 crores in quarter 2 F '25. EBITDA further improved in quarter 2 F '26 to 17.94%, plus 122 basis points sequentially and plus 447 basis points year -to-year. PAT for the quarter grew by 58%, to INR 133 crores in quarter 2 F '26 as compared to INR 84 crores in quarter 2 F '25. As of 30th September '25, the working capital days reduced by 2 days, to 56 days, compared to 58 days on 30th of June '25.

With this, I take this opportunity of thanking you for joining us today. Over to Moderator, please. Thank you.

Ritesh Shah : Samarth , are you there?

Moderator: The first question is from the line of Keshav Vijayratan Lahoti from HDFC Securities.

Keshav V. Lahoti : Congratulations on strong set of margin, multi -quarter high margin. I want to understand on cost, you have alluded you are doing cost rationalization. I want to understand more how the progress has been in this quarter, possibly, if you can spe ak some line item by line? And what sort of more reduction is possible in upcoming quarters? And how long will this journey go on? As you highlighted multiple quarters, will this journey get over in FY '26, '27?

Management : So in terms of cost reduction, we have taken significant steps, for example, reengineering of the packing boxes across all our plants across the country, which has resul ted in substantial savings of INR30 crores, INR 35 crores on an annual basis. Plus we've also worked on reducing our purchase price and outsourcing of tiles of ceramic and polished vitrified, removed a lot of people, around 250 people. So a lot of work has gone behind the scenes to rationalize the cost, which you have seen in the results.

Keshav V. Lahoti : Got it. So whatever is there, is done or possibly more sort of reduction is possible on employee cost or other fixed line -- expense line items?
Management : Some more savings will accrue as we go along, and it will happen as we go quarter -by-quarter. Some savings might happen as we go forward.
Management : So line item is -- like the savings will accrue in raw material, savings will accrue in purchase of finished goods, saving will accrue in salary, wages and saving will accrue in administrative overhead.

Keshav V. Lahoti : Got it. So what would be the margin of the company once all these savings are done? And by when this will be done?
Management : See, we can't say about the margin. But as we said in the previous communications, that we have started the cost optimization journey and some portion we have covered in the first and second quarter. And every quarter, the journey will remain. Like in the ne xt 2, 3 quarters, there will be more savings. But we cannot quantify the margin number.
Keshav V. Lahoti : No. I get it because you are in a cost reduction at times, you also don't know, but it's already two quarters. You might have some sense, at least may be a broader range what sort of cost saving is still possible. Maybe a broader range would be helpful, 100 bps, 200 bps, 300 bps, more cost saving as a percentage of sales, what that number would be?
Management : I think it's difficult to quantify right now , but you are seeing the difference from first quarter. We had a margin of 16.72 %, which has increased to 17.94%. So going forward, I think it is -- it should be a little better only from here. But we can't quantify any numbers in any basis points.
Moderator: The next question is from the line of Shaleen Kumar from UBS Securities India.
Shaleen Kumar : Okay, sure. So just to begin with, can you share some initial feedback from, let's say, distributors. It's been a few months of this unification. Any f eedback that you can share how the feedback from the distributor or the influencers, customer set , both on the positive or negative side, if you can share something or any challenges that we've been facing on positive side, that would be great.
Management: So we'll start individually. From the distributor point of view, they're very, very happy. So earlier, what used to happen was, three people used to go to a single dealer. And now we have reduced that to one. And if it's a very, very big dealer, maybe two . But overall, we are very happy that they don't have to answer to so many people.
Coming to architects, influencers, we were never there. We never serviced them. So recently, about a month back, we started making a team, and we already have about 18, 20 people who are on board. And we're going to further strengthen the team. Their job is only to go and meet influencers, architects, interior designers and talk about Kajaria, Kerovit, Gresbond , whatever products we are offering.
Also I think another change what we have done is we have kept a consultant now, a management consultant, who is guiding us how to increase the market share of our company. I'll just give you a very small example that in our tailwind, a lot of dealers were there who were not performing. So that , when we assess the data in a very open mind, we got a lot of information that where some dealers need to close, some white spaces are there where the dealers have to be made. So the consultant is going to structure the entire thing for us how we can penetrate further into the market and increase our market share.
Shaleen Kumar : Got it. And anything we are doing also on the sales incentive structure, etc ., towards -- to drive the push of our product?

Management: Yes, yes. So th at is also completely changed. Earlier, because there were three verticals, we had very different systems. Now everything is volume and growth linked, that only if you reach a certain growth percentage only then the incentive gets applicable. And the more you sell, the more you get more. So they should get a carrot and a stick.
Shaleen Kumar : Okay. Got it, sir. See, we understand, not just on the growth side, we understand that this time, we had a heavy rain in 2Q. But do you see any changes coming back in October, any uptick, green shoots in terms of the growth in October or too early to say?
Management: It's too early to say because it's a Diwali time also, but we are pretty hopeful this quarter, October to December, we should have some volume growth. The exact number, we'd not like to say, but we should definitely have some volume growth this quarter.
Moderator: Thank you. The next question is from the line of Sneha Talreja from Nuvama.
Sneha Talreja: Congratulations on great margins. Just a couple of que stions from my end, while you spoke

about employee expenses coming down further and other expenses also coming down. What I wanted to understand is power and fuel cost too is down this particular quarter, what would be the reasons here for savings? Is it an industry -led phenomenon?

Management: Power and fuel remains the same. Power and fuel is lower because of the lower production, Sneha. Cost is the same.

Sneha Talreja: Understood, sir. And any numbers that we can get, how much further reduction can we get ? I know the previous participant has already asked this. But maybe in terms of raw material expenses also, while you were saying there could be some savings there also and how are those savings coming up in raw materials?

Management: So Sneha work is on c ontinuously. We can't quantify the exact savings as of now, but we're constantly working on the raw materials also wherever we can save cost at the factory level.

Management: But a lot of the work has already been done also, Sneha, and you can see that is the positive numbers, also. So a lot of impact has started...

Management: Like even in this month, we did some reasonably good savings in certain materials, so which will be reflected in Q3 and Q4.

Sneha Talreja: Based on my understanding, it's not an industry phenom

enon, like raw material prices falling down, it is your efforts where you're trying to maybe recreate with your guys in terms of supplying and all of those sales.

Management: Correct. Correct. You're absolutely right. So with unification of sale s, we have also unified our purchases and utilizing our power of volumes for better negotiations.

Sneha Talreja: Understood. Lastly, while you mentioned that you have formed the team for architects, you also had formed the team for catering to projects. Yo u were...

Management: See project builders, we're always tapping . The big projects were always -- we were looking at. This is a new segment which was not there with Kajaria, where meeting architects and interior designers. And with that, we also have some people who also want to tap the government projects.

Sneha Talreja: Right. But we had increased some focus on projects, if I'm not wrong, we did speak about it in last quarter, this thing also con call. So just wanted to understand, a re projects really doi ng better than the retail segment? And what is our percentage share? And what is the percentage share we look at it in terms of three years, five years down the line?

Management: See, our current percentage should be about 70% retail, 30% projects. But we have to work on all the fronts, whether it is a dealer network or the project network to look at volumes. So difficult to project what will be the ratio going forward. But what we had mentioned last time as well that we are more seriously working on the -- dealers segment, we are always very, very strong. Projects segment, we are putting more emphasis and more pressure on that so that we can get more volumes there.

Sneha Talreja: Understood. All the best to you.

Moderator: Thank you. The next question is from the line of Sajal Gupta from FE Securities. Please go ahead.

Sajal Gupta: Congratulations for such a strong performance . The information which I'm getting from the dealers at the ground level that business and overhauling the business, which has r esulted in a lot of...

Moderator: Sorry to interrupt you, sir. You're not audible, sir. Mr. Sajal Gupta?

Sajal Gupta: Can you hear me now?

Moderator: Yes, it is loud and clear. Yes, it is loud and clear now.

Sajal Gupta: So, I was saying at the ground leve l, what I've checked with the dealers , that there's a lot of reinventing of the businesses which is happening and overhauling of the business operations, which has resulted in a lot of cost savings. And plus the charge you have given to the younger generat ion, Chetan and Rishi, to run the business is an excellent -- I think, excellent move by you. And I must congratulate both Chetan and Rishi to coming on board and doing such an excellent job.

So my question out here is with such a strong performance, obvio usly, other people have also asked this question, growth is significant. When do you start seeing the growth? And what levels of growth can actually come? And my second question to you would be, during the COVID time, if I'm not wrong, the company had reported a 20% EBITDA margin. How far are we from achieving a 30% EBITDA margin from here?

Management: Two questions you asked regarding the volume growth. As already said by Chetan and Rishi just now, with this transition of hiring a management consultant als o, we are doing a lot of work

on the ground level as to identify which are nonperforming dealers, which areas we are not there.
So I think that will add value. Plus, an architect team has been installed, which was literally not there in Kajaria because there were three divisions working independent of each other. Now with this unification, that is going to help, number one.
So, volume growth has to come, no questions about it. And as far as the margins are con

cerned,
I think we are on a positive side. Already, they have said that , what was first quarter? Second quarter is 17.94%. If the volume growth also comes, which it has to, we should look as a positive figure for the upcoming third and fourth quarter.
Management: Just about the margin, I'll add to what sir has said. In COVID area, the margin which we got in a particular quarter, that was a result of a significant fall in the fuel price. That was a one-off thing. But sustainably, our margin trajectory was around 14% to 15% to 16%. So we have moved into a new orbit of margin. But when we will reach 20% or 21% -- because even that 20% is not comparable with this margin because this margin is based on the overall cost optimization. We are working on all areas of cost.
That's a much -- quality -wise, it's a muc h superior margin, if you ask me, than that 21% margin in that COVID area. Because that was a result of a particular commodity which went down that significantly upped our margin. That margin was not sustainable. But this margin is definitely sustainable. And as we move towards our cost optimi zation journey, there could be s ome improvement further to this margin.
Sajal Gupta: What is remarkable is that margins are sustainable and you're talking of a higher margin from the 14%, 15% margin originally which the company used to run is commendable. And with the volume growth, I'm sure that company is going to do very, very well. So I think you have answered most of my questions.
Thank you so much and wish you all the good luck for the future.
Moderator: The nex t question is from the line of Sagar Jagtap from Marine Research .
Sagar Jagtap: Government projects last year at 10% volume. So this year, I just wanted how do we see the number going forward in the year ?
Management: So as we said, our retained 2 project m ix is roughly 70% to 30% and that 30% includes both private and government projects and builders. So it's very difficult to quantify how the ratio of government and projects with private builders will keep on changing within that mix. But as we said, we ar e more focused and aggressive on getting more project volumes also as we keep on going forward.
Sagar Jagtap: And next, how is pricing in Morbi versus branded segment evolving this quarter?
Management: Pricing gap between Morbi and Kajaria is about 20%, an d that remains.
Sagar Jagtap: Okay. And other expenses, advertisement expenses first quarter, any increase in quarter -on-quarter and full year spending of advertisement?

Management: Actually, the advertising expenses have come down. If you see it has come down in this quarter half year as compared to the previous one. But in the next few quarters, it may go up.
Moderator: The next question is from the line of Raman KV from Sequent Investments.
Raman KV: I have two questions. So one is as everybody were asking margin. So you said you -- there were some initiatives which led to -- one of them was reengineering the packaging across all y our factories, which led to INR 35 crores of annual savings. So but when I look at this quarter, on quarter -on-quarter, sequential quarter basis, there has been INR 30 crores of additional EBITDA. And when we compare it on Y -o-Y basis, t here is an excess of around INR 70 crores of additional EBITDA despite the revenue being flattish.
So I just want to understand in brief, how are we be able to optimize the cost. At the same time, what's the company's restructuring policy with respect to the employee cost? Because I have seen that during this quarter, the employee cost has come down a lot.
Management: It has not come down a lot. But as we move around, it will not go up. There could be slightly saving in the employees as we have not given increment in this year. And some people may be relieved may go and we are not intending to hire any fresh

people. So with the growth of sales,
the percentage of employee cost of sales will go down, one. And what was the other question.
Yes, it was around EBITDA.
Raman KV: I just wanted to understand the triggers which will -- this 17% margin to 20%, 22% margi n…
Management: You are comparing previous year margin with this time, the cost savings. So last year, there were

some losses due to the ply venture also, which are not there.
Raman KV: Yes, yes. Sir, my second question is with respect to volume. Sir, can we expect the volumes -- what are you expecting the volume in H2? And going forward, are we expecting volumes to come back?
Management: So as I said earlier, we cannot give you the exact number what we're expecting in H2. But yes, we'll definitely see some volume growth from here on. In H2, we definitely did -- so H1 was -- we had 0 volume growth. H2 will definitely have some good volume growth.
Management: See, why we didn't get the volume in the first 2 quarters, there are 2 reasons. One, the market was s oft. The other we were busy in the unification. And when you do -- when you change the process which was there in the company prevalent for so many number of years. So there is some adjustment happened as said by the Chairman in his speech, if you have not ed.
So some we must have lost because of the change in the system. We have the change in the team, the reporting is -- I mean, there is a change in reporting, some dealers, some destocking, some restocking. So some blames may go towards that also. So we believe the market improving and as we move towards unification, three, as the benefit of hiring a consultant will also give some fruit. So combination of all 3 factors will definitely lead to some volume growth.
Moderator: The next question is from the lin e of Sajal Kapoor from Antifragile Thinking.

Sajal Kapoor : Ashok Ji, it's uncommon to see the promoter directors voluntarily foregoing salaries in a fiscal year, and that's obviously commitment. The question is, how does the management now ensure that the best -in-class and capability employees are "ring -fenced" amid this internal restructuring as typically low -quality employees who are forced to leave, but the high- quality ones may voluntarily resign and they move on, right? So how do we make sure that the resultant organization is stronger actually?
Management : That's what we are trying to do. See, that's what the goal is to make the organization leaner and more effective. And the management not taking a salary was a bold decision. Let me tell you that afte r a lot of deliberation because 2 reasons. One, we didn't give any inc rement to our people this time.
So as a management, we said, let's not let the company become stronger. So that's point number one. Point number two, the whole effort is to make it as l ean and thin as possible, effective, but lean and thin. So that's what we are trying to do, and it's working. It's working in the right direction.
Sajal Kapoor : No, that is for sure, Ashok. My question is how do we convince good employees that they have a bright future ahe ad?
Management : We don't have to convince. So there is no, first of all there is no relatives of -- we don't have to convince. We are doing our job of those people who are there. They have been there for 20 years or 25 years. So they know where things lie, number one.
Number two, basically, a lot of people, extra people came in because of the 3 divisions working. So we are doing only rationalizing and making sure that this unification works and right people stay, which is happening already . We don't have to make sure it is happening.
Management: And I will add one more thing. It is not that we are letting the people go. We are adding fresh talent also. So it is a turning of manpower. We have hired good professional in the last 2 quarters, and we will

continuously be hiring in different divisions. I cannot tell you what division, what rank and all.
But the mind is very clear that we will be hiring good professionals as well because we have to work on systems, we have to work on IT, we have t o work on HR. Everywhere, we have to work on our old systems, we have to revisit. So for that, we will be needing good talent, and we are not shying away in hiring good talent and paying good to them.
Sajal Kapoor : No, absolutely. I think that's reassuring . And I think with a leaner and fitter organization, all we need is a demand recovery, which none of us can predict or control. But at the moment it comes, the earnings sh ould be speaking for themselves.
Moderator: The next question is from the line of Onkar Ghugardare from Shree Investment.
Onkar Ghugardare: So the increase in the dividend payout is linked to the performance or increase in the margin. So this is sustainable or this is a one -off phenomenon you have done?

Management: So it's not one off. It is a dividend -- we have paid as per the dividend policy. We have a dividend policy to pay between 40% to 50% of our earnings. So we have -- this is not for the first time we have paid. We have been paying for the last 3, 4 years.
Onkar Ghugardare: It's just the increase in the dividend payout. That's what I'm asking. I know you have been paying

interim dividends for the last 3, 4 years.
Management: So regarding interim, we have increased a bit as compared to the last 2 years. But overall dividend will r emain within the policy , unless the Board changes the policy.
Onkar Ghugardare: Okay. And you have mentioned that the demand is soft in the first 2 quarters. Actually, if you see for the last 3, 4 years, there -- I mean, you say maybe 4%, 5% ; 6%, 7% ; some years 7%, 8% ; 8%, 10%, but it hasn't been much so. I mean, what has been the major contribution to demand not being there for the last 3, 4 years when the sales of real estate companies are growing? I mean there is a lag effect, but how much lag effect.
Management: There was a slowness in the demand in 3, 4 years, and we didn't grow the way we have been growing prior to that. But this time, it is because of the unification, because of the correction of our system, we will not be -- see, prior to this 4, 5 y ears, we have been growing in double -- good double digits. So we have been taking market share. And even in the era where we have grown 4%, 5%, we have taken the market share because the industry has not grown at that percentage even in those years.
So as we said in our -- the reply to the earlier question, 3 things will happen. One, the market may improve, which will help. Two, we will continue to take market share because of the change in our marketing policies, the unification majorly. Three, as we ar e thinking freshly , we are hiring the consultant, we are revisiting where the white spaces are there in our dealer system. Everything we are revisiting. So that will also help in getting good volume growth.
Management : Secondly, as you are aware -- just 1 minute. As you are aware, in the second quarter, a lot of rains, floods have been there in the entire northern belt. So, the construction will happen there. So at the end of the day, the construction will also happen in quarter 3 onwards. So automatically, demand will revive because second quarter has been very bad for the entire Northern India and part of Eastern India because of floods. So automatically, the demand will arise in all sectors.
Onkar Ghugardare: So how soon you are expecting the demand to come back?
Management: From this quarter itself…
Onkar Ghugardare: With all the efforts you are putting in, you are saying that it should be visible from this quarter itself?
Management: Absolutely correct.
Moderator: The next question is from the line of Pulkit Patni from GS

.
Pulkit Patni : I mean, enough has been said about how the management has actually put in the best effort to cut costs. I think the one question which we are all grappling with is what is actually happening

to demand, sir? Like in your view, your experience of doing this business for more than 2, 3 decades, why is it that for the last 3 years, demand is so seeded ? What do you think needs to change for demand to come back?
And as a management, while you're doing all the right things to cut costs, but I don't see that optimism in terms of demand, given that a lot of the initiatives you are doing are quite permanent in terms of cost cutting. So just help us educate a little bit more on what do you think is happening to demand of tiles in Ind ia?
Management : I think a lot of answers have been given, and you are missing a few points. Point number one, there is a unification which has been done by Kajaria. You see what has happened, as you are aware, last 2 years, there was a commonality in produ cts between ceramic and clay -certified division . As a result, what we decided that starting from this financial year, we'll do unification, number one.
Number two, with this unification, a lot of corrections are to be made, as said earlier by Rishi for a d ealer till 31st of March, 3 people were vesting. Now people are vesting from Kajaria. So efficiency of the dealer , efficiency of Kajaria also improved. Third, demand has to be there, if it is there in other industry, demand has to come. As we all know, dem and has been sluggish for all kinds of building materials.
When you say it has not been, I disagree with you because the results of all other related companies of building materials are also saying that demand has been sluggish. But things have to improve with all this happening. A lot of corrections have been made by this government by cutting off reduction in GST in many areas, creating demand in the economy by putting in money in the system. So demand has to come.
And what we are doing as management, as said earlier by Chetan and Rishi, I think this kind of effort by having a management to identify where the dealers are no n-performing, where Kajaria is not there, all this the demand has to come. And as I said 2 minutes back to one of the questionnaires t hat starting from this quarter, you will see the change in scenario. So let's accept -- let's not look at negativity, let's look at positivity.
Management: Also, we are making our organization ready. What we have also done in the last 6 months is we made o ur

organization ready that any spurt in demand for the market , we will be the major
gainer.
Pulkit Patni : Sir, maybe I didn't put my question across correctly. I by no means meant that others are growing and you are not growing. I'm just trying to understa nd why in the last 3 years, tiles as an industry,
which is also building materials not showing the kind of demand. Like what do your dealers tell
you? What's happening on the ground?
Sir, I want to just improve my understanding rather than questioning wha t the company is doing
because I 100% appreciate that you are doing the right thing in the interest of the company. It's
just why tile demand has been so weak. If you can throw a little bit more color on that particular aspect.

Management : No, no. I answer ed that point, not only tiles, all kind of building material, except cement and
steel, which go in to the building industry has been weak. Right now, we don't have an answer .
But you see what happens. All of a sudden, you see demand coming in with all the i nfrastructure
government is doing.
Government has also slowed on infrastructure of late. But I think now things are pushing where
they are only talking about infrastructure development and all that. Once that happens, deman

d
has to come. So let's keep our thing on the mind that demand has to come, and we should look
at a positive atmosphere from here onwards.
Pulkit Patni : Sure, sir. We are all hoping for the same.
Moderator: The next question is from the line of Mr. Ritesh Shah from Investec Capital Servi ces.
Ritesh Shah : A couple of questions. First is, sir, you did indicate that we have appointed a management consultant and the target is to enhance market share. Sir, can you highlight a few underlying
variables that we look to target over here? I think y ou did touch upon incentives being rechecked.
But anything specific on product pricing, discounts? How should one look at it? Because we
have the brand, we have the distribution , incrementally what next?
Management: So a couple of things. First, like mapping the country state by state, seeing where the dealers are
not as -- the Chairman also said, the dealers are not performing, where we are not there present
when the competitors are. We're doing a deep analysis state by state of the country and
identifying those areas where we can penetrate deeper and strengthen our distribution network.
That's also focusing where we can make more exclusive showrooms as we go along.
Currently, we have 450 exclusive showrooms of Kajaria with 1,850 dealers. Our target is to
increase that more in the next couple of years and get more exclusive distribution showrooms.
So those are the efforts going on behind the scenes. Also thirdly, with the unification now happening, we're looking at making our policy uniform in terms of pricing also in the discount
structure. So it becomes simplified for the dealer to understand all the vertical of the company
when the guy goes to visit him and sell the product.
So all these actions are happening b ehind the scenes as we go along. And also in terms of
product, a lot of new products are launched. Also earlier, some dealers were not keeping those products, but now that cross -selling has happened. So now all dealers have access to the entire
range of Kajaria.
Ritesh Shah : Sure. This is helpful. Sir, my second question is on the distribution side. We had different store
formats ; Prima Plus, Eternity, Galaxy, Ambiance, Gres Universe. Sir, what happens to that?
Does it remain the same way? Or are we giving the flexibility to the dealers to choose whatever
brand they want to use?
Management: So that's why the consultant has also come into play is they are guiding us to see how we have
to do the outside branding for the normal -- for a regular customer. So all Prima Plus, Eternity
World, all those terminology will go. There will be a common name, maybe like a Kajaria
Galaxy or a Kajaria World or whatever. So that work is already going on. We just got this

consultant recently. So maybe in the next 1 or 2 months, we'll have the entire plan ready. And
the last quarter, Jan to March, we will get everything implemented.
Ritesh Shah : Sure. This is helpful. Just a quick question on the export side. Ashok, I think last quarter, you
had given a number of around INR 16,500 crores for FY '25. And for FY '26, you were looking
at around INR 18,000 crores of exports at industry level. Sir, how should we look at this? If the
exports don't move up, is it something which worries us? Should we, how should we think about that?
Manage ment: So the data which you have got in the last 6 months, export has grown a little bit. So from last 6 months, they had April '24 to September '24, they had a volume of about INR 7,600 crores. April
'25 to September, we have exported about INR 8,300 crores . So there's a marginal 10% increase,

9% to 10% increase. And this will continue looking at the situation in India.
Management : Full year should be INR 18,000 crores.
Moderator: The next question is from the line of Diya from Sa pphire Capital.
Diya: Sir I just wanted to ask if yo

u were adding any new capacities. And if I heard you correctly, you
said 2 0% EBITDA margins from Q3 or Q4?
Management: No, we never give you any figure like that. We have never specified any EBITDA margin.
Management: We have always said there will be some cost optimization reduction. And how much it will result
into EBITDA margin, we cannot say because EBITDA is not a result of cost optimization. It's a
combination of cost, selling price, gas price. So the other factors are not in our hand.
So we cannot -- we have never guided for 20% EBITDA margin. We have always said that we
are in the process of cost optimization. And every quarter, there will be some improvement as far as our costs are concerned.
Management: And your first questi on, we are not adding any capacity right now. The first focus is to run all
our manufacturing plants to 100% capacity. And our current ratio is 25% outsourcing versus manufacturing. If the demand goes up, we'll immediately outsource from Gujarat and
supple ment the demand .
Moderator: The next question is from the line of Keshav Vijayratan Lahoti from HDFC Securities.
Keshav V. Lahoti : So how much was the ad spend as a percentage of your absolute number for the H1 and what is the target for this year?
Management: We spend roughly -- what was the question?
Keshav V. Lahoti : Ad spend -- how much was the ad spend for H1 of this year? And what is the target for this year?
Management: I don't have the numbers ready, but this H1, the ad spend was lower than t he last half year.

Keshav V. Lahoti : Okay. So as you highlighted, the ad spend is lower. So possibly the target is to lower it or
possibly maybe because of ad spend some...
Management: We intend to increase it in the second half. And the lower -- the reaso n for the lower ad in the
first half was also that we did not do this dealer contract, which we used to do in Thailand.
Management: For 6 months. And we now -- next 6 months, we will push the advertisement further.
Keshav V. Lahoti : Okay. The reason I'm as king this question because I'm trying to understand your margin as the
ad spend is lower, possibly how much lower it was in H1, possibly once the ad spend will
increase, it will have some dent on margin. I understand you have levers, you will rationalize
more cost.
Management: There could be some portion of -- see, the margin improvement is very significant. So there
could be some portion of ad saving -- lower advertisement to this margin, but it's not very
significant.
Keshav V. Lahoti : Got it. But the tar get is to continue with 3% of sales as ad spend going forward?
Management: No, it's not percentage. See, it's not -- we have never spent in the percentage terms. See, we are
the largest spender of ad in the whole industry. So it's an absolute number. Even we do the same number, it's very, very fine. And number two, we are -- as we are doing cost optimization in
other areas, we are doing the same in the advertisement.
So optically, the number may be less as far as the financials are concerned, but we are taking
more value from the lower number. So we have negotiated with our advertisement vendors as
well, and we have got good saving in that .
Keshav V. Lahoti: Understood. Got it. Okay. Tell me one thing, in H1, as your tiles revenue is flat. So any color,
how would be the project and retail, which would be flattish or something doing better?
Management: Sorry, come again. The voice is not clear.
Keshav V. Lahoti: In H1, your tiles revenue growth is flat. So can you possible to bifurcate in project and retail,
both has been flattish or something is doing better?
Management: Both the ratio has maintained in the same level approximately.
Keshav V. Lahoti: Understood. Got it. And sir, how is the Nepal? We can see there is a good ramp up in production in Nepal. What was the Nepal sales in thi

s quarter and how is the margin profile looking now,
and what is the possible outlook for the same?
Management: So we sold roughly 0.7 million square meters in quarter two. And you know there is a lot of
turmoil also happening in that country. So we are just waiting and watching and trying to sell
the capacity as we keep on going along.
Keshav V. Lahoti: Okay. How is the margin looking right now?

Management: The margin is okay. But see, we have made some profit in Nepal. But I said in the last call also because we have some inventory in the system which is beyond the norm. So we will not be very happy with that profit number. Our intent will be to liquidate th e inventory even the margin or the profit is less. And it's a very small venture. Just a 5 million capacity venture and out of it 50% is the JV partner, 50% is ours. So just margin will not -- this will not be any…
Management: Impact on the margin.
Managem ent: Impact on the overall thing. And otherwise also we are -- it's a JV. We -- it's not part of EBITDA. It's just below the line.
Keshav V. Lahoti: Right. Right. I understand that. So it is fair to assume Nepal won't be loss -making at JV level for this ye ar? That is a fair assumption at PAT level it won't be loss -making for you?
Management: So we are making profit. We'll continue to make the profit, but that will be very insignificant profit. But as I said, the intention will be to liquidate the inventory and set the plant. The profit we can get next year or maybe later. So that's not an issue. The primary focus is to sell, reach to all the dealers because it's a new country, new dealer base and everything.
The focus is not on profit. So you should also no t look at the profit. Your question is to ask how much money, how much sale you are making, what percentage capacity utilization of the plant is running, what is the inventory level, rather than focusing on profit.
Keshav V. Lahoti: Sure, sir. Point taken. So my first question was on same side only. Got it, sir. So right now, it's a fair strategy. I agree with you. Yes, sir. That's it. That's it from my side.
Moderator: The next question is from the line of Onkar Ghugardare from Shree Investment.
Onkar Ghug ardare: So how much this unification -- because of this unification, how much volumes you would have lost? And also by closing down one of the business, approximately how much you would have lost?
Management: Sorry? So because of unification, we will not be able to quantify what volumes we have lost. What we are saying is that our main focus was more on strengthening the organization and for that, in that integration we could have lost some sales. We cannot deny that, but it's not possible to quantify that. Because the sales people, dealer, I mean, they are just having a new thing to them.
Onkar Ghugardare: Correct.
Management: Everything is new. So there will -- it's a very adjustment -- very insignificant figure. We have not lost out on sales as such. Yes. Hello. Hello.
Moderator: Thank you.
Management: Yes. Thank you. I think there is no question -- there's no participant left for the questioning. So can we conclude the conference?

Moderator: Yes, sir. As there are no further questions, I would now like to hand the conference over to Mr. Ritesh Shah from Investec Capital Services for closing comments.
Ritesh Shah: Yes. Thank you all for joining on to the conference call. Ashok and team, thank you so much for calling us. It's an opportunity to host you. Thank you so much, sir.
Management : Thank you, Ritesh, for organizing this. I thank all on behalf of all of us and wish you all a very, very happy Diwali. To all the participants and all of you, wish you a very, very happy Diwali.
Thank you.
Moderator: Thank you. On behalf of Investec C

apital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Dec 2025

December 27, 2025
The National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated December 22, 2025, informing about the uploading of the audio recording of the Conference Call held on December 22, 2025, we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com
Kindly take the above on your record.

Thanking you,

For K ajaria Ceramics Limited

Ram Chandra Rawat
COO (A&T) & Company Secretary

Encl.: As above

"Kajaria Ceramics Limited
Update Conference Call "
Decem ber 22, 2025

MANAGEMENT : MR. CHETAN KAJARIA – VICE CHAIRMAN – KAJARIA CERAMICS LIMITED

MR. RISHI KAJARIA – MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
M
R. SANJEEV AGARWAL – CHIEF FINANCIAL OFFICER – KAJARIA CERAMICS LIMITED

MR. PARVEEN GUPTA –DEPUTY VICE PRESIDENT , FINANCE – KAJARIA CERAMICS LIMITED

MR. ANUBHAV SHARMA – GM PURCHASE – KAJARIA CERAMICS LIMITED

MODERATOR : MS. SNEHA TALREJA – NUVAMA WEALTH

Moderator: Ladies and gentlemen, good day and welcome to the Kajaria Ceramics Update Conference Call hosted by Nuv ama Wealth Management Limited. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then ze ro on your touchtone telephone.
Please note that this conference is being recorded. I will now hand the conference over to Ms. Sneha Talreja from Nu vama Wealth Management Limited for opening remarks. Thank you and over to you, Sneha.
Sneha Talreja: Thank you, Rehan. Good morning all. We welcome you to Kajaria Ceramics conference call to discuss regarding the fraud in the step- down fully -owned subsidiary of the company. We are here today joined by the senior management of Kajaria Ceramics represented by Mr. Chetan Kajaria, Vice Chairman, Mr. Rishi Kajaria, MD, Mr. Sanjeev Agarwal, CFO and Mr. P arveen Gupta, DVP Finance. We will now start with the opening remarks from the management followed by the Q&A. Over to you, Rishiji, for the opening remarks.
Rishi Kaj aria: Thank you, Sneha. Good morning, everyone. I'll just start with a little background. In April 2025 in Kajaria, we started the unification process with a very clear objective to bring together our sales operations across India.
Earlier, the same dealers were being approached by multiple teams for vitrified and ceramic tiles. This unification was a strategic step towards a sharper focus, better coordination and stronger execution in the market. Building on the momentum in May 2025, we also launched Oper ation Manthan.
Operation Manthan was a structured review of all our internal systems, processes and business frameworks. We started with Kajaria Ceramics Limited , where the exercise helped us identify a lot of operational gaps as well as significant cost optimization opportunities. The outcomes were tangible and swift.
During the year, we have achieved cost savings of more than INR 150 crores on an annualized basis. These efficiencies came from multiple areas, including reduction of manpower, cutting down travel expenses, reduction in reengineering of cart ons and reduction of cost of packaging material, better raw material negotiations and overall plant operations of the company. However, we are not stopping here.
We have identified more areas where we wil l reduce the cost further. While Kajaria has always been a strong sales -driven organization, we believe that sustained leadership requires equal excellence in cost efficiency and governance as well. This exercise will continue till we achieve excellence in all the areas.

In August 2025, for the first time in the history of Kajaria, we also conducted a supplier meet to reinforce the new ethical business practices. A clear message was communicated -- zero tolerance for corruption or unethical conduct. Any de viation from this standard will not be acceptable and will be severely dealt with.
As part of the stronger governance framework, certain issues were identified at one of our step-down subsidiaries, Kerovit Global Pvt. Ltd., while we were in the last phase of correction. This was actually our last plant, which we put a new sanitary plant.
These were detected through enhanced systems, audits and controls, and appropriate corrective actions have been initiated. I want to emphasize that this reflects our comm itment to transparency and robust governance going forward. This current episode may not have come to light had we not begun this process of systems processes and MIS audit that was initiated as part of Kajaria 2.0.
All-round improvement in productivity, purchases, cost and yield improv

ement, as well as rapid cost savings and enhancement of overall profitability will only help Kajaria to become the leader in the industry, not only for sales but in costs as well. To all our stakeholders, I would like to reassure that Kajaria's fundamentals remain very, very strong. We are optimistic about India's growth story and Kajaria's role in it.

This is Kajaria 2.0, where our philosophy is very, very clear. Bad news to be shared immediately and good news only to be shared on completion. Friends, our journey has just begun and the best is yet to come. Thank you. I invite you for any questions, please.
Moderator: Thank you. Ladies and gentlemen, we will now begin the question and answer session. We take the first question from the line of Shaleen from UBS. Please go ahead.
Shaleen: Can we talk a little bit about…
Sanjeev Agarwal: Can you speak a bit louder, Shaleen, please?
Shaleen: Yes, Sanjeev ji. Can we speak a little bit in detail exactly what happened and lik e how this thing has, like what lead to it and what exactly, what the nature of, whatever the fraud or misappropriation of what has happened. Can we speak a little bit in detail and what was the basic reason behind it?
Chetan Kajaria : So, Shaleen, morning. In case of Kajaria Ceramics, we have a robust and automated vendor onboarding system already in place. This also involves a committee comprising of senior people from IT, Purchase, Accounts and the respective functional heads who approve the vendor onboar ding. And in case of any project purchase, multiple bids are invited and given to an L1 vendor.
So, we hav e reviewed all the other subsidiar ies and no discrepancies are found there. But we found some discrepancies in Kajaria, sorry, Kerovit Global. And to explain this vendor onboarding process in detail, I would like to hand it over to a senior purchase person, Mr. Anubhav, who caught the discrepancy there and can explain this process in much further detail.

Anubhav Sharma: Hi, Shaleen ji. Good morning. My na me is Anubhav. So, I will explain, I will just give you little bit details about how we are doing this process at Kajaria and other subsidi aries. In case of Kajaria, we have a very robust system of vendor onboarding at our end. Just I will explain you how we do it.
We have one party that is S equelstring who is doing this onboarding management of many of the reputed organizations, including Kajaria. So, they give us the total solution from onboarding to direct payment. This is the first step what we are doing as of now. We are creating the vendor portal for Kajaria, Ceramics and all the subsidi aries . So, this is the first step where we are doing this activity.
The link, whenever we want to onboard any supplier, we just share the link to that supplier. They put all their details in their link and then ultimately all the verification and processes has been carried out through online portals where we have invested also on this process.
So, all GST number, PAN number, che que, everything gets validated through the online portals of these websites. And finally, if there is any issue in their PAN, GST or anything, it immediately gives us message and we stop that activity immediately there itself. This is the first step which we have done in this process.
Second, after these all checks, finally it comes to us. We have the four members approval authority where we check each and every detail thoroughly and then finally approves it as a vendor onboarding process. So, once it completes and then finally it gives the message directly to the supplier and all the members of the authority that this vendor code has been already created in system and gives automatically message to supplier.
No manual intervention is there at all. So, this is the first step. So, this is the step of doing the new vendor onboarding. So, as pe

r the management direction, we were having the clear mandate that whatever existing vendors are there, that should also come automatically on this portal . It should be migrated from earlier process to this process.
So, in this process, when we were doing this activity of migrating from the earlier process to this process, we found that there are some inconsistencies in this subsidiary, which was the last subsidiary where we were doing this activity.
So, when we deep down this activity, there we found the issue and then finally we highlighted this issue to management and then it finally comes to this level. So, this is the history and the process which we a re doing as of now and how we are going to strengthen this process, this also I have explained to you that vendor portal has been in the process, which were there in Kajaria subsidiary already and finally now we are putting up to all the subsidiaries of Ka jaria itself.
In coming, maximum it will take maybe 2 to 3 months, which will complete this activity to all the subsidiaries of Kajaria. So, this is the process. This is the submission from my side. So, if you have any particular question in this activity , you can ask me.

Shaleen: Sir, two questions. So, you are saying the process which you have in Kajaria was not there. So, what process was there and what issue did you find? Like you said, you found some issues, some discrepancy. Can you elaborate on that ?
Sanjeev Agarwal : Yes. We were checking our capex total investment. During that process, some WIPs were open. So, this was, even the project is already complete and it was showing it as an open category. Then it comes into the criteria of discussion.
Shal een: So, what exactly?
Sanjeev Agarwal : Shaleen, i n the last financial year, there was a, in this particular subsidiary, the CWIP was to the extent of INR 6, 7 crore s, which was a lapse on our part. We ignored that , so while doing this vendor onboarding, w e came to know that this amount is going up. Then it came to light. Then we took that action.
Shaleen: So, what was the vendor? So, there was a, what vendor was, like is it a wrong vendor? What exactly has happened?
Sanjeev Agarwal : The person accused has created vendor in his own name.
Shaleen: Okay. So, it's a vendor fraud.
Sanjeev Agarwal : It's a vendor fraud. Yes. You can say that. But I don't know the matter is under investigation. But Prima Facie, yes, it is, and he has not even, and he has forged the signature of the approving authority management signature to mislead the other signatory who was doing online. So, he showed the forged approval to him to make him, there is a maker checker concept. So, for the maker, he showed the forged document to make this happen.
Shaleen: It's a fake vendor you're saying to stifle the funds?
Sanjeev Agarwal :: Yes. Yes, exactly.
Shaleen: And, sir, how confident are we that this cannot be repeated? Like you mentioned a few things, but is there, will that sound completely, I'd say, the concept issue you're going to replace here. Will it make sure that nothing happens again in this?
Rishi Kajaria: Shaleen, j ust to answer, they have basically, this was the last step down subsi diaries where the expansion was still going on. That is where the advantage was taken. All other companies and subsidies are completely reviewed and there is no discrepancy there at all.
Sanjeev Agarwal : And we will further, we are going after this, we will be extra vigilant. We will, we are going to put more stringent system in all of our processes. We will further review, we will not stop that, though we have already done everything in Ka jaria, we have checked, but we are in the process of rechecking, even we may go for forensic audit for this part icular subsidiary. So, we will not leave anything, we will not allow this thing to happen again at

all. So, whatever we need to do, we will do that for either for Ka jaria Ceramics or for any of its subsidiaries. It

may take some time, but we are going to be very, very, very, very stringent in all the system and process. There will be no compromise at all.
Rishi Kajaria: We'll make complete watertight systems, very, very strict systems .
Shaleen: And sir, what's the view on this amount? Do you think you can get back anything, or how are you going to treat it in the financials?
Sanjeev Agarwal :: How it is going to be treated in the financials? I think it should be shown as an exceptional thing, but still we are taking the opinion, but we or the auditor will de cide, but 99% it will be shown as an exceptional expenditure.
Shaleen: Any chances of recovery of any?
Management: Actually, we have recovered on the very next day. He has given us around INR60 lakh back, and he has promised to pay more, but I cannot quantify how much amount. We are not very hopeful the full amount will be recovered. We are not hopeful even the half will be recovered. I can't really quantify, but he has promised to return some money. We have filed a police complaint against him. He is saying that he is arranging funds and he will try to return as much as possible.
Shaleen: All right, sir. I'll come back in a queue.
Moderator: Thank you. We take the next question from the line of Sneha Talreja from Nuvama Wealth Management Limited . Pleas e go ahead.
Sneha Talreja: Hi, thanks for the opportunity. Just a couple of questions from my end. Firstly, how long has this employee been with you all? That's first, so that we can get to know what could have been the severity and how long this incident must have happened. Although you have mentioned that incident is from 2 years, but w e still would want to know that?
Rishi Kajaria: He has been with us for the last 8 years. This thing has been happening for the last 2 years, but it was much lesser earlier . In the last 4 or 5 months, it increased a lot. That is how I think we got to know about things.
Sneha Talreja: But certainty of not having it before? Because he is an 8 year-old employee with us and has been loyal for so long?

Rishi Kajaria: Honestly, he was also reporting to our chief accounts officer, who has been with us for 37 years. I would say there was some judgment error on our part as well. It was a lapse of -- I mean, it happened.
Sneha Talreja: Secondly, this division is actually a very small s egment for you all in the overall scheme of things. We only make about less than INR400- odd crores in revenues. We were making only about 4% -odd margin last year in this business. So really, overall, it's small in the scheme of things. And INR20 -odd crores on that pa rticular amount is a big number?

Rishi Kajaria: Smartly, how it happened was that we just put up a new plant in our Kerovit Global Company. We have put up a new sanitary plant. And using that as an advantage, he siphoned off the funds from the c ompany.
Sneha Talreja: Do you mean in the form of investments, which is getting into place?
Rishi Kajaria: Sorry?
Sneha Talreja: You mean in the form of investments, which were going into the entire capex? This thing happened, so the capex number was big i n the overall scheme?
Rishi Kajaria: Correct.
Sneha Talreja: Lastly, you also have a 15% private equity stakeholder in this, which is WestBridge . Any involvement from them, or what's their understanding or their comments on the situation?
Sanjeev Agarwal : We have informed the same as a governance. They need to know about it. We have informed them what has happened.
Sneha Talreja: Sir, what has been their involvement otherwise in the day -to-day operations or in the Board meetings are the same?
Sanjeev Agarwa l: There is no

day -to-day. That was a very passive investment.
Sneha Talreja: Thanks, I'll get back in the queue.
Moderator: Thank you. We take the next question from the line of Ritesh Shah from Investec . Please go ahead.
Ritesh Shah: Sir, no questions. All questions answered. Thank you so much.
Moderator: Thank you. We move on to the next question from the line of Praveen Sahay from PL Capital. Please go ahead.
Praveen Sahay: Thank you for the opportunity. Sir, just a clarification. This is related to the working progress CWIP, or is it a capex you have done to the new plant?
Parveen Gupta : Can you please repeat your question?
Praveen Sahay: So, once you have said that's related to the CWIP, that is related to the vendor. And again, in the last question y ou have said tha t's a new plant you had put in. So, is it related to the capex of the new plant, or is it related to the CWIP related to the vendor?
Parveen Gupta : It's related to capex of that new plant. Actually, capex was going on in between. He parked some entries in CWIP.
Praveen Sahay : Okay. And is there any insurance related to that, if that is a part of a capex ?
Parveen Gupta : No, there is no insurance.

Praveen Sahay : Okay. Ye s. Thank you. That's it, sir. Thank yo u.
Moderator: Thank you. We take the next question from the line of Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi: Hi, sir. My question pertains to again the same. You mentioned that the recoverability seems to be quite difficult. And also you mentioned that most of the siphoning would have happened predominantly in the p ast four to five months and most of the siphoning would have happened through some business account of the erstwhile CFO . So, just want to understand where would the money would have subsequently been sent out b ecaus e this is a considerable amount?
Sanjeev Agarwal : The police has asked for all his bank statement and they are checking them.
Rajesh Ravi: Okay. And what you mentioned is, if I heard it correct that most of the s iphoning has happened in this financial year itself?
Chetan Kajaria : Correct .
Rajesh Ravi: Okay. Great. And lastly, you mentioned that, earlier you mentioned that three, four more months would be needed to complete the on- boardi ng process for all the vend ors o r is it already been done and this three to four months additional is for something else?
Anubhav Sharma : Sir, actually for Kajaria , we are already done for subsidiaries because we need to mitigate the data from existing to our new system. So, it will -- because this is the process where we have

maybe around thousands of vendors where we are checking each and every vendor very carefully. That is the reason it will take around three months to mitigate the data and implement
to this new process.
Rajesh R avi: Okay. Thank you, sir. That's all from my end. Thank you.
Moderator: Thank you. We take the next questi on from the line of Sagar Jagtap from Marine Research.
Please go ahead. Sagar, please unmute your line and proceed with your question. Sagar, are you
there? Since there is no response, we'll move on to the next question. We take the next question
from the line of Amreen Gulnaaz , who is an Individual I nvestor. Please go ahead.
Amreen Gulnaaz: Hello. Good morning to the manage ment. My question is why was Kajaria 2.0 plan started? Was
there any indication from the internal auditor or statutory auditor that this exercise is required
because they found any deficiency or was there any indication at all from the internal or statutory
auditor? And the second question at the initial…
Sanjeev Agarwal : Ma'am your voice was not very clear.
Amreen Gulnaaz: Yes, the exercise of Kaj aria 2.0 plan was started, that was explained by the management at the
initial call.
Sanjeev Agarwal : Correct.

Amreen Gulnaaz: So, why was it required? Did the internal auditor or statutory auditor suggested that this plan
should be implemented or was there any role from the internal or statutory auditor pointing out
that there may be some fraud b ecause this is for two years and accounts are audited. What was
the role?
Rishi Kajaria: I'll tell you. It was not pointed out to anybody. So, as I said in the beginning, in April we started a unification
process in the company where we were aligning all the sales people together. At
the sa me time, we also felt the need to understand our entire cost processes . And that is why we
made an internal team and launched Operation Manthan. So, this was our internal team which
got us all our -- you know, lot of things were taken out in our purchases and all that and this was
the resultant of that.
Amreen Gulnaaz: Sir, will there be any change in the hiring process as this is committed by KMP? So, the
management look out at the hiring process should also be changed?
Chetan Kajarai : So, we are strengthening our internal processes and systems and definitely we'll be more careful
in the hiring in the future also. But more importantly is to put systems and controls in a place ,
so nobody can take advantage of the situation who are sitting in that seat.
Sanjeev Agar wal: It is going to be a system -based organization going forward, not a person-based organization.
Amreen Gulnaaz: Thank you.
Moderator: Thank you. We take the next question from the line of Rahul Agarwal from Ikigai Asset . Please
go ahead.
Rahul Agarwal: Yes. Hi, good morning and thank you for the opportunity. I just wanted to clarify a few things.
We are referring to the balance sheet of Kerovit Global Private Limited, is that correct?
Rishi Kajaria: Correct , correct.
Rahul Agarwal: Okay. If I look at tha t 31st March, the capital work in progress number was about INR 8.5 crores.
Is this number, correct?
Parveen Gupta : Yes, yes, this number is correct.
Rahul Agarwal: Okay. So, I just wanted to clarify the estimation of overall payments which were made on
account of CWI P was about INR20 crores. That's an estimate as of now and that number could
be lower when the inquiry is basically complete. Is this understanding, correct?
Parveen Gupta : No, more or less this amount is correct. We have checked all the entries of last 2 years. So, this
amount is correct. This will be approximately INR20 crores. That might be 19.9 or 19.7.
Sanjeev Agarwal: So would be around INR20 crores , plus/minus INR50 lakhs here and there.
Rahul Agarwal: Okay. So, if my understanding is correct, this INR 20 crores was a payment made from Ker ovit
Global's balance sheet to a vendor who essentially was a self -payment to the CFO. And hence,

this entire transaction has to get reversed. Whatever recoveries happen, to t hat extent, the CWI P
will get cancelled as per the auditor new accounting?
Parveen Gupta : Yes.
Parveen Gupta : Yes.
Rahul Agarwal: And then the balance will be written off in the subsidiary P&L. Is that correct?
Rishi Kajaria: Yes. Yes.

Sanjeev Agarwal : Exactly. Correct.
Rahul Agarwal: Against the net worth of Ker ovit Global. Is that correct?
Parveen Gupta : Yes.
Sanjeev Agarwal : Yes.
Rahul Agarwal: Okay. Perfect. And just lastly, because this was part of the capex and this capex actually hasn't really happened, would we need to complete capex at the sanitary ware plant ? Or is it largely done and this was over and above? This was not really necessary ?
Rishi Kajaria: It's all done. The plant is in production and the capex was all done. There is not going to be any expenditure in capex, in this plant as capex.
Rahul Agarwal: Okay. Got it. Very clear. Thank you so much.
Moderator: Thank you. We take the next question from the line of Keshav Laho

ti from HDFC Securit ies.
Please go ahead.
Keshav Lahoti: Hi. Thank you for the opportunity. S ir, firstly, this INR 20 crore s number which you have comp leted , the employees also accepting this INR 20 crore s number, we both are on same page.
Chetan Kajaria : Yes.
Keshav Lahoti: And secondly, you said the recovery might be t ough. So both are on same page INR 20 crore s, right? But the employees are accepting that, taken 20, right? So, why do you think the recovery would be tough if the employee has taken INR 20 crore s possibly he might be having the funds with him? So why so recovery should be tough and what is the status of the employee? Is he put behind the bar right now?
Sanjeev Agarwal : So this is, we have already filed a complaint with the local police station and Economic Offences Wing. And they are -- he is under interrogation and based on the feedback from him and based on his feedback, we presume that it is not going to be, because we don't know where he is putting the money.
We are still in tracing the trail. Maybe he may have speculated or have diverted money. We are not very sure about it. We can't say anything better like conservative and if the more amount

come, we will be more happy for that. We don't want to give any false hope to shareholders that the money will come.
Keshav Lahoti: Underst ood. Got it. And out of this INR 20 crore s, how much would be in this financial year and possibly how much was in earlier financial year? And whether this amount was, you know, depreciation was charged in this amount or it was sitting in CWIP and no depreci ation was charged in earlier?
Sanjeev Agarwal : Depreciation was not charged because it was in capital working progress last year. So last year was INR6 crore s and INR14 crore s this year.
Keshav Lahoti: Got it. So this was in CWIP or future set? Because CWIP only charging depreciation. Not bit clear on that part.
Parveen Gupta : It was in CWIP.
Keshav Lahoti: So it was in CWIP , then no depreciation would have been charged on this amount, right?
Parveen Gupta : No depreciation was charged.
Keshav Lahoti: Sorry, I missed you.
Parveen Gupta : No depreciation was charged. It was completely CWIP.
Keshav Lahoti: Understood. Got it. That is helpful. Thank you so much.
Moderator: Thank you. We take the next question from the line of Rishabh Botra from Anand Rathi Institutional Equities . Please go ahead.
Rishabh Botra : Good morning, sir. Just wanted to understand…
Moderator: Rishabh, I'm sorry to interrupt you, but your audio is not clear.
Rishabh Botra: Is it better now?
Moderator: This is better. Please go ahead.
Rishabh Botra: So I was saying that I'll step backwards and understand whenever there is a capex program and RSU is there to supply it. So is there any person involved other than the CFO, either from the procurement team or the inventory team? Because whenever the inventory is made, there has to be a system against which payments are made. So how come without inventory coming into the system, payments have been made to the supplier? And is it a single supplier fraud or a multiple supplier fraud?
Parveen Gupta : No, it is a single person fraud. He misrepresented to his juniors that he has some approval for paying some advances. It was not some raw material. It was advance for some machinery.
Rishi Kajaria: Where he forged the Chairman's signature as well.

Parveen Gupta : So he paid as advance.
Rishabh Botra: Got it.
Moderator: Thank you. We take the next question from the line of Rajesh Ravi from HDFC Securities .
Please go ahead.
Rajesh Ravi : Yes. Hi sir. Just a follow -up question. See , this INR20 crore s, which was all in CWIP , and as you mentioned that this was, you know, a forged advance payment towards pur

chase of some
machinery. Sir, I just wanted to understand, you know, given that most of your capex was already done , so did it not raise red flags immediately when, you know, this being INR 20 crore s? And what is the quantum of the total capex which was done in this subsidiary? And what could have taken it such delays to identify this? This is commendable that you could have identify this and bring it to notice of everyone and do the procedural thing of raising it with filing a complaint?
Parveen Gupta : No, this company was started capex in last year , around May 202 3. Then entire year capex was going on and total capex was approximately INR120 crore s. Out of this INR 120 crore s, CWIP was very small amount, negligible amount, INR8 crore s. In this INR 8 crore s, he hidden that amount of INR6 crores , INR7 crore s. So capex was going on regularly and he misrepresented to his junior that he had some management approval for some advances.
Rajesh Ravi: And when the capex was already over and incremental INR 14 crore s, you know, advance payout in this financial year, if I understand correct, you know, and that would be the only capex or advance related to this expansion, which would have gone through this financial year?
Parveen Gupta : Yes, INR14 crore s this year.
Rishi Kajaria: Out of that also last 3 months, he had taken a lot of money and that is how it was…
Sanjeev Agarwal : And he has not done the bank reconciliation for last 3 , 4 months, so that is why the bank did not come as he was the CFO. It was under -- it was not booked in this year as CWIP. It was lying in a bank reconciliation, some portion, it is lying in the bank r econciliation.
Parveen Gupta : For last quarter.
Parveen Gupta : For last quarter ; October, November, December.
Rajesh Ravi: Okay . And just to understand the technicalities, because this is into a subsidiary, which does n't have its own large network, most of the payment for such advance payment, the money would be coming in through stand-alone, the parent company?
Parveen Gupta : No, this company was having itself CC limits.
Rajesh Ravi: Okay, okay. So, there was no technical approval or any automated approva l in the online system, which would have been requiring authorization from the parent CFO?

Parveen : No, no, because they were having their own CC limits, and as I already explained that he was misrepresented to his junior, that he had some management appro vals by f orge document. He transferred money to this vendor on his own name.
Rajesh Ravi: Okay. Sir, and last question, the initial remark when you all mentioned that you have saved the project 2.0, which is undergoing INR 100 crore s savings. So, could you just quantify under what heads how much savings have been accrued?
Rishi Kajaria: So, actually the total is about INR 150 crores. On an annualized basis. On an annualized basis. Where about INR 80 to INR 90 crores would be on raw materials. In the plant, you know, plant negotiations, we re -engineered the cartons, better negotiation with the raw material suppliers. So, INR80 to INR 90 crores would be in t unes of that.
INR20 to INR25 crores was in manpower, w here we reduced the manpower after the unification.
About INR15 crores was on travel. We reduced our travel expenses overall in the company of the employees and the directors, everybody. And promoters have also sacrificed their salary. So, INR15 crores cam e from there.
Rajesh Ravi: Okay. And what portion of these costs are recurring in nature in terms of which will continue to remain, which need not be re -incurred in subsequent year as you would also be targeting growth?
Sanjeev Agarwal : So, the saving whic h we have done will continue. This is going to be structured. That is, we have done and that will remain for all the years. And even as we said, our MD has said in the openi

ng
remarks that we are not stopping here. We have identified more areas where we wi ll be reducing the cost further. So, this is one event where we have saved also. We have lost also, INR20 crores.
Rishi Kajaria: See, we started this operation Manthan. We have als o drank the nectar of INR20 crores and poison of INR 20 crores also came out.
Rajesh Ravi: No, no, that's agreed.
Rishi Kajaria: So, see, it is like this. Yes, this was a hard work. But we are happy that going further from here

on, we will be much, much, much stronger and a leaner and meaner organization.
Rajesh Ravi: Correct. And sir, this INR 150 crore s run rate has been achieved in both Q1 and Q2. Is that understanding correct?
Sanjeev Agarwal : No, no, it is, see, it is on an annualized basis. It is not that... Yes, yes, annualized. Every quarter we have been saving. Every quarter, see, our margin has increased from 10 %, 11%from the Q4.
So, there was some one -offs also there to 17% or 18 %. So, that is, that's a gradual process. The major low -hanging fruit we have already taken. The balance saving is also there.
But it is not that easy. It will take some time. It will take few more quarters. But we are not stopping. We have been continuously identifying where even minutest of detail we are going, where, where we can save. As the MD said, that we are, we are a leader in sa les. We need t o be a leader in our cost also.

Rajesh Ravi: Correct. So, what I wanted to understand, this INR 40-INR50 crore s quarterly savings run rate, given the annualized INR 150 crore s savings, how much of that is already in place? I am just trying to understand H2 versus H1. What sort of first saving number will be there?
Sanjeev Agarwal : No, no. Please, please, please, please stop here. Because this is not a, this is a special call, for the normal cal l we need to take two days clear notice to the inves tor. We have done this call on a shorter notice. So, I would request you to restrict the question, for this particular issue only.
Because that will not be fair on my part to discuss the other business question. The other business question we can discuss on our next call after the Q3, please.
Rajesh Ravi: Yes, yes. Thank you, sir. Thank you. All the best.
Rishi Kajaria: Thank you.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for their closing comments.
Chetan Kajaria : So, thank you everyone for your attendance. And we do admit there was a lapse in our systems and controls. But going forward, we are taking all steps to rectify that. The systems and proces ses will be much stronger going forward in the future. And we are more fitter and stronger organization from here on. Thank you so much.
Rishi Kajaria: Thank you. And just to add to that, that yes, Kajaria will be much, much better off from here on.
Modera tor2023 : Thank you. On behalf of Nuvama Wealth Management Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your line s.

Call: Feb 2026

February 02, 2026

BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001 The National Stock Exchange of India L imited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated January 30, 2026, informing about the uploading of the audio recording of the Conference Call held on January 30, 2026 , we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com

Kindly take the above on your record.
Thanking you,

For K ajaria Ceramics Limited

Ram Chandra Rawat
COO (A&T) & Company Secretary

Encl.: As above

"Kajaria Ceramics Limited
Q3 FY '26 Earnings Conference Call "
January 30 , 2026

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Moderator: Ladies and gentlemen, good day and welcome to Kajaria Ceramics Q3 FY '26 Earning s Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant line s will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Dharmesh Shah from JM Financial Institutional Securities Limited. Thank you and over to you, sir.

Dharmesh Shah : Thanks, Danish . Hi, everyone. Good evening and thanks for joining. We have with us senior management of Kajaria Ceramics, including Mr. Ashok Kajaria, Chairman; Mr. Chetan Kajaria, Vice Chairman; Mr. Rishi Kajaria, Managing Director; Mr. Sanjeev Agarwal, CFO; Kartik Kajaria, Head, Adhesives Business; and Parveen Gupta, Vice President, Finance.

I would request Ashokji to start with the initial remarks, post which we will have a Q&A session. Over to you, Ashokji.

Ashok Kajaria : Thank you, Dharmesh. Good evening, everyone. It gives me great pleasure to welcome you to the quarter 3 F Y '26 earnings conference call of Kajaria Ceramics Limited. Joining me in this conference call is the senior management team of Kajaria Ceramics.

In quarter 3 F Y '26, our consolidated revenue is flattish at INR1,168 crores compared to the corresponding quarter last year, mainly due to no growth in tiles volume and absence of Ply sales due to closure of that division. EBITDA margin in quarter 3 FY '26 is 17.2%, plus 4 42 basis points against 12.8% in corresponding quarter last year. However, EBITDA dropped by 74 basis points sequentially as compared to quarter 2 F Y '26, mainly because of lower sales realization as we gave some discount in order to reduce our SKUs.

In Gailpur plant, we have converted 1 unit with a capacity of 9.1 million square meters from ceramic floor tiles to glazed vitrified tiles , to move towards value -added products as per prevailing market demand scenario. With Kajaria 2.0, our transformation journey has begun and we remain confident about sustainable value creation going forward.

Now for this quarter segment -wise financial performance. Tiles segment remained flattish year -on-year at INR1,030 crores in quarter 3 F Y '26 compared to INR1,040 crores in quarter 3 F Y FY '25. Bathware segment registered a 9% growth in revenue, reaching INR103 crores in quarter 3 FY '26 compared to INR95 crores in quarter 3 F Y '25.

Revenue from adhesive grew to INR35 crores in quarter 3 FY '26 as compared to INR20 crores in quarter 3 F Y '25. EBITDA improved in quarter 3 F Y '26 to 17.20% as compared to 12.48% in quarter 3 F Y '25, plus 442 basis points but dropped by 74 basis points sequentially as compared to quarter 2, mainly because of lower sales realization.

PBT (Profit before tax from JV, exceptional items and tax) for the quarter grew by 49% to INR165 crores in quarter 3 F Y '26 as compared to INR111 crores in quarter 3 F Y '25. PAT for the quarte r grew by 13% to INR88 crores in quarter 3 F Y '26 as compared to INR78 crores in

quarter 3 FY'25 due to adjustments of exceptional items of INR39.64 crores in quarter 3 FY '26.

As of December '25, the working capital days increased by 8 days to 64 days compared to 56 days on 30th of September '25, mainly due to increase in receivables and decrease of other current liabilities.

With this, I take the opportunity of thanking you for joining us today. Over to moderator for Q&A please. Thank you.

Moderator: Thank you so much, sir. Our first question comes from the line of Keshav Bijayratan Lahoti from HDFC Securities. Please go ah

ead.

Keshav Lahoti : Sir, firstly, can you give some sense how is the unification working on volume and margin front? On last call, we were hopeful that some volume growth we will see because of unification. So how are things moving? And secondly, how should now we see margin going forward? The realization cut which you have taken, is it just for this quarter? Or will we see this impacting next quarter also?

Chetan Kajaria : So in terms of volume, the market scenario was weak. And also, we did destocking of inventory

at the dealers end, so we could not grow in this quarter 3. But going forward, we see positive shoots going forward for growth.
Rishi Kajaria : So what's also happened was that we've been churning a lot of dealers. With all the unification happening, lot of tail end dealers are going out, some dealers are adding in. So lot of churning is happening. Cross -selling is happening because of cross -selling between the dealers. Lot of dealers were only probably working with one vertical where we're giving them other tiles as well.
So all that is happening. And also, we liquidated a lot of our stock, which was -- a lot of SKUs had increased. So all that happened in last quarter. And because of that, we remain flattish. But Jan looks little encouraging and we should be okay from here.
Keshav Lahoti : Got it. Sir, on the margin side, how are things moving? Can you give some more color what sort of margin improvement we can see? Maybe it's a few quarters we have started this strategy?
Rishi Kajaria : So margin will remain between 17% to 18%, somewhere in that band. That should happen.
Keshav Lahoti : So we are already there. So the juice out of unification on margin is already out, you mean to say no more levers are left ? That is a fair assessment?
Rishi Kajaria : So even if the margin increases, we like to pump it back in the market in terms of advertisement. And we are -- now our focus will be more on increasing our sales and maintaining the margin.
Keshav Lahoti : Understood. Got it. And last question from my side, the ad spend for this quarter?
Rishi Kajaria : Ad spend for last quarter? October to December, you're asking?
Keshav Lahoti : Yes. Perfect.

Chetan Kajaria : We spent roughly INR24 crores in quarter 3. This is what...
Sanjeev Agarwal : We spent around INR24 crores in Q3.
Keshav Lahoti : Got it.
Sanjeev Agarwal : Little lower than the Q3 of the previous year. But in the fourth quarter, we intend to increase it much higher than Q3.
Keshav Lahoti : Got it.
Sanjeev Agarwal : So overall ad spend in the year would be lower as compared to the last year because we have not done one annual deal er meet , we used to do in Thailand. So that has -- we have saved around INR5 crores. So -- and we have negotiated well with our existing advertisement vendors. So -- and we have ignored some areas where we were not finding some value. So optically, advertisement will look lower this year but the value we have -- we will be gettin g more, what we have got last year.
Moderator: Thank you, the participant left the queue. Our next question comes from the line of Sneha Talreja from Nuvama Capital. Please go ahead.
Sneha Talreja : Thanks a lot for opportunity. Just a couple of questions now. Firstly, on the last con call, you mentioned that your cost -cutting measures are on and we can see quarter -on-quarter margin improvement and that was at the point where your margins were around 18 -odd percent. But if I heard you correctly now, you are saying that margins will remain at the 17% to 18% and you will be passing on the incremental benefit to gain market share. Is that a change in strategy again?
Sanjeev Agarwal : Yes. In this quarter, the margin is 17% plus despite around 220% or 240% drop in the selling price. So our cost optimization journey has continued and we are further -- we have not st

opped
here. We have taken some low -hanging fruits but we have identified some areas where we'll be working in this quarter and the next -- the whole next year, the journey will continue.
But -- and as we said -- as Rishi ji has said that this quarter, we have -- there is a drop in selling price because of liquidation of some inventory. We have lot many SKUs because of this multiple divisions the SKU numbers have gone very high. So we are in the process to reduce that. So that is the reason we gave some discount. So that's the reason for the lower realization.
And for the lower sale, the reason is as we explained. I'm just repeating it, because we -- there was some destocking happened at the dealers level because one dealer -- suppose one dealer is a ceramic exclusive dealer, so we have to stop supplying ceramic to him. We are saying, no, now we will not give cerami c. You have to take some GVT. Some dealer is GVT.
He has to -- I mean it takes time for a dealer to change his display because he has been displaying all GVT. So he has to display ceramic, or ceramic dealer is displaying ceramic, he has to display GVT. So this -- some -- it's a big change, the big change in the corporate. So it will take some

time. So it is taking time but we are very sure, after this correction, we will emerge as a very strong and a very process -driven company.

Not only that, we are in the process of improving, like the fraud happened in the company. So we are revisiting. We have appointed a forensic auditor also. Ernst & Young, we have appointed. They have yet to give the report but prima facie the fraud amount because I know this question will come again, so I'm answering. So the fraud amount is not beyond what we have st ated earlier. So that is there.

And they -- the -- we are doing our process audit also -- process -- all the processes we are getting it audited. And you will be happy to know that the -- we have found all systems are working very strong, except that subsidiary that was a unfortunate inc ident. But still we are in the process of strengthening our system, further strengthening the system. We have changed all the signing power. Even the Chairman cannot sign or even I cannot sign INR10,000 .

Sneha Talreja : Understood. That's excellent to know, sir. Sir, you also mentioned that you are changing SKU reduction. Could you speak more on it in terms of how much inventory levels could reduce because of that or properly what's the SKU reduction looking like? And can that have any impact on sales?

Rishi Kajaria : See, what was happening was because as you said, there are different verticals, ceramic, GVT, PVT, so there was a lot of commonality in the products. So that is what we are doing. We're reducing the SKUs. So the plants are more -- the plants more efficient . And because of that, this was the issue of this quarter only. So lot of our work is done. We are emerging out much stronger in terms of our plants also and in terms of efficiency of the stocks also.

Sneha Talreja : Understood. And lastly, on the growth front, firstly, we've seen some amount of exports inch up during first six months but like you mentioned that you were doing all of these SKU reductions because of which you did not see growth. But what's your outlook now probably for next quarter or next year in terms of demand growth? How are you seeing your volumes shaping up in terms of tiles, that's one.

Secondly, even in terms of bathware, you have hired a consultant. You mentioned that last quarter. We've seen around 9% growth this quarter. How is that shaping up? And what's the outlook for that segment also next year?

Chetan Kajaria : Sneha, in the first part, as we said, January is looking positive and encouraging and we are seeing a positive growth going forward from quarter 4 onwards.

Rishi Kajaria : And the same will be both in t

iles and sanitaryware as well. Even though that will have a much -- in sanitaryware, we're definitely looking at a double -digit volume growth from here.

Sneha Talreja : And anything on the tiles front? Could we hear some numbers for the month of Jan or probably some guidance there in terms of volume?

Rishi Kajaria : Still early, Sneha, still early to give the numbers. But yes, Jan has been little encouraging.

Sneha Talreja : Understood. Thanks team. All the best .

Moderator: Thank you. Our next question comes from the line of Sonali from Jefferies. Please go ahead.

Sonali : Sir, my first question is regarding Morbi. Could you help us understand how things are shaping up in terms of -- are the exports back on track? Are they still creating a lot of pressure in terms of domestic market pricing, etcetera?

Chetan Kajaria : Sonali, so Indian tile exports have experienced a 20% fall in value in FY '25 to INR16,000 crores due to increased freight rates due to Red Sea crisis and the ongoing geopolitical disturbances. In quarter 3, we exported around INR4,000 crores from the country approximately. So let's see if the trade deal with U.S. is positive, then it will result in increased uplift of exports also.

Rishi Kajaria : Sonali, it's not actually getting any pressure in the domestic market because a lot of these plants are closed in Morbi. If the sales don't happen, they close the factories. It is very difficult to sell -- for them to sell in domestic market, off and on.

Sonali : Okay. Sir, I would just like to have detail about this point. You're saying that the factories in Morbi are closed right now. Since when and how much affect...

Rishi Kajaria : No, no, no. What I'm saying is, if the exports go down, lot of factories in Morbi are only export based. When the exports come down, they close down their factory because it is very difficult for them to liquidate that material in the domestic market.

Sonali : Understood. Got it. Sir, secondly, on gas pricing, any -- so what has been the gas pricing in Q3 for us across regions, if we give? And how do you expect the gas pricing to go forward?

Chetan Kajaria : Sonali, in quarter 3, the gas pricing has been average of INR37, North was INR38, South INR38 and West was INR37. And going forward also, we expect it to remain stable.

Rishi Kajaria : But INR1 will slightly...

Management : There is a increase of INR1 going forward in quarter 4.

Sonali : Got it. And just one last question. Would you like at this point to give any kind of volume

guidance for F Y '27?
Chetan Kajaria : No guidance as such. We just want to do our job and we'll work for the best.
Sonali : Got it Sir, Thank Yiu very much.
Moderator: Our next question comes from the line of Omkar Ghugardare from Shree Investment.
Omkar Ghugardare : Sir, just wanted to get your outlook on the growth front since you have mentioned that with 2.0, you will be moving ahead with all the measures which you have already taken and all the measures you will be taking. Where does the growth factor comes in? Lik e what kind of growth we can achieve in the next 2, 3 years, double digit, higher single digit? Obviously, it depends on the market but still.

Rishi Kajaria : As you said, this was a year of correction. And Jan has been positive. But yes, next year, we are definitely looking at a good value growth.
Omkar Ghugardare : I mean, can you just quantify, if not exactly but I mean, higher double digit, single digit, lower single digit?
Chetan Kajaria : It is difficult to quantify
Rishi Kajaria : We do not want to quantify it. But we should -- we are looking at it in a very positive way. We are getting a very positive feeling for the next year.
Omkar Ghugardare : And there will be some growth in revenues and margins will be in the similar range, 17% to 18%?
Sanjeev Agarwal : Should be around that because lot of -- because as I said, the cost optimization certainly will continue. And when there was a exceptional dip in this is not there, maybe here in the next quarter, it may continue in this quarter as well. But from the next year onwards, it's very light company in terms of SKUs and our all dealers would be -- will be unified, which is still under process. So we are working , dealer will honor our -- is doing in a old fashion. So we are all doing it digitally.
We are working a lot on digital thing. We are -- not only that, we are hiring good people. We are hiring at least 3 to 4 C -level people, which we will disclose when they join within next 1 or 2 months.
So see we are strengthening the company all the way and growth is -- will be a result of the improvement in the system. So when the systems are weak, not the system, I mean the process, the selling and the dealer -- long tail of dealer. We have identified white spaces. We have identified when we do the right thing, growth has to come automatically. And we are -- despite the number one company, we are -- our market share is very less.
So we have -- even if the industry doesn't grow, which has happened in the past, the industry didn't grow but we took the market share. And we are hopeful that next year onwards, we will continue to repeat our old time and take the market share significant ly.
Omkar Ghugardare : So just wanted to know what exactly are the points you are focusing on, on this Kajaria 2.0 and how you are utilizing the cash balance in order to increase your growth ahead or to support the growth ?
Sanjeev Agarwal : I answer the second question …
Rishi Kajaria : So for the sales strategy, what we are doing is, as stated earlier; one, we are talking about cross - selling of the dealers. Earlier dealers were working in only one vertical. Now they are adding second and third product lines as well. Second, we are puttin g a major thrust on the architect and interior designer community. This we were not focusing much earlier on.
So we are making a very solid team all over India whose job is only to service these architects and interior designers and get products approved. Government is another sector that we are

working on as well where we have a strong government team also to do this. All these initiatives in the work will happen.
Omkar Ghugardare : Yes. And if you can answer how we are utilizing the cash balance?
Moderator: I'm sorry to interrupt you, Mr. Omkar but there are a lot of background noise coming from your end.
Omkar Ghugardare : Yes, sir. The...
Sanjeev Agarwal : No problem. So , we are doing, we answered this many times. We are not going to do a big thing. We are -- the balance sheet -- driving the balance sheet in a -- and we don't see major capex in next 1 or 2 years. So maybe if we -- we continue to keep the cash and may increase the dividend and all. I can't say at this moment. But we don't have any major capex in the future. We don't

see any capex in next...
Rishi Kajaria : No major capex is planned as of now ?
Sanjeev Agarwal : So cash balance may increase going forward.
Moderator: Our next question comes from the line of Utkarsh Nopany from Anand Rathi Institutional Equities.
Utkarsh Nopany : Sir, my first question is regarding the pricing scenario in the bathware portfolio. So just wanted to know, have we taken any price hike recently or plan to take any price hike in faucets and sanitaryware, we are both? Sir, if you can specify how much pric e hike we are planning to take in both?
Rishi Kajaria : So yes, the brass prices have really increased and the entire industry has taken a price hike and so have we. So from 19th of January, we have taken a price hike in the faucet products in the -- to the tune of about 8% to 12%. And sanitaryware, we plan to take a

price hike probably from 1st of March.
Utkarsh Nopany : Okay. And sir, how much price hike we are planning to take for sanitaryware portfolio?
Rishi Kajaria : Not that much. There, the cost has not increased that much but we'll take a call. We're still working on it. We're still working on our pricing strategy.
Utkarsh Nopany : Okay. And second, sir, on the tiles realization front, if we see for our own manufacturing product, the tiles realization for us, it has fallen from 401 square meter in Q3 of FY '23 to right now at 365 square meters. So we have seen a decline of close to a round 9%. So if you can help me out when we can start seeing improvement in our tiles realization, sir?
Rishi Kajaria : So what, for that, we are doing a couple of things. As we said, even the architects, interior designers team, they will also help us sell in more value realization tiles. See, prices of tiles are not increasing in the market with so many players there. But the only way forward is that we have to sell more of value addition. So it's difficult to again calculate and tell you what is the price realization going to be.

But it should not go down from here. The way we are working, I think we'll maintain it and slowly it should go up.
Sanjeev Agarwal : And we have converted one line of ceramic of 9 million in Gailpur plant in GVT. So that should also...
Rishi Kajaria : Help in improving realization.
Chetan Kajaria: That improves the bottom line further.
Utkarsh Nopany : Okay. And sir, lastly, on the capital allocation part. We have already mentioned that we are not planning to do any major capex . But if I see our tiles own capacity and plus JV capacity has gone down from 92.5 million square meter to 82.5 million square meter over the past 18 -month period and we are op erating at almost full capacity?
Whereas if we see 2 unlisted players, Simpolo and Varmora are almost doubling their capacity.
So just wanted to know whether our conservative capital allocation is not likely to result into any loss of market share for us in the coming quarters' time frame?
Chetan Kajaria : No, market share loss is not a situation at all. So there is enough capacity available at Morbi at very good competitive prices for us to outsource from them and sell in the country.
Rishi Ka jaria: And we also have a very substantial production capacity built in. And whenever we feel the need, we can always expand. So right now, we don't need to -- feel the need to do it. Our capacity that with the industry, with all -- we have a capacity, 82.5 million. The rest of the players are still in a much lower capacity than us.
Utkarsh Nopany : Okay. Fine, sir. And sir, if you can just specify what is the share of our institutional sales in December quarter versus last December quarter?
Chetan Kajaria : So roughly, our share is 70% in retail and 30% in projects. And this projection includes government projects also and private projects also with builders basically.
Moderator: Our next question comes from the line of Praveen Sahay from PL Capital.
Praveen Sahay : Sir, my question is, as you had mentioning that lot of cross -selling you are emphasizing to your dealer. So now where we are in the churn within the dealers, like 100% of that has been achieved or 70%, where we are right now?
Rishi Kajaria : So I would say about 70% to 75% is already done. Rest will all happen in this quarter. That does not mean that we'll not grow in this quarter. We definitely grow as well in this quarter and the remaining churning will also happen. So that next year, when w e start the next financial year, we'll be in a very, very solid position.
Praveen Sahay : Okay. Good to hear that. Second question is, as realization on a sequential basis has been down but your gross margin has improved. So is there some cost related to the RM as well, some rationalization hap

pened? What exactly happened there?

Sanjeev Agarwal : Yes. As I said, the cost optimization journey has continued. So if the sales realization wouldn't have dropped, the margin would have been much higher. This margin, 17 plus margin is despite the drop of 250 bps or 240 bps decline in the selling price -- sales realization.
Praveen Sahay : Right. You are -- I'm saying that your realization has down -- gross margin has improved actually sequentially. So gross margin is a function of realization and the RM. So is there a some...
Sanjeev Agarwal : So your -- have you taken the gross margin, have you taken the power and fuel also?
Praveen Sahay : No, sorry, what have you taken? Yes, yes. Hello, sir. What you said, sir? Sorry?
Sanjeev Agarwal : You have to take the -- most of the analysts are not taking the power and fuel in the consideration. You have to include power and fuel here then as compared to Q2 -- Q2 FY '26 was around 36% and even this quarter, it is 36%. To be very precise, it was 37% in Q2 FY '26 and in this quarter, it is 36%. For that, you have to take raw material , trading purchase and power and fuel in source and spare .
Moderator: Our next question comes from the line of Nilesh Sharma from Anantnath Skycon .
Nilesh Sharma : Sir, I just want to know, from a long -term industry structure perspective, when do you believe that Indian tile industry reaches an inflection point where organized players start gaining visible market share from Morbi or unorganized players?
Rishi Kajaria : Saying when do you think in the long -term industry -- long term...
Nilesh Sharma: Sir? Hello?
Rishi Kajaria : Just repeat your question for everybody.
Nilesh Sharma: Yes. Sir, my question is, from a long -term industry perspective, when do you believe Indian tile industry reaches at the point where organized players gaining the visible or sustainable market share from Morbi or other unorganized players, so that we like Kajaria, Somany like players will gain the momentum ?
Ashok Kajaria : See, 2 things are happening. One is, GST has changed lot of perspective. Earlier, as we all know, there was a lot of problem on various fronts. With GST , 2 things have happened. Everybody has become part of GST, almost you can say 80% of the industry are in GST. Some here and there is still being done at Morbi by under -pricing, as we all know.
But GST is a big game changer. With the process of time, what will happen is, the branded players today, you see the prices of all housing is going up. People prefer good products as we all know. So with the change of time, the branded players will be more preferred compared to Morbi.
Even in Morbi, some people are emerging as branded players like Varmora and Simpolo. And I think over a process of time, it's a time which will tell but things will happen, whereby the current share of the organized is about 40%. The share of Morbi is abou t 60%. I would say about 2 years' time or 3 years' time, it will be 50 -50.

Moderator: Next question is from the line of Rahul Agarwal from IKIGAI Asset Management.
Rahul Agarwal : Sir, the first question on -- before the unification, I think the pricing, dealer schemes and incentives for ceramic, PVT, GVT would have been different, right, for all 3 segments. Now given the unification has happened, has that been aligned? And are the dealers now comfortable understanding the pricing and scheme structure?
Chetan Kajaria : Yes. So just to answer that question, with effect from 1st of Jan, we have aligned the pricing in ceramic, GVT and PVT, made the discount structure very similar. So when a sales team goes to a dealer, it's very easy for him to explain what are the various schemes and pricing structure of all the 3 verticals and also align the incentive policies to a great extent. It's

all performance -
based. So it has become simpler post unification rather than it was pre -unification.
Rahul Agarwal : So when I talk to dealers, what I hear is that the earlier person who was handling 3 segments, 3 products separately, because of different schemes and structures, it's still getting difficult for them to understand the new pricing in schemes. And hence, th ey are still contacting the older sales managers to place orders. Any thoughts on this?
Chetan Kajaria : This happened on 1st of Jan. So it will take, let's say, 1 month, 2 months' time for them to absorb and get in the market also. And once it -- explain to all the dealers, it will all become very simple and transparent for them to understand the new systems and the policies.
Rahul Agarwal : Okay. Like is it possible to do certain central meeting with all the dealers and explain them this? Or how does it work? Like how are you communicating this with your channel?
Chetan Kajaria : We can't do a central meeting because every geography and zone is different. You cannot get

800 dealers on a call today then because the pricing and systems are different -- schemes are different for various zones, North East South West. So it's all been told to the dealers by the people on the ground and we've have had some meetings with dealers in various pockets to explain them what the new scheme and policy is.
Rahul Agarwal : I understand that. Understand. Of course, I mean, it has to be more regional driven kind of effort to communicate. Got it. So very clear on that. Secondly, when I look at the production breakdown. The production, it's 6 million square meters a quarter is what you report as a joint venture production. Just wanted a clarification. This joint venture production are entities referred to which region? Is this largely Morbi and South Asian Ceramics?
Rishi Kajaria : Yes. The joint ventures are 3 in Morbi and 1 in South Asia -- is South Asia. 4 plants are joint ventures.
Rahul Agarwal : Right. So over here...
Sanjeev Agarwal : One of the subsidiary. Sorry, one of the subsidiary, we have in the Board meeting, we have taken approval to acquire 10%.
Rishi Kajaria : One of the joint ventures to make it a wholly owned subsidiary.

Sanjeev Agarwal : So it will not be a joint venture. And even the joint venture, we have increased our equity significantly. So the ultimate aim is to acquire the balance and merge it with Kajaria Ceramics going forward. And run it more efficiently.
Rahul Agarwal : Right. That was the precise question that incrementally, this 6 million square meter per quarter or '24, '25, for the full year will actually move to own manufacturing and there will be no JV production breakdown available. Is that correct?
Rishi Kajaria : That's the endeavour as we go along. We'll take a call. As we said, that out of 4 JVs, this quarter, we have converted 1 JV into a -- taken the permission to convert into a wholly owned subsidiary. Like that, as we go along -- but we still own majority of the shares of these JVs, 80 %-plus in Morbi, all the JVs, we have almost 85% plus equity and we are running the plants. South Asia, this is about 60%.
Chetan Kajaria : There also we are only operating a plant basically.
Sanjeev Agarwal : So it is -- it -- earlier it used to be JV in real JV because these people, our partners used to run the plant. But over a period of last couple of years, we have taken the management control and they are just shareholder but we are running the plants.
Rahul Agarwal : Absolutely. I completely agree. That's what I was wondering that since we own majority and now the endeavor is to own majority and 100% ownership, it should all move to own manufacturing versus joint venture. So I agree.
Sanjeev Agarwal : And Rahul, it's tax efficient also, suppose some JV is having losses. So that is not getting any benefit and

the Kajaria, I'm paying tax. So once we merge everything, so it will be very -- then there will be no related party transaction, no tax issues. So it will be very clean system of working going forward.
Rahul Agarwal : Absolutely. Got it. And last question was on discounts. I mean the discounts, was it region - specific or it was PAN -India offering from your side, like the SKU reduction, which happened?
Chetan Kajaria : SKU reduction was plant -wise across the country.
Sanjeev Agarwal : Across the country and across the country, brand -wise and dealer -wise as well.
Rahul Agarwal : Okay. Got it. So there's nothing to do with abnormal inventory, right? Because when I look at September balance sheet, the inventory was fine. This is largely, what is this related to?
Rishi Kajaria : This is more of cleaning up of our own plants. We are making our plants more efficient. The plants -- what has happened is, the plants which -- the tiles which sell more, how we are making sure that their stock is more as compared to a lot of dead inventor y and the plant -- tiles we don't sell more. So that is the churning of the inventory and that is also all the liquidation of the old stock which happened this quarter.
Sanjeev Agarwal : And Rahul, one more thing, though we have not reduced the inventory at the company level, there is a marginal increase in the inventory at the company level. But as Rishi ji had explained because of the destocking that inventory at the dealer level has diminished.

Rishi Kajaria : Which will help us in future.
Rahul Agarwal : Got it. Very clear, sir . Thank you so much for answering the question and all the best.
Management : Thank you .
Moderator: Our next question comes from the line of Rahul Agarwal from IKIGAI Asset.

Rahul Agarwal : Thank you for the follow -up. Just one question on the gas consumption. Overall, all inclusive, in a year, how much of gas do our plants consume? About 200 million cubic meters. Is that correct?
Chetan Kajaria : No, no. Not 200 million.
Rishi Kajaria : Overall gas consumption. We'll have to come back to you.
Chetan Kajaria : We can come back...
Chetan Kajaria : We can come back on this question with a definite answer.
Ashok Kajaria : Exact number.
Ashok Kajaria : When you talk about fuel, it's a combination of gas and biomass also.
Sanjeev Agarwal : Biomass and coal as well.
Ashok Kajaria : And in North, we are using a combination of biomass and fuel. In Morbi, it's all about fuel and coal. And so we have to do plant -wise working and come back to it, on the gas front, how much gas we are using. Because currently, what is happening in Morbi, t hey have an option to use gas or propane. So exact details, we will come back and comment.
Sanjeev Agarwal : But Rahul, your question, why this question, you want to know, you have any apprehension about the gas price increase? This is why you are asking this question, on why you want -- you are interested in knowing the quantity. I can tell you there is no impac t of gas in this quarter and because some people have some apprehension because of increase in Henry Hub .
There is a cost escalation. So that gas, I can clarify, that is 4% to 5% of our overall gas – power and fuel consumption. And that was temporary hike in few days back because of the extreme cold in the Europe, which has gone down.
And there will be no impact of any gas either in this quarter. There will be may be marginal gap, let's say, INR50 lakh to INR 80 lakh in the next quarter. So beyond that, there will be no increase in the gas price, as of -- if I take the prices today.
Rahul Agarwal : Got it, Sanjeevji. Thank you so much .
Moderator: Our next qu estion comes from the line of Bhavesh from DV Investment Advisors .

Bhavesh : Can you just -- about the export scenario li

ke last year, it was around, say, INR18,000 crores.
So can you give me a more update export scenario like what is the situation now and what the unorganized players, like where are their supply going?
Chetan Kajaria : So FY'24, the exports was INR 20,000 crores. And this year, we're estimating it to be around INR16,000 crores. So going forward, exports should be stable and growing only. And once the US trade deal comes to light, then we'll know much more what the US tariffs will be.
Bhavesh : How much exports will be around for the 9 months period, any estimation?
Chetan Kajaria : INR12,000 crores.
Bhavesh : INR12,000 crores and we are expecting it to be INR16,000 crores for this year?
Management : Correct. Approximately for the financial year.
Bhavesh : Okay. Understood .
Moderator: The next question comes from the line of Bharat, an Individual Investor.
Bharat: Thanks for the opportunity. I just wanted to know about bathware segment. How are we going forward with our distribution channel? Are we adding dealers, retailers? How is -- basically that?
Rishi Kajaria : So in bathware, we have a mix of both distributors and retailers. Some areas, distributors are working, some areas it's -- retailers are working. So there also a lot of this work is happening.
We are going in -- so bathware, still it's taking a little time . But we are still going in attacking all the dealers, getting there, making sure our products are displayed. So we are seeing some results. And hopefully, that should also change as we go along.
Bharat: Can you quantify how much are our dealers, retailers?
Rishi Kajaria : How many...
Chetan K ajaria : No, we cannot quantify.
Bharat: Thank you.
Dharmesh Shah : Ladies and gentlemen, due to the time constraint, that was the last question for today. I would like to hand the conference over to the management for the closing comments. Thank you and over to you, sir.
Ashok Kajaria : Thank you, Dharmesh. I think it was a good interaction with the people who are there. I thank on behalf of Kajaria, on behalf of people for asking questions and thank you very much for today's deliberations. Thank you.
Rishi Kajaria : Thank you.
Management : Thank you.

Moderator: Thank you so much. Ladies and gentlemen, on behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

May 07, 2026
The National Stock Exchange of India Limited
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai - 400 051
BSE Limited
P.J. Towers
Dalal Street
Mumbai - 400 001
Dear Sir,

Re.: Transcript of Conference Call

In continuation of our letter dated April 30, 2026, informing about the uploading of the audio recording of the Conference Call held on April 30, 2026, we enclose herewith transcript of the said Conference Call, in compliance of the provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The above said transcript has been uploaded at the Company's website www.kajariaceramics.com
Kindly take the above on your record.

Thanking you,

For K ajaria Ceramics Limited

Vinit Kumar
General Counsel & Company Secretary

Encl.: As above

"Kajaria Ceramics Limited
Q4 FY26 Earnings Conference Call "
April 30, 2026

MANAGEMENT : MR. ASHOK KAJARIA – CHAIRMAN – KAJARIA CERAMICS LIMITED
MR. CHETAN KAJARIA – VICE CHAIRMAN – KAJARIA CERAMICS LIMITED
MR. RISHI KAJARIA – MANAGING DIRECTOR – KAJARIA CERAMICS LIMITED
MR. KARTIK KAJARIA –HEAD, ADHESIVE DIVISION – KAJARIA CERAMICS LIMITED
MR. SANJEEV AGARWAL – CHIEF FINANCIAL OFFICER – KAJARIA CERAMICS LIMITED
MR. PARVEEN GUPTA – VICE PRESIDENT FINANCE – KAJARIA CERAMICS LIMITED

MODERATOR : MR. GIRISH CHOUDHARY – SPARK INSTITUTIONAL EQUITIES PRIVATE LIMITED

Moderator: Operator Ladies and gentlemen, good day and welcome to the Kajaria Ceramics Q4 FY '26 Earnings Conference Call hosted by Spark Institutional Equities Private Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be a n opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Girish Choudhary from Spark Institutional Equities Private Limited. Thank you and over to you, sir.

Girish Choudhary: Thanks, Yousuf. Good evening, everyone. Thanks for joining. We have with us the senior management team of Kajaria Ceramics, including Mr. Ashok Kajaria, Chairman; Mr. Chetan Kajaria, Vice Chairman; Mr. Rishi Kajaria, Managing Director; Mr. Karthik Kajaria, Head, Adhesive Division; Mr. Sanjeev Agarwal, CFO; and Mr. Parveen Gupta, VP Finance.

I would request Mr. Kajaria to start with the initial remarks, post which we will have a Q&A session. Over to you, Ashokji.

Ashok Kajaria: Thank you, Girish. Good evening, everyone. It gives me great pleasure to welcome you to the quarter 4 F '26 earnings co nference call of Kajaria Ceramics Limited. And as already said, joining me on this conference call is the senior management team of Kajaria Ceramics.

I'm pleased to inform that this quarter we achieved a volume growth of 11%. This is the result of several efforts made towards unification of sales. During the first 9 months, this unification meant realignment of inventory across channels, manpower alignment and as a result, resulted into flattish growth. After which, we experienced good momentum in demand s ince January '26, which was a result of efforts made by us in the first 9 months. The production has fallen by 7% during the quarter due to shutdown of our Morbi plants in March, which have started from 16th of this month.

In quarter 4 '26, our consolidat ed revenue increased by 12% to INR 1,373 crores compared to the corresponding quarter last year. EBITDA margin for quarter 4 stood at 19.19%. Margin improvement is result of cost optimization and some improvement in sales realization over quarter 3 along wi th all-round efficiencies in production, sales and supply chain management. I would also like to mention here that there has been a huge distraction at Morbi players in terms of cost, labour and cash flow. As a result, Kajaria and other players who have multi locational plants will have a great advantage as we go forward and their volumes will increase for the year '26 -'27.

For us, the journey has just begun, and we remain optimistic about the current year 's performance and beyond. Let me share with you some data for the quarter segment -wise financial performance. Tiles segment grew by 11% year -to-year at INR 1,212 crores in quarter 4 F '26 compared to INR 1,088 crores in quarter 4 F '25.

Bathware segment registered a 6% growth in revenue reaching INR117 crores in quarter 4 compared to INR 111 crores in quarter 4 '25. Revenues from the adhesive group were INR 44

crores in quarter 4 '26 as compared to INR 21 crores in quarter 4 '25. EBITDA impr oved in quarter 4 F '26 to 19.19% as compared to 10.01% in quarter 4 '25.

PBT: the profits before share of profit from JV, exceptional items and tax for the quarter grew to INR228 crores in quarter 4 '26 as compared to INR 85 crores in quarter 4 '25. PAT f or the quarter grew to INR 136 crores in quarter 4 '26 as compared to INR 43 crores in quarter 4 '25 due to higher volumes and improved realizations. As of 31st of March 2026, the working capital cycle improved by 14 days to 51 days as compared to 65 days on 31st of Decembe

r '25

mainly due to decrease in inventory and receivables. And we'll continue to focus on reduction of our working capital cycle as we move forward.

Sanjeev Agarwal: This is Sanjeev Agarwal, CFO. I would just like to say that in our present ation in Slide number 9, the inventory figure has been interchanged to debtors inadvertently. We have uploaded the revised presentation to the stock exchange and to our website also. So please read inventory figure as debtors and debtor figure as inventory .

Ashok Kajaria: With this, I take this opportunity of thanking you all for joining us today. Over to moderator for Q&A, please. Thank you.

Moderator: First question is from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: Congratulations on strong set of numbers. Sir, I wanted to get a sense on Q4 growth. One is because of unification. And secondly, we believe because of this Iran thing that Morbi has taken a shutdown. Possible to bifurcate how much volume could be coming because of the

Morbi shutdown? And secondly, how are the things looking on Q1 side?
Chetan Kajaria: So this volume growth is not because of only the Morbi shutdown. In January and February also, we had a volume growth. It was consistently throughout quarter 4 in Jan, Feb and March.
And what was the second question, please?
Keshav Lahoti: So how are the things looking in Q1? Q1 should be stronger than Q4?
Chetan Kajaria: The momentum has started now and looking good '26-'27 going forward. So we can't break it down quarter -wise, but the good momentum has started now I would say.
Sanjeev Agarwal: In general, Q1 historically is low in the industry and Kajaria. So Q4 cannot be compared with Q1. But the whole year is going to be much better.
Keshav Lahoti: I got it. I was asking more on year -on-year April on April basis of the momentum, whatever the double -digit volume growth that might be continuing in April also, possibly might be at an accelerated pace organization. And my sir, first question was that I understand it's because of both unification and Morbi. So I was just trying to ask possible to bifurcate this growth. Just let's say for example what has been your growth in, let's say, Jan and Feb, the first 2 months when we are not seeing the Morbi disruption?
Sanjeev Agarwal: Righ t now Vice Chairman said that this is not -- the growth is not just because of Morbi because we have started getting the growth from the month of January itself.

Chetan Kajaria: Jan and February, volume growth were 8% 9% and then it continued in Feb and Ma rch also.
Keshav Lahoti: Got it. That is helpful. Sir, what sort of price hike you have taken in the market because of inflation in gas prices? And how are the gas prices now and in last quarter Q4?
Chetan Kajaria: Can you repeat the question, please?
Kesh av Lahoti: So my question is what sort of price hike you have taken because of increasing gas prices? What were the gas prices region -wise in Q4 and currently?
Chetan Kajaria: So we have taken a price increase of roughly 12% to 13% in our North plants and Morbi has been slightly higher around 16% to 17% because the gas price has gone up much higher there.
That's been the region -wise price increase and South is also in the similar lines.
Ashok Kajaria: And more or less we have covered the cost of increase of gas with some added margin, but more or less covered the costs which have gone up.
Keshav Lahoti: Sir, region -wise gas prices for Q4 and current year, how it stands?
Ashok Kajaria: See, there is a varied combination. See, what has happened in the month of March, all the plants in Morbi were shut down so almost there's no calculation as far as Morbi is concerned.
Now we have started the Morbi plants on 16th of April. As far as the gas prices in North are concerned, the Government of India made a restriction that you will

get for the first 2 days
80% and 65% and it's a varied price as you might be aware. So the exact number is difficult to say, but calculated wise, the prices have gone up quite a bit.
Sanjeev Agarwal : And we have different type of gases in our non -Morbi plants.
Moderator: Next question is from the line of Sneha from Nuvama.
Sneha Talreja: Congratulations on a great set of numbers. Just continuing with the last participant's question.
You generally used to give a breakup of North, South and West average gas prices. Could you give that to us for Q4?
Sanjeev Agarwal: So North is roughly INR 55.54 per SCM for quarter 4. South was INR 49.6 and West was INR46.57.
Sneha Talreja: And could we have current prices too if possible? What is adhesives working out to be?
Sanjeev Agarwal: April, the price in North is roughly INR 62.5. South is around INR 81 and West is INR 79.
Ashok Kajaria: Gas prices not the complete -- gas prices.
Sneha Talreja: Understood. So you're saying that you also have biofuel because of which the average fuel prices must be on the lower side. Is my understanding correct?
Sanjeev Agarwal: Correct. Yes. So average fuel price would be lower than the gas price.

Sneha Talreja: Understood. This is where we would have some advantage versus Morbi and what would be the current mix of biofuel, 20%, 25%, if I'm not wrong?
Rishi Kajaria: Around 15%.
Ashok Kajaria: No, North plant is about 30%,
Sneha Talreja: Understood. And secondly, sir, an extension to this, given there is a steep increase in gas prices and the way we have taken price increases to manage the margins. Any end user demand impact that we are seeing on ground not just because of the tiles price increases, I think we are

seeing it across the construction space that we've seen sharp increases, let's say, in wood, in HRC, I think across the board. Are you seeing any amount of hit taking place in the construction sector?
Chetan Kajaria: Not really. I think the demand is there and tile is a very small segment in the entire real estate project. So just for that price increase, they will not stop their construction. So we are looking at a good demand for the year.
Sneha Talreja: Any guidance that you want to give?
Ashok Kajaria: See, guidance, as yo u are aware, I have always given, right? It didn't work out. So after I give my guidance, you people say you have not done this. So my request will be going forward not to give any guidance, and we perform and prove to you people that we are doing a good j ob as a team.
Sneha Talreja: Perfect, sir. Got that. On the volume front, anything on the margin front that margin could stabilize here?
Ashok Kajaria: Margin, we are confident that with the current scenario, we should be maintaining between 18% to 19%.
Moderator: Next question is from the line of Praveen Sahay from PL Capital.
Praveen Sahay: Many congratulations on good set of numbers. My first question is related to the fuel. As you had given that the fuel prices have increased in all the 3 locations. But if I look at your fuel expenses as a percentage of sales has been down. So is that the impact has not reflected in the Q4 or the price hike, which you had highlighted already taken, that's the impact as well?
Chetan Kajaria: So we took a price hike in ear ly March. So that is reflected in the...
Sanjeev Agarwal : Your question was fuel prices down in the Q4.?
Praveen Sahay: Yes, fuel prices as a percentage of sales has been down.
Sanjeev Agarwal : That is because of the lower production, we produced less 7%. We sold more and we are comparing the percentage on sales. So sale is higher and production is less. Sale is higher by 10%, 11%, 12% and production is down by 7%. So as a percentage, the fuel price have gone down. In fact actually the price per square meter h as gone up. Absolute number.

Praveen Sahay: Correct, sir. Second thing on the price hike. As you said that early March, you had taken the price hike. So in the coming quarters or this quarter Q1, we will see the entire benefit of a 12% to 15% of increase i n the prices in our realization?
Rishi Kajaria: We should see definitely some increase in the price realization.
Sanjeev Agarwal: We cannot quantify any number because it's a very dynamic situation. So we have taken the price increase. We might have to gi ve some discount.
Rishi Kajaria: Absolutely. We might be a little more flexible in terms of our pricing.
Sanjeev Agarwal: But one thing is there, the prices will be much higher than what we see earlier.
Praveen Sahay: Right, right. And last question, sir, because Morbi yet to fully resume or come with a force. So such benefit what we had received in the Q4 in terms of the volume growth, we can see in the coming -- like this quarter and the coming quarter till the Morbi is not coming back with the fully production?
Chetan Kajaria : From 1st of May now, Morbi is als o starting their production. GSP C is giving gas to whoever wants to take it in Morbi. So that quarter 4 scenario is not there anymore. Now gas is available to anyone who can take it and produce and sell. That is the current scenario going forward from May 1 onwards.
Ashok Kajaria: You see 2 things are happening. Let me explain to you. 2 things are happening. For the first time in the last 5 years, the gas prices are going up like this. The gas prices, which was INR 47 or INR48 landed; as of today is INR84. 50 landed for the Morbi players, which includes the tax, which includes value equalization, point number one. Point number two, for the extra price, you have to give a vendor into GSPC. Third point, when it comes to pricing, you have to sell at these prices. As we are all aware, Morbi has always reduced the prices, reduced the prices. First time, they have to take a 35% to 40% hike. A product like 4 feet by 2 feet which was selling at INR 20 a square feet has to be sold at anywhere between INR 27 to INR28 because that is the impact of gas. So how can they sell cheaper. Now they are not sure whether they can sell at these prices. So as of today, nobody knows how many plants will run, how many plants will be able to run properly. The plants which will run properly are one, who has created a brand in Morbi. There are few players, I would say, 10, 12 players who have created a brand for themselves, yes. And secondly, who are outsourcing for organized playe rs or some other players who have better demand, yes, I will produce and they will buy. Besides that, there is a lot of questions. A lot of questions will be answered on Monday 4 because first, second, third is a holiday; people are expecting to start. But Monday, you will know how many players have started the plant. So that would be my answer to that.

Moderator: Next question is from the line of Sonali Salgaonkar from Jefferies India.

Sonali Salgaonkar: Congratulations on a good set of numbers. Sir, my fi rst question is the production, I was just trying to align the numbers. The production is down by about 7%. The sales is up by 12%. Is it fair to assume and interpret that there was a lot of finished goods inventory lying with you earlier, which was ready, which you sold off in March? And going forward, with that inventory liquidation behind us, our sales would be more in line with our production. Is that the right way to look at it?
Rishi Kajaria: So you're right. First, the inventory has gone down because of the shutdown of Morbi. Our inventory has gone down. Secondly, going forward, currently, all our plants are running at full production. So with a combination of our own plants running at full production and our stocks, we'll be able to service all the

s ales orders and outsourcing as well. Outsourcing is still a little problem because as we just said that at Morbi a lot of plants are still shut down. But we have enough stocks and our plants are running at full capacity to service the market to do our numbers.
Sonali Salgaonkar: Just as a follow -up. What is the current capacity utilization of our plant? If you could please bifurcate that as the outsourcing in Morbi and in the other regions and how much percent of our supply is coming from Morbi?
Ashok Kajar ia: Sonali ji, our production will be, as Rishi said just now, from 16th of April, all the plants are running at full capacity. But today as Kajaria, we are outsourcing to the extent of almost 27%, 28% of the materials from Morbi. Now there is a question m ark as to how much we get in the month of April and April was of course tough, but how much we get in May. Things could get normal as we go forward. But right now that's a question mark because many plants, as I just said few minutes before, are not running because they are not running for a simple reason. The gas they got -- started getting gas is only from 16th of April and then again from 1st of May for the people who have not started the plants yet. So as we go forward, we'll know, but our plants are r unning full.
And as rightly said by Rishi, our stocks have come down by almost 1.5 million square meters in the month of March itself because the Morbi plants were shut down and we sold more. So that's how we have -- stocks have come down and we also reali zed better cash flow because of tightening of the norms.
Sonali Salgaonkar: Got it, sir. Very clear. And just one last question from my end. Exports definitely, Gulf accounts for about 25% of the overall …
Rishi Kajaria: Your line is not clear, Sonali -ji.
Sonali Salgaonkar: Sorry, is this better now, sir? Apologies -- is this better? Sir, on the exports, we understand Kajaria doesn't export, but Morbi used to export about 25% of its sales in Gulf. So with that getting impacted, do you foresee more competiti on once the Morbi starts producing from the 1st of May? And also, we understand that they have taken price hikes, but with us taking about 15% price hike, do you think that the competition could be more from Morbi in the domestic market?

Ashok Kajaria: I think you didn't hear, Sonali -ji, I said 2 things. One, they have taken a price hike of 35% to 40% for a simple reason. That's the impact of gas only. I'm not talking about other inputs like packing and all that, but just the impact of gas is roughly about 35% to 40%, number one.
Number two, as the plants were closed, the pressure of export doesn't even arise because in the month of April, the exports has hardly been INR 400 crores to INR 500 crores.
Why? I give you 2 reasons. One, the plants didn't run. Secondly, lot of exports to Gulf are affected. Give you a small example. Before the war on 28th of Feb that the freight was $300 for UAE. Today, the freight for UAE is almost $4,000. So how can we export and how will the buyer will get. So these are tenders wh ich are remaining.
Sonali Salgaonkar: Sorry, my question was that once Morbi starts producing from 1st of May and I agree with you that the exports are definitely impacted, would that increase the competitive intensity in the domestic market? That was my q uestion.
Ashok Kajaria: That is what I said earlier. Out of 500, 600 plants, which people say in the investing community, which I agree, not more than 150 -- as of today, there are only about 70, 80, 90 plants which are running. And as I said earlier few m inutes back that on 4th of May, you will know that how many plants are running. Our estimate is not more than 150 to 160 plants ultimately will run from 1st of May. If they run, there is a big shortage as it is in the domestic

market. And why will they exp ort and ha

ve this headache, they will rather feed the domestic
market because domestic market is imported.
Coming to competition, there is already a big vacuum. If you go to Morbi today, you will find many plants don't even have a single box, everything h as been sold and that's a scenario which
has been told to us by people, we have no material b ecause what the dealers did during the
month of March who were buying from Morbi.
They told them, yes, I give you money of the past, I give you money at the present. Give me
whatever you have on the old prices. So they have cleared their stocks in totality. So it's a very,
very positive scenario for the so -called organized players who have multi -locational plants
going forward for the whole of '26-'27.
Moderator: Next question is from the line of Rahul Agarwal from IKIGAI Asset.
Rahul Agarwal: Congratulations for a very good number. Firstly, on the bathware side, this INR 50 crore s
buyout of the key investor, is it for the entire 15% stake or is it lower?
Sanjeev Agarwal: It's for the entire 15% stake. See, they invested $10 million 8 years back. So we bought the
entire stake for INR 50 crores by mutual discussion and negotiation.
Rahul Agarwal: Got it, Sanjeev -ji. The second question on the cost side. You obviously mentioned that 18%,
19% EBITDA margin is achievable next year. But when I look at this year, there have been lot
of cost -saving efforts which you have made. This staff cost of INR 530 crores for fiscal '26, the
number looks like stabilized at INR 130 crores per quarter. How should we look at this cost
going forward for the other expenditure and staff cost?

Sanjeev Agarwal: Sorry, what was your question? Staff cost?
Rahul Agarwal: Sir, I'll just repeat myself. My question was that this year, it was a restructuring year for
Kajaria. You've done a lot of effort on the cost side. For fiscal '26, the staff cost is now
stabilized at INR 530 crores, which is INR 130 crores a quarter and other operating expenditure
has also come down substantially to INR 480 crores, right? If this is the base for fourth quarter
run rate, how should we look at fiscal '27 on expenditure side?
Sanjeev Agarwal: In the similar grounds. We are not looking at...
Asho k Kajaria: See, similar. You see, you have not calculated one thing. For the year '25 -'26, overall volume,
we grew at 3%. We are talking about a much positive growth going forward as we have seen in the quarter 4 at 11%. We are saying that it will be much better growth as we do it because we
are not giving any numbers, as I said, but we'll do much, much better as we go forward,
number one.
Number two, some cost increase will be there of course because when you start a new year,
some cost increase will be th ere. It will be very marginal, and it will be much more nullified by
the volume growth, which will happen and the price increase, which has taken place from 1st of April because actual price -- second price increase only came from 1st of April.
Sanjeev Agarwal: See, in absolute number, there could be some increase mainly in case of labour and all. But in
terms of, as Chairman sir has said, as a percentage of sales, it will be lower. Administrative
cost as a percentage of sales will go down.
Rahul Agarwal: Very clear, sir. And last question, sir, When I look at the production, my sense is for Kajaria
in-house production is about 60 million, 65 million square meters. And please correct me if I'm
wrong.
Rishi Kajaria: It is 84 million square meters -- 87.
Rahu l Agarwal: Yes. So I was actually breaking it down into 3 parts; own capacities, joint venture and
outsourcing. I was looking at own capacity and joint venture is about 89 MSM -- 87 million.
The question I'm asking is the fourth quarter when I look at production, it looks like the JV
production obviously has declined purely because of some gas suppl

y issues in Morbi.
Ashok Kajaria: It happened in the month of March. Don't forget that happened only in the month of March.
January, February, Morbi has been als o normal.
Rahul Agarwal: Yes, sir. So just from 16th of April, when you're saying that gas is available for all of our
plants, should I assume it is also for our outsourcing partners and joint venture plants put together?
Rishi Kajaria: Absolutely, yes, c orrect. outsourcing still. Joint venture partners, yes. Outsourcing partners is a
question mark.
Chetan Kajaria: Because we are not completely outsourcing 100% from each of the outsourcing partners. They
are buying some percentage of our sales. So if they can't run the plant fully on their own, then

they will not produce just for us a small percentage of the sales. So that's the question mark. As
we go forward, we will get to know more about it as the events unfold.
Rahul Agarwal: Got it, sir. Because that i s almost 30 million square meters we have sold from outsourcing
partners last year. So that will all get compensated from your in -house production from JVs
and own plants. Is that correct?
Sanjeev Agarwal: It is not that the whole outsourcing will stop. Th e outsourcing will reduce that too in the initial
months. If the Morbi has already started and from 1st of May, more plant will open, they will
have to sell. So they will have to sell to Kajaria first. So it is a 1 or 2 months disturbance in the
supply. It is not a permanent disturbance because when we are ready, when we are giving
assurance, as Chairman sir, has said, if the plants are running who have the brand and who
have confirmed order. There can be a situation that we are outsourcing from Morbi's pla nts. So
we will outsource, let's say, from going forward.
Ashok Kajaria: See, last year we sold 118 million, produced at about 87, 86 million. And we outsourced about
32 million square meters of tiles. As Sanjeev was just saying, suppose A doesn't run. We will
divert B. The question is very simple; material availability is not a problem for Kajaria. If
Kajaria has to outsource, this year we have to outsource almost 40 million plus, right?
So we'll outsource from A, if not A, B, C. As plants move on, this pr oblem is limited to
probably for the month of April and May. As things normalize, people will come forward to
our this thing and say, you take from us, we are running the plant, why don't you buy from us?
So outsourcing will not be a problem in terms of square meters initially.
Rishi Kajaria: Initially it's a problem. Going forward, it will not be a problem.
Sanjeev Agarwal: Because we'll be realigning our suppliers as usual.
Moderator: Next question is from the line of Ritesh Shah from Investec.
Ritesh Shah: A couple of questions. Sir, first is if you could please help clarify, sir, Morbi will need an increase of 35%. I think
you said INR 20 and then INR 27. But sir, you also said initially that
16% to 17% price increase in West and ours will be in similar lines. So I just wanted to
understand the timelines for both the numbers?
Ashok Kajaria: You see what you have not understood. Morbi per se was selling a product, let's say, for
INR20 a square feet, that's a 4 feet by 2 feet price, right? Today, as far as they are concerned,
their costs have gone up by 35% because of increased price of gas. So their prices have gone up from INR 20 to INR 27 or
INR 28 depending on the customer.
As far as Kajaria is concerned, I was already selling at a higher price. So my price increase is
only 15%, 16%, which covers the cost of that. So that is what the scenario is. If somebody
supplies you from Morbi, he was earlier supplying you at INR 20. Today they supply you at a
minimum price of INR 27, INR28, maybe INR 29 also square feet. So their cost escalation is
35% to 45%.

Sanjeev Agarwal: There are 2 things. One is the Morbi price is cheaper and our prices, the branded player prices
are higher. So the same cost will be less -- same amount of increase will be higher percentage
for Morbi and less percentage for Kajaria, number one. And going forward, the difference will minimize. Number two, our gas
prices have gone up much higher than the non-Morbi.
Ashok Kajaria : From Morbi, whatever we outsource. He's talking about that. Our prices were already higher
when we are selling. So the difference will minimize. As Rishi said earlier, we are increasing
16%. They are increasing by 35%, 40%. So that difference will minimi ze -- our price cost will
not go up so much compared because I'm already more expensive.
Ritesh Shah: Correct. Sir, just another clarification. Sir, Morbi INR 47 currently somewhere at INR 84. And
in our case, you indicated Q4 was INR 46.57 and April you said was INR79. So how should we
look at this INR 79 and INR 84 like INR 79, you also indicated it was gas?
Ashok Kajaria: Plants are not INR79 , I will explain you the furlough then you workout yourself. In North, we
are getting gas from GAIL India Limited, and we are getting 3 types of gas. That's RLNG, then
the Henry Hub and the JCC. Government of India has already described a formula that you
will get for the entire gas pipeline because of this war.
Now what they have done as per government guideline, wha tever you have lifted in the last 6
months, you will get -- they started out with 80% at normal prices, 20% at spot prices. Got
reduced to 65%, then to 55%. Again, raised to 65% and again to 80%. As of today , we are
getting a North plant gas 80% at normal prices, 20% at spot price.
As far as South Asia is concerned, we are getting in the same formula. For Srikalahasti i, last
moth we paid half price because we had no contract of spot price. Form 1
st of May, we get in a

normal price . So that's the scenario.
Is it clear now or you would like to --
Ritesh Shah: Yes. Probably I'll call Sanjeev -ji after the call. Sir, my second question was how much is the inventory that we have in million square meters? Is it closer to 1,820?
Ashok Kajaria: Inventory would be like 11 million square meters total.
Ritesh Shah: 11 million square meters. Okay. And sir, how much would be the inventory at the JV partner level or outsourcing partners? I'm just trying to understand that we have significant advantage not only because of size and location, but also the inventor y that we have at our hand, which could also be low -cost inventory?
Ashok Kajaria: But there is no low -cost inventory because the prices have already gone up from March, April, so there cannot be a low -cost inventory. Inventory is a normal because what is being pr oduced is being sold. So what Rishi said earlier, we have inventory. Whatever inventory is there, it is okay because our plants are running at full capacity. There is a problem in what we were outsourcing. In outsourcing, last year we outsourced to the extent of 22 million square meters.

This year, we'll be outsourcing to the extent of 40 million square meters. As things normalize, we'll get material from outsourcing. And as I said, if A doesn't start, B will start, C will start, they will come to us and say you buy from us, simple. It is not that we or somebody else has an inventory of 1 month or 2 months. In Morbi for your information, they have cleaned up the whole land. There is no material. They have sold everything.
Ritesh Shah: Correct. And sir, lastly, any specific reason for the buyback decision at this point in time? How should we read into it?
Sanjeev Agarwal: That's more to me -- the buyback decision is more to give the market the confidence that we are very confident of good numbers going f orward. We feel that we're going to do well and it's a better allocation

of cash. If the buyback was not tax efficient. So from this time, it has become more efficient. So this is a better way of returning money to the shareholders. So one, we were having enough cash on the balance sheet, which is much more sufficient than our CapEx and other things. Two, it is tax efficient to the shareholders. Three, it will improve our ROE also.
Moderator: Next question is from the line of Utkarsh Nopany from Anand Rathi .
Utkarsh Nopany: Sir, my first question is regarding the tiles production. So if we see it has gone down by 7.5% in March quarter, but you have mentioned that all of our plants are currently operating at full capacity. So just wanted to confirm from you t hat whether our tiles production volume is not likely to get impacted in Q1 as we have seen in Q4?
Rishi Kajaria: So the tile production was down by 7% in March quarter. But because March -- shut in Morbi plants. Now as I said, from 16th April, all our pl ants are running at full capacity even the Morbi plants.
Utkarsh Nopany: Okay. So like on a Y -o-Y basis, we can see some bit of a decline in our production in the current June quarter. Is it correct, sir? Because we have started the plant from 16th of Apri l?
Rishi Kajaria: Correct. Correct.
Utkarsh Nopany: Okay. And sir, second thing, sir, like you have mentioned that many plants in Morbi are still shut. So whether our understanding is correct that outsourced sales volume for us might get impacted in the current June quarter, but it will go back to the normal level as things normalizes in Morbi?
Rishi Kajaria: You're absolutely correct. Absolutely correct.
Utkarsh Nopany: Okay. And sir, third thing, sir, like just wanted your sense like our tiles sales vo lume has grown at only, say, 6% CAGR over the, say, last 7- year period. So what would be your guidance on the volume growth, say, over the next 3 to 5 years for Kajaria?
Sanjeev Agarwal: I think our Chairman has already said about this and we will not see over and above.
Utkarsh Nopany: Sir, I did not get you, sir, like when you have said. Can you please repeat once again?

Ashok Kajaria: I already shared our guidance in earlier years, It didn't work out for various reasons because we have no control over the outside atmosphere. We have a control over what we are doing, but we don't have the control over the outside atmosphere. So keeping in line, we have decided not to give any volume guidance, number one. Number two, we will perform as we move along in a positive manner. That's all at this stage.
Utkarsh Nopany: Okay. And sir, lastly, like on the fuel side, sir, you have mentioned that our gas procurement

cost in North is around, say, INR62 versus, say, around INR 80 for West and South. So just wanted to know what is the reason that our gas procurement cost is so low in North compared to the South and the West region?
Ashok Kajaria: I think you didn't hear one of the earlier speakers asked this question, I answered. Again, I repeat for the benefit of everybody . Government of India has set a certain formula. They have made GAIL as a nodal agency on 9th of March that you will coordinate for the entire gas pipeline because of this war.
Now what they have done as per government guideline, whatever you have lifted i n the last 6 months, you will get -- they started out with 80% at normal prices, 20% at spot prices. Got reduced to 65%, then to 55%. Again, raised to 65% and again to 80%. As of this morning, we are getting a North plant gas 80% at normal prices, 20% at s pot price.
As far as South Asia is concerned, we are getting in the same formula because the CGD company there is going by this. In Kalasi, we are getting gas from syngas, and we had no such agreement for the month of April. So we had to pay spot prices. We have just entered into an agreement 2 days back and we will get at normal prices

in S yngas from 1st of May. So that's
the scenario. Morbi scenario, you are already aware, so I don't have to talk about it. So it's a very fluctuating thing.
If I tell you , no, I am getting at these prices because every day the norms are changing by Government of India and accordingly by GAIL. So whatever it is, we shared the formula. If required, Sanjeev can later work out and tell you the gas prices.
Utkarsh Nopany: Okay. And sir, if you can just throw some light how is the supply of propane at the moment in Morbi in comparison to, say, January and February?
Ashok Kajaria: See. There's not enough -- ideally propane is not allowed for the industry. Government of India has i ssued a circular on 5th of March that propane will not be supplied to industry. It will only be used for domestic LPG production. No industry is getting propane for your information.
Moderator: Next question is from the line of Saurabh Jain from HSBC.
Saur abh Jain: Congratulations for a great set of numbers. I just wanted to continue from the previous question on propane. So while we understand that in the recent times, the propane is not allowed. But when the expectations are that Morbi is going to get bac k the production line?
What is your sense? Is it going to be like a permanent shift to natural gas and propane not being allowed to Morbi even for the long term? Is that a supply shift that you are assuming or when things normalize, then they might get bac k and shift back to propane?

Chetan Kajaria: See, how can we say that right now about propane? Also, the propane price is INR 160, and it depends on the war situation. So right now, household cooking and fertilizers are more the priority sector for the gove rnment to give propane to. So it's a very fluid sector which we cannot comment upon because the price was very high of propane.
Saurabh Jain: No, I wanted to get a sense because you are there closer to the industry. What is the inner circles indicating? Like government is serious about making a permanent shift to natural gas or things can go back to propane in the long -term point of view is what I'm asking.
Ashok Kajaria: See, neither for you nor for us to decide. It all depends on the war situation, what is happening.
Government's first priority is to give LPG to domestic, number one, which you are also aware, we are also aware. Second priority is to give to fertilizer because that's an area they can't afford to this thing. I'll just give you a small info rmation. The fertilizer prices -- there is a shortage of fertilizers in India, and the fertilizer is being sold at 100% premium.
And the import of fertilizer, which is coming is at double the price of Indian production. So that is why the priority of the government is to make sure. Third priority, as you know earlier, was power. Industry was coming later. They are not giving any gas to the power industry.
They say no, I can't give you gas. Industry has been put on a priority number 3. And when I'm saying i ndustry means all industry.
Saurabh Jain: Sure. My second question is on the biofuel thing that you mentioned. Is it possible to share what could be the comparable biofuel cost for you on a per SCM basis?
Ashok Kajaria: Biofuel cost varies, but I can share you. The northern plant, the biofuel cost is about INR 20 per SCM comparatively. And in South, they're using coal; in Morbi, they're using coal because in what you call this , why you say in our area -- you cannot use coal. So that is why we had an option t o use biogas, biogas is allowed.
Saurabh Jain: But it looks like a very good arbitrage now getting biofuel compared to...
Ashok Kajaria: See, let me tell you a little bit about the ceramic tile plant. Tile plant consists of 2 major facilities; one is calle d a spray dryer; one is called a kiln. Kiln can only be run on gas, natural gas or propane or

LPG, which is gas. As far as spray dryer is concerned, it can be run on
biofuel, it can be run on coal, it can be run on gas. So we can only use biofuel in spray dryer.
And that is why when we gave you this information that 30% of the fuel today is biofuel,
which is used in the spray dryer in northern part of India.
Saurabh Jain: Okay. So you alluded to the fact that it cannot be taken more than 30% as overall fuel mix.
Ashok Kajaria: You cannot use -- correct. You can use it as fuel.
Saurabh Jain: Yes, sure. I appreciate it and just was trying to confirm it. Secondly, a lot of other players
would also be trying to secure this biofuel because it will come at a lower cost and also the
crop has also recently happened for mustard. Are you seeing any challenges in terms of
procuring this material for producing the biofuel?

Ashok Kajaria: The only 2 plants in North are Somany and Orient, they are already using it. And as far as
mustard is concerned, there is no challenge. The maximum production of mustard is in the
state of Rajasthan and plenty of mustard is available.
Saurabh Jain: Got it. Second question, can you also give us some sense on how the growth trends are looki ng
like in the month of April?
Ashok Kajaria: As we shared earlier, we cannot give you month -to-month, First, our CFO already said that
April, June quarter is normally weak. So please try to understand 2 things. One, the Morbi
plants are not producing at f ull capacity. Rishi just said that from 16th of April, all Kajaria
plants are running at full capacity.
Whatever we use in production for 15 days in Morbi plants has to be taken into account. Morbi
outsourced plants are not running in full capacity. They w ill run as and when they are
comfortable. Chetan also said that right now, say, from certain plant, we are buying only 20%
of the capacity. He cannot run 80% unless he has a source to sell. So that scenario will always
be there.
We cannot tell you what is happening in quarter 1 and on a daily basis. It will -- what we have
said, we are looking at a very positive growth and not only we at Kajaria, I also said in my
opening remarks, organized players like Kajaria, Somany and Johnson who have plants all
over the country will get benefited by this process because there is too much damage in Morbi.
Please understand that and get all the information, you will have lot of information when you go out there that there is a lot of damage. What will happen, what won't happen, nobody knows
at this stage.
Moderator: Next question is from the line of Arun Baid from ICICI Securities.
Arun Baid: Congratulations on a good set of numbers. Sir, just how much was the ad spend this year in FY '26, sir?
Sanjeev Agarwal: It was around I think INR 90 crores to INR 100 crores in the whole last year. We did it less as
compared to the previous year because we did very hard negotiation. And some -- this year, we
are going to do much, much higher ad spend. Our new TVC has come. So we are just in the
process of making plan on many, many channels or regional channels and others. So this year, the ad spend may be 40% to 50% may be higher than what we spent in the...
Ashok Kajaria: We made a much more aggressive ad spend this year.
Arun Baid: Okay. And second thing is, sir, the salary hikes, which last year was not given to employees, as you had mentioned. This year, have we taken any decision there?
Ashok Kajaria: Some action will be taken, but we have yet to take a call. But some acti on will definitely be
taken in a positive manner because we are all part of the industry. We understand, they also
understand that you as Kajaria are making money. So we have to take a balanced call as we go
along.

Arun Baid: Okay. And sir, third thing is in last year Q1 call, Q1 FY '26, you had mention

ed that once we
reach a run rate of INR 250 crores a quarter on the EBITDA front, that INR 1,000 crores
visibility, the salaries will be reinstated for the promoters. Sir, anything there you can help us with?
Rishi Kajaria: So we have decided not to take the salary this year as well.
Arun Baid: Okay. So sir, it's postponed till next year basically what will be the numbers for this year, right?
Sanjeev Agarwal : He did not say it's postponed for the next year. He said we will not take this year.
Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the
conference over to the management for the closing comments.
Ashok Kajaria: Thanks a lot. I think very good questions ca me out. And on behalf of all of us. But also, I
would like to add 1 or 2 statements. I think great effort has been done by Chetan and Rishi as a
team after unification. I think they have done lot of work in the last financial year along

supported by Kartik in adhesive. I must say that it's been a tremendous effort by these 3 people in taking the company to these heights and I'm very positive that going forward, the results will be even better. A lot of good questions came, and we are trying to do our best t o reply them in the right.

Rishi Kajaria: And also just to apprise you guys, we have kept a lot of good senior people in the company. A new CHRO has joined. A Chief Marketing Officer joined for the entire branding of the company. A new Chief Digital Offic er has joined to take over the technology part of the company.

Even for Kerovit, Kerovit as a brand has been struggling for a while, but there also we've got a couple of very senior people. A Chief Business Officer to look after the sales and an adviser who is handing the factory, both veterans of the industry. We've also got a senior purchase guy. So we've kept a lot of good people. And I think that is the reason which we are so confident that going forward because ultimately, the team has to work. We are very confident that going forward, we'll achieve what we want to achieve.

Sanjeev Agarwal: A good strong leadership team is in place now going forward. Thank you.

Ashok Kajaria: Thank you.

Moderator: Thank you, sir. On behalf of Spark Institutional Equitie s Private Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.